Nuvoco Vistas (NUVOCO)

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Call: May 2023

NUVOCO VISTAS CORP. LTD.
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May 16, 2023
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai -400 001
Scrip Code: 543334
Scrip ID: NUVOCO
Dear Sir/Madam , ~® NUvOCO
Shaping a new world ~
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051
Trading Symbol: NUVOCO
Sub: Transcript of Investor and Analyst Conference Call on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2023
Further to our letter no. Sec/13/2023-24 dated May 5, 2023, letter no. Sec/19/2023-24 dated May 9, 2023 and letter no. Sec/20/2023-24 dated May 10, 2023, please find enclosed the transcript of the Investor and Analyst Conference Call held on Wednesday , May 10, 2023 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2023.
The same is also being made available on the Company 's website at www.nuvoco.com.
This is for your information and records, please.
Thanking you,
Yours faithfully,
For Nuvoco Vistas Corporation Limited
(j Shruta Sanghavi
SVP and Company Secretary
Nuvoco Vistas Corp. Ltd.
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CIN-L26940MH1999PLC118229

"Nuvoco Vistas Corporation Limited's Q4 & FY23 Earnings Conference Call"

May 10, 2023

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL OFFICER , NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF STRATEGY & MARKETING OFFICER , NUVOCO VISTAS CORPORATION LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q 4 & FY23 Earnings Conference Call of Nuvoco Vistas Corporation Limited .
We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that the Company faces. The Company assumes no responsibility to publicly amend, modify or revise any forward -looking statements on the basis of any subsequent development, information or events or otherwise.
As a reminder, all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is be ing recorded.
I now hand the conference over to Ms. Madhumita Basu – Chief Strategy and Marketing Officer of the Company . Thank you and over to you , Ms. Basu.
Madhumita Basu : Thank you. Good evening, everyone and a warm welcome to the Q 4 & FY23 Earnings Call of Nuvoco Vistas .
Looking at the year gone by , the financial year was dynamic for the entire industry. On one side cement demand has shown robust growth coupled with improvement in prices from FY22 levels with eas t outperforming the All-India average. On the other hand, soaring energy cost has impacted margins during the year. However, softening in the fuel prices from Q4 FY23 has provided support to margins in the later part of the year.
On the economic front, the macroeconomic indicators demonstrate a positiv e outlook for the sector as annual co nsumer inflation in India eased to 5.7% in Mar ch 23. Manufacturing and investment activity is expected to increase in the economy due to the government 's emphasis on capital expenditure, better capacity utilization in manufacturing , double digit credit growth and moderated commodity prices. W ith the government 's continued focus on devel oping infrastructure and rural housing , cement demand is expected to remain strong in FY24 .
Coming to the industry performance in FY23 :
Cement demand in the East and North have witnessed robust demand growth during the year driven by rural housing and infrastructure. However, looking at the regional dynamics - especially the s tates of Bengal and Jharkhand , witnessed subdued demand growth during the year m oderating our overall sales volume growth during the year. However, we have stayed focused on our premium products and on trade volumes i n FY23 and this will continue to be a major thrust area for us. Nuvoco has one of the highest cement -to-clinker ratios in the in dustry (at 1.82 in FY23) with continuous focus on blended cement.

Prices have improved from FY22 levels with East at 7% outperforming All -India average of 3%. However, the price increase in FY23 has not been adequate to contain pressure from the high energ y cost.
I now move on to sharing some s trategic and operational updates :
Continuing our thrust on premiumi sation and innovation , we have successfully added "Concreto UNO ", "Duraguard F2F " and "Concerto Gl yde" to our premium product portfolio during the year. We have sustained investment in brand building with focused brand association programs for brand Nuvoco . We have launched on digital platform , engagement films as a marketing communication campaign for bran d "Duraguard " which showcases its unique selling points. The campaign has been well re ceived, attracting more than 10 million + impressions w ith stakeholders.
An update on our projects :
We have been prudently prioritizing our CAPEX on sustain ability, debottlenecking, payback -based projects, and North footprint enhancement.
A quick update on ou

r ongoing growth and debottlenecking programs :
Cement capacity expansion through 1.2 MTPA grinding unit at our Bhiwani cement plant in Haryana is ongoing , civil and fabrication advancement is on mark and all major orders have already been released and deliveries are on track. This will take our overall cement capacity to 25 MTPA .
The alternate fuel co -processing and pre-processing systems have been commiss ioned at Risda and Nimbol. This will facilitate our handling of a wider range of alternate fuels with inc reased waste recycling tonnage in FY24.
Railway siding projects are on track at both Jajpur a nd Sonadih and commissioning is planned later in the financial year.

Clinker capacity enhancement at Risda and Nimbol will be on stream w ithin H 1 of FY24 and the latter will support our grinding unit expansion in Bhiwani.
Ready -Mix operations :
Our Ready -Mix Concrete business has seen improved revenues by 24% in FY23 with premium products and ne w products comprising almost one -third of the business. W e see the Ready -Mix business gather momentum and we will utilize this opportunity to ramp up our Pan India RMX presence. Our commitment to this business is demonstrated by back -to-back commissioning of

our Guwahat i and Coimbatore plants . I share h ere, with pride , that the Guwahat i plant is the first all women led RMX plant.
Modern building materials :
The Company remains committed to offering a diversified range of products to meet our customers' construction needs. This business has recorded a near 20% growth in FY23.
On the people and processes front :
At Nuvoco , we recognize people & processes as key to remaining agile and competitive. In the year under review, the Company launched Nuvoco University - a platform to upskill people via e-learning and classroom training . The Company has in place "Program LEAP " for process - oriented performance improvement and "Project DEN" to digitally enable internal and external stakeholders.
On sustainability :
The Company stays committed to its sustainability initiatives by concentrating on raising the consumption of alternate fue l and has exhibited an exit rate of 12% TSR (Thermal substitution rate) in FY23 . We have one of the lowest carbon footprints in the industry wi th net carbon emission at 465 kg CO_2 per ton cementitious materials in FY23 , primarily driven by good focus on blended cement, W HRS , AFR and improving thermal efficiencies. Reiterating our commitment to sustainability, we have launched a Company wide program named "POP-Protect our planet ". This has been taken as a Company strategic act ion and is chaired by an Exco team . Activities encompass all functions and facets from sustainability roadmap to green concrete products, use of recycled construction & demolition waste in concrete manufacturing, reducing single use plastic and becoming water positive.
Coming to the financia l performance for the quarter :
Cement volumes in Q4 FY23 stood at 5. 2 million tons. V olumes remained impacted as key markets of Bengal and Jharkhand rem ained sluggish sequentially for two quarters. Our revenue from operations improved by 12% QoQ to Rs. 2,929 crores in Q4 FY23 . PAT (Profit after tax) for Q4 FY23 stands at 2 01 crores.
On a full year basis , cement volumes improved to 18.8 million tons . Our revenue from ope rations improved by 14% YoY to Rs. 10,586 crores against a volume growth of 5% as the Company prioritized v alue over volume growth. PAT for FY 23 stands at Rs. 16 crores.

Key Cost elements - Q4FY23 :
Cement raw mat erial cost increased by 4% YoY due to the increase in key commodity costs with inflationary pressure. This has been partially mitigated with long-term contracts f or sla g and improved cement -to-cl

inker ratio.
Power & fuel cost increased by 11% Y oY due to external pressure from high energy prices. However, on a QoQ basis there has been a reduction of 14% due to softening in fuel prices coupled with higher thermal substitution rate.
Distribution costs during the quarter primarily increased with the re -imposition of busy season surcharge on the railw ay freight coupled with increased road movement of clinker due to wagon availability issues. Our team is working closely with the Indian Railways and in an industry first has introduced innovative solutions fo r clinker movement such as BOBY -N wagons which were typically used by railways for transportation of aggregates and track ballast materials.
Our consolidated EBITDA for the quarter improved by 41% QoQ to Rs. 383 crores. We have been continuously working to strengthen our balance sheet. Our net debt at the end of March 23 declined to Rs. 4,414 crore s due to focus ed drive on collection coupled with efficient working capital m anagement. Our interest cost has also been effectively contained wi th an increase of about 160 bps against the increase in repo rate by 250 bps s ince March 22 with opportunistic refinancing and debt repayments. O ur CAPEX spend for FY23 stands at Rs. 486 crores.
Just to summarize, bef ore I open the floor for Q& A:

The macroeconomic indicators are creating a buoyant outlook for the sector and the government's continuous thrust on i nfrastructure development augers well for cement demand and prices . With the government 's focus on "housing for all " scheme and expectatio n of improvement in disposable income we will continue to leverage our trade centricity to drive volume growth. O ur growth projects in the North, including the 1.2 MTPA cement capacity expansion at Bhiwani and the debottlenecking in Nimbol , both of which are progressing well, and will help to increase our footprint in the region. The Ready -Mix Concrete business is on growth momentum, and we are actively ramping up Pan India plant operations. Moderation in fuel prices will favorably impact margins and we remain focused on continuous reduction of net debt and prepared for our nex t phase of expansion.

With this, I will end my opening remarks . I am joined by Mr. Jayakumar Krishnaswamy – Managing D irector a nd Mr . Maneesh Agrawal – Chief Financial Offic er, Nuvoco Vistas, we are here together to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : So, firstly I wanted to know like what was your clinker production in FY23 and what was the clinker utilization?

J. Krishnaswamy : Clinker c apacity for the Company is 11.88 million -ton, actual production for FY23 is 10.3 9 million ton s and clinke r capacity utilization at 87.5%.

Amit Murarka : And like your debt has dropped in Q4 quite significant ly and congratulations on that, b ut just to I mean i f I go through the details, it seems like it ha s come through payables extension and payable days have gone up a lot, s o how sustainabl e is this reduction in working capital & net debt in that context?

J. Krishnaswamy : I will take the first part and then I will ask my CFO to give yo u the details. As we have been telling in all our calls right from the beginning the endeavor of the Company is to keep a hold on debt in the short run a nd so that we come into a manageable debt level to the tune of about 4,000 crores there abouts , then we decide the next phase of expansion. So, that i s the view of the organi zation, and our efforts and endeavo r ever since we listed the Company and going forward, has been that we wi ll have to pay the debt so that we are r eady for the next phase of expansio

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and that is how in the last three years , from March 21 to 22 to 23 there is a continuous improvem ent in reducti on of debt. Now I will ask Maneesh Agrawal to give you details about how we went about doing this.

Maneesh Agrawal : I would say the te ams have done a very good job in managing all the key levers of working capital , i.e., on the receivable front, on the inventory front as well as on the payable front . Since Nuvoco is a trade -centric company , we have received full support from our cement channel partners and we did a record collection in Q4 FY23 . We have achieved revenue growth of 14% in FY23 . However, if you look at the financials our receivables have remained broadly in line with those of last year. So, this clearly indicates that t here is an improved DSO as of March 31, 2023 . Also , on the RMX side, we have continued to focus on driving sales on our cash and carry model and we have also reduced our c redit terms with customers as compared to the past period . On the inventory front , there was a significant buildup of inventory in H1, primarily on account of three factors ; First the cement & clinker stock s are generally higher as of September end due to the seasonality involved, second because of the higher fuel prices that were prevailing at that point in ti me and lastly coupled with the issue of uncertainty arou nd the stocks on the fuel front. However , gradually from Q 3 onwards, we have reduced inventory levels and brought it in line with the internal stipulated DIO norms and the fact that there has been softening of the fuel prices from Q4, is clearly evident in the financials. The over all inventory value has reduced . The third key lever is on the payable front, we have been focusing on renegotiating our payment terms for raw materials, fuel, and other cost line items with o ur vendors a nd we have received an encouraging response to this. So, that is how we have been able to bring down our working capital in a big way.

Amit Murarka : And does cash and carry the reason why like sales volumes dropped YoY there was a 4% drop in sales volume?

Madhumita Basu : The cash and carry comment was in res pect of our Ready -Mix business Amit.

J. Krishnaswamy : So, with the Ready -Mix business Amit we used to have credit terms in excess of 90 days or even 120 days in the past period. So, one of the things I have mentioned in the previous call is that we have revisited the entire business model post -COVID when we r esumed operations after the shutd own during the COVID period. So, we took two or three levers at th at time. First, we said that we will operate our plants only in those markets where the NODT as well as the raw material cost is manageabl e from our perspect ive. Secondly , we also said that we will not supply to those customers who are expecting longer credit terms and hence our b usiness itself shrank in those days, we started selling much lower than the players to FY19 times. The third thing we also said was this e ntire concept of cash and carry which introduced whi ch means in Ready -Mix business there are lot of small IHB who will put a roof for somethi ng and then they buy Ready -Mix one lot or two lots or two transit mixers. In those cases, we are very clear that we wanted to focus more on those cases so that we can get advance or cash and carry for supply to those places and hence our cre dit exposure, big time reduced . Last but not the least, one of the big efforts which we have been doing in the last year and half is we do no t do repeat sale to any customer whose credit is more than 45 days overdue and hence this has greatly improved the overall receivable position in the Ready -Mix business.

Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : Just

a couple of questions , one on the very strong cash f low performance in the quarter j ust want to understand the moving parts for both DSO and in inventory, on the DSO I mean I can understand very strong collection from the c hannel partners, but somehow we ha ve not seen others being able to replicate that in the quarter, w hat was driving that very strong collection that you ha ve seen outside of RM X in the purely cement business, i s there some element of bill discounting or vendor financing in that particular element and on the inventory front was there basically inventory liquidation for cement also in addition to fuel c ost in this particular quarter and why was there fuel cost is that does that mean the inventory of fuel cost was actually very high in a period when fuel costs were actually high and where i s the fuel inventory right now, i s it very lean given we are looking at a lower fuel price environment so that is the q uestion on workin g capital and then I have there is some quick question on incentives also?

Maneesh Agrawal : So, Satyadeep I will go one by one. So, your first point was in relation to receivable front so I cannot comment about the other companies per se in terms of DSO, b ut for us specifically if I compare it from the last year there is a reduction in the DSO that i s point numb er one a nd as I mentioned in the previous question we have achieved a revenue growth of 14% this year as

compared to last year. H owever, our receivables, if you look at the financials, are broadly in line with last year that clearly shows there is an improvement on the DSO front. Secondly, on the inventory front again as I mentioned earlier there are three parts to that in H1 as in the cement industry because of the seasonality involved , clinker stocks and cement stocks are higher as of September end. So, that was the case with us also and it gr adually starts depleting from Q 3, Q4 and we wer e able to get that sort of a benefit by way of reduction on the clinker a nd the cement stock. P oint number two is regarding the high fuel prices & you will recall in Q4 of FY22 and Q1 of FY23 the fuel pr ices actually peaked up. So, it did have an impact on inventory value which we were carrying in H1 . Secondly, because of the uncertainty around the overall environment scenario we were carrying large stocks of fuel to ensure that we have sufficient stock to take care of production for Q 3 and Q4 so that was also one of the reasons for higher working capital in H1. Subsequent to that in H1, i.e., in Q3 and Q4 as I mentioned the clinker stocks depleted & so did the c ement stocks , the fuel prices started softening from Q4 and also as regards the stoc k levels r ight now we are doing strategic b uy or an opportunistic buy as and when the situati on demands, b ut obviously if I look at the D IO for fuel stock as of now it is less than what it was in the month of September. So , all these three factors attribut ed to the overall reduction in the inventory, and you can see from the financials there is a significant drop in inventory to the extent of approx. Rs. 315 crores from H1.

J. Krishnaswamy : Just to add to what Maneesh said you all referred to in our earlier calls we have been saying th at the linkage coal supplies have totally evaporated in H1 because of the power crisis in the country. Gradually from November, December to January onwards, the linkage co al availability also increased h ence our overall import of petcoke as well as imported regular coal content also somewhat reduced because we started getting linkage coal and in our consolidated fuel mix in Q4 of last year we had a 19% of linkage coal . In H1 of FY23 it was single digit , Q3 became 13%, and Q4 it improved to 16 %. So, overall, you started getting local linkage coal which helped us to pair on the stock o

f petcoke and import ed coal. Last but not least, our AFR consumption also increased in the last Q oQ basis. Every quarter we have been increasing AFR f rom 6% usage last year exited at 12%, there again that also kind of substituted th e overall inventory of fuel. So, all in all fuel inventory was under control because of more linkage coal, reduced price of coal,

reduced price of fuel a nd last, but not the least improved usage of AFR.
Satyadeep Jain : Just one follow up on that on the D SO front obviously faster collection cycle from the customers just want to clarify there w as there any element of bill discounting, vendor financing and di d it have any impact on discount or incentiv es that t he dealer demand?
Maneesh Agrawal : So, nothing as such Satyadeep i n terms of bill discounting . Also, in the context of cash and carry model what I talked about was speci fically to the RM X business , I would say , as a percentage of overall sales there is a sizable component of sales which is happening on the cash and carry model wherein, we get the payment in adv ance or within a period of 1 -2 days t hat has also helped

to reduce our overall DSO which was not the case to that extent in Quarter 4 of FY 22, but obviously there is no element of bill discounting for sure.
Satyadeep Jain : If I can just squeeze one question on incentives what were the incentives accrued in FY23 and what was the incentive received in FY22?
J. Krishnaswamy : So, basically we have incentives comi ng in from both East and North. So, across all East and North we accrued overall incentive value of close to 1 90 crores and we were able to get the large part of it primarily from the incentives which was there in the Rajasthan a nd on the East side it is already there for two plants of Mejia and Panagarh .
J. Krishnaswamy : So, fiscal 23 the incentive is close to 1 90 crores out of which Rajasthan is close to 40 and the balance is East, and you would know that we have stopped accruing Mejia c ouple of years ago and from this April onwards we d ecided to stop accruing Panagarh as well .
Satyad eep Jain : So, how much will be received across both North and East including Panagarh and North ?
J. Krishnaswamy : That is why I told you it is about 1 90 crores last year out of which North is 40, East is 150.
Satyadeep Jain : And entire 190 we will received also from the government?
J. Krishnaswamy : No, Rajasthan is the only state which does quarter -to-quarter disbursemen t. We ha ve received everything in Rajasthan. East i s on accrual basis because that ha s been the case with We st Bengal as well as Jharkhand, we just started one year. So, West Bengal is the one where Mejia and Panagarh are. So, we ha ve been accruing ever since the incentive scheme started. One was just on the Lafarge Times in Mejia and then two years after acq uisition of the Lafarge by Nirma we decided to stop accruing Mejia and then when Emami came to our fold they were accruing Panagarh. So, at the time of acquisition we continued with the practice for a year and a half and then this year we have decided that we will stop accruing for Panagarh as well.
Satyadeep Jain : We just want to understand of the 1 50 crore s that accrued in East during the year given the quarterly disbursement that you get from the government overall what was the amount received for an incentive in East during the entire year for FY23?
J. Krishnaswamy: It is primarily from the Rajasthan plant that we got in FY23 . So, East is on accrued it is North we have received all the money from the government. So, why don’t you reach out to our investor relation we will give you granular details so we will be able to give you all details when we meet not a problem.
Moderator : Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : First couple of data points trade share for fourth quarter, lead distance for fourth quarter and Kcal cost for fourth quarter?
Madhumita Basu : Shravan I will j ust go one point at a time you asked for lead distance . So, the lead distance is roughly over the full year about 3 40 kilometers . This on a year -on-year bas is has remained rather flattish. I n the Q4 sequential quarter we have seen about a 5 -7 kind of kilometer improvement, but largely I would mention that it has been flat . The question you had on fuel. So, fuel consumption rate has been Rs. 2.31 per Kcal on an overall basis and the q uestion you had on trade share, so trade share has b een 75% in Q4.
Shravan Shah : So, now we have reduced the net debt significantly 750 odd crore s QoQ so two things just wanted to know as on today the net debt number is same around I am not asking the exact number, but broadly whether it has remained the same 4,400 odd crore s net debt, second in terms of the expansio n plan so our stand previously was 3 ,000-3,500 crore s when we reach we will go for our next phase of expansion so our preference was North, s o when will we start and what the likely CAPEX for th at and apart from that even without that what is the CAPEX for this year we are looking at?
J. Krishnaswamy: I will just give you one at a time , first que stion was all about current net debt at 4,400 crores, which in the last three years March -to-March I think the debt has reduced from 6,730 crores (Mar ch 21) all the way to every year three years up to 4 ,414 crores (Mar ch 23). In the past calls I have been talking about the priority for the Company is to ensure that debt levels are to the

tune of a bout 4 ,000 crores or thereabouts b efore we start expanding announcing the next phase
of expansion. So, we continue to be committed to what we have been informing you in the
quarterly calls and that does no t change as we speak. The second one is about CAPEX last year
and the future CAPEX . So, last year when we during our calls we mentioned that the Company
focused on Brownfield e xpansions in Bhiwani, Sonadih and Jajpur and Nimbol and which in
Nimbol we said will increase the capacity of clinker to 5 ,750 TPD, Bhiwani set up a GU of 1.2
million ton. Sonadih is all about improving the logistics to get clinker movement out of Sonadih
into Eastern portion and last but not the least Jajpur is the only facility in East which just not
have railway siding . We wanted to put up a railway siding there. All this had a CAPEX outlay
including the routine CAPEX as well as the land procurem ent and the rest of all this stuff. We
said we would in vest cl ose to about 550 crores w hat we have been mentioning during your calls.
As we completed there is always a little bit of phasing and cash flows which happened. I n FY23
as of 31st of March we ended up spending 486 c rores out of the overall project w hich we
envisaged during the year some amount of money will get spent in this year as regards the
CAPEX plan for this year we right now do not have any new projects at this point of time we
will continue to complete the all the Brownfield projects of Bhiwa ni, Sonadih, Jajpur and
Nimbol a nd current outlay for all the projects is tuning to the tu ne of about 550 crores in this
fiscal. We have also decided to set up additional Ready -Mix plants to the tune of about 12 to 15
plants t here we are parking close to a bout 25 odd crores to set up the new Ready -Mix facilities.

So, in all last year 486 crores CAPEX spend this year outlook for CAPEX is 550 crores. Our
debt levels in March 4 ,400 crores, our endeavor will be if t he fuel prices tepid and the demand
is as robu st as it is currently and the prices hold in the market w e are looking at a rea

sonable
period of time in the future to pair the debt to 4 ,000 crores and then on we come back with our
expansion plan either in North or West or we have the Nimbahera site as w ell as Gulbarga . As I
have mentioned in our calls in the past o ur primary focus at this stage i s to expand in the North
through our North facility.
Shravan Shah : So, just to clarify so maybe by next quarter or the second quarter are we going to start spending
for the North or the Karnataka expansion and still the preference remains for the North ?
J. Krishnaswamy: I have been consistently saying in these calls that on a quarter -to-quarter basis we wi ll keep all
of you informed about our starting of our Greenfield f acility either in the North or West. A t this
point of time this ca ll I am informing you that in this quarter we do not have any plans to
commence c onstruction I think when we reach the next call I think we wi ll keep you updated
every quarter ab out our plans whenever it will happen, b ut the primary focus as we have
mentioned in the last 5 calls is the primary objective of the Company is to pair the debt to about
4,000 crore s level.
Moderator : Thank you. The next question is from the line of Darshit from Robo Capital. Please go ahead.
Darshit : I wanted basic overview of say revenue and margin guidance over the next say two years, three
years span?
J. Krishnaswamy: I am afraid I canno t make any forward prediction about revenue or performance of the Company .
All I can say is from the macroeconomic indicators and also the published re ports from agencies
like Crisil and others, entire outlook for the cement industry is to the tune of clos e to about 7 %
to 9% g rowth which will be there and of course the reports which are prevalent whic h all of you
would have access t o is at a regional level people are predicting different growth rates and
certainly in markets like East and center there becau se of t he inherent nature of the
under development. So, there is a likelihood of better growth and hig her growth in this region
that i s one aspect on volume growth. The second one is again on price stable movement. H ere
again I think the reports are out where people are looking at a better pricing outlook based on
this year , East followed b y North and West will have bette r pricing than center & South. So,
Nuvoco being a strong player and leading player in East and also decent position in North I think
we will have a better growth opportunity in terms of volume and also the pricing realization if it
happens, I think we would get a positive tailwind .
Moderator : Thank you. The next question is from the line of Mangesh Bhadang from Centrum Broking.
Please go ahead.

Mangesh Bhadang : Sir, my question is with regards to the capacity that you are getting in the Eastern region, d o you
believe that if the costs are going to come down from the current level the profitability would
remain curtailed because of the competit ion that is increasing in East a nd just if you can highlight
what was the growth in Eastern region in FY23 state wise ?

Madhumita Basu : I would not be having the details of statewi se growth over FY2 3. The overall growth would have been in the order of 8 % to 9%. T he states of Bengal and Jharkhand , as I mentioned in my call has bee n somewhat subdued at 2% and the rest of the states would be somewhere around that between 5 % to 9% kind of growth level. Answering your first question on the capacity utilization, and I have been mentioning in previous calls that when we look at the eastern demand, we should look at it in the perspective of clinker utilization. So, if we were to go back to FY22 because FY23 figures are yet to be updated on a running basis. So, FY 22 clinker position was about 43 million tons of clinker and at 1.6 kind of clinker cement factor that

translates to about 72 to 75 million tons of cement give or take another 10 million tons of cement coming in from the central region. So, we are looking at the East getting a c apability of up to 80 million tons of cement and demand which is in the region of 70 to 80 million . So, it is standing at a 90% capacity ut ilization , over the last period we are mentioning a 10 million tons kind of clinker addition with some new announcements. This is looking more like 12.5 million tons. I do no t think that 2.5 million tons additional w hich is expected to come in by FY 25 is going to radically rock the board . We are still seeing c linker capacity utilization at somewhere around an 87% to 88% and it would be probably right to say that at any point in time when clinker and or cement capacity utilization crosses an 80 % to 85% kind of levels, prices have a propensity to improve.
Mangesh Bhadang : Just you can leave me with the timeline for the Bhiwani expansion when it will get commission that will help?
Madhumita Basu : Sorry, can you repeat the question please.
Mangesh Bhadang : When the Bhiwani will get commission?
Madhumita Basu : Bhiwani will be operati onal this year in H1 itself. We hope to make our first dispatch from the plant before H1.
Moderator : Thank you. The next question is from t he line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka : Just a clarification like to my earlier question you mentioned the clinker capacity has 11.88 million tons has not it gone to like 12 and a half after the couple of debottlen ecking you did across the units?

J. Krishnaswamy: Yes, it will go. Currently Nimbol capacity i s still under commissioning. So, I guess at the end of H1 when we talk Nimbol would have got commission ed and then the Risda also has got a commission ed Phase -1 & Phase -2 and the majority of work has happened. During this year's annual shutdown , that is when we wi ll connect the higher capacity blowers which are needed. They a re all in place, but d uring the shutdown this year we will do it , post the s hutdown in Risda this year and post the commissioning of Nimbol whatever capacity which we mention ed will happen maybe H2 of this year it should happen. Right now, I think with the available clinker we are able to feed the market, but by H2 of this year we wi ll have all that number in place both in North will have 6 ,000 TPD of Chittor , 5,750 TPD in Nimbol and likewise in east which will have 11,500 TPD of Risda , 6,000 TPD in Sonadih line 2, 4,350 TPD in line 1 Sonadih and 5,250 TPD in Arasmeta. So, that is the c apacity which we will reach by September this year.
Amit Murarka : And on AFR l ike the projects that you have like I believe target to go to 20% , so what is the commission schedule of those projects?
J. Krishnaswamy: Risda is fully commissioned so if you really look. So, we have AF R facility in Chittor which is the oldest pl ant which has bee n processing AFR t here the TSR reached as high as 35% in Q4 of this year. So, that is there, there is no CAPEX they wi ll continue to operate at peak capacity. In Arasmeta it i s a very rudimentary AFR w e continue to use whatever availability there we did no t invest in Arasmeta. In Sonadih again no investment h owever we have close to about 6% of AFR consumption in the lines b oth lines put together in Sonadih . The investments which we made were there in Risda and Nimbo l to the tune of close to 50 o dd crores in both the plants combined together both of t hem had a pre-processing and co -processing facility. Happy to inform Risda both pre-processing and co -processing commission ed and that is well and tru ly running as we speak. In Nimbol the co-processing is comm issioned , pre-processing shredder is un der commissioning in this week e arly nex t week it will be comple

ted. So, when we hit June first we will have Nimbol fully capable of doing pre and pro. Risda fully capable of doing pre and pro and Chittor anyway does post only at high level an d with all this put together we a re looking at excess of 15% TS R ton average level from July first onwards.
Moderator : Thank you. The next question is from the line of Rajesh from HDFC Securities. Please go ahead.
Rajesh : Two questions first you see y our clinker cement to c linker ratio for FY23 has improved significantly and is now as close to 1.83 versus 1.74 or two years back, s o do you see opportunity to further enhance it to and if to what levels and second when you mentioned 15% TSR you

would be achieving f rom Q2 onwards that i s a sizable increase and in that context what would be your average per Kcal costing given th at your current fuel mix cost is around Rs. 2.3?

Madhumita Basu : Rajesh I will take your first question firs t so yes, the o pportunity to improve our cement clinker ratio further. Firstly, the actions which we have taken is significant increase in Concreto Cement which is a slag cement introduction of PCC cement today Panagarh as well as Jajpur and

Jojobera plant practically sh ifted fully from PPC to PCC cement. We see an opportunity to take the shift as we are planning in our Mejia plant. So, roughly speaking over a two-year period the outlook is going up from 1.84 ble nded across the country to 1.92, what we have not entered into these calculations, and we h ope to see a good upside there Rajesh is the introduction of LC3 cement in North .

Rajesh : And on the AFR costing?

Madhumita Basu : So, on the AFR firstly on the robustness of 15% as Jay explained w e have invested in our facilities and that is going to give us this increase. T o give you a little bi t of perspective on the number 9% AF R in mid-year, 4% last year went up 9% in H1 and we have exited at 12 %. To give you a perspective on the overall fuel cost in today's reference as I mentioned sometime back overall fuel cost blended was about 2.31 Kcal and AFR is 1.6. We have roughly seen a 1:2 ratios on the overall blended to AFR in terms of Kcal.

J. Krishnaswamy: Just building further Rajesh if you really look at AFR the components of AFR basically are carbon black t hen y ou got recycled plastic and you ha ve got bio waste that i s typically what one process in AFR and till about two years ago th e general arbitrage of AFR vis -a-vis the fuel blended cost of fuel s olid fuel would be typically 1. So, if the fuel cost is about 1.5 or something AFR would be co ming at the rate of about 0.75 that is the kind of rupees per million Kcal one was getting, but what has happened in the last one year is there are so many companies in th eir sustainability agenda have started trying to use AFR in not only in cement in other industries as well a nd w e all know carbon bl ack is like -to-like substitution for a petco ke or an almost nil ash coal. So, the rate of carbon black is more or less trending at a much higher level than the o ld rates of AFR and hence the original arbitrage of Rs. 1 per million Kcal is kind of reduced t o about 60 , 70 paisa. So, this is a little bit of background I am just telling you because we have to source carbon black in all our plants a nd secondly currently there is a litt le bit of a shortage of carbon black because everybody wants to use carbon black and hence to obviate that one of the things which in Nuvoco we have done is to get the pre -processing facility where we can go and shred all the other raw materials and hence we went there in Risda and Nimbol we do the shredder option to maximize AFR. So, having said this we a re really looking at close to about the current rate of 12 % to 15%. Our target is our fuel bill should be anywhere between Rs. 25, Rs. 30 per ton positive ly impacted by us

e of AF R.

Rajesh : And lastly on the incentives this year now this Panagarh 140 crore s which you accrue d last year and all they would not be getting a accrue next year onwards. So, I see that if I look at from the current year if I remove 1 40 crore s from the reported EBITDA that would have any impact of around Rs. 80 per ton, so in that case Rs. 660 EBITDA per ton Rs. 600, so how do you look FY24 when your sizable amount of incentives want to be accruing in FY24, h ow do you see margin trajectory?

Maneesh Agrawal : So, basically as Jay mentioned just a few minutes back Mejia we had already stopped accruing a few years back. In FY23, we accrued Panagarh incentives. So, the impact of not accruing panagarh incentive from FY24 is just Rs. 40/ton and not Rs. 80/ton, so that i s the clarification I wanted to bring in.

Rajesh : So, this year you accrued 140 crore s is what you had mentioned out of 190 crores ?

J. Krishnaswamy: It is i nclus ive for multiple incentives in Panaga rh, Jharkhand that is what we mentioned out of 190 crores 40 is North and 150 in East. However, next year we will continue to accrue Jharkhand, it is Panagarh where because taken many years we have made a decision to be cons ervative and not start accruing from April and hence around Rs. 40 to Rs. 45 per ton it will have a reduction in accrual.

Rajesh : And on the fuel side what sort of savings purely on the landed cost o f fuel currently versus full year average FY 23, what would be the number?

J. Kri shnaswamy: Yes, if you look at so there, I can give you some petcoke prices I will tell you. So, in terms of fuel per rupees it is a function of linkage coal, it is a function of AFR all of it. However, I will do purchase price of petcoke I will say it used to be in March 22 a ll of us know it went to as high as USD 250 per ton a nd then somewhere in January, February it came to about 150 to 160 USD per ton and currently as early as that later last week we have booked at 1 33 USD per ton. So, obviously the numbers h ave come down and rupees per million Kcal which used t o be Rs. 2.67, Rs. 2.8 per million Kcal in North it has come to about Rs. 1.95 per million Kcal. So, that is only petcoke, b ut then I have to use petcoke plus linkage coal and non-linkage domestic coal all of it in FY23 was at 2.49. I am really looking at this number coming to in Q4 it is 2.3 1 the blended rate. So, I am really looking at this number further going to just about 2.1 as we speak at current levels.

Moderator : Thank you. The next question is from the line of Prateek Kumar from Jefferies . Please go ahead.

Prateek Kumar : My first question is on your volume mix, so we have reported this 5 %, 6% volume decline so largely attributable to two markets , so how much do these two markets constitute overall volume mix for us?

Madhumita Basu : So, Prateek Bengal, Jharkhand in East is about 50% of our volume, b ut however I would like to point out that on a full year basis our revenue growth has been 14% against the volume growth of 5% and this is primarily because of ex ecutive decision to prioritize v alue over volume growth.

Prateek Kumar : So, Bengal plus Jharkhand accounts for 30% of the overall volume?

Madhumita Basu : Roughly 50% of east volumes

Prateek Kumar : And secondly on the fuel cost you indicated like in the last q uestion, but on overall basis for FY24 based on current spot trend, s o can we expect like a 200 per ton reduction in cost fuel cost for the Company ?

J. Krishnaswamy: It would be v ery difficult for me to predict the number, but then I can only say that we are targeting from Q4 actual a nother Rs. 100 is the kind of number we are looking at.

Moderator : The next question is from the line of Shravan Shah from Dolat Capital. Please go ahe

ad.

Shravan Shah : Just continuing the previous question just trying to understand the degrowth for this qua rter in terms of the volume, so in the totality you mentioned the 50% of West Bengal, J harkhand is the 50% of the East, but in th e total volume what i s there sir , so is it fair to say that that we have al so seen a reduction or the volume decline in other states a lso because the ma ths does no t work just because of the two states i f there is a decline or the decline is so sig nificant that it impacted by overall volume decline for this quarter?

Madhumita Basu : Shravan as I mentioned on a full year b asis our revenue growth was 14% a nd volume was a 5% growth. This was an executi ve decision to prioritize value over volume growth. We believe it has reflec ted well in our realization per ton from I a m sure you are also reviewing the industry figure s. We ha ve largely been seeing figures of the nature of 3-5% and we believe at a realiz ation per ton of 7% improvement it augers w ell for our performance this year.

Shravan Shah : No, ma'am a ctually my question was pertaining to only fourt h quarter s o this 5.3% volume decline for fourth quarter is it only because of the West Bengal and Jhar khand or is it the case that there is a deg rowth in othe r states also we have witnessed?

Madhumita Basu : Demand growth has largely been s luggish in Bengal and Jharkhand.

Shravan Shah : And what was the fuel mix for this quarter p etcoke imported coal linkage coal a nd then the A FR?

Madhumita Basu : We clarified those numbe rs at the start of the meeting Shravan linkage coal in Q4 FY23 was 16% and pet coke was about 54% and AFR was 12%.

Moderator : Thank you. T he next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : So, just on the slag cost in the last quarter you had mentioned that the slag cost is moving up, could you give the number for Q4?

J. Krishnaswamy: The current market rates for slag is anywhere between 1 ,900 to 2 ,100 INR per ton , it is kind of more than equal to the past value of clinker cost. So, that is the kind of irony, which is there, but then we are kind o f safeguarded by our long term t ie up in Jamshedpur as well as Jajpur from

the Tata plant as well as the Kalinganagar plant. So, we have a sufficient breathing room with 2.5 million tons of sla g contracted, but the trending rates are 1,900 to 2,100. I think many of the latest aucti ons we simply w alked away from the auction price like some of the othe r cement manufacturers as well. So, I believe that as we go forward these rates have to temper down because people eventually have to pick up slag a nd at this rate everybody will ha ve a rethink on contracting slag.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Ms. Madhumita Basu for closing comments.

Madhumita Basu : Thank you every body for attending our call. We ha ve had fairly d etailed discussions and we hope to have addressed all your queries. However, my office and I remain available for any further clarifications. Please do reach out to us. I wis h you all a good evening ahead a ll the best. Thank you once again.

Moderator: Than k you. On behalf of Nuvoco Vistas Corporation Limited that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Aug 2023

NUVOCO VISTAS CORP. LTD.
Ref. No.: Sec/70/2023-24
August18,2023
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai -400 001
Scrip Code: 543334
Scrip ID: NUVOCO
Dear Sir/Madam , ~ ® NUvOCO
Shaping a new world ~
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051
Trading Symbol: NUVOCO
Sub: Transcript of Investor and Analyst Conference Call on the Unaudited
Standalone and Consolidated Financial Results of the Company for the quarter
ended June 30, 2023
Further to our letter no. Sec/55/2023-24 dated August 4, 2023, letter no. Sec/60/2023-24
dated August 10, 2023 and letter no. Sec/64/2023-24 dated August 11, 2023, please find
enclosed the transcript of the Investor and Analyst Conference Call held on Friday, August
11, 2023 on the Unaudited Standalone and Consolidated Financial Results of the Company
for the quarter ended June 30, 2023.
The same is also being made available on the Company 's website at www.nuvoco.com.
This is for your information and records, please.
Thanking you,
Yours faithfully,
For Nuvoco Vistas Corporation Limited
~\stas 0 ~o('"\o:O
~ Shruta Sanghavi
SVP and Company Secretary
Nuvoco Vistas Corp. Ltd.
Registered Office: Equinox Business Park, Tower-3, East Wing, 4th Floor, Off. Bandra Kurla Complex, LBS Road, Kurla
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“Nuvoco Vistas Corporation Limited's Q 1-FY24 Earnings
Conference Call”

August 11, 2023

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING
DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL OFFICER ,
NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF STRATEGY &
MARKETING OFFICER , NUVOCO VISTAS CORPORATION
LIMITED
~ Nuloco* Shaping a new world ~ ~ Nuloco*

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY24 Earnings Conference Call of Nuvoco Vistas Corp oration Limited.
We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the Company faces. The Company assumes no responsibility to publicly amend , modify or revise any forward - looking statements on the basis of any subsequent development, information or events or otherwise. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions aft er the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Madhumita Basu – Chief Marketing, Innovation, North Sales and Business Development of the Company. Thank you and over to you, Ms. Basu.
Madhumita Basu: Good afternoon, and welcome to the Q1 FY24 Earnings Call of Nuvoco Vistas Corporation Limited.
The India n economy continues to show signs of stability and resilience, supported by encouraging macro fundamentals despite global macroeconomic volatility and lingering geopolitical conflicts. The purchasing managers indices for manufacturing and services indicate d sustained expansion with the manufacturing PMI at 57.9 and services PMI at 60.6 respectively in Q1 FY24. Consumer price inflation fell sharply to 4.6% in Q1 FY24 from 6.2% in the previous quarter. In its recent Monetary Policy Committee meeting, RBI stat es that the Indian economy presents a story of resilience and sustainability with an expected real GDP growth of 6.5% in 2023 -24.
On the cement side, we believe that key government initiatives in housing and infrastr

ucture is
expected to drive growth well in the medium -term. These include government programs such as PMAY scheme, where the outlay has been increased by 66% to Rs. 66,000 crores for FY24 Bharat Mala Phase -I and Phase -II and the Smart Cities program. We also foresee strong pre-election infra spending before the Union Assembly Elections in 2024.
Additionally, despite El Nino, the Indian agricultural performance and its overall growth prospects may emerge with limited adverse impact owing to the expected countervailing effects of the Indian Ocean dipole. All these augurs well for the cement demand. However, as we have entered a seasonally weak period, cement demand might be impacted in the near -term before gaining momentum with improvement in construction activities post -monsoo n.
For our call today, I would like to start with our financial performance for the quarter. Our revenue from operations improved by 6% YoY to Rs. 2,805 crores. As reiterated, we continue to
maintain price discipline as we have prioritized value over volum e growth. During the quarter, we have broadly maintained our realization per ton quarter -upon -quarter and managed a 7% YoY volume growth. It would be relevant to mention here that we have also increased our premium product share to 37% on trade volumes. Ou r trade share also increased by YoY by 73%. As a result of all these factors, we delivered the EBITDA of Rs. 402 crores for Q1 FY24, which is up 7% YoY , thus registering a better performance in the current competitive landscape. Here, we would like to remi nd you all that we have stopped accruing incentives from Panagarh facility from April 2023, which has around the Rs. 40 per ton impact in the quarter. The result demonstrates our commitment towards managing our costs well.
I now quickly share comments on the three major cost elements. Cement raw material cost increased by 13% YoY due to increase in key commodity costs primarily slag with inflationary pressure. This has been partially mitigated mainly due to our long -term contracts for slag. On power and fuel cost, we effectively contained our costs by optimizing the fuel mix between pet coke, linkage coal and AFR, supported of course by the reduction in pet coke and coal prices. Overall power and fuel cost decreased 10% YoY . Distribution cost, however, i ncreased 4% YoY , primarily with the reimposition of busy season surcharge on railway freight.
Nuvoco is focusing on internal levers to improve the margins, mainly, one, getting maximum linkage coal available; two, increasing the rate of alternate fuel; thr ee, premiumization; and fourth, focusing on completion of projects like railway siding.
Net debt during the quarter increased to Rs. 4,506 crores due to working capital requirement and

seasonality of the business. The interest rate on the other hand, h as reduced by 9 bps in the quarter against the repo rate remaining stable since March '23.
I briefly touch now upon our ready -mix and building materials businesses . Both the businesses are performing well. Revenues from ready -mix business grew by 11% YoY . We have opened three new ready -mix concrete plants in the last quarter in Pune, Vizag and Coimbatore, taking our total tally to 54 ready -mix plants. Our value -adde d mix in the total sales also improved to 34% during the quarter. In modern building materials, construction chemicals, style adhesives and cover blocks continue to witness its improvement.
On the sustainability front, we remain committed to our sustainabi lity agenda, “Protect Our Planet.” I'm happy to mention that our carbon emission at 462 Kg Co2 per ton cementitious materials for FY23 validated by KPMG is amongst the best in the industry. This has been primarily driven by our continuous focus on blended cement, WHRS, AFR and improving thermal efficiencies.

During the quarter, we have successfully commissioned an alternate fuel feeding system at Nimbol Cement plant, which will enable handling of wide range of fuels while increasing waste
recycling tonnage. We achieved a 5.2 % YoY improvement in alternate fuel rate, 11.2% in Q1 FY24, which is amongst the best in the industry. We have maintained one of the highest cement - to-clinker ratios in the industry at 1.83 during the quarter, thus emphasizing blended cem ent and furthering decarbonization initiatives.
I would now like to quickly run you through the update on our ongoing growth projects. Cement capacity expansion through 1.2 million tons per annum, a grinding unit at a Haryana ce ment plant is under progress. Civil and fabrication work is complete and equipment installation is on track for commissioning the cement mill by September 2023. This will take our overall cement capacity to 25 million tons per annum. Clinker capacity enhan cement at Risda has been completed, while at Nimbol will be on stream by September 2023. As you are aware, the Nimbol facility post capacity enhancement will also support our grinding unit expansion at Haryana. On railway sidings projects at Odisha and Son adih track laying activities are underway.
Continuing our focus on innovation and new product launches during the year, the Company launched Duraguard Foundation to finish a premium composite cement in the market of West Bengal.
The Company also launched I nstaMix Superior Column Concrete and ‘Artiste Flooring Solution’ solution, both specialized products thereby extending the ready -mix concrete range.
Now, let me briefly provide you some perspective on the demand and volume scenari o. We achieved a volume growth of 7% YoY in Q1 FY24. In the North , we have achieved volume growth of 12% on a YoY basis and we are operating at near full capacity utilization. In order to cater to the demand going forward, as we have mentioned earlier, 1.2 million tons of incremental capacity is coming on stream at a Haryana cement plant by September 2023.
In the East, demand was a mixed bag during the quarter. Amongst our core markets in East, Bihar and Jharkhand witnessed strong growth while demand in Wes t Bengal continues to remain depressed. However, we believe that the demand in West Bengal is definitely about to revi ve and expect to benefit out of it due to the strong brand equity we command in the region.
Notwithstanding the demand dynamics, in the East , we shall continue to focus on value over volume growth. Looking at our overall cement availability in the region, w e are not looking at immediate capacity expansion in the East as the current capacity will provide sufficient headroom for growth. In the East , therefore, we will stay focused on our strategy of premiumization , product innovation, improving geo mix and dri ving healthy realizations.
With this, I conclude my opening remarks. I am joined here by Mr. Jayakumar Krishnaswamy – Managing Director, and Mr. Maneesh Agrawal – Chief Financial Officer. We are here together to answer your questions. Thank you.
Moderator: We will now begin the question -and-answer session. We'll take our first question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: I wanted to know what was the clinker production in Q1?
Jayakumar Krishnaswamy : Clinker produc tion in Q1 FY24 stood at 2.82 million tons, just a shade short of 3 million tons.
Amit Murarka: So that's I think close to around 90% utilization monthly, correct?
Jayakumar Krishnaswamy : Yes, that's right.
Amit Murarka: So, like generally, we've not seen plants run above 95% clinker utilization for the industry and

you are saying that you don't want to expan

d capacity as of now. So how should we think about
the volume growth for you for the next two to three years in that situation?
Jayakumar Krishnas wamy : Look, Amit, maybe I heard you right, I guess your voice is a little bit low, but let me just give you a little bit of background. In the last call and the previous calls saying that in the East we have currently no big -time expansion plans and in North we will take the Nimbol kiln to 6,000 TPD. So, Nimbol and Chittor, we'll have about 12,000 TPD, which translates to about 4 million tons of clinker in North , and in the East, we are looking at between the two closes to about 13 odd million tons of cl inker, which will at a c/k ratio of 1.9, we're looking at about 25 million tons of grinding capacity and clinker capacity, which will be almost equal to 100% capacity utilization. If you remember last year, we did close to about 18.8 million tons of cement and in the previous call I had said that we have headroom of close to about 6 million tons , in theory , and as you said, the 100% capacity utilization is almost impossible. But however, a few years behind if you really go erstwhile, Nuvoco always ope rated at 90% capacity utilization in East. And hence this is in the DNA of the Company , and typically our kilns are reliable and then at 98, 98.5 reliability factor, so we are able to kind of consistently run the kilns. With this kind of numbers and last y ear of 18.8 and overall grinding capacity of 25, we can safely take this overall with the current investments in the Company close to about 23.5 kind of a number is what we are envisaging, which will again translate to 90% capacity utilization. So, that's the max we operated in the past, that's the ambition of the Company in the near future.
Amit Murarka: When is the 1,000 TPD clinker coming?
Jayakumar Krishnaswamy : As we speak, I think we've taken a shutdown. Four weeks from now, the commissioning will be complete. So, from October onwards we can safely say that in the North I will have 4 million annualized clicker production rates between the two factories. And that's when as Madhumita said, the grinding capacity in Bhiwani is also synchronized to commission in September. So, October onwards, we will have 1.2 million tons of grinding capacity and altogether will have 6 million tons of grinding capacity and 4 million tons of clinker. Currently, we operate at close to ~ Nu"oco* Shaplng a new world
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about 1.4 to CK ratio in the North , and if you tweak the CK ratio so we will have adequate clinker to produce 6 million tons of cement.
Amit Murarka: And what will happen to tweak the CK ratio? Generally, we've not seen that ratio change so often for companies again.
Jayakumar Krishnaswamy : Okay, now I will have go back to history to explain our ability in the past , which will help us what we want to drive in the future. In the East , we are one of the highest CK ratios in the entire industry; our CK ratio in East is over 2.1. That's the kind of number we operate in East. North also, 2 -3 years ago when we launched Du raguard in the North , we were very clear that we will not get into OPC and almost all our trade channel sales were only OPC, non -trade somewhat OPC happened because certain markets are OPC -driven markets in the North and that's so the Company ran for many years. If you remember a year and a half ago when we did the listing and then post the Emami acquisition, we lost double bu ll in the North to kind of immediately get some market in the North , and that's where we kind of allowed some OPC to be sold in the North . But going forward, when clinker capacities are going to be limited for the Company and grinding capacity at six, our immediate focus will be to move from OPC to PPC in the core markets of North , and hence we will tune down OPC and ensure that we maximize blended cement

in North as well.
Moderator: We have our next question from the line of Jashandeep Singh Chadha from No mura. Please go ahead.
Jashandeep S. Chadha: I just wanted to ask what was the CAPEX spend for the first quarter and what's the CAPEX guidance for FY24?
Jayakumar Krishnaswamy : Overall, our CAPEX plan for this year is the four brownfield expansions in Nimb ol, Bhiwani, Sonadih Siding and Jaspur Siding, in addition to that routine CAPEX and RMX expansion. All this as we informed in the previous call, we estimated our overall FY24 CAPEX of close to Rs. 580 crores. As against that, we have been able to spend in Q1 close to Rs. 120 crores, and now with this commissioning of Bhiwani and Nimbol happening in the next one month, we can safely say about Rs. 100-odd crores will be spent in the next two months, over a period of the next balance six months and before 31s t of March we have plans to spend this Rs. 550 crores give or take Rs. 10, 20 crores for timing and phasing, that's the kind of money we will spend during this year.
Jashandeep S. Chadha: My next question is that if I do my calculation, there was some work ing capital built in this quarter. However, we have set a target of achieving 3,000 to 3,500 crores net debt by the end of

this year. So, how much working capital release you are looking over the next three quarters and what should the road map for the del everaging if you can just clarify on that? ~ Nu"oco* Shaplng a new world ~

Jayakumar Krishnaswamy : I will answer one part of the question and I will ask my CFO, Maneesh to answer the nitty - gritties of it. As regards our target of reducing debt, in all the previous calls I've been mention ing that our target to reduce overall debt of the Company will be in the range of Rs. 3,500 and Rs. 4,000 crores and not the fixed -point number of any one number. So, we'll continue to operate at this kind of a range because that's going to be an inflection point for us to make the next growth program for the Company and give or take 100, 200 crores will happen based on the overall cash flows, actual sales and demand which will happen. But suffice to say that our plan will be to have a debt around 3,500 - 4,000 in the next eight, nine, 12 months and based on that we will be ready to grow further the Com pany . As regards the release of working capital, I'll ask Maneesh to give you a little bit of details about the plans for the Company .

Maneesh Agrawal: Good afternoon, everyone. So, generally in Q1, because of the seasonality, the working capital increa ses when compared with Q4 . Three aspects; the inventory goes up as compared to the March period, similarly, on the receivable front and also the GST liability reduces when compared with Marc h. Again , in Q2 because of the monsoon, working capital is slightly higher, but as the season pick s up there is liquidation of inventory both on the cement and clinker stock, so we'll be able to unlock this working capital in Q3 and Q4. Having said so, there are a lot of initiatives that are being taken by the management and the teams to reduce the working capital considering the overall operational requirement.

Jayakumar Krishnaswamy : So, basically this is the quarter where we kind of up stock clinker simply because in monsoon, the shutdowns will start. So, we need to kind of ensure the market to be fed in September and October. So, there is a little bit of buildup of cement and clinker stocks. Cement, you can't build too many stocks because you can't store cement for more than a few weeks and it's always kept as a clinker. But then as you get into post pooja and then to November and December, you will see inventory release will happen. And secondly, last year if you recollect, a lot of inventory buildup happened due to fuel stocks because of imported pet coke was purchased. But this year, with East,

fructification of the linkage coal, the overall fuel inventory is also tapering down. And during the course of the year, I think even there we will have adequate control in fuel stocks. So, working capital release will happen in the balance six to eight months and we are committed to paring down the debt levels of the Company to the numbers w hich I have mentioned year end thereabouts so that we're ready for the next phase of expansion plans for the Company .

Jashandeep S. Chadha: I just wanted to understand the slag pricing. If we see over the last few quarters, slag pricing has been going up a lthough Nuvoco have a long -term agreement. If you just can give us a sense from first quarter how much slag prices have increased for the industry and how do you see slag prices moving ahead since most of the players are trying to increase their C2C ratio, so more and more slag will be required whereas the supply is limited. So, if you can just give us a sense on that, that would be great? ~ Nu"oco* Shaplng a new world ~

Jayakumar Krishnaswamy: A very good question. Last year, all of us were facing the heat of fuel prices but with fuel pr ices coming down internationally as well as locally, I think one of the things which really got heated up is slag prices and this is somewhat region -specific which is most of the slag is used in the East and not in other parts of India. Availability is als o in that region; consumption is also mostly in that region. And for some reason inexplicable slag prices are currently on a runaway train. Not that demand of cement has gone up that much, but overall, talk about market scenario, but slag availability is a challenge plus slag prices is a challenge. There are two reasons for it. One is, I think the slag is still a biproduct of the steel industry, but with not very big capacities coming in the steel industry, there is generally the availability of slag is now kind of limited or constrained by the expansion plans of steel industry. That's one thing which none of us can control. But whereas the second one is a very unique reason, with the railways not giving adequate amount of rakes for the cement industry, all the rakes are still being diverted on a priority basis to the power sector, foodgrain sector and fertilizer sector. And hence rake availability is a big challenge for the cement industry. We have been continuously representing to the railways ministry to a llocate more rakes for us. Because rakes are not available, then slag movement is a big constraint, and invariably people move through road and non -availability of rakes means inability to lift the slack from steel companies is a big challenge. You got two reasons which is the main constraint. The third important constraint is the type of slag, which industry is able to generate. Slag, as you would know, has got different types of slag. We have got something called a BF slag; we've got something called a LD slag. Because the furnace in which they make steel is different, the byproduct is also different. And in general, the avail ability of the usable or good slag available for cement industry is limited. These are the principal reasons for slag prices to go up. Having said this, in terms of number, if you want me to explain, last year Q1 the slag rates available in East for us… I can't tell the overall industry, for us I will tell, we were procuring slag at a blended cost of market slag as well as the long -term contract slag for Nuvoco was trending at about Rs. 1,100 per ton, which currently is trending at about Rs. 1,450 per ton. This is how it is impacting Nuvoco with the long -term contract. But I really want you to keep this in line with the kind of slag prices prevailing in the market, which is very, very challenging. People are contracting slag at Rs. 2,800 to Rs. 3,000 per ton , and that's a massive price for

slag. And in many cases, we simply walk away from the option because it doesn't suit us at all, and there's no point kind of buying slag at this price because slag price is almost equal to clinker price. So, it does only 1: 1 replacement. But we are blessed with the long -term contract which we have which is about 2.5 million tons of contracting, which we have with Tata Steel and that's coming into our use and hence our blended rate is much lower than many of our competition r ates at about Rs. 1,400 per tons. Having said so, as Mita explained, slag prices have indeed impacted the raw material prices by about 13% of the raw material price increase and the majority of it is coming through slag price increase in Q1 vis -à-vis with the previous time.

Moderator: We have a next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Could you tell us what was the per kCal costing of fuel in this quarter?

Jayakumar Krishnaswamy: In Q1 for Nuvoco as a blended between East and North , we're looking at close to about Rs. 1.94 per million kCal which a composition of AFR, imported coal, pet coke as well as non -linkage domestic coal.

Rajesh Ravi: Cost has already come up by 40 paisa sequ entially from 2.31?

Jayakumar Krishnaswamy: Fair to say that our costs have come down to this kind of number, which is currently trending.

Rajesh Ravi: Are you looking further softening in this number or you are close to bottomed out on costing side?

Jayak umar Krishnaswamy: If we really look at the various components of this going, Rajesh, one is the international pet coke, then we have the linkage coal, then we have the domestic open market coal as well as AFR. I'll just try and explain each one of it. Lin kage coal is kind of trending at about 1.27, 1.3, I guess that's the number which is there currently, and I don't see a big change because I think from all the conversations, we've had with officials of coal industry and rest of the market guys, I guess, c oal production in the country has increased and we don't see a major blip happening on linkage coal prices. So that's one thing we can probably assume this is a kind of number it will be there. Domestic open market coal is always linked to the linkage coal . I guess it will have some gap and that will continue. International pet coke you see, in one order even bought at $105.00 per ton. But that was one flash order, but currently the going rate is $120, 125 per ton and a last few weeks there is some upward m ovement of pet coke prices. It all depends on the international scenario, but as of now, our read of the market is maybe for the next two, three, four months, this is the kind of number which will trend at $125 per ton, which standalone pet coke will be ab out Rs. 2.3, 2.4 per million cal. AFR again is a component of carbon black, you got RDF and rest of all the other components which are there. Pet coke for some reason is very expensive. Carbon black for some reason is indexed with pet coke and hence the AF R rate is still not low, AFR which used to cost at about 90 paisa per million cal is currently trending at Rs. 1.40 paisa per million cal. So, my read is at 1.94, there is some elbow room for 0.1, 0.15. Beyond that, I don't see major tempering of cost in t he next one, two quarters.

Rajesh Ravi: On the working capital front, in March quarter, your working capital already turned quite strong, non-cash working capital was close to Rs. 200 crores negative. So, is there any further room or again there also you h ave squeezed your working capital to the maximum?

Maneesh Agrawal: As I said in Q1 and Q2, working capital is at increased levels when compared with Q4 . So, it's all about manag ing working capital . We are taking requsite steps to to keep it at the appropriate level . However as of no

w it seems it's not going to go down below the levels that we have seen in March.

Rajesh Ravi: And Rs,500 -odd crores is what the CAPEX what you're targeting, right?

Jayakumar Krishnaswamy: Correct.

Rajesh Ravi: So broadly what I'm looking at is how do you see your net debt reduction in this financial year?
Jayakumar Krishnaswamy: Very difficult for me currently to put a ballpark number, but having said that, I certainly look at the market, Q1 we did about 7% volume growth and if we are able to kind of sustain this kind of growth levels and also in Q4, typically, market will open up much more. And with elections pending, which Mita spoke in her initial speech, give or take, if the growth can be touching double digit, this kind of number is there, then I guess the profitability levels which we mentioned in our quarter of Rs. 402 crore s, I guess if we're able to sustain this kind of results in the balance three quarters with positive uptick in demand, then I guess as we exit Q4 and enter Q1 next year, our ambition of going debt levels in the region which I mentioned 4,000 -ish less than that. That's the ideal time for us to look at how do we take this Company forward in terms of growth plans.
Rajesh Ravi: Are you talking about net debt, right 4,000 crores?
Jayakumar Krishnaswamy: Absolutely, absolutely. Net debt is what we always anchor o n and that's the number we will work on. Give or take, it will be a range always, it's not going to be a fixed number, but we have been assuring all the investors in the various calls in the last one year this is the number we are targeting and I guess we are disciplined, we are focused and we are committed to kind of reaching these levels of number before we kind of take up the next wave of large expansion for the Company .
Moderator: We have our next question from the line of Satyadeep Jain from Ambit Capi tal. Please go ahead.
Satyadeep Jain: A couple of questions. First, on the CAPEX side. Whenever the Company post the figure on CAPEX, whether it is 12 months from now, nine months from now, what is the thought behind… what kind of CAPEX are you looking at in terms of capacity in capital intensity?
Jayakumar Krishnaswamy: If you're looking at this year, as informed in the previous calls, the CAPEX has got two buckets for us; one is the Brownfield expansion, the second one is the mandatory routine CAPEX to ru n the tests and make those tweaks and make that test ready for use; and third one is a very small amount of CAPEX for the ready -mix business CAPEX expansion. So, if you really look at these three buckets, the first bucket is all the Brownfield expansion. W e started in last fiscal H1 was Haryana grinding unit 1.2 million, Sonadih railway siding for clinker transport was the second CAPEX which we had, Nimbol debottlenecking to increase clinker capacity in North and also AFR in Nimbol, and then also we had the Jajpur railway siding, Jojobera to take the capacity to 11,500 TPD clinker and AFR. These were the big ticket CAPEX items in terms of increasing the capacity of the Company , 1st from 23.8 million tons to 25 million tons of cement and also clinker to match the 25 million tons of installed capacity of cement. Addition to that, the other two CAPEX were all cost savings -related CAPEX. One was to reduce the freight cost by taking
clinker from Sonadih into Jajpur and various siding unit, that was the first bit of internal lever to reduce the distribution cost of clinker. The second was to pare down the fuel cost by installing AFR units in two big units of Risda and Nimbol, w e already had it in Chittor. So, cost reduction in two projects; one for fuel, second for distribution cost. Capacity expansion in three pro

jects;
Nimbol, Bhiwani and Risda. Those were the big CAPEXs, which we did in the cement side of business. I n the ready -mix side of business, we parked some money for opening up new plants. As I've mentioned in my previous calls, our ambition is to move from the current 55 plants to 70 plants in the next one year. And those are all very small CAPEX, but then the re's money parked for setting up ready -mix plant. And the last one is the land purchase and routine CAPEX to run the operations. So that's close to about Rs. 150-odd crores. All put together, we have targeted in this fiscal to spend about Rs. 580 crores.
Satyadeep Jain: I was trying to understand after this CAPEX and when the Company has Rs. 3,500 crores to Rs. 4,000 crores of debt, what is the kind of capacity once you decide on the strategy and pulling the trigger for the next leg of CAPEX , what kind of s ize and CAPEX would you be looking at?
Jayakumar Krishnaswamy: So, I guess I will say the same thing which you have said. So, I've been saying it in the last few calls, but we are very consistent in what we are communicating. Once we kind of get the debt levels to the numbers which we have assured all of you guys, the re are two options for us; one is to expand the Chittor factory, using the Nimbahera limestone for a Brownfield expansion, and we also have the option of setting up Gulbarga for western region. As I mentioned in the past, the number one choice will be to g et the Brownfield CAPEX going in Chittor, that would be setting up of additional kiln in Chittor and also have a one more Grinding unit, either in West MP or in Western UP. That's the plan and that should target ballpark number I'm mentioning. A new kiln should cost anywhere between about Rs. 800 crores and the grinding unit about Rs. 500 crores. So, looking at about 1,200 to 1,400 crores of investment for a Brownfield expansion. But if you really look at Greenfield , if we were to go for a Gulbarga for Maharashtra, which will be much higher, which would be in excess of Rs. 2,000 crores. But as we stand today with the positive developments in Rajasthan and Nimbahera, what looks to be feasible or incline, we are

inclined for Nimbahera. But all that depends on how do we pay the debt, and I guess once we secure the board approval, we will inform all of you.
Satyadeep Jain: This would be 6,000 tons with Rs. 800 crores?
Jayakumar Krishnaswamy: Yes, sorry I missed that one. So, I think at this point of t ime, we are keeping it open because Chittor is the 6,000 TPD line and I can do a mirror image of that. But Risda, we have a 10,000 TPD line which is now currently debottlenecked to 11,500. So, we are not hard and fast concluding at 6,000 TPD. I think close r to the date we will decide whether it could be 6,000 or a 7,500 or a 10,000 TPD. But as of now, we're keeping the options open. We're still working on technical design for all these three options.
Satyadeep Jain: Just a second question on the eastern mar ket. The volume growth has been lower than what others have been reporting. Is it largely a function of micro markets? How much is West Bengal as a percentage of overall volumes? One of the peers did mention that it lost market share. It is going to recoup that market share in the next few quarters. When you look at your own micro markets what's happening, how would you look at volume growth? You mentioned that slag prices are high, the entire cost of producing cement in East is actually on t he higher side given what's happening. But we're seeing the players losing market share, some players operating at higher 90% utilization. Despite that, we're seeing continued pricing pressure in specific region. So, what needs to happen so that pricing im proves, especially when one of the players is talking about regaining market share in the next f

ew quarters?
Madhumita Basu: So, it's really in two or three parts, so I'll break it up. Your first question was how are we seeing our growth vis -à-vis the indu stry. So, as I mentioned, at a strategic stance, our volume thrust will be in North and in East we will prioritize value over volume. So, in North in our judgment the market grew ~10% and we have grown 12%. We are well poised to take the additional ca pacity increase in Haryana. On the eastern side, we have to take a look at the market in two clusters. The overall growth in our estimate has been about 11%. The two clusters for us, the cluster are East Bengal, Bihar and Jharkhand. This has seen about an 8%, 9% kind of growth and we have maintained our market share in this market. A good bit of growth came out of the Chhattisgarh, Odisha markets almost at a 19% kind. These markets have traditionally been lower -priced and higher on non -trade. So, as you k now, we have been reiterating our trade centricity, our premiumization as well as our focus on Bengal, Bihar and Jharkhand given our very large facilities in these markets. We clearly prioritized value over volume, and in principle this will be our right g uiding strategy. We will calibrate as we see the. demand dynamics in the market.
Satyadeep Jain: Just the second part of that question was overall dynamics in the region in terms of pricing and cost and especially given one player is talking about regainin g market share. What does the management think about pricing in the region and what needs to happen for pricing?
Madhumita Basu: I missed out part -two. So, on part -two again, as you know, we have a really premium slag brand in concrete, so procurement cost advantage on this product. So, we will continue to prioritize on Concreto. Last year we also upped the Concreto offer in the market with Concreto Uno. The market dynamics would be impacted with price of slag cost. Here apart from our slag -driven Concreto -driven strategy, I'd like to clarify that we are in the business of brands and we see good fungibility for fly ash, PPC and PCC cement. So, we will ca librate our mix depending on the emerging dynamics. On the overall price, we have revisited the clinker addition numbers , and a perspective that we've been sharing on previous calls that when you look at the eastern region demand, one should tak e a call on the clinker addition and not just the cement capacity addition. That dynamics still remain at a 44 million tons clinker base of FY22. Ten million tons of additional clinker capacity, which was to come in over the two years from '22 is in place now. So, there is a situation of overcapacity at the moment. However, the next addition of clinker as
per stated timelines of industry players, will only come in FY26. So, we do believe that the clinker dynamics will still drive the edge on pricing in the region. So, standing where we are, it is difficult to take a call on price outlook, but we are seeing stability, we are seeing positive demand come up as we get into the election year. And as I said, our advantage lies in ability to straddle different pric e lines with our brand portfolio as well as our trade centricity.
Moderator: We have our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: My first question is with respect to our growth strategy and specifically with respect to inorganic growth, because we have been evaluating a few assets which given our balance sheet is a bit

difficult to understand. So, just want to know how are we looking at inorganic growth opportunities in the market?

Jayakumar Krishnaswamy: As regards our growth strategy, I think we have clearly mentioned in the past many calls that we are focused on organic growth as well as preceded by reducing the debt levels of the C

ompany .

And we will stick to that strategy at this point of time and of cours e, the primary focus will be to reduce the debt, do the Brownfield expansion, take the capacity to 25 million tons and once the debt level comes down then we find a way to set up additional capacities through Brownfield in the North or through Greenfield i n West. That's the current plan for the next couple of years and that's what we are focused on.

Sumangal Nevatia: That is reassuring. One is, I missed the details on the incentive income which is discontinued. So, if you could just share those details and also maybe explain what sort of incentive incomes are already in our realization, what are we benefiting and what is the expiry schedule of those incentives?

Jayakumar Krishnaswamy : On incentive, if you see our Nimbol plant in Rajasthan, we had incentives in Jharkhand, we had incentives in Bengal. Three years ago, we stopped Mej ia so that is out of syllabus. As regards Panagarh, as we mentioned in the previous call, from 1st April onwards, we stopped accruing Panagarh and that g oes away. In Rajasthan the period of incentive has come to an end, so I guess that's also off 1st June onwards, Rajasthan both in Nimbol and Chittor is off. Bhabua was off some time ago as well. So, at this point of time, the only incentive which we are ac cruing is the Jojobera incentive. Other than that, our P&L does not have any incentive accrual at all.

Sumangal Nevatia: Is it possible to quantify what was the total incentive income in say FY23 and what is it likely to be in FY24?

Jayakumar Krishnaswamy: May I request you to have a reach out to our guys so that we're able to give you all these granular details. I think we can get, but they are drawn into a few columns and the best would be for you to reach out to Investor Relations and we'll be happy to p rovide all details. Not to worry at all. You can reach out to us and we will give you details.

Moderator: Thank you. We have our next question from the line of Pratik Kumar from Jefferies. Please go ahead.

Pratik Kumar: My first question is on EBITDA per ton. So, we had like the 780 EBITDA per ton during this quarter with probably peak of fuel cost benefit in the business or near peak incentives are like sort of going out largely as you said. So, how do we see EBITDA per ton shaping up fo r the Company going forward versus like obviously we used to have much higher target earlier when the industry pricing and cost were supportive during the time of IPO. But how do you see EBITDA per ton for the Company and is the industry pricing is the onl y driver left for the business?

Jayakumar Krishnaswamy: I guess EBITDA improvement from here on will be still, there's a lot of things that the management will do, we are doing, and we will focus to do. One of the things which we will focus on , as Mita mentioned a few minutes ago in one of the previous questions, one of the focus areas for us will be to get the premiumization going. Last year we had 37% premiumization and our target is to get Premiumization to excess of 40% which means more Conc rete Uno or more Duraguard Micro Fibre, all these will basically give us additional NODT which will flow into the bottom line. That will be one top line lever. The second top line lever will be to get higher realization markets in East and North. We have a target of improving sales in some mar kets of BBJGRM, which means Bihar, Bengal, Jharkhand, Gujarat and Rajasthan. These are the areas where we will get bulk of our sales, which would again get more Geo opti mization would mean more NODT and more realization. The third one is with the commissioning of Haryana Cement plant. We will focus more sales at Haryana market which would give us additional top line plus incentive benefits will accrue out of Haryana. So, the

se are the top three levers revenue -based levers to get EBITDA. On the cost lines, certainly I think we will get our AFR fully expanded. Currently trending at 11.2%. Our target is to get the AFR consumption to close to 20%. Chi tttor has already demonstrated 25%. Nimbol also demonstrated 20%. So, if we were to get it, then AFR will be the second lever for us on the cost line. And with full capacity of W HR and CPP running, we'll get some savings out of the WHR and CPP lines. And last but not the l east, with the Sonadi Railway siding coming and the Jajpur Railway siding, we expect the reduction in distribution cost coming into the Company. At this point of time all this put together will have a bottom -line EBITDA improvement over the number where we are currently trending. And the second one is all about the pricing lever which you mentioned. As we have seen from Quarter 4 to Quarter 1, prices went up in Quarter 1, but again came back and overall net -net price increase did not have a major impact. I only expect the prices to firm up a little bit more, so we were able

to get some pricing advantage from the overall product pricing in the market, plus all the internal levers and premiumization, geo mix, AFR, CPP, WHR and railway siding, I guess we certai nly can improve the overall EBITDA of the Company from the Q1 actuals going forward.
Pratik Kumar: My second question is on freight cost, so freight cost on a sequential basis on a per ton basis has gone up. Is this largely reflection of building up of cli nker inventory and moving to respective grinding units prior to monsoons?
Jayakumar Krishnaswamy: Two reasons. One is it is busy season surcharge, which has happened by the railways. So, I guess typically they would cut down, but they never. The good news is from 1st of August it has been withdrawn for few months. I hope it continues for 4 -5 months, but that's an impact which hit the distribution cost. The second one was non -availability of rakes which played havoc in Q1, which resulted in movement of clinker from IUs to GUs by road. So, these two are the reasons which kind of impacted the distribution cost by which it went up. Our PTPK still continues to be good and comparable to the rest of the major players in the industry, so we are ver y pleased with the work done by our logistics team. Small changes in lead distance happen, but one can't target 3 kilometers to 2 kilometers reduction in lead distance, but there is no major increase in lead distance . The two important levers by which we got impacted was railways not able to get adequate rakes and second one was busy season surcharge. The busy season surcharge got withdrawn now. Rake availability kind of improving and then our engagement with railways shows that they are likely to improve going forward. These two should reduce the pressure on distribution cost.
Pratik Kumar: One last question, there was this recent changes in BIS Regulation on composite cement which is expected to impact the clinker ratio. What is our clinker -compo site cement mix and does this regulation have an impact on our clinker ratio? Also, does higher sla g prices in general because of higher number of cement capacities in East, would this also have an impact on clinker ratio over medium term?
Madhumita Basu : As I mentioned before, we are in the business of brands and our Duraguard brand straddles both fly ash as well as composite cement. So, we treat the mix as fungible to address any cost inflation. With specific reference to the revision in BIS specs and i ts impact on cost for us, the cost impact has been nominal in our case because we were not stretched out on the highest end of the clinker optimization. So, we've been able to manage the cost well on the PCC front. It's only the sla g inflation which is kee ping us open to product s

ubstitution.
Jayakumar Krishnaswamy: Our thrust on PCC would always be based on how much unlock I can do on the clinker. This is what we had said a year and half ago. We launched our PCC cement because we got grinding units in Jajp ur and Panagarh and hence we forayed into that and we have a good product in the market which is doing very well. We scaled it up very well. But fly ash cement as well as composite cement are coexisting in many markets and as Mita said, we will be able to tweak our product strategy based on the pricing of slack in the market and the BIS standard which is coming to vogue now.
Moderator: Thank you. We have our next question from the line of Ankit Patel from HSBC Mutual Fund. Please go ahead.
Ankit Patel: My first question actually partly was a partly answered earlier when the question on EBITDA per ton, but I still wanted to understand in terms of what would be the expected stabilized EBITDA per ton that the Company targets because historically it's been ar ound that Rs. 700 or Rs 800 per ton on a quarterly basis at max, whereas certain other peers competitors, it's been going up to about Rs. 1000 and higher as well. So, that's my first question.
Jayakumar Krishnaswamy: The answer to the question is there's always a recency effect and the history to it actually. So, probably you are referring to the recency effect in the last 18 months to 20 months. So, yes, the EBITDA levels were a little bit low reasons all of us know because of the abnormal increase in fuel prices which kind of impacted. And also, NODT price that did not kind of compensate for the fuel pricing increase. But fuel prices kind of bottomed out now and in the past, if you divide East and North, think East EBITDAs were much higher than the last o ne and half years where we have recorded as a Company. North EBITDA per ton also has improved. In the previous calls, we had mentioned how North EBITDA per ton, industry prices corrected, Nuvoco EBITDA levels also improved in the last two years. I only foresee the improvement of the various levers which I mentioned in geo mix, premiumization, AFR, railway siding projects, all these are East focused and hence we will unlock value out of all these initiatives which would

add to the overall EBITDA levels in East going forward in the coming years. So, to pinpoint a number at this point of time would be inappropriate, but suffice to say, each one of these initiatives has got the capability to unlock va lues to the extent of Rs. 20 - Rs. 30 per ton.

Ankit Patel: My second question, Sir, was on the some of the high -cost debt, which is there on your balance sheet, these perpetuals which were raised erstwhile in the pre -IPO time, earlier when it was part of the Nirma, I think there is about Rs. (+ 300) crores of perpetuals which are there at a higher cost so just wanted to understand, would you have to raise fresh equity to meet the replacement covenant there when they become due next year and in 2027 or would the IPO that you have done in 2021 suffice to meet the equity raising requirement over there to maybe bring that down in terms of cost?

Maneesh Agrawal: So, basically the operating cash flows that are going to be generated are sufficient to take care of this payout. So, we're not going to be raising any equity for meeting these repayments .

Ankit Patel: Yes, but there was a replacement covenant where you can only replace it by either with the leveraging coming down below certain level or having an equity which you have raised prior to the call date of a higher value than the issuance. So, would the IPO Rs. 1500 crore which you have raised suffices that is what I was wondering .

Jayakumar Krishnaswami: I think as Manish mention

ed, I think we will not get into the direction of equity infusion to handle this stuff. The cash flows from the business will be sufficient to handle the covenants in the debt repayment requirement. But in the past calls I have mentioned so I will restate it one more time, we are very confident that to grow this business we are comfortable with the continued debt levels of Rs. 3500 crores to Rs. 4000 crores. We have currently no plans to kind of reduce the debt to far lower levels. We will infuse if we would get into growth mode if we are around at Rs. 3500 crores and Rs. 4000 crores and as a company , we are clear that this kind of debt level is manageable and because we need to fuel growth for th e Company.

Moderator: Thank you. We have our next question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Let me first of all congratulate you because your working capital was probably the best in a FY23, assuming you rs was the only Company which had a negative working capital, and I'm simply doing his creditors minus the inventories and receivables. So, there we saw a net negative of Rs. 50 crores. But my question is last year in FY22, this was the same way, this was over nearly 450 crores. So, just wanted to understand what different are we doing to be the only Company in the negative zone in terms of working capital and how sustainable is this? Is it linked to the high coal cost which was in the past and hence there is a possibility that it can again turn into instead of further release there could be a charge of roughly around Rs. 300 crores to Rs. 400 crores, which is. In line with other peers or this is more sustainable. How would you look at it.

Maneesh Agrawal: In fact, I've mentioned the same thing last quarter also. In Quarter 4, given the trade centricity of our business, we receive d a lot of support from our channel partners and we were able to get good collections in the Quarter 4 and this actually helped us to reduce the receivable s. On the RMX side, we are continuing to drive collections on the cash ‘n’ carry model. Around 30% of our collections are coming on advance basis and the rest of the collections are also on very competitive terms . On the inventory front also , there was lot of inventory that got built up in the H1 of last year, which was liquidated over the next two quarters. And we have also seen that the fuel prices have stared softening . So, to that extent on the inventory side, we are not going to have that sort of a high number. And also on the payable side, we were actually negotiating our terms depending upon the various vendors, the kind of inventory that we buy on a 60 days, 90 day s, 120 days . So, depending upon what sort of opportunity the market provides us, we are going to be looking at that sort of payment terms . So, overall, I would say the number that we had in March ‘23 corresponding to that, it ha s increased in Quarter 1 . Quarter 2 also would be broadly in line with the Quarter 1 numbers . But Quarter 3, Quarter 4 numbers, it's going to be better as we liquidate the cement and clinker stocks in line with the seasonality of the business. So, in terms of specific numbers, you can reach out to our investor cell and they can give the numbers for each of these line items much more in detail.

Navin Sahadeo: The only thing is will it continue to be negative is what, because I understand it's seasonal and towards the second half, the working capi tal tends to be far more lean. I appreciate that. Just wanted to ensure, or rather just confirm if this can remain negative or it can slip into positive zone?

Jayakumar Krishnaswami : It's all the range based actually, so it's like kind of at this point of time we are committed, we try to do few things and I think it's worked very well for us. Bu

t as a Management, we would still
try and get the net working capital if it is negative that's the number which we will try to ac hieve going forward. But suffice to say that it will not be at the numbers where we were a year ago or two years ago. So, our endeavor will be to try and sustain this kind of numbers going forward.

Navin Sahadeo: My second question was about expansion plan s and of course you clarified that until unless the debt comes in the range of Rs. 3500 crores to Rs. 4000 crores and of course, I am aware of the on hand debottlenecking projects as well but the other next leg of expansion you said is when the debt become s more comfortable in that Rs. 3500 crores to Rs. 4000 crores range. So, here I just wanted, if possible if you could give more clarity because you said there is a plan to do a. Line-2 Risda and there is a plan to do at Line-2 in Chittorgarh and then there is also an optionality of doing a Greenfield project altogether in Gulbarga whichever the Board decides. So, here just a little bit clarity will help because if at all the Company is keen on going to Gulbarga where it is already a very overcrowded market, on day one itself your utilizations at least for few years are like in line with the peers who are far more in terms of utilization. So, is there a thought process that you can sell -off those limestone mines in Gulbarga, deleverage or get that cash and use for expansions in Line-2 at the existing locations where other companies are being far more aggressive in terms of their capacity share or capacity expansion. So, is there some thought, I think that kind of thing will give far more conviction to investor s.

Jayakumar Krishnaswamy: Yes, I guess what you have given is your perspective of what we need to do, but I think we have a very clear perspective of what we want to do as a Company. First of all, I would like to say that I don't think we'll ever kind of sell mines. Those are all r esources for the Company, that's our future and those are all the jewels on our crown going forward. So, we consider every mine which we have is our jewel and then we will nurture, run, maintain, sustain and expand. So, that's the first thing on mine. As r egards what do we do with the options, I think ever since we listed, I've been doing this calls for now close to two years and I will maintain what I have said because we have a very strong conviction on what we are doing. We are very clear that we have choices to grow in the Company in Nimbahera. We have choices in Gulbarga. We have mines in Guntur. We also have adequate limestone deposit in the rest of the current factories. We also limestone deposit in Nagaur. But having looked at all these options, we'v e also mentioned that our next wave of expansion will happen in the North or West, and the choices which we had was to expand in Chittor the Brownfield, which is a capital -effective, cost -effective expansion. The other option was set up a line in Gulba rga but we are very clear that Gulbarga for us will feed the Western market and not the Southern market. So, when Gulbarga comes it will be grinding

unit for Maharashtra and South Gujarat. Nimbahera will be for Rajasthan and up North or West. So, our expan sion program is sustained East in the short run, expand once the debt pays down in the North or West. That's our expansion plan for the Company and you asked about whether the Board approves? That's not that we go to the Board with an approval for the board we that is a technical term to ensure that when we put up a proposal, of course we will expand with Board clearance to invest money.

Navin Sahadeo: Thank you so much for the clarity. And just one last thing, what is the exposure to domestic coal for us as a Company since you're on the Eastern side?

Jayakumar Krishnaswamy: So, we've got the linkag

e coal in East as well as North we've got linkage coal for our kiln as well as our CPPs in Risda, Sonadih, Arasmeta and Jojobera, all our plants in East s upport linkage coal for CPP as well as the kiln coal. As we stand, the maximum amount of linkage coal which will help us run our each factories is the tune of about 35% of our fuel requirements. But at a blended rate North there is no linkage coal, North i s all imported coal or petcoke. Overall, as a Company we can get a maximum use of about 25% to 26% of linkage coal and that's the advantage we have as a Company.

Navin Sahadeo: Yes, because those linkage coal prices, Coal India revised it a few months by a bout 7% to 8%. So, that impact would have come into the numbers for the June quarter or it will come now more so.

Jayakumar Krishnaswamy: Yes, at one point of time we used to get linkage cool at 1.1 to 1.15 and all so I think 1.27 is as per the new prices of Coal India.

Moderator: Thank you. I now hand the conference over to Ms. Madhumita Basu for closing comments. Over to you.

Madhumita Basu: Thank you for your engagement and questions. In summary, cement demand is expected to witness a healthy uptick in F Y24 with the strong momentum in the housing and government led

infrastructure development projects. We continue to focus on operational efficiencies, realization improvement and remain committed to our cost reduction, growth and sustainability projects.
Our Investor Relations Team is available for any further clarifications and detailing that you may require. Thank you once again for joining us today. Wish you a good day.
Moderator: Thank you. On behalf of N uvoco Vistas Corporation Limited, that concludes t his conference. Thank you for joining us and you may now disconnect your lines. ~ Nu"oco* Shaplng a new world ~

Call: Nov 2023

NUVOCO VISTAS CORP. LTD.
Ref. No.: Sec/119/2023-24
November 7, 2023
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai -400 001
Scrip Code: 543334
Scrip ID: NUVOCO
Dear Sir/Madam , N~O®
Shaping a new world ~
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051
Trading Symbol: NUVOCO
Sub: Transcript of Investor and Analyst Conference Call on the Unaudited
Standalone and Consolidated Financial Results of the Company for the quarter
and half year ended September 30, 2023
Further to our letter no. Sec/107/2023-24 dated October 20, 2023, letter no. Sec/114/2023-24 dated October 31, 2023 and letter no. Sec/115/2023-24 dated November 1, 2023, please find enclosed the transcript of the Investor and Analyst Conference Call held on Wednesday, November 1, 2023 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2023.
The same is also being made available on the Company 's website at www.nuvoco.com.
This is for your information and records, please.
Thanking you,
Yours faithfully,
For Nuvoco Vistas Corporation Limited
Shruta Sanghavi
SVP and Company Secretary :
j
Nuvoco Vistas Corp. Ltd.
Registered Office: Equinox Business Park, Tower-3, East Wing, 4th Floor, Off. Bandra Kurla Complex, LBS Road, Kurla (West), Mumbai 400070
Tel: +91 (0) 22 67692500 / +91 (0) 22 67692525 I Fax: +91 (0) 22 67692572 I Website: www.nuvoco .com I
CIN-L26940MH1999PLC118229

"Nuvoco Vistas Corporation Limited
Q2 FY '2 4 Earnings Conference Call "
Novem ber 01, 202 3

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING
DIRECTOR – NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL
OFFICER – NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU -- CHIEF MARKETING ,
INNOVATION , NORTH SALES AND BUSINESS
DEVELOPMENT – NUVOCO VISTAS CORPORATION
LIMITED

~ Nu,/oco"
Sh<1plng <1 new world ~ ~ Nuioco®
Shaplng Q new WOTld ~
Nuvoco Vistas Corporation Limited
November 01, 2023

Moderator: Ladies and gentlemen, good day and welcome to Q2 and H1 FY '24 Earnings Conference Call of Nuvoco Vistas Corporation Limited. We must remind you that the discussion on today's call may include certain forward looking statements and must be therefore viewed in conjunction with the risks that the company faces. The c ompany assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Madhumita Basu, Chief Marketing, Innovation, North Sales and Business Development of the company. Thank you and over to you Ms. Basu.

Madhumita Basu: Thank you Yashas hri. Good evening, everyone! It is a great pleasure for me to welcome you all to the Q2 FY24 earnings call of Nuvoco Vistas Corporation Ltd. At the outset, with reference to feedback from some of you, I trust you will be happy to note that we have advanced significantly the Board Meeting and consequently this earnings call date. We believe this would provide opportunity for investor and analyst fraternity to have more constructive eng agement with us to understand the results and business outlook in the days to come.

The Indian economy is picking up steam and strength despite the global challenges.

Real GDP growth for Q1 FY24 came in at 7.8% YoY significantly led by domestic drivers of private consumption and fixed invest

ment.

The momentum in agricultural activity in Q2 FY24 has been sustained, although the monsoon has been uneven. According to India Meteorological Department, rainfall over the monsoon core zone, comprising most of the rainfed agricultural regions in the country was normal at 101% of long period average.

The industrial sector signalled recovery in Q2 as index of industrial production rose by 5.7% in July and core industries output expanded by 12.1% in August.

Going ahead, however, current global geopolitical tensions need to be carefully monitored.

Looking internally now at Nuvoco's performance for the quarter ended 30th September 2023.

Revenue from operations improved by 7% YoY to Rs. 2,573 crores on the back of revenue per ton improvement of 6% YoY – a value led growth. Our premium product share st ood at 37% of trade volumes while our trade share also increased YoY to 74%, reinforcing the strength of the network. Moreover, as you know, cement prices in the East also improved in September’23.

Volumes grew by 1.2% YoY during seasonally weak quarter. Demands in the North region continues to be robust with ~14% YoY growth. In the East, core markets of West Bengal and Bihar saw subdued growth during the quarter. However, we continue to hold ground and remain geared up for demand revival in the East. Apart from infrastructure led government programmes ~ NuJoco·

which will drive cement demand, PMAY scheme needs a special mention. Currently, as we speak ~33 lakh houses are pending for completion in the East and out of this ~14 lakh houses are only in West Bengal – suggesting significant potential for cement demand arising from this region. As reiterated, we will continue to prioritize value over volume growth in the East. In the North, our planned expansion in Haryana Cement Plant will enable us to cater to strong demand in the region.

We delivered a strong growth in EBITDA by 73% YoY driven by revenue growth and cost control measures. It is important to note that planned shutdown at our plants for completing annual maintenance and debottlenecking projects impacted the EBITDA for the qua rter.

Additionally, we would like to remind you all that we have stopped accruing incentives from Panagarh facility from April 2023 and Nimbol plant period was completed in Q1 which has ~Rs. 45 per ton impact in this quarter.

As highlighted, the result also demonstrates our commitment of remaining vigilant on managing our costs well. I now quickly share comments on the three major cement cost elements:

• Power & Fuel cost per ton remained flat QoQ. Fuel cost in itself declined due to reduction in coal & petcoke prices and increase in AFR usage - in Q1 FY24 AFR was 11.2%, this went up to 14.3% in Q2 FY24. However, power cost increased QoQ due to maintenance shutdown and low utilization of CPPs & WHRs.

• Cement raw material cost per ton increased 12% QoQ mainly due to requirement to purchase clinker on account of planned shutdown and increase in slag cost. On the slag, Nuvoco continues to be better placed due to its long -term supply agreement.

• Distribution cost per ton declined 6% QoQ primarily due to:
• lower clinker road movement,
• absence of Busy Season Surcharge in the month of August 2023 and September 2023 and internal cost control measures

As shared in earlier calls, to improve margins, Nuvoco remains focussed on measures such as premiumization, innovation, Geo optimization, trade share improvement, fuel mix optimization, brand strengthening and Project BRIDGE about which I shall be speaking in a bit.

Firstly, on brand building, we are reinforcing the premium position of Concreto with our market campaign “Concreto naam hi Kaafi hai”. We also continue to reinforce marketing communication with the recent patent received on our revolutionary product ‘Fibre Reinforced

Cement Composition’ branded in the market as ‘Duraguard Microfiber Cement’. The patent, effective from the date of application cites exclusive rights for the next 20 years. The Company also extended premium cement variants ‘Concreto UNO’ and ‘D uraguard F2F’ from Bihar and West Bengal to Jharkhand market.

Secondly, on Project Bridge, this project has been taken up in our Company CSA and is under rhythmic review with 2 Exco member. We are focusing on cost savings measures purely from efficiency improvement. Areas include s: ~ NuJoco·

• Optimisation of power & fuel costs by improving Specific Heat Consumption (SHC), Specific Power Consumption (SPC) and AFR usage
• Elimination of losses in materials transit & handling,
• Reducing damages and demurrages in transit and warehouse and improving warehouse utilisation
• Logistics areas of direct orders, lead distance reduction etc, and
• Productivity improvement programs

On Debt . Our net debt at the end of September 30, 2023 stands at Rs 4734 crores – which is a reduction of Rs 549 crores on a YoY basis. I would like to mention that as highlighted in our investor presentation, historically Net Debt has been on a declining trend as our focus on Net debt reduction remains a top priority.

Interest rate at 8.4%, on the other hand, reduced by ~9 bps compared to Mar’23 despite repo rate remaining the same.

I will now briefly touch upon our RMX and MBM businesses. Both businesses are performing well.

• Revenues for RMX business grew by 11% YoY with a value -added product component of 34% in sales mix. During the current fiscal year, 4 new ready -mix concrete plants were commissioned taking our tally to 55 plants across India.
• In Modern Building Materials construction chemicals, tile adhesives and cover block continue to witness sales improvement and the company remains focus on building the non -cement channel for this range of products.

Sustainability . Nuvoco remains committed to its sustainability agenda “Protect Our Planet” which encompasses sustainability roadmap, circular economy initiatives, green energy contribution, water positivity and biodiversity management. I would now like to share the progre ss on key sustainability parameters:

• As mentioned during previous calls, we have one of the lowest carbon footprint in cement industry at 462 kg CO_2 per ton of cementitious materials duly validated by KPMG for the year FY23
• Our alternate fuel rate (AFR) has improved by 5.2% on YoY basis to ~ 14.3% in Q2 FY24. Chittor cement plant continues to demonstrate capability of ~30% AFR while Risda where the AFR feeding system was commissioned in Q4 FY23 has achieved 18% AFR in Septemb er 2023

Quickly reviewing the update on our ongoing growth projects:

• On cement capacity expansion through 1.2 MTPA Grinding Unit at our Haryana Cement plant, I am happy to confirm that we have completed no -load trials. The commissioning is scheduled in Q3 FY24 post which our overall cement capacity will reach 25 MTPA. ~ NuJoco·

• Clinker capacity enhancement through debottlenecking projects at Risda and Nimbol

cement plants has been completed. Risda and Nimbol clinker capacity is now being enhanced to 12,000 TPD and 6,000 TPD respectively. The Nimbol capacity enhancement will also support our grinding unit expansion at Haryana.
• On Railway sidings projects at Odisha and Sonadih, track laying activities are underway. The Odisha operations is expected to commence from Q4 FY24.
With this, I conclude my opening remarks. I am joined here by Mr. Jayakumar Krishnaswamy, Managing Director - Nuvoco Vistas and Mr. Maneesh Agrawal – Chief Financial Officer of the company. We are here together to answer your questions. Thank You.
Moderator:

Thank you very much. We will now b egin the question -and-answer session. We have our first question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi, good afternoon. A couple of questions. One on the value over volume strategy. That strategy would imply that management is walking away from certain less profitable markets. If you can maybe talk about, I am not sure if I missed that in the opening remarks, what those markets could be where you are choosing to walk away from? Is tha t any particular region? Is that non -trade? Is that maybe lower sales than the new Vistas brand? So that's the first question.
Jayakumar K : Yes. I guess we're waiting whether you're going to put a second question together, Satyadeep , when we mean value -over-volume strategy, I guess it has been the approach we have taken for many quarters now. Just that we want to focus on predominantly but if you have to give a choice between volume and profitability, I think we are very clear that we n eed to kind of get the overall profitability up because our end objective or immediate objective is to kind of reduce the net debt so that we can fuel growth for the company. That's what I've been saying in all the quarters. And hence, it is just an extens ion of our commitment to reduce the debt levels of the company
As regards whether we will walk away from the market or not, very clearly in the previous call I also mentioned one more thing that the installed capacity of the company is 25 million tons with 6 million tons in north and 19 million tons in east. And right from the IPO time till date, we have been very clearly mentioning that our growth projects in east will be second priority and before that the growth in north / west will happen.
In line with that, we still have a lot of headroom in the east market for the next two years to three years. And hence we are cherry picking premiumization, trade versus non -trade, Duraguard versus Double Bull, more of Concreto , more of premiumization. That is what we are saying when we say value over volume. And certainly, we will not go and sell for the sake of selling and getting volume growth in the market.
And even within the core state, our focus will be on those states where our contribution maximization happens since GeoMix is a clear agenda. Just to sum up, value over volume means for us is premiumization, getting the right GeoMix right, use the headroom available in east to get the growth numbers for the company in the coming few years, and certainly focus on bottom line to ensure that we are reducing the net debt levels of the company in the near future.
That is what is our volume versus value number. A nd also, in the monsoon period, generally ~ NuJoco·

volume comes down and for us, prudent was to ensure that we are able to focus on value over volume.
Satyadeep Jain: So, Jay, if you look at the October month, you have already talked about the volume growth in this quarter of 1 -odd percent. How has October been for you so far?
Jayakumar K: It is very difficult. We have just started the quarter. So, I guess while September, if you had asked this question a few weeks ago, you would have had a close period for quarter 2. But right now, it is open for Q3, but it is too early for me to make any comment on how this quarter will progress. Suffice to say, with the festivities ending and the monsoon ending, market will open up from November onwards.
And I guess once the Chhat Puja is done, I think it will be a home stretch all the way from Chhat Puja all the way to March 31. And we will leave no stone unturned, not to kind of grab if something is available there. But certainly, I guess we won't sell f or the sake of selling in markets where we don't make adequate contribution. And also focus will be on trade versus non

-trade.
Satyadeep Jain: Just one more question on premiumization on brand. Concreto, when we started this journey about two years ago during the entire listing, at that time, Concreto we understood was the premium brand in the entire East, in the entire premium brand. But our ch annel checks seem to indicate that some peers, including Ultratech, have now gained pricing premium. Would that be correct? And if that is true, how does the company plan to regain that premium pricing for Concreto in that region?
Madhumita Basu: So, Satyadeep, thanks for the question. You will appreciate that on this call, I would not like to

make a specific comparison with any competitor. However, to place certain facts relevant to address your query, there are two aspects to premiumization. One is the share of premium products in the mix, and second is the absolute premium per brand vis -à-vis the band of competition out. As you know, at 37% of trade sales, we are one of the highest in premiumization. Within this, in the key markets of Bihar, Bengal and Jharkhand, premiumization trends about 65% to 68%.

Secondly, driving realization improvement from premiumization is a key lever on our KPI, and we continue to remain vigilant on market price tracking from both internal and external sources. So, on a database and a band of competitors in the market, from base product, the band of premium for Concreto, depending on state and competitor product, is anywhere between INR15 per bag to INR35 per bag. Finally, I'd like to round off by saying that this is a continuous process for us, and last year when we launched Concreto Uno, we are bettering our own price again. Concreto Uno is priced INR20 per bag higher than our Concreto product. I trust that addresses your query. Thank you.

Satyadeep Jain: Thank you so much. I have one question, and I'll come back in the queue. Thank you.

Madhumita Basu: Thanks, Satyadeep.

Moderator: Thank you. We have our next question from the line of Jashandeep Singh from Nomura. Please go ahead.

Jashandeep Singh: Thank you for the opportunity. So, I have three questions, and I hope management will be able to answer them. The first one is, in every call, since the IPO, we are saying that net debt deleveraging is our priority. We also set a target for around INR3,000 crores to INR3,500 crores before we do any expansion, but the debt keeps on increasing. It's around INR47 billion right now. So, I just want to understand where the management is seeing net debt by the end of this year? And what is the long -term strategy to actually de -lever? So, my first question is regarding this.

Jayakumar K: If you really look at our investor presentation, chart number 23, we have very clearly shown debt levels of the company, March '21, March '22, March '23, and the same comparison for September '21, September '22, and September '23. I'll just read out some numbers for you. It will provide you adequate clarity on the question which you asked. March '21, the debt level of the company was INR6,730 crores. September '21, it was INR5,718 crores. March '22, INR5,064 crores. September '22, INR5,283 cror es. March '23, INR4,414 crores. September '23, INR4,734 crores. Every quarter of March, every September of the last three years, our net debt is continuously coming down. You made a statement that we are increasing our debt, which is factually not correct.

From March '21 to March '23, every quarter, INR6,730 crores, INR5,064 crores, INR4,414 crores. September '21 to September '23, INR5,718 crores, INR5,283 crores, INR4,734 crores. And you also mentioned that from IPO time, I'm mentioning that our company will reduce the debt level. Of course, our commitment is to reduce the ne t level. And I will still repeat in this call, in every call I have said that our target for the next phase of

growth will happen when our

debt level comes down between INR3,500 crores to INR4,000 crores.

We are committed to that. As the year progresses , our numbers will come down to the number which I have been mentioning and we will come with a growth plan around that time.

Jashandeep Singh: Thank you, sir. Let me explain why I asked you. If you look at from the March end, so in the six months, you have increased INR350 crores of net debt. And what I wanted was, what's the year - end target you're looking for the March '24, what you are looking for?

Jayakumar K: I'm sure you're tracking the cement industry. When you finish Q4 end, obviously Q4 end, the working capital release are big time. The collections are big time in that quarter. And hence, every company, the debt levels and the working capital levels will be lowest in the month of March. And when you come to September, because of the season al build -up from October to March, all of us stock up with clinker, cement, and fuel. Our clinker and cement stock, when compared to March to now, has increased by ~100,000 tons between clinker and cement. And fuel stocks are up at ~70,000 tons in September. You will watch us in December 31, there's will be a quarter 3 call and you will watch us in quarter 4 call. This number will come down and you will see it in the coming two quarters.

Jashandeep Singh: I'll wait for that. Coming to my second question, so on the combined raw material and power and fuel cost, if we look at, your power and fuel cost went down but your other raw material cost increased. In the opening presentation, Ma'am was saying that you had to buy some clinker.

So, I just wanted to ask what percentage of that raw material cost is clinker? And given it's a seasonal quarter, was not the clinker built up as an inventory in the first quarter? And why normally your raw material doesn't increase that much in the second qu arter? So, what was the change this year?
Jayakumar K: Power and fuel cost in Q1 and Q2 was INR1,219. But when you go dive deep into the INR1,219 in Q1 and Q2, and when you split the power and fuel cost into fuel cost and power cost, the huge amount of drop has happened in the fuel cost of the company from INR 850 per ton in Q1 to INR798 per ton in Q2. A reduction of INR52 in the fuel cost of the company.
In the same period, power cost went up from INR369 to INR421 an increase of INR52 and hence we are more or less flat at INR1,219. The reason for power cost going up in Q2 versus Q1 is due to the shutdown as well as the debottlenecking activities in a coupl e of our plants in Risda and Nimbol. We had to shut the WHR as well as the CPP and we had to buy grid power and hence the power cost went up. But the efficiency of the kilns and the programs of the company to reduce SHC and also to maximise AFR has resulte d in fuel cost reduction from INR850 to INR798.
Hence, the first part is drop in fuel cost power cost went up temporarily. You will see the Q3 numbers. There will be a reduction in Q3 power and fuel cost when compared to Q2 power cost based on the efficiency factor as well as the WHR and CPP.
As regards to the raw material value, where you asked a question, why the raw material cost has gone up and because of the clinker purchase which Mita had spoken in her opening remarks. As regards to the amount of clinker we sourced during Q2 when compared to previous quarters , about 50,000 tons of clinker to ensure growth ambitions . 50,000 tons of clinker was purchased in North to fuel the North growth hence North has grown double digit and we incurred cost by clinker at 50,000 tons and that's the reason for the raw material cost increase.
Jashandeep Singh: Okay, sir. I have another question. I will join the queue and come back. Thank you.
Madhumita Basu: Thank you, Jashandeep.
Moderator:

Thank you. We have a next question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Good evening team. My first question is on the cement pricing in East. We have benefited to some extent in September month during the last quarter. So, the question is there were two, three rounds of price hike which were attempted in September . Has some of it got rolled back in the month of October for your case or is it largely sustaining, and the full benefit should be realised in the third quarter?
Madhumita Basu: So Prateek, firstly to set the perspective exit -to-exit basis, we have seen about a 7% increase in East primarily because the price increase came in the month of September. So, through month of September and October, there have been the natural blips of up and down but the prices seem to have stabilised. It's early in the quarter, October as you know was a festival month and ~ NuJoco·

disturbed in some parts of East but we are definitely seeing the pricing situation stabilised. We will have to see how it pans out still with eight more weeks to go to the quarter.
Jayakumar K: Suffice to say, the November pricing is almost equal to October pricing so as of now we are able to hold prices in this quarter.
Prateek Kumar: So, the October pricing is stable versus September in your case, as you said?
Jayakumar K: Yes, obviously, as Mita said, there have been ups and downs in price from September till end of October but net -net we have benefited out of pricing and then as we enter November, we still are able to hold on to our prices.
Prateek Kumar: Right. And then we say that we have like, high premium mix and focusing on further premiumization and the prices are better by INR15, INR35. So, on the profitability, how is it different for like these products versus like normal products on a per ton basis?
Madhumita Basu: So Prateek, I would not like to go into a brand -by-brand discussion. But I would like to mention here that the company has a price acceleration programme, which is KPI driven for an improvement just through the premiumization lever of up to INR50 per ton. So, this comes out of a mix , the focus on continuous increase in the premium share as well as unit -to-unit price difference between these products and premium range.
Prateek Kumar: Sure. And one last question on your capex, so we see right now our capex is sorry, net debt is seasonally higher but maybe we can assume like, by the second half of FY ’25, we may like start to see some work happening on the West project or North project i n terms of expansion?
Jayakumar K: Yes. I guess current year capex is like in last call I mentioned that FY ‘24 capex is for the tune of INR600 crores. These are all basically the brownfield expansions in Haryana, Nimbol, Risda

and then the siding projects and the routine capex in the factorie s. All of it is about INR600 crores this year, out of which in H1 we have done about INR300 crores and then we are looking about INR300 crores in the balance six months in H2.
Next year in terms of these projects all of them will be completed by March ’24-April ’24 but as I mentioned few minutes ago, I am really looking at debt reduction in this period of six months to eight months and when the debt comes down hopefully, fingers crossed, we will come back and announce our growth plans. If we are able to shave -off tha t number , and the industry and overall market scenario is favourable in the next six months which we are optimistic , so, there is good possibility that we can come up with our plans.
Prateek Kumar: In your annual report it was mentioned that we will be kick starting the capex in FY ’25, if I remember correctly?
Jayakumar K: Yes. I am very clear. If you really look at whether it will be Q1 FY ‘25 or Q2 FY ‘25 I think little bit fa rfetched

to say at this point of time. But as we come closer to the date and I think every passing quarter with the strength of performance continuously improving if you have seen our company in FY ‘23 and FY ‘24 every quarter Y -o-Y we have improved over the previ ous years' quarters' number. I think we will continue to maintain this trajectory going forward and ~ NuJoco·

we are in a good spot to get our growth plans going once the debt numbers come below INR4,000 crores and in the best possible scenario could be early part of FY ’25.
Prateek Kumar: Sure, sir. These were my questions and all the best.
Madhumita Basu: Thank you, Prateek.
Moderator: Thank you. We’ll take our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Yes. Thank you, sir. Sir, to put it simple so current average October realization for us is if I compare with the 2Q average how much is higher on per bag basis or per ton basis?
Jayakumar K : Shravan, how can we tell October number, quarter just started . I have got Q2 number.
Shravan Shah: Broadly.
Jayakumar K : Let me answer you in a different way. In one of the previous questions, I mentioned that the pricing in October is holding, November is holding as well as October. So, suffice to say, realization is also hold in the month.
Shravan Shah: Okay, because I was asking this because we have seen an INR70 odd kind of attempt in September hike out of that INR50 - INR55 got absorbed and now again, we are seeing INR17 - INR15 kind of a rollback. So, there is a in gap, the price got increased, in stepwise it is getting rolled back.
So that's what I was broadly trying to understand because that's the major thing in terms of increasing our profitability in the third quarter and that is a major driver in terms of achieving our net debt reduction and that's why broadly trying to understa nd, how one can look at, at least INR10 - INR15 rupees kind of increase in per bag for third quarter versus second quarter? That's the broader, I am trying to understand.
Jayakumar K : I cannot comment on the first part of your question. I will only comment on the second part of your question, which is about whether realizations in Q3 will be better than Q2. Certainly, our realizations in Q3 will be better than Q2.
Shravan Shah: Okay, got it. Second just on the expansion, whenever we will do whether Q1 or Q2 FY '25, when we will be reaching up less than INR4000 crores net debt as you mentioned. Last time we talked about close to maybe an INR1,200 crores to INR1,400 crores kind of expanse capex we are looking for the Rajasthan expansion. So, for that, how much capacity are we looking at of the clinker and grinding level broadly, roughly?
Jayakumar K: I guess, there are two models we are looking whether we should go for 6,000 TPD line or 8,000 TPD line, so we still started our engineering work to estimate the designs because it's Brownfield expansion. The Chittor plant originally when we put up, it was designed for a two -kiln configuration in terms of layout and overall infrastructure in the plant. ~ NuJoco·

So, I guess with that in mind, that's how the engineering design is being worked upon. So closer to the date, we will decide whether we will set up an 8,000 TPD line or a 6,000 TPD line but certainly the current line is 6,000 TPD line. So, on an engineer's answer, I would say, it's better always to have similar kind of equipment. So that we are able to get standardization but certainly business decision will come before engineering decision. So, we will make a decision closer to

the date. Whether the 8,000 TPD line will fit there with the maximum benefit for infrastructure or a 6,000 TPD line, but one of the two will happen.
Sh

ravan Shah: So, on a grinding level, it will be close to 3.5 million - 4 million tons kind of a grinding considering the 1.7 or 1.8 kind of a CK ratio?
Jayakumar K: North, it's not like that. 6000 TPD line would be about 2 million tons of clinker and 8,000 TPD line will be close to about 2. 7 million tons of clinker. So, the CK ratio in North is far lower than east. So, Mita have been mentioning that our OPC is a non -trade route. OPC route will come down at a company because we want to maximize the capacity . Even at a very conservative number of about 1.6x , ~2 million tons of clinker would be ~3.2 million tons of cement and ~2.7 million of clinker would be ~4 million tons of cement. Certainly, the grinding unit will not be inside Chittor. It will be a split grinding unit and here again, we are working whether it will be western MP or it will be in western UP, based on a fly ash source model.
Shravan Shah: Lastly sir, data points lead distance, clinker cost for this quarter and the fuel mix for this quarter?
Jayakumar K: Fuel mix for the quarter 2 was 1. 74. For the same period in Q2, it was 2.64. In Q3, I guess, this number will come down little bit more than 1. 74. In terms of lead distance, we have been able to reduce lead distance by 8 km in quarter 2 versus quarter 1.
Shravan Shah: So Pet coke imported coal, linkage coal share was how much sir, for this quarter?
Jayakumar K: Okay. Granular details if you want, I can rattle out, in Q2 Pet coke 47%, imported coal 1%, non -linkage (domestic) 12%, linkage 25% and that's it. AFR ~14%.
Shravan Shah: Thank you, sir .
Moderator: Thank you. We have a next question from the line of Sanjeev Kumar Damani from Skd Consulting. Please go ahead.
Sanjeev Damani: Thank you for the opportunity and good afternoon to all you and my respect for you all as leading management operating such large cement plants. Sir, my question is one, regarding the efficiency of our plant on energy side, so can we say that, we are most economical today or are best comparable to the industry standards, I want your comment on this, please sir?
Jayakumar K: Can you restate the first line of your question, if you restate the question one more time, I will catch it please?
Sanjeev Damani: No problem, sir. Actually, it is regarding our efficiency, energy efficiency of our plant on fuel side as well as power side, so are we most economical producer of cement or we are still to do something to get most economical? ~ NuJoco·

Jayakumar K: Okay. In our industry, if you really look at there are three energy levers in the company, one is the kiln SHC, then you got the clinker SPC and then you got the grinding SPC and Nuvoco is uniquely placed with all our kilns . We have got captive power plant but that is nothing to do with energy efficiency, just a sound decision to ensure that, we are able to buy, generate our own power from coal rather than buying from grid power because grid power is expensive.
The second one is, how do we reduce the specific heat consumption of kilns. We have got multiple generation kilns in the company . The oldest kiln is made in 1984 . The youngest kiln is installed in 2016 . So that is , the kind of the , six kilns are like 40 years from each other, but the youngest kiln runs at 685 kcal per ton of clinker, which is easily one of the best in the industry. This is a six-stage preheater and it is similar comparable to any other energy benchmark in the industry. We also have a 2013 installed kiln at Chittor, which is not a Chinese design but then that kiln has made giant progress in the last two years - three years and it has been ab le to match the 2016 kiln . It is also running at 688 kcal - 689 kcal per ton. I think, these two are our flagship kilns.
The Sonadih line 2 is also about 700, so suffice to say, our blended S

HC for the company is
anywhere between 702 to 710. If you really look at the average of us with the best in the industry, average will be more than best in the industry, but two kilns in our company will be equal to the best in the industry, that is on the sp ecific heat consumption.
Again, in terms of power, we have got ball mill, we have got VRM, so I guess the VRMs running in Jojobera as well as our Risda plant are operating at 30 - 31 units per ton of cement and that again almost equal to the best in the industry. Our ball mills operate at 26 - 27 again that is also fine numbers.
The unique factor, which Nuvoco has , which we are very proud of , one of the energy efficient companies in the industry comes from our WHR systems. We have WHRs which are fitted in all our kilns and the installed WHR capacity is about 45 megawatts and in the entire industry, we are at 2:1 installed capacity to WHR, whic h is I won't be able to exactly compare with every other competition but suffice to say, we should be one or two in this.

And last but not the least, in terms of alternate fuel consumption against a global benchmark, the Indian benchmark of 8%, we are at 14% in India, easily better than the Indian average. Global average is about 20% AFR consumption, we are at 14% but once th e Nimbol and Risda factories scale up, our AFR usage will be also excess of 20%.
So, with AFR at greater than 20%, WHR is at 45 megawatts , CPP in all our kilns and the two kilns which are running at SHC 685, 688, suffice to say, we will be one of the best in the country in terms of energy efficiency.
Sanjeev Damani: Thank you very much, sir, and I hope, whatever is still to be done, you must have in your mind to correct it. Second question is regarding capacity utilization. I noted during the discussion that we produced 45 lakh tons in this quarter. I noted that, you have a capacity of 1.9 million tons in the east and rest is in the north. So, can I know the capacity utilization in the last quarter in north as well as in east, can you kindly? ~ NuJoco·

Jayakumar K: Okay. So, 23.82 million tons is our current installed capacity. If you have to do quarter by quarter, so roughly '24 -by-4 is 6 million tons of capacity and out of which, if I did 45 lakh tons, we are operating at about 75% capacity utilization in Q2 .
Sanjeev Damani: Okay, but can you -- peak utilization out of 1.9 and how much is on the north side?
Jayakumar K: Right now, I am not having the exact number but I guess, if you reach out to our investor relations, they will be able to give you utilization in east and utilization in north but as a company, we were at 75% in Q2 but come Q4, our old DNA of the company is operating at 90% capacity utilization. So, you will see us go back very quickly from a test match to an ODI to a T20 mode very quickly.
Moderator: Thank you we have a next question from the line of Urmik Chhaya from Asian Market Securities. Please go ahead.
Urmik Chhaya: Just one question. Clinker needed to be bought in north because of kiln shutdown due to maintenance, during monsoon month. Isn't it a normal every year recurring features, that in monsoon the kiln shutdown and companies pile up clinker stock during the pre vious quarter. Another reason I ask is that, CC is obviously lower than east, you don't have Concreto in north and in terms of pricing, I don't think you are among the top five in the region, you saw from the northern plant. So, isn't that substantially negative for margins?
Jayakumar K: Okay. First answer to your first part. This clinker purchase in north will not be an annual phenomenon. It was only a unique phenomenon for this year simply because we had to take a 45-day shutdown in Nimbol plant for annual shutdown plus debottlenecking project, which was happening there. We needed 45 days to fit the vario

us other parts to ensure the line capacity went up to 6,000 TPD.
So, it's a one-off thing it will not happen, but rest of the year, we normally -- we don't buy so much clinker at all to run our company. We always have our own clinker to run our company. At 4 million tons of installed clinker capacity in north, we will make 6 million tons of cement. That's the kind of number we have for north, that's the installed capacity.
As regards to your second question of Concreto, we don't have any plans to launch Concreto in north. Concreto is a uniquely slag cement, which is unique to east and that's where we are market leader. North our premium product comes from Duraguard Microfibe r, which our marketing head Madhumita said about patented product, which is unique. That's our premium product offering in north.
As regards pricing in north, we are just eight years - nine years old company in the north. I guess our entire DNA is to run a premium products company . More and more Duraguard Microfiber will sell in the market in the north region in the coming years and certainly our ambition is to get into top three of pricing in north in the near future.
Moderator: Thank you. We have a next question from the line of Amit Murarka from Axis Capital. Please go ahead. ~ NuJoco·

Amit Murarka: Yes. Hi, thanks for the opportunity. So just on demand in east, like we have seen last two quarters been quite soft in east. So, could you highlight, what has pulled down this trend of strong demand in the region and what's the outlook for the region?
Madhumita Basu: Thanks Amit, for the question. We have also addressed this in our previous calls. Right from Q4 of last year, demand has remained soft in Bengal and Jharkhand initially and last quarter we saw Bengal and Bihar. So Bengal has remained on the lower side and that is why, even in my speech

I made a reference, that we continue to remain bullish looking at the potential in West Bengal particularly, release of funds for PMAY projects has a very favourable impact on our business, which is IHB or Ind ividual Home Builder or trade driven business.

So, we will just have to see, we remain optimistic that, when this demand opens up, when funds flow improves in the market of West Bengal, we are sitting on some good potential.

Jayakumar K : Phenomena in Bengal is temporary . Yes, it's been there for the last three -four quarters but things should change in east because the reports about cement industry for the future, if we look at the regional growth plans and any released report by all the research houses , analysts very clearly says in the next five to 10 years east will be continuing to grow at 8%, 9% CAGR. So overall industry will be about 7% , east will be faster than the industry. But that's not come true in the last two quarters. But I guess all this is based on the data of infrastructure roads, PMAY and rest of the underdeveloped part of India is largely located in east. So that's one of the reasons why lot of capacities are coming in the east, and the entire industry is looking at east as a growth engine for the infrastructure and cement industry and things shou ld certainly improve in the coming quarters

Amit Murarka: Sure. Understood. And your freight cost has been quite volatile, I understand part of it is because of rail, rakes availability and all that. But is the situation stabilised on rake availability and what's the plan to mitigate this volatility in freight c ost?

Jayakumar K: I think freight cost is a function of external levers and internal levers. The external levers are all coming out of the fuel price as well as the second one is all about rail freight and rail rake availability. Rake availability we are constantly knockin g at the doors of Indian railways to release more rakes and ensure that the wagon supply is adequate fo

r us. As you know that

Nuvoc o has got a relatively very good index of rail share in the overall east market.

The other thing for us to exploit this advantage is the reason why we are setting up railway siding in our Odisha cement plant in Jajpur and extending the railway siding in Sonadi. So that we are able to get the benefit of it. And you would know that if you have more and more siding then the allocation of rakes from the Indian railways is a little bit of a formula driven based on the siding s one has and with these two sidings coming in, we should get more rakes for clinker and more rakes for wagon. So that's the external factor.

As regards the fuel cost as well as the freight rate very difficult for us to comm ent. That's all now open market rates for fuel and then as and when the fuel rate changes the overall freight rate increase. But we got the industry also works with the formula for how much of defraying the fuel cost and the overall freight rate it should be ok for ev eryone. But having said, this about ~ NuJoco·

the external levers what as a company we have to focus and are focusing is based on two such, two other levers, which Madhumita mentioned about the bridge program. One of it which we can certainly do is increasing the Geomix and reducing the lead distance.

In this quarter we are able to reduce the lead distance but our aim is to reduce the lead distance in east by minimum 10 km in a medium to long term that's one of the biggest agenda which as a company we are trying. The second lever which we have is to inc rease the direct dispatches and circumvent the STM route and here we see a huge opportunity, but it is going to be a challenging one because, we got to change the trade practice. But nevertheless, we are committed to take the low hanging fruit since those states where we can migrate from STM route into SO route we have already set targets to move about excess of 55%, 60% a t a blended company but in the long run even 60 is not a good number, we should have an ambition of going up to 75% and we can unlock INR50 - 60 rupees out of secondary dispatch freight cost. So, freight cost reduction , increasing rail movement and reducing lead distance, all these are the big agendas for the company in the medium to long term.

Amit Murarka: Got it, got it thanks for the detailed response. And also, like you mentioned your clinker cement capacity is going to 25 MT after the Bhiwani grinding unit. Similarly, what is the clinker capacity now with the debottlenecking that has happened at Risda and Nimbol?

Jayakumar K: North our installed in clinker capacity is four million tons and east it is 9.5 million tons . So overall as a company we will have 13.5 million tons of clinker and the corresponding CK ratios will land us to 25 million tons.

Amit Murarka: So, this 13.5 is all operational now, right? I mean the debottlenecking is all completed now?

Jayakumar K: Clinker is all operational . Grinding (Bhiwani) is under commissioning as we mentioned little while ago , by end of Q3 mill will be running at full speed and then packing lines will come around December Jan uary. So, by end of this next year we can safely say we are home and through for 25 million tons

Amit Murarka: Got it, got it. Thanks a lot

Moderator: Thank you we have our next question from the line of Parth Bhavsar from Investec please go

ahead
Parth Bhavsar: Hello. Yes, thank you for the opportunity. Sir, I wanted to understand that we have done quite well operationally just that the other expenses has shot up by INR150 per ton on quarter -on-quarter basis. So, I believe this would be on account of the maintenance shutdown that we have taken, right. But is there anything else besides the maintenance shutdown?
Madhumita Basu: Just a give us a minute, we are just recalling that sheet.
Ja

yakumar K: Quarter one to quarter two increase in other expenditure is totally a function of the shutdown as well as the shutdown expenditure of the company. ~ NuJoco·

Parth Bhavsar: Okay. So, nothing else, right. So, this will normalize going ahead like it will come down in the range of maybe 700 to 750?
Jayakumar K: I am sorry, that is the only reason for Q2 to Q1 other expenditure increase. So, this will come down moment our shutdown are already completed and Q3 this number will come back to normative levels.
Parth Bhavsar: Okay and just sir, can you help me where the shutdowns were taken like if you could just name the plant?
Jayakumar K: Specially , we have six kilns. So , we have completed shutdowns in five out of six kilns . Even in sixth kiln, in the month of September , we have done part work . So, for the year more or less , shutdown in kilns is done . In cement mills , shutdown in majority of the mills is done and for the balance mills , small shutdown cost will be there but that's not going to impact results this year at all.
Parth Bhavsar: Shutdown and the kilns is done like and also wanted to know like how many days these kilns were shut down for?
Management: That will be very difficult for me to remember every kiln how many days shutdown was done. I only remember the Nimb ol shutdown because I was personally monitoring . It took 45 days for us to shutdown the kiln and debottleneck for 6000 TPD.
Parth Bhavsar: Okay. That's it from my side. Thank you so much.
Moderator : Thank you. We have a next question from the line of Navin Sahadeo from ICICI securities please go ahead
Navin Sahadeo: Thank you for the opportunity. So, my first question was regarding the repayment schedule for or towards acceptances. So, what I gathered from the annual report is that of the total trade payables of INR1 ,700 odd crores roughly INR1 ,467 crores is due or payable within less than a year. So, my question was that, are we likely to get a rollover of this acceptance facility or on this trade payable facility , can there be a meaningful decline more like INR1 ,100 odd crores of normalized levels that were there prior to the spike that we saw last year?
Maneesh Agrawal : Thanks Navin for the question. The trade payables is all about our negotiated terms with the vendors , both on the raw material side and fuel side. Given seasonality, in the current quarter, this is on a higher side . However, we have been able to get better payment terms due to our negotiation . And as the volume picks up, this may go up . But obviously , it's not going to go down to a level of INR 1100 crores in Q3 and Q4.
Navin Sahadeo: Right, so no, it's great. I mean, if you can get that kind of a credit facility it's definitely great, I'm only trying to understand if there is a repayment due to it?
Maneesh Agrawal : As I clearly mentioned , there is no repayment , Navin just to be more specific , in fact, I have been talking about this in the previous quarter s as well. Working capital management has always remained a paramount focus for us at Nuvoco. And on the raw material side, we have been ~ NuJoco·

continuously negotiating our payment terms with the lenders . So, this is primari ly through both the routes of trade financing of LC /BG and the open credit that we enjoy given our position in the market. There is no repayment scheduled as such for this trade payable.
Navin Sahadeo: This is absolutely great and congratulations to you for doing such a great negotiation there. So, my second question just a confirmation in response to the call a couple of turns back did Madhumita ma'am say that the exit for the exit price or the exit realization for September quarter was 7% higher

versus the average for the quarter?
Madhumita Basu: I mentioned quarter -to-quarter June exit to September exit.
Navin Sahadeo: Okay. September exit was 7% higher versus June. I get it.

Madhumita Basu: Sorry Navin, as I mentioned the price increase was realized in the month of September that is why an exit-to-exit compar ison.
Navin Sahadeo: Of course, of course. That's great. Thank you so much.
Moderator: Thank you we have our next question from the line of Tejas Pradhan from Citigroup please go ahead.
Tejas Pradhan: I heard the call that you mentioned in North saw 14% volume growth in this quarter 2Q. Can you share the same number for the East?
Madhumita Basu: East has been very marginally lower and we have a little bit of business in Centre. So, between East and Centre we've been about 1% to 2% lower .
Tejas Pradhan: Ok. thank you.
Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Ms. Madhumita Basu for closing comments, over to you.
Madhumita Basu: Thank you, Yashas hri. So, in conclusion firstly, thank you all for attending the call and for your questions. Cement demand is expected to be driven by housing and government led infrastructure development projects. We continue to remain optimistic on the potential demand uptake f rom pending PMAY and infrastructure projects in East.
We continue to focus on operational efficiencies and remain committed to our growth projects.
As clarified with an early closure of the earnings call, we look forward to being available for any clarifications and further discussions that you would like to have with us. Thank you once again, for joining us today. Wish you all a happy Deepavali and a prosperous new year.
Moderator: Thank you, ma'am. On behalf of Nuvoco Vistas Corporation Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. ~ NuJoco·
Shaplng Q new WOTld ~

Call: Feb 2024

NUVOCO VISTAS CORP. LTD.
Ref. No.: Sec/154/2023-24
February 2, 2024
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai -400 001
Scrip Code: 543334
Scrip ID: NUVOCO
Dear Sir/Madam , ~ ® NUvOCO
Shaping a new world ~
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051
TradinQ Symbol: NUVOCO
Sub: Transcript of Investor and Analyst Conference Call on the Unaudited
Standalone and Consolidated Financial Results of the Company for the quarter
and nine months ended December 31, 2023
Further to our letter no. Sec/140/2023-24 dated January 22, 2024, letter no. Sec/145/2023-24 dated January 29, 2024 and letter no. Sec/147/2023-24 dated January 30, 2024, please find enclosed the transcript of the Investor and Analyst Conference Call held on Tuesday, January 30, 2024 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2023.
The same is also being made available on the Company 's website at www.nuvoco.com.
This is for your information and records, please.
Thanking you,
Yours faithfully,
For Nuvoco Vistas Corporation Limited
Shruta Sanghavi
SVP and Company Secretary : UMBAI .r
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* Encl:a/a j
Nuvoco Vistas Corp. Ltd.
Registered Office: Equinox Business Park, Tower•3, East Wing, 4th Floor, Off. Bandra Kurla Complex, LBS Road, Kurla (West), Mumbai 400070
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CIN•L26940MH1999PLC118229

“Nuvoco Vistas Corporation Limited Q3 FY24
Earnings Conference Call ”

January 30, 202 4

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY –MANAGING DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF (MARKETING INNOVATION , NORTH SALES AND BUSINESS DEVELOPMENT), NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL OFFICER , NUVOCO VISTAS CORPORATION COMPANY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call of Nuvoco Vistas Corporation Limited.
We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that the Company faces. The Company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Madhumita Basu – Chief (Marketing Innovation, North Sales and Business Development) of the Company . Thank you and over to you , Ms. Basu.
Madhumita Basu : Thank you, Da rwin. I'm happy to take over from here. Good evening, everyone. Thank you for joining the N uvoco Call to review the Third Quarter Results . I know it's been a busy day with a number of corporates reporting, and we appreciate your interest in attending today's call. I trust everybody has had a chance to review our Earnings Release Documents which are available on our website as well as stock exchanges.
I shall touch briefly on the macro environment before reviewing the Q3 FY24 performance :
Indian economy continues to sho w resilience and buoyancy despite global economy remaining fragile. The headline PMI for the manufacturing sector has remained over 50 consecutively for the past 30 months indicating expansion in the sector. GST collections grew by 10.3% YoY to Rs. 1.65 lakh crore s in December 2023. This marks the seventh month so far this year with collections exceeding 1. 6 lakh crores. Real gross domestic product is projected to clock 7.3% in 2023 -24 from 7.2% in the previous year. This augurs well for cement demand.
Looking internally now at Nuvoco's performance for the Quarter Ended 31st December 2023 :
During the quarter EBITDA grew 55% Y -o-Y to Rs. 421 crores. The Company has worked on a number of leve rs to deliver EBITDA per ton of Rs. 1,048, the highest in the past 10 quarters. Despite volume de growth, we stuck to our s trategy of value over volume which resulted in robust uptick in realization per ton. We reduced our operating costs primarily in the area s of raw material and power and fuel .

Moreover, our EBITDA per ton number should be studied in the context that it does not factor in incentives f rom Panagarh and Rajasthan plants, which cumulatively have an impact of Rs. 45 per ton . It is pertinent to mention that we stopped accruing the incentives from Panagarh plant effective April 2023 and the incentives from Rajasthan plant ended in June 2023. Net -net, our strong EBITDA growth margin expansion are a testament to our operational excellence, which focus es on cost efficiency and value -led growth . We will continue to maintain rigorous attention to operating costs .
Let me brief you on three major cement cost elements :
Power and fuel costs reduce 7% quarter -on-quarter due to higher linkage mix, decline in coal and pet coke prices and higher utilization of CPPs and WHRs. Cement raw material cost per ton decreased 13% quarter -on-quarter due to decline in slag and f ly ash cost .
On slag:
Nuvoco continues to be better placed due to its long -term supply agreement. Distribution cost per ton remains flattish quarter -upon -quarter despite the busy season surcharge on rail freight practically for the entire Q3 period .
On cost saving initiatives :
Our proje

ct BRIDGE program, which focuses on cost saving measures purely from efficiency improvement is progressing well. I shared in earlier calls to improve margins , Nuvoco remains focused on measures such as premiumization, innovation, geo -optimization, trade share improvement, fuel mix optimization, brand strengthening and cost ef ficiency. Additionally, the Company flagged off a channel integration program offering premium brand Concret o and Duraguard Microfiber to the Double B ull channel.
On premiumization :
Premium products continue to remain a key focus for the Company and have contributed significantly with a 36% share of the Company 's cement trade volumes in Q3 FY2 4. Our trade

share also increased Y-o-Y to 73%, thus reinforci ng the strength of the network.
Building upon this leadership, we recently launched a brand new marketing campaign for the Duraguard franchise "Seedhi Baat Hai Duraguard Khaas Hai", which underscores its unique features and reinforces customer trust. As part of the IHB driven rural reach program, the Company also introduced an engaging brand activation program, "Sabse Khaas Sarpanch ", showcasing impactful stories of Sarpanches contributing to village development.

We also rolled out the new cement packaging designs. The Nuvoco logo will now be prominently placed on the front of the cement bags. The new design will highlight a much stronger bond between the mother brand and its sub -brands while also instilling confidence in our channel partners and IHBs , Individual Home Builders.
On the cement demand front :
As you are aware, a ll India industry volume growth for Q3 FY24 has been relatively benign at ~3%. For Nuvoco demand in the North region remains strong and was better than the industry . In the East core markets of West Bengal, Bihar and Jharkhand witnessed weak demand during the quarter . Festivities , assembly elections coupled with fiscal challenges by states had an impact on the cement demand during the quarter. We remain optimistic on the demand going forward as significant portion of infrastructure programs are under execution by the government . Currently, as we speak, 30 lakh houses under PM AY program are pending for completion in the East, out of which 14 lakh houses pertain to just West Bengal. ~20,000 k ms of roads under the Bharatm ala Pariyojana Phase -1 is yet to be constructed, out of which 3600 km s is in the Eastern region . Our strategy in the East continues to remain prioritizing value over volume growth. In the N orth, as Haryana Cement Plant expansion is complete, we are in much better footing to consolid ate our position in the region.
On debt :
As part of our deleveraging plan, we have reduced net debt by Rs. 632 crores Y -o-Y to Rs. 4,533 crores as on 31st December . Historically, net debt has been on a declining trend as our focus on net debt reduction remains a top priority. Interest rate at 8. 47% on the other hand, reduced by 2 bps compared to March 23 despite repo rate remaining the same.
I will now briefly touch upon Ready -Mix Concrete business and Modern Building Materials businesses :
Both businesses are performing well. On the Ready -Mix Concrete business, we have commissioned five new plants in the current fiscal, b ringing our total to 56 plants pan India . We believe Ready -Mix b usiness has a lot of scope in India given that the business is at a relatively nascent market level with penetration hovering barely at 10%. In Modern Building Materials , as our products provide superior, durable and sustainable solutions to its customers, we are seeing improved traction in the cement channel to offer compl ementary products such as construction chemicals, Ready -Mix mortar s and tile application products.
Sustainability :
At Nuvoco we recognize that robust sustainability management and performance is essential in creatin

g value for our stakeholders, including customers, workforce, community, suppliers and

shareholders. Our sustainability program called Protect Our Planet aims at achieving environmental and social sustainability through participation from cross functional teams across the organization . It encompasses sustainability roadmap, circular econom y initiatives, green energy contribution, water positivity and biodiversity management. We are focusing on enhancing the use of alternate fuel, improving the share of composite cement and conserving natural resources.
I would now like to share the progress on key sustainability parameter :
As mentioned during previous calls, we are one of the lowest carbon footprints in the cement industry at 462 Kg CO_2 per ton of cement itious material duly validated by KPMG for the year FY23. Our alternate fuel rate has improved by 5% on Y -o-Y basis to 14% in Q3 FY24. During the quarter, Chittor Cement Plant demonstrated capability of 35% AFR, while Nimbol, you will recall where the AFR feeding system was recently commissioned in Q4 FY23 has also demonstrated capability of up to 25 % AFR.
Finally, a round -up on our growth projects :
A quick update on our key ongoing CAPEX programs. I'm happy to share that we have successfully commissioned the 1.2 million ton per annum cement mill at Haryana Cement plant, elevating the overall cement capacity to 25 million tons per annum. Railway siding projects at

Odisha and Sonadih is progressing well. Currently, track la ying activities are under progress.
With this , I conclude my opening remarks. I'm joined here by Mr. Jayakumar Krishnaswamy – Managing D irector, Nuvoco Vista s and Mr . Maneesh Ag rawal – Chief Financial Officer of the Company .
We are here together to answer your questions. Thank you.
Madhumita Basu : Thank you very much. We will now begin the question and answer session. The first question is from the line of Raghav Maheshwari from Asian Market Securities. P lease go ahead.
Raghav Maheshwari: Firstly, good set of the profitability. My question is regarding to the volumes. There are very few occasions where we will see the volume degrowth in primarily Q3 rather than compared to the Q2. Can you please a little bit elaborate what is the reason . Is it because of the East price hike taken at the end of the Q2 and start of the Q3 or there is some other reason?
Madhumita Basu: Thank you, Maheshwari, for your question. So, yes, it's been a mixed bag, as I mentioned in my speech too. We have seen significantly muted demand in the key states of Bihar , Bengal and Jharkhand . While there is a lot of potential in the pipeline in terms of Bharatmala roads and the

PMAY programs, its actual fruition at market level is something we have not seen in either Q2 or Q3.
Raghav Maheshwari: Ma'am, so industry has de -grown from the larger number compared to the Nu voco Vistas or how we place d against the industry, parti cularly in the Eastern markets?
Madhumita Basu: Just to take you back on a few calls that which we have been mentioning, our footprint is strong in the markets of Bihar, Bengal and Jharkhand. So, definitely a muted demand in this part of the geography would have a specific impact on our footprint and business.
Raghav Maheshwari: Ma'am, I just wanted to understand only with respect to particularly East industry , has also de - grown in a significant way or our number is better compared to the industry in terms of the volume de -growth ?
Jayakumar Krishnaswamy : Yeah, you've got to look at it different . Almost all companies have got an all India footprint and they have reported volume growth or de -growth or muted growth at an all India level. We are a Company which is highl y indexed on East and a good presence in North, but solid pr

esence in
East. So, we do not have publish ed region -wise sales of all companies as well as that 's not there. But in general, if you see, the core states with my colleague spoke about Bihar, Bengal and Jharkhand , they have muted demand as well as reduction in offtake in the months of October, November, December . So, while your question , can price rise that happened in October, did kind of cost drop in demand, that was very short phenomena because no industry has continued reduction in demand in spite of price because basically eventually house building will always happen in the medium to long run , maybe a few weeks, one or two weeks there can always be some changes, but eventually the demand picks up. But surprisingly this quarter , Q3 in many years of the industry, the demand post festivities normally picks up, but this quarter did not pick up and continued to be very dull entering November as well as all the way through to December . And if one may look at arrivals of all the major players in East, certainly I think all the leading players in East will have reduction in sales in the East region, more so in Bengal, Bihar and Jharkhand. Of course, elections also played a part in Chhattisgarh and in general MP elections and generally , elections were also there which also played a part in November and December. So, net-net if you have to look at it, Q3 has been a quarter especially in East because of reduction in demand and while having said that, my colleague also said that market will grow. The intrinsic capability of the Indian economy as infrastructure will grow going forward , so I guess this is a temporary phenomena we'll have to take it on our stride and then look forward and where we had a good focus in N orth. We grew handsomely in North. Our gr owth in Q3 is one of the highest in the history of Nuvoco in North, that is the kind of sales we have achieved in the Northern region in last 6 months. We will continue to and that's how the 1.2 million ton capacity in North is also going to help us to grow, debottlenecking Nimbol will also help us to grow our North business. So, the North is one area where while our capacity is limited but we will really grow ahead of industry which happened in Q3 . East is a region where in general the market was a little

bit subdued and I guess this quarter has been a little bit of a challenging quarter for the entire cement industry in East . So, in January and going forward, I think things will improve. We are fairly confident that the market will rebound very quickly.
Raghav Maheshwari: Got it. Thanks for the detailed answer. And sir last question for the Emami side. So, how is the Emami brand doing right now particularly in the Eastern market? Is it better? And what is the price gap between existing Double Bull and the Nu voco's old product of the Lafarge, Nu voco

Durag uard? How it's placed between the Emami and Nu voco, strategy basically?
Jayakumar Krishnaswamy : We acquired Double Bull brand through the acquisition and it had very good presence in certain markets. But over a period of time, we realized that Durag uard is a much stronger franchise than the Double Bull franchise. So, we have a phased and a detailed plan to move from Double Bull to Durag uard product portfolio in the channel. That phasing is already happening, barring 2-3 markets, I think in markets of Bengal, Bihar, and Jharkhand , quite a bit of shift has happened and couple of other markets I think we are doing it in a Phase d change but as a Company strategy , one of the points which my colleague mentioned little while ago was the first thing we did was to kind of place our premium Concreto in the Double Bull franchise to ensure that channel is clued on to our portfolio of Concreto in premium products . Over a period of next two to three quarters, we will gradually move t

he other end of the product in the case of Double Bull into Duraguard franchise. But certainly for sure that we will not put an abrupt stop to the product overnight, it will be a phased plan. We have a strategy in place and we are very well executing the strategy as per the plan which we have made for ourselves. Maybe two, three quarters is when complete shift will happen. But till then, there will be tapering down of the Double Bull channel.
Raghav Maheshwari: Sometime before we have launched Emami in North also , Double Bull . So, what is the strategy when we are removing from one market and introducing in other markets because of there is a n acceptability of beyond the Dura guard, it's introducing as like new brand , what's the strategy behind that?
Jayakumar Krishnaswamy: I think good question. This launch of D ouble Bull happen ed right one quarter after the acquisition of the Company . At that time we had additional capacity available with us and then our short -term strategy was to somehow find a way to fill the pipeline in North and get some immediate bids. However, even when we launched Double Bull , we are very clear that we will launch Double Bull only on one or two markets of Haryana and Western UP. We did not launch Double Bull in Gujarat or in Western MP or Rajasthan. These are very large markets for us. We want ed to grow only in Duraguard. So, a little bit of a short -term tactic to kind of get thing going, but having said that the key program for the Company is to do a brand rationalization, have two key products Concret o (on the sl ag cement category) and then Duraguard at the next level and non-trade at Infracem . So, there are still one or two markets in the North where we sell Double Bull, but over a period of next 3-4 quarters, we will Phase -out that as well.

Moderator : Thank you. The next question is from the line of Aman Agarwal from Equi rus. Please go ahead.
Aman Agarwal : Congratulations on the good EBTDA/t number. Sir, my first question was pertaining to the RMC business, RMC plus modern building material business , so just wanted to understand on your strategy for that business, now this question is coming because if we see on EBIT level , the contribution from that segment has not been anything meaningful in the last say , 12-13 quarters , so wanted to understand on the margins that we operate in this business on the EBITDA side and strategy going ahead?
Jayakumar Krishnaswamy: First of all, we will be in Ready -Mix business. So, we have strong plans for growing all the three verticals of cement , Ready -Mix, Concrete and Modern Building Materials. That is the first point I would like to inform you. Secondly, Ready -Mix business is a ll India business as you would know that the business came to our fold way back in 2010 with the L& T business, which got acquired into the organization. Around COVID time, we had a serious challenge because the entire metro based co nstruction had come to a halt and then we also did a major decision of closing down, winding up, turning down all the operations for a period of three to four quarters , but from then on from 2019 till 2023 , this business has made a huge turnaround. We are one of the most profitable Ready -Mix businesses in the count ry. So, like in cement , we call contribution , in Ready -Mix, we have contribution margin is what we call . That number in quarter 3 delivered the highest in the history of the Company at Rs. 975 per cubic meter . This is one of the highest In the entire industry. Having said that, how did all these things happen? Certainly in our entire portfolio, Nuvoco is the premium product in cements , it is also premium in Ready - Mix. So, we are very clear on that. Credit used to be a big challenge in the business. So, we sorted out the entire credit thing. We have about

35% of the business on cash and carry business .
We sell in I HB, we exited many project verticals in this because project is a low margin business. So, we kind of rushing the entire portfolio from 60 to 63 plan ts to 52 plants during the COVID time and now that we have proven successful model of selling in commercial as well as IH B throug h cash and carry and f ixed credit business model. We a re slowly scaling up the business , like Madhumita said, we have 56 plan ts now, happy to say only yesterday we inaugurated the 57th plant and by the end of next fiscal, which is FY25, we have plans to take the business to 80

plants and then in the next two years it wil l go to 100 plants sustaining at about Rs. 975 per cubic meter contribution margins . This will give a sizable absolute EBITDA to the Company even though the EBITDA percentage margin will be much lower than the cement . That is the nature of the business. So, we have to run this business profitably and expand this business.

Aman Agarwal : Very happy to listen about like expansion plans that we have for this business . Next, I wanted a clarification or understanding on our cost efficiency program that we have running internally, where do we stand right now? We talked about some 250 per ton kind of a saving and more than half of the saving was already delivered, just wanted to understand how are those parameters shaping up and on the cost item wise , which line item do you think has the highest potential to deliver cost savings from here on ?

Madhumita Basu : Aman, thank you for that question. We really need to take it up in two parts . When you are referring to the INR 250 per ton piece , it is project SPRINT . We have successfully closed this project and I have handled it a couple of calls back. So, if you are comfortable, I will walk you through project S PRINT separately. You are welcome to get in touch with me or the IR team. The program which we have now flagged off and which I have me ntioned in the previous quarter call is project BRIDGE . On the project BRIDGE , we are looking at all areas of efficiency optimization. So, just to give you some examples, optimizing the power and fuel cost by working on lead indicators like S HC and SPC, elimination of transit losses , controlling damages and demurr ages in transit, improving wear house utilization. So, it is certain shortlist of programs which is being driven with periodic reviews from the MD's office. We were looking at an order of Rs. 50 per ton savings out of the BRIDGE program rolling in over a 12 -month period. We are happy to mention that about Rs. 20 per ton of saving is what we are already seeing since the start of this project about 4 months back.

Moderator : Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Just to continue , so does that mean that we can see Rs. 30 per ton more saving is still possible?

Madhumita Basu : Thank you, Shravan for that question. Definitely , it is a program and we are chasing that number. As I said, we see it rolling in over a running 12 -month period.

Shravan Shah : Two-three things , first on the volume front, so 9 months, we have a half a percent decline , so looking at the number, correct me if I am wrong, I see still we will be seeing 7 % to 10% kind of a volume degrowth in the fourth quarter also, so will you please help us how one can look at in terms of whatever th ey are till now we have seen in January in terms of the how do one can see the volume for this fourth quarter?

Madhumita Basu : Shravan, just as a continuity on speech and the discussions we had so far, we did see de growth in two quarters on the run, particularly in some of our key states and in overall arrivals into the Eastern region . However, we woul d like to reiterate two things. Firstly, Nor

th, we have been riding more than the growth. We were to some extent restricted, but now with the commissioning of the Haryana cement plant, we would definitely like to push ourselves more to capitalize on all growth opportun ities in the North market. In the East, we are still very optimistic on the potential in the pipeline . We have an election year that has come up. There are budgets lying on various government projects and basically the challenge has been in terms of fiscal deficiency in the market s because these projects were not moving at the expected pace. We would continue to remain optimistic as we enter Q4. Definitely , every attempt to maximize volume in both regions, it is important to state here that with 25 million tons, we ha ve well spread -out headroom in all geographies to optimize on the market gains.

Shravan Shah : Just to understand, in terms of the prices, so current prices , broadly the January, our dealer channel check suggests that it is lower than the average for the third quarter , if you can quantify in terms of East and N orth, what is the broader Rs. 5, Rs. 8 decline versus the third quarter average?

Jayakumar Krishnaswamy: I will give all India blended price. I would not be giving a regional pricing that would not be right . As we ended December end, we are on the 30th of January. I have hardly seen some Rs. 20-Rs. 30 per ton of change in pricing on the lower side . That is not very big at all. So, that monthly changes will always happen to the tune of Rs. 3 -Rs. 4 per bag, so I am not greatly worried, but not a big drop has happened from what we were in December and Q3 average and January n ow. I don't see any indication at this point of time for any big change in the pricing. So, my view is going forward in February and March, this kind of price should hold, maybe a sensitivity of Rs. 2 -Rs. 3 per bag overall, Rs. 3 in January, another Rs. 2 in February. So, overall, we are looking at about Rs. 5 per bag kind of sensitivity. Having said that, there are very clear initiatives we are embarking in the Company . One is to increase premium. In fact, E ast is trending at a premium of close to about 49 -50% and at a blended level we are operating at a premium for over 36% as a Company . So, that will be one big lever. Second is again the geo mix lever of trying to sell more in states where the pricing and realization is much better. That is the second lever. Third is the pricing acceleration program in the Company where we tweak prices at an appropriate time. Even in the last 4-5 months, we have gone and taken a price increase in Concreto , we have taken price increase in Double Bull in Bengal , we have taken price increase in Duraguard in North India. So, overall, we have made a small price increase independent of the prevailing market prices. So, our aim is in the coming quarter we will find a way to adjust the price in such a way that we don't have the major impact due to any external factors .

Shravan Shah : So, simply propagate so the Rs. 1,000 plus kind of EBITDA per ton considering the Rs. 30 cost, further saving would be there over next 9 -12 months and the pricing remains stable , so we can see Rs. 1, 000 plus kind of EBITDA per ton, s o that is the most important . Just last on the expansion and the CAPEX , so how much we have done and what is the new number for this year and next year, definitely it depends on our Chittorgarh expansion , but when we like to go ahead with the Rs. 3,500 to Rs. 4,000 crore net debt, s o when we see that net debt and when we will announce that expansion ?

Jayakumar Krishnaswamy: Consistency is the hallmark of our investor ’s call that something is very clear. So, I am going to say something which I have been telling in the past itself, which is the CAPEX plan. You wanted to know about the CAPEX plan for this

year. So, our CAPEX plan broadly had Nimbol’s expansion, Sonadih Railway Sidings, Odisha Railway Siding and Bhiwani expansion, these are the four big CAPEX .

Shravan Shah : I wanted the number?

Jayakumar Krishnaswamy: Yes, I will give you. I will give you. This year we had 9 months , we are at Rs. 457 crores of CAPEX and in January, February, March, we will end up spending another 150, give or take Rs. 10 crores here and there. So, we are looking at Rs. 610. If you remember 2 calls back, I said our CAPEX outlay for this year is around Rs. 650 crores. So, we will be ending about Rs. 610-Rs. 615 crores will be this year's CAPEX. So, balance Rs. 20-Rs. 30 crores will be unfinished of the current CAPEX , which will happen in next year. Next year , we have two b its. One is the routine CAPEX . Here we are looking at close to about Rs. 500 odd crores as current outlay of CAPEX for next year. As regards , the Greenfield or the brownfield expansion either in Chittor or any other place, we will inform you at the time when we make a decision to start construction , but baseline condition for looking at expansion will be to pa re our debts to ~Rs. 3,500 to Rs. 4,000 crores. So, right now , we are at Rs. 4,533 crores. We expect in Q4 end and somewhere in April we will come to that kind of ballpark number and that is when we will make the serious decision of when we will start the expansion for the Company .

Moderator : Thank you. We have the next question from the line of Satya deep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : The last few quarters, we have been seeing some market share losses, but good to see decent price gains this quarter. So, on that strategy, I want to come back, we have seen some management changes on the marketing sales front in the last few months , the entire , what changes have we seen in the last few months in the new team for marketing and sales ? I believe all these things would have been tried historically also , premiumization and all geo mix , what is different that you are doing now versus what was there and are there any differe nt strategies between North when you look at different levers for increasing prices, that is the firs t question ?

Jayakumar Krishnaswamy: I will talk about on design and Madhumita will talk about the market strategy. I don't think we have made any organization change at all. So, we had one more which happened many months ago and that necessitated internal realignment . In terms of leading the marketing function, Madhumita continues to lead ahead marketing, which she was doing prior to that change, just that she has an additional responsibility to run North sales along with her other portfolios. So, there is consistency in the approach. So, there is not any change, not an iota of change in the way you look at the market a year ago and year now, we have been consistent . As regards to our approach to North and East, I will request Madhumita to explain to you , what are the broad themes and how we are going about enacting those themes in the market.

Madhumita Basu : So, Satyadeep , thanks for the question. Basically, as you know, the North and the East markets for us are different in its construct as well as the presence and footprint of our brands. So, when East, our focus continues to remain on maximizing business in geo-optimizing states of Bihar, Bengal and Jharkhand, w e work in all these three markets with a very strong Concreto franchisee now. We have Concreto and Concret o Uno . We have a good brand portfolio of Duraguard with premium products , Duraguard F2F and Duraguard microfiber . So, to our us with a 50 %-52%

premiumization share in the eastern part of the country , our principal strategy is geo-optimizing and driving the pre

mium ization . At that strategy level, what is different in the North, North
firstly, we have seen the benefit of increasing volumes progressively in this year. Firstly, there was the debottlenecking in Nimbol, this make available to us more cement from the Nimbol plant itself . Further, recently we have now seen the addition of the Haryana Cement capacity of 1.2 million tons. In North, we have been able to stretch our premiumization levels in an industry and the market where premiumization barely hovers around 8 to 9%, we are at a 14% premiumization in North. So, premium ization there is a good journey and way forward plan. Primarily in Nor th, we have driven the levers of good market presence, sustained branding and communication programs and driving volumes both in non -trade and in trade. So, volume driven strategy is what remains basic and fundamental. We have length, speed and have had the capability to optimize on these opportunities given the additional volumes which has come in North . I hope that answers your question.
Satyadeep Jain : Yes, just a clarification in that, when you say Geo -mix basically walking away, is that correct to say that you are walking away from markets like Chhattisgarh and Orissa where you have maybe lower pricing, higher comparative intensity ? Is that correct in focusing on maybe Bihar , Jharkhand and Bengal, where you have Concret o and maybe higher pricing ?
Jayakumar Krishnaswamy: Satyadeep, I think you are a veteran, so price cannot be the only criteria. Obviously , contribution is very important o ver some beautiful positive reason , Chhattisgarh and Orissa, are high contribution markets in East right now. So, we run a program called Vijay Chhattisgarh in Chhattisgarh to take our numbers in Chhattisgarh to at least 40% more than last year's actual in the coming year. So, we got a robust plan to get volume growth in Chhattisgarh within the st uff and Orissa is currently trending at probably , I won't say historical high contribution margin, but the numbers are very attrac tive actually. In fact, Orissa contribution margins are higher than neighboring states. So, our t hrust in Orissa will improve in the coming year. So, within the framework of Bengal, Bihar, Jharkhand, they were the k ey markets for us in the past, but along with these three markets, Chhattisgarh and Orissa becomes equally attractive market for us to drive volu mes and thereby get more contribution .
Satyadeep Jain : Wha t is there on Geo-mix, so it is G eo-mix is not tied to any states as such, you are looking at states of a certain pockets, did you get better contribution margin?
Jayakumar Krishnaswamy: Because in Chhattisgarh , we have got 3 factories . At one time, used to a little bit of a challenge . The entire industry had some challenge in Chhattisgarh, but I think that i s kind of off and now with elections happening in Chhattisgarh, we see a good demand picking up in the state and we have Risda, S onadih and Arasmeta, high throughput factories. So, we would try and maximize the road -fed market in Chhattisgarh.

Madhumita Basu : Satyadeep , I woul d just like to add a point here. It is very definitely a strategic advantage that we ha ve with the acquisition of the E mami facilit y. We have a footprint today across 5 states and definitely we would want to be more agile in adapting our tactical plans at the market level.
Satyadeep Jain : Just one clarification question lastly on the routine CAPEX, you mentioned Rs. 500 crore is that and if it is sustaining CAPEX number without growth CAPEX , that seems slightly high for a 25 million capacity , would that be right?
Jayakumar Krishnaswamy: No, I can't give a breakup of what will constitute Rs. 500 crores, so it will have land, it will have some growth CAPEX, i t will have some sustaining CAPEX , some overflow fr

om this year to
next year. Let us start the year and I guess I will come back and maybe during the next call I will give a clear picture of what we intend doing in the coming ye ar. So, it won't be more than that kind of number which I mentioned.
Moderator : Thank you. The next question is from the line of Jas hand eep Singh from Nomura. Please go ahead.
Jashandeep Singh : Congratulations on achieving g reat set of EBITDA numbers. My first question is regarding raw materials , especially sla g cost, although I understand Nuvoco has a long -term agreement with plant a t Tata Steel, just wanted to understand the management can give us directionally especially quantifiably how much delta is there? How much Y-o-Y slag cost has increased for Nuvoco versus for the industry? Even a ballpark figure helps us understand the delta ?
Jayakumar Krishnaswamy: I can talk about Nuvoco, I can't talk about the price other companies have bought, but if we look

at our blended slag cost along with our long -term strategy with Tata Steel and spot b uying, we ended up spending close to about Rs. 1,333 per ton of cement. That was the slag cost for us . That was cost of slag, not per ton of cement , slag consumption rate is Rs. 1,333 per ton a nd market rates and spot rates are trending at Rs. 2,000 per ton outside, but we have made a very conscious call because the demand has also been a little bit tepid in quarter 3. So, we also walked away from high-cost slag and since we have back -end tie up, so that is why we are focusing on our own long -term sl ag. Q3 was Rs. 1,333, at the 9 month average it is at Rs. 1,430.

Jashandeep Singh : Sir, what will be the slag cost one year back?

Jayakumar Krishnaswamy: 3Q last year was Rs. 1,319, 3Q this year was Rs. 1,333, about Rs. 10-Rs. 12 more.

Jashandeep Singh : Sir, just talking about our volume mix, we see that C /K ratio has marginally declined this quarter , is that mean that the share of North volume was higher this quarter and what I mean is North and central combined and what with Haryana, you coming in, what can be a sustainable volume mix for ex-East region if you can just clarify that ?

Madhumita Basu : So, Jashandeep, very correctly summarized, yes, the North volumes have had some bit of an impact, but we also have to face the fact that we are just prior to a election period. So, there has been a very good uptake in infrastructure projects and wherever opportunities have looked attractive we have gone for the business. Haryana Cement plant will be 1.2 million tons of focusing on blended cement. So, the sligh t uptick that we have seen in OPC volumes this year would moderate as trade volumes pick up and depending on how the post-election projects and the mix of business settles . Directionally, w e have touched the hi gh of 1.82. We are now trending about 1.7 2-1.73, so definitely as capacity utilization s improve, we will be driving back to that C/K of 1.8.

Jashandeep Singh : And just two more questions. One quickly, the WHR, h ave we fully extracted all the potential savings from them post acquiring Emami plan ts, is that completely done or is there any incremental saving opportunity there available to?

Jayakumar Krishnaswamy: WHR , in fact, it was not an Emami phenomenon. It was Nuvoco phenome na. So, even before we acquired E mami Cement business all our kilns had WHR which we started installing from 2018 onwards . So, every single kiln along with the Ri sda kiln, all the six kil ns in the Company have WHR . The installed capacity is close to 45 megawatts of WHR. We are also debottlenecking to improve the W HR capacity by another about 3 -4 MW in the coming year , but having said that, all the WHRs are working in full capacity . Just that since the volume is a little bit low, we had to shut the kil ns for some periods of time for de-C

linkerization . Full potential of WHR didn’t happen . But next year i.e. Q4 and beyond once all the kil ns run to market demand, we will get the maximum benefit of WHRs and CPPs .

Jashandeep Singh : And what was the CAPEX for this quarter if I missed earlier?

Jayakumar Krishnaswamy: Of 9 months was 457 crores. We will end up spending another Rs. 150-Rs. 160 crores in the Jan , Feb, March 2024. We end up close to 600 crores give or take Rs. 10 crores.

Moderator : Thank you. The next question is from the line of Rajesh Prasad Ravi from HDFC Securities. Please go ahead.

Rajesh Prasad Ravi : Fuel cost per kcal , fuel mix and share of blended cement share in the cement m ix?

Jayakumar Krishnaswamy: Fuel cost, I will say fuel cost in Q3 for the Company was Rs. 1.67 per Mn Kcal , comparison with Q2 was Rs. 1.74 and same quarter last year Rs. 2.74. So, we are at Rs. 1.67 per Mn Kcal in Q3.

Rajesh Prasad Ravi : Fuel mix?

Jayakumar Krishnaswamy: Fuel mix, l inkage at 28% , non-linkage 1%, overall linkage and non -linkage i.e domestic coal at 29%, pet coke at 56% and import ed coal small 1% , AFR at 14 .2%.

Rajesh Prasad Ravi : Linkage you said is around how much, 25% ?

Jayakumar Krishnaswamy: Linkage is 28% and 1% non -linkage .

Rajesh Prasad Ravi : And 14% AFR, so this is helping you in terms of your cost stabilization, which few quarters were impacted earlier?

Jayakumar Krishnaswamy: Yes, this is one of the best quarters for us , even last quarter , quarter before also we were making improvements, but I guess 1.67 we will be right at the top.

Rajesh Prasad Ravi : Are you expecting further savings from the fuel side, sir, during the current field first terms?

Jayakumar Krishnaswamy: That would be very difficult. So, what are the levers we have? I think the linkage coal rates are more or less kind of bottomed out at Rs. 1. 30 Mn Cal . I don ’t think it will go below this. In terms of pet coke, there is some scope , as you see currently we are booking pet coke at $118 per ton, which translates to about Rs. 1.80-Rs. 1.81 per Mn Cal . Last quarter, we are at Rs. 1. 9 per Mn Cal. AFR also we can improve from current 14.2 % to may be 18%. So, net-net, I see a play of about Rs. 50 going forward.

Rajesh Prasad Ravi : Sir, lastly, this volume loss, which you have seen in Q3, while you have mentioned there is a market demand, you have been muted, you have seen a 10% decline , so is this also a phenomena of aggressive volumes from capacity additions which has happened in the market and that is why this is an actual market share loss and this may continue for next few quarters ?

Jayakumar Krishnaswamy: I will safely say one thing. No capacity expansion of the industry resulted in reduction in demand . So, I guess that is not certainly the case and if demand s were there, we won't have been sitting tight, not selling. So, I guess it is simple that the overall offtake has been low in each markets in the last three months, so I guess once the demand opens, you will see us growing in line with market.

Rajesh Prasad Ravi : This quarter , your volume loss is higher than what the industry declined or it is in line with the big industry?

Jayakumar Krishnaswamy: Region wise, it is very difficult to say. All I can say is from the arrival , so I guess we track arrival. So, in terms of arrivals, I think at a broad -based number everybody's number has dropped .

Rajesh Prasad Ravi : And lastly on this cement to clinker ratio which has tapered down to 1.72, given that we will be ramping the volumes in Haryana where this C/K ratio would obviously lower than this ratio , so is it fair to assume that 1.7 2 or this ratio will remain close around this level for next 1 -2 years ?

Madhumita Basu : Rajesh, I just took that question from Jas hand eep. I clarified that the Haryana cement plant is a fully blended cement plant.

Rajesh Prasad Ravi : So, it will not be producing slag cement right, which has a high C/K ratio?

Jayakumar Krishnaswamy: This quarter number reduce d our C/K ratio little bit lower, but E ast will open up, we will sell more sla g cement, our C/K ratio for East will go to 2.1. North, there will be some changes because of the overall ramp up of our product ion in North because even though we don't sell too much of OPC, still PPC whose C/K ratio will be lower than the slag cement, but net -net if you see our number w ill go back to +1.8 plus one or two quarters from now.

Rajesh Prasad Ravi : And lastly, what was the blended cement production? S hare of blended cement?

Madhumita Basu : Rajesh, we will give you that data point later.

Jayakumar Krishnaswamy: I will have to fish out from the records. We will just give you a little later, but our guys will give you.

Moderator : Thank you. The next question is from the line of Tejas Pradhan from Citi Group. Please go ahead.

Tejas Pradhan : Sir, m ost of my questions were answered, just to wanted a data point on the lead distance this quarter ?

Jayakumar Krishnaswamy: Last quarter , the lead distance was 340 , in Q3 it became 342 , 2 kilometers increase d.

Moderator : Thank you. The next question is from the line of Amit Murarka from A xis Capital. Please go ahead.

Amit Murarka : So, about the market growth, so like you used to share the market growth numbers for North and East earlier , so any commentary around that?

Jayakumar Krishnaswamy: I don't think in our calls we have given region wise market growth, but at least in this quarter , I can stick my neck out and say that E ast obviously market shrunk , North market grew . Our growth technique , we are small player in North, but with the small player status also, we have grown ahead of market, so technically we have moved our market share in North in the second decimal for sure. E ast is where market shr unk and right now I won't be able to comment what has been the extent o f shrinkage in East.

Amit Murarka : But it seems it is more than 10%, right? And if you grow it not, then this decline is more than 10%?

Jayakumar Krishnaswamy: Yes, obviously, mathematics will certainly deduce to where you are going, but that is how the market has been.

Amit Murarka : And also just to understand like when you say that you are choosing to do profitable volumes and all that, so are you then focusing on EBITDA maximization at the cost of maybe market share loss or how do we understand that?

Jayakumar Krishnaswamy: There is no one correct answer on it, so one of the biggest agenda for the organization, which we have been consistently mentioning is , we have made a commitment post listing in the first earnings call and then on . One of the key endeavors for our Company is to pa re down the debt, so that we are fit to get into the next growth plan for the Company . So, certain mission one has to make and now making those decision mean that we don't walk away from market where we can sell , but if the entire market is in such a place where the growth doesn't happen, then our priority is to get value over volume . That is the plan we have been doing in the last couple of quarters, but certainly one of the principal agenda for the Company is to bring the debt levels to a sizeable number an ywhere between Rs. 3,500 to 4 ,000 crores and the n we are fit t o grow , but in the journey we had number of agenda which we have been running, which my colleagues spoke about the S PRINT agenda in the first year of listing and then once we kind of accomplish ed the S PRINT agenda, of course the S PRINT agenda got kind of diluted by the fuel price increase. So, net-net we couldn't get everything out of the

S PRINT agen da, but now that
the fuel price is under control we have embarked on the second agenda of BRIDGE w here we are looking at Rs. 30 to Rs. 50 improvement in EBITDA along the various lines of P&L . So, our focus will be to improve our EBITDA margins, sell sensibly so that for the sake of selling, we don't spoil our bottomline . In doing all the things and objective is to pa re the debt to about Rs. 3,500-Rs. 4,000 crores levels and then get the growth engine going for the Company in the medium term.

Amit Murarka : Also like actually I was just looking at a bit longer term numbers actually for you, I mean both in volume and EBITDA, like I am just trying to see how numbers have been like when you since you acquired Emami and to me it seems like actually both your volume and EBITDA is actually down in the last 3 years actually like , if I look at the Q3 FY21 numbers, it is actually 10% lower on EBITDA as well and in this meantime, I mean in these 3 years. I believe we have unlocked some synergies as well fr om the acquisition. So, I am just trying to understand where has this decline come from in terms of given th e synergy has also been unlocked?

Jayakumar Krishnaswamy: I will t hrow some numbers to you, one or two numbers. So, I think detailed explanation will be very difficult to tell on the investors call. We can engage with you if you can reach out we can have a detailed conversation , but top of the line since you ask ed the question I need to give a right answer to you . Around the acquisition times of E mami , we are very clear that we acquired Emami for capacity . So, that brand was not in the same league as Concreto and Duraguard hence the p er ton realization of E mami was always lo wer than it. Our main aim at th at time was to

acquire capacity, which we accomplished at that time. We got 8 million tons of cement and multiple grinding units in various states . That was objective of acquisition. Nuvoco became a 23.8 million ton, becoming the fifth largest player and one of the leading players in East India. That was a key objective when we acquired economy. Around the time , our EBITDA levels had, once we combined both the companies, our EBITDA levels did touch Rs. 1,200 per ton in Q1 FY22 and then on the entire fuel crisis happened and when we delivered EBITDA of excess of Rs. 1,230 precise was the EBITDA per ton. Our power and fuel cost was the best in the industry at that time at Rs. 885 per ton. We were the best in the industry at that time, very close to only one other player, but then the power and fuel cost of the Company went from Rs. 885 per ton all the way to Rs. 1,500 to 1600 per ton . It happened to the industry. It happened for us also when this escalation in fuel cost and power cost happened, that kind of washed away all the SPRINT savings, but as mentioned by my colleague in the introductory speech in the last 10 quarters, if you look at Nuvoco’s EBITDA per ton number, quarter -on-quarter , we have improved EBITDA per ton and we have more or less reinstated our EBITDA in quarter 3 at Rs. 1,048 per ton, which is only a little bit lower than what it was at the time of listing . So, we have made concerte d efforts to improve cost efficiency, get these SPRINT levers and the BRIDGE levers going and taken various initiatives within the Company and take the Company from where we were 10 quarters ago to all the way now to Rs. 1,048 per ton and give or take, we can be around this number for going forward as well.

Amit Murarka : Sir thanks for the explanation, but like my question was more around like the performance like before, the S PRINT sy nergy benefits were unlocked , so the numbers is not being visible in the final EBITDA?

Jayakumar Krishnaswamy: It is very difficult at the call to explain , may I req uest you to reach out to us. We wil

l have , our
team will explain with you all the facts and we will clarify all your queries , please.

Moderator : Thank you. The next question is from the line of Pra teek Kumar from Jefferies. Please go ahead.

Prateek Kumar : I was just saying that there was this mention of pricing realization drop of 30 to 40 per ton . Was this against December exit or December quarter average comparative?

Jayakumar Krishnaswamy: Lot of things happened in September, lot of things change in November and December. So, one way to look at the start and end date of 1st October to 31st December i.e. 90 days of pricing fluctuations continuousl y. But to the number which I mentioned was as we stand on 30th of

January, I am looking at close to about Rs. 40 per ton reduction in prices from where we were in December.
Prateek Kumar : So, what was the average it will be much more lower , so versus exit it is Rs. 4 0 lower ?

Jayakumar Krishnaswamy: No, it is s table for the last 30 days . It may continue to be around this number going forward is what is my read.
Prateek Kumar : And sir, secondly on the Rs. 1.67 of fuel cost on a kcal basis, obviously the combination of various fuel mix which you have, but given pet coke is 56% and current imported pet coke price is around $110 and $112, is it reflecting that number, spot number or the more saving which can come in Q1 FY25?
Jayakumar Krishnaswamy: These numbers are all based on top procurement at not at $118, but at $135. Currently , we are booking at $115-$118, so the impact of the reduced cost of pet coke will be felt end of Q4 and Q1. You would know we have North and the East plant . East operates with only 35% pet coke and North has got almost everything is pet coke. So, the East will have big b earing in the overall power and fuel cost of the company , because that is where the cement is made and the cost of fuel is also a little bit lower there. As I said just a while ago with the levers of reduced pet coke and increased AFR and maximizing our linkage coal, I see a potential of some more reduction in the overall power and fuel cost, but 1.67 can be maybe 1.6 to 1.63 beyond that at current levels it will not go down.
Prateek Kumar : My last question , on your CAPEX , have we quantified like the amount of CAPEX which you are looking at in North for an account of expansion, is it like total of Rs. 2,000 crores?
Jayakumar Krishnaswamy: Not yet, I guess I will get back to you in the subsequent calls. Right now , we are still working in the background on the technical design, whether it will be 600 0 TPD line, 7000 TPD line, 8000 TPD line, whether it will be split GU, VRM or ball mi lls. This work is currently happening where it will have railway siding, all those combinations are being worked out, but I guess we will get back to you in one of the next subsequent calls.
Moderator : Thank you. The next question is from the line of Nav in Sahadeo from ICI CI Securities. Please go ahead.
Navin Sahadeo : Sir, very quickly, directionally, it appears that we may have lost market share in the East, o f course we ha ve done good in N orth as you mentioned in the comments , so just wanted to understand that will we as a Company look to regain that market share in the coming quarters or since the focus is also on promoting premium ization , Concret o Uno in various m arkets, we will be like focusing on value over volume in East . Also, this is slightly medium term in the sense that since there is no major capacity that we are planning in East, at least in the foreseeable future, that is what I think was indicated that other regions can see CAPEX , if at all Company has to pursue. So, from that perspective, we are consciously focusing on value over volume , is that a correct understanding?

Jayakumar Krishnaswamy: Terminology is correct, but the context is actually quali fied. When the market is down, we have to find a way to maximize money for the Company , and hence we prioritize value versus volume. We still have 25 million tons of installed capacity and there is sufficient headroom for us to g row in the East . East we have 19 million tons and North we have 6 million tons. We are nowhere close to 19 million ton capacity in East as we stand today. So, we have got good headroom available for us to grow. Once the market opens up, you will see us participating in the race as energetic as anybody else.
Navin Sahadeo : So, we will regain the lost market share there in the coming quarters, correct?
Jayakumar Krishnaswamy: We will certainly participate in the market with full vig or when the market opens up.
Moderator : Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Ms . Madhumita Basu for her closing comments. Over to you , ma'am.
Madhumita Basu : Thank you everybody for your participation. Very good questions and some good overrun on the time as a result of these questions. To summarize, we remain positive on the demand outlook . As significant portion of infrastructure programs are under execution by the government , we shall continue to focus on operational efficiencies and remain committed to our growth projects. We will remain available for any further clarifications that you might require. Please do connect with us. Thanking you f or joining us today once again.
Moderator : Thank you. On behalf of N uvoco Vistas Corporation Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

Nuvoco Vistas Corp. Ltd.
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Ref. No.: Sec/ 20/2024-25

May 7, 2024

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO
Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the Audited Standalone and Consolidated Financial R esults of the Company for the financial year ended March 31, 2024

Further to our letter no. Sec/1 1/2024-25 dated April 23 , 202 4, letter no. Sec/16/202 4-25 dated April 30, 2024 and letter no. Sec/18/2024-25 dated May 2, 2024, please find enclosed the transcript of the Investor and Analyst Conference Call held on Thur sday, May 2 , 2024 on the Audited Standalone and Consolidated Financial Results of the Company for the financial year ended March 31, 2024 .

The same is also made available on the Company's website at www.nuvoco.com .

This is for your information and records, please.

Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

"Nuvoco Vistas Corporation Limited Q4 & FY '24 Earnings Conference Call "

May 02 , 2024

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING DIRECTOR ,
NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL OFFICER ,
NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF MARKETING , INNOVATION ,
NORTH SALES & BUSINESS DEVELOPMENT , NUVOCO VISTAS
CORPORATION LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q4 & FY'24 Earnings Conference Call of Nuvoco Vistas Corporation Limited.

We must remind you that the discussion on today 's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development , information or events or otherwise.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms . Madhumita Basu – Chief Marketing, Innovation, N orth Sales and Business Development of the company. Thank you and over to you.

Madhumita Basu: Good afternoon, everyone, and thank you for joining us to discuss our Fourth Quarter and Full Fiscal Year 2024 Results.

Before we delve into our performance details and look ahead with optimism, let me briefly address the broader macroeconomic environment. The recently released GDP numbers surprised strongly on the upside. Real GDP expanded at a six -quarter high rate in Q3 F Y'24 at 8.4%. Economic activity gained momentum in February 2024 after witnessing a slight moderation in January. GDP growth for Q4 FY '24 is expected at 7.2%. It is now believed that estimates for FY'24 will be exceeding and a rate closer to 8% may be clocked. GDP growth is likely to remain robust at 7.4% during FY '25.

Bank credit to the agriculture sector continues to register double -digit growth, reaching its highest level since the COVID -19 pandemic during Q3 FY '24. Bank credit to housing sector continue to grow in double -digits.

India is likely to experience above normal rainfall in 2024 . A good and normal monsoon should significantly address inflation and stimulate farming.

All these factors augur well for the cement demand.

Looking internally now at Nuvoco's Performance for the Year-ended 31st March 2024 :

We are delighted to report a strong performance in FY '24 amidst volatile demand environment. The company recorded an EBITDA of Rs.1,657 crore s and a profit after tax of Rs.147 crore s,

marking the highest levels of profitability since FY '22, the same year we launched our I PO. This clearly underlines effectiveness of our strategic initiatives and operational efficiencies.

Despite demand challenges, we stuck to our strategy of value over volume, premiumization , geo mix optimization, brand strengthening and cost optimization.

Deconstructing the realization and EBITDA p er ton further, it is important to note that the accrual of incentives from Panag arh facility was stopped from April 2023, while incentives from Rajasthan plant ended in June 202 3. These plan ts have contributed approximately Rs.60 per ton as incentives in FY '23. The cessation of these incentives makes the quality of our EBITDA growth and margin expansion even more commendable.

Needless to say, our robust EBITDA growth in FY '24 is a clear indicator of our operational excellence and unwavering commitment to cost efficiency and strategic intent of value -led growth. The compan y's robust EBITDA performance paired with a notable reduction in debt by Rs.384 crore s YoY to Rs.4,030 crores , has resulted in a significant achievement , bringing the net debt-to-EBITDA ratio to 2.4 x. Furthermore, this reduction in debt aligns with our historical trend of net debt reduction, emphasizing our continuous focus on deleveraging.

When it comes to cost efficiency, we are happy to report significant red

uctions in operating costs,

particularly in the areas of power and fuel and raw materials.

Our strategic initiative , Project Bridge 1.0 aimed at enhancing efficiency has yielded a notable reduction of Rs.30 per ton in operating costs since its implementation in Q2 FY '24.

At this juncture, let me also brief you on quarter performance related to the three major cement cost elements. Power a nd fuel costs reduced 4% quarter -on-quarter due to efficient sourcing and optimization of fuel and power mix coupled with decline in pet coke and coal cost. Raw material cost per ton decreased 2% quarter -on-quarter, mainly due to decline in slag cost. On the slag front, I would like to reiterate that N uvoco continues to be better placed due to its long -term supply agreement. Distribution co st per ton decline d quarter -on-quarter due to operational efficiencies and logistics.

In our ongoing commitment to premiumization, premium products have maintained a critical role within our portfolio, significantly contributing to 37% of the compan y's cement trade volumes in FY '24, registering an increase from 36% in FY '23.

To further enhance brand equity, we unveiled various marketing campaigns during the year such as "Seedhi Bat Hai, Duraguard Microfiber Khaas Hai" and "Concreto Uno Kaafi Hai ".

As part of IHB-driven rural reach program, we introduced engaging brand activation activity, "Sabse Khaas Sarpanch ", showcasing the impactful stories of Sarpanches contributing to village development.

We introduced Dura Guard F2 F, a premium composite cement into the markets of West Bengal and Jharkhand . In addition to this, we extended our premium cement variant s Concret oUno to the Jharkhand market.

We also rolled out the new cement packaging design with Nuvoco logo prominently placed on the front side of the cement packs. The new design will highlight a much stronger bond between the company and its brands, reinforcing confidence in all our partners and customers.

Moving on to the cement demand :

I will now focus a little more on the two markets, North and East, which are relevant for us.

During the year, the North region showed strong demand and we grew ahead of the industry in the region. In contrast, the East region faced challenges throughout the year, particularly in our core markets of West Bengal, Bihar and Jharkhand, where demand was notably subdued. Within East, Chhattisgarh and Odisha, demand surged ahead, showing significant improvement in the year FY '24. However, towards the end of FY '24, our core markets witnessed some recovery in demand.

While the Union elections is a key monitorable in the near -term, we are poised to take advantage of demand resurgence in our core markets where we have a loyal network and a re doubtable premium position.

Furthermore, we have launched new programs in the states of Chhattisgarh and O disha with specific focus on volumes in FY '25. With an industry -best trade share of 74% , we also see an opportunity to improve volumes in the non -trade segment.

Our optimism on the demand prospects in the region is driven by a confluence of factors , namely, thrust on infrastructure development, including the construction of highways, railways and affordable housing.

As we speak, 27 lakh houses under PM AY program are pending for completion in the East and out of these 14 lakh houses are only in the state of West Bengal.

The Union Government in the interim budget announced that 2 crores more houses would be taken up to meet the housing requirement. Approximately , 19,000 kilometers of roads under Bharat mala Pari yojana Phase -I is yet to be constructed , and out of these 3,500 kilometers is in East alone.

Additionally, the rising urbanization , growth in the real estate sector and increased spending on commercial and industrial proj

ects is expected to support the demand for cement. Just to close,

in North, we will continue to drive volumes as we ramp up operations at our Haryana cement plant .

I will now briefly touch upon the "Ready Mix and M BM Businesses" :

Both businesses are performing well . On the ready -mix concrete business , we have commissioned seven new plants in the current fiscal, bringing the total number of plants to 58 Pan-India. Given our continuous t hrust on premiumization, value added product mix stood at 31% of total sales volume in FY ’24.
In MBM business , style adhesive and cover block segments continue to witness sales improvement . During the year, we expanded our tile adhesive range aligned with market requirements.
Now , coming to “Sustainability ”:
At the core of our operations is our commitment to sustainability. We recognize that as a major player in the cement industry, we have a responsibility to minimize our environmental impact and lead the way in sustainable practices. Our focused investment has yielded significant value in sustainability. With emphasis on blended cement and optimization of power and fuel mix between traditional fossil fuels, alternative renewable energy sources, we have been able to significantly lower the carbon intensity of our cement manufactur ing.
Touching on “Some Sustainability Parameters” :
The carbon emissions reduced by 2% year -on-year to 454 K g per C o2 per ton of cementitious materials, which reaffirm our position as one of the industry leader in low carbon emissions. I ’m sorry. I ’ll just repeat the figures again ; 2% Y oY to 454 K g Co2 per ton of cementitious materials.
The alternate fuel rate makes an impressive improvement from 9% in FY ’23 to 13% in FY ’24 amongst the best in the industry.
A quick update now on our “Growth Projects” :
Railway siding projects at O disha and S onadih are at an advanced sta ge of completion. As you are aware, we successfully commissioned a 1.2 million ton grinding unit at Haryana Cement plant, elevating the overall cement capacity to 25 million tons per annum . Within a quarter of commissioning , the plant utilization has been ramped up to over 60%.
“Strategies for FY’25”:

As we embark on F Y’25, I will briefly touch on the comprehensive strategies across pillars of Revenue, Profitability , Process and Culture to drive growth and achieve our organizational objectives.
On the “Revenue ” front :
Our focus will remain on enhancing realization per ton by prioritizing premiumiz ation. We will work on expanding our presence in key markets of North, Central and West regions, capitalizing on their growth potential. We will work on boosting sales within home market defined as an area of up to 200 kilometers from our manufacturing plant, thereby consolidating our value leadership and optimizing logistics costs.
On the “Profitability F ront”:
Building on the success of “Project Bridge 1.0, ” we are embarking on Project Bridge 2.0 in FY’25 with an aim to further our cost efficiency efforts , targeting cost savings of up to 50 per ton.
On the “Process Related Strategies” :
For FY’25 we will be launching the customer portal and initiating AI -enabled projects in specific areas primarily to drive efficiency.
On “Culture” :
Building on our brand value and loyal network, we will reemphasize customer -centricity, delivering accuracy, speed and delight through our company -wide program. Last year , we made good progress with the launch of our leadership development programs . Following through on this, this year , we’ll be launching academies across functional areas to build and nurture talent.
With this , I conclude my opening remarks. I ’m joined here by Mr. Ja yakumar Krishnaswamy – Managing Director , Nuvoco Vistas and Mr. Man eesh Agr awal – Chief Financial Officer of the Company . We are here together to answer your questions. Thank you.
Mo

derator: We will now begin the question -and-answer session. We will take the first question from the line of Keshav Vijaya Ratan Lahoti from HDFC Securities. Please go ahead.
K. V . R. Lahoti : How has been the growth in North and East in FY ’24 and how is the current mix of North and East?
Madhumita Basu: With our investment in 1.2 million tons in Haryana facilities, our mix of North business has gone up from 20% to 24%. Our full capacity is 25 million tons that makes 6 million tons in the North

and 19 million tons in the East . In North , we have seen growth ahead of the industry. We are focused on further volume growth in this region as we ramp up our capacity utilization in the new Haryana cement plant . In the East , our strategic intent till the year FY ’24 was driving value

over volume, and I have touched on our specific actions in my opening call remarks.
K. V . R. Lahoti: The question is more on the side in FY '24, what has been the volume growth in North and how has been the East market and how is the current volume mix for North and East in FY '24?
Madhumita Basu: So, the current mix is, as I mentioned , of the order of 22 %, 23% of North -to-East. Keshav, a more detailed growth of the regional split between North and East would be sensitive for this call. You must excuse us. Needless to say, that our eastern region strategy has remained on value over volume , and in North we have been taking roughly a 3% to 4% growth over and above the industry growth rate.
J. Krishnaswamy: Just to add to you guys, it will not be right for us to give a region wise split because every company operates in a pan -region, and we are a company that operates in more than one region. Hence , our growth is a mixture of both East, North and center and hence we would not be able to exactly ex plain which region of market grew . But, as Madhumita said , very clearly in North and center, we grew ahead of the industry . In East, it was value over volume strategy . Overall, at a company level the figures are there for all of us to see. We could get just about a flat and a little bit higher growth over last year in terms of volume. However, there are so many other parameters which are there in the overall performance of the company, and we are very proud of what we have been able to deploy and drive the strategy for FY '24.
K. V . R. Lahoti: How has been fuel cost going to hover in the next one or two quarter s? And what was the fuel cost kCal basis in Q4?
J. Krishnaswamy: Moving from Q4 of last year, all the way to Q4 of this year , rupees per million Cal for the company has come down all the way from 2.31 in Q4 FY2 3. 1.63 was for the full quarter of Q4 FY24 and March delivered the lowest power and fuel cost in the last eight quarters. That 's the kind of progression in power and fuel cost . You would know very clearly our fuel strategy is based on a blend of pet coke , linkage coal, domestic open market co al and AFR . The key strategies for the company here, very clearly focus on linkage co al, #2 would be to get our maximum throughput out of the W HR and CPP and certainly huge focus on AFR where we installed on four of our plants . We have reached a stage of about Rs.1.63, 1.64 per million Cal and going forward in the near one or two quarters, I don 't see major volatility in fuel prices unless until something dramatic happens in the external world . Pet coke prices are trending at about $112, $113 per ton . Our view is it will continue at the same number going forward. We 've got linkage co al lined up for the next five years. The domestic open market coal is trending at close to about Rs.1.5, Rs.1.6 per million Cal , ash content is a little bit low which is good for us . The AFR strategy of the company is to move from the current 12%, 13% all the way to 16 %,

17% going forward. All this would result in power and fuel cost trending at around 1.6 , 1.62 for the coming two quarters. Nothing changes. The whole number will continue for the balance period of the year. If something favorably happens or adversely happens, we will update you in the next quarter results.
K. V . R. Lahoti: What is the blended cement share for FY '24?
J. Krishnaswamy: Yes, blended cement for the company came at ~20%, OPC at about ~20% and other cement about 80 %.
Madhumita Basu: We actually measure it more by C /K, Keshav and our C/K was 1. 76.
J. Krishnaswamy: So, while blended cement is the strength of N uvoco with o ur slag cement and fly ash cement , but we also see in certain markets in India, the country is also going towards OPC markets actually. So , I guess going forward, all the cement players have to be very clear that we have to also find a way to cater to the O PC market. While our core strength of the company is to make changes in the consumer buying behavior and trade segment to move from regular cement , OPC cement to blended cement, but it will be a journey with all the cement industries have to take keeping sustainability in mind . This is one of the huge sustainability goals for the entire cement industry in India. So, more and more players are moving away from the normal OPC cement all the way to blended cement. As you would have seen from Madhumita 's speech, our carbon footprint has come at 454 K gs of Co2 per ton of cement, which indeed is almost the lowest level of numbers which are happening in India , internationally also this is the kind of number which is extremely at it. Glob al level it 's 580 , India average is 507 , Nuvoco average is 454. I guess a little bit of tweak on blended cement will even further improve and bring it below 450.
Moderator: We will take our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia : First question is on our expansion plans. In the past, we 've kind of alluded to a range of 3 ,500 to 4,000-odd crores of net debt to kind of start to working on expansion, we are almost touching that range. So, just want to know what is the status , how prepared we are and when are we kind of looking to explore Brownfield expansion opportunities?
J. Krishnaswamy: You all would appreciate the consistency of leadership is to kind of demonstrate sustained performance over a period of time. So, while we are very proud of reaching 4 ,030 crores of debt

as we committed in each of the calls in the last two years, we just want to be very clear that this should not be a select victory, but certainly it has to be somewhat sustained. So , we are in no hurry to kind of expand in the next one month because we 've got headroom of close to about 6-7 million tons. So, even if we have adequate growth in the industry, we should be able to grow in line with the industry in the coming two years . So, we just want to wait and watch in the coming quarter or so , and once we are very confident with the stable prices and market upt ick

and overall debt levels of the company are sustained at this level , we will come up with the expansion plan. Needless to say , that at the back end we are already working on identifying what are the design, what should be the capacity, which is the location , what is the ballpark numbers , what should be the design criteria . Those works are all happening . At an appropriate time , we'll come and make an announcement on what 's the exact timeframe about when will we do groundbreaking .

Sumangal Nevatia: So, in terms of our North capacity, we 've been consistently maintaining that we are gaining market share there. And if I look at the peers, few companies are reporting upwards of 90% utilization. So , is it possible to share what sort of utilization did we run the plan

t on an average
for FY '24?

J. Krishnaswamy: North , if you see, you have to really look at it full year because our new capacities came in December, Jan uary, Feb ruary . But if I were to kind of extrapolate the overall North number without taking the Bhiwani plant into consideration, we were operating close to about 90% capacity utilization. But with the Bhiwani factory coming in, as M adhumi ta said in a speech within a very short period of time, capacity utilization increased to 60% of the nameplate capacity. At a full year, we are operating North at about 80%, but still, we have headroom . In terms of capacity terms , we have 6 million tons of capacity . In a few months of this year , we already touched 4.2 lakh tons per month. So, I guess during the course of FY'25 we should be very close to 6 million tons at o ver 90% capacity utilization in one, two quarters.

Sum angal Nevatia: Sir, with respect to the East?

Madhumita Basu: Sumangal , Q4 itself North capacity utilization was 89%. So, there is an upward trend there.

Sum angal Nevatia: On the expanded capacity, 89%, okay. On the East, just want to understand, I mean, at least from the numbers, it appears that we have been losing market share because full year if you 've been growing in North and if you look at the other peers, anecdotally, everyone is sharing that the market has been growing. I know there could be some issues in particular states where we have high exposure. I mean , is it possible to share some more st ate wise color just to appreciate or understand better what is the issue with eastern demand for us versus a few peers in terms of different state wise exposure ?

J. Krishnaswamy: First of all, I guess there is no issue in East. Very clear as far as N uvoco is concerned, we are clear about what we wanted to do, what our plans are, what is the execution in East, we are very satisfied with the approach we took and the results we achieved in the East region . If you really look at the whole year in East, you got to really look at 12 months and come into some kind of a judgment and inference . The prices in the East were tepid at the beginning of the year. And one of the primary objective f or Nuvoco is to kind of deleverage, improve d realization, get the EBITDA lines up. And in all the past calls, the professed strategy for the company is value over growth. That was a cornerstone of what we were doing. Having said that , even in East, if you

see at the beginning of the year April F Y'24, when it came to October, price rise happened , come January, price ended and kind of end of the year , exit price in East was almost less than the entry price in the fiscal year. That 's how the price movement happened. But even in the price movement , the East has to be divided into two parts. The core demands consuming states of Bihar, Bengal and Jharkhand and the less in the past, the less reali zation states of Chhattisgarh and O disha. What happened in East is somewhat unique that states of Chhattisgarh, O disha saw a handsome growth and we participated in the growth and got good growth in those states. But the three states o f Bihar, Bengal and Jharkhand where the three states where growth was somewhat muted but more important was the pricing in those states was really at, I won 't say historical low, but certainly in the last 24 -months the prices prevailed in these three states were very low. We were very clear that contribution margin improvement was the strategy for the company. So, we focused on these two states to kind of mop up maximum contribution, but did not want to give up volumes fo r the other three states. So, we kin d of ensured that we fed the market, retained our loyal customers and ensured that the trade benefits of working with Nuvoco. That's been the overall deployment plan last year. Having said that, things in March look differe nt. Growth somewhat happened in Bengal, Bihar and Jharkhand and going forward in FY'25 post elections, we see an uptick of overall demand and prices to be okay, cost has more or less bottomed out and softened. So, it's no longer going to be a difficult scenario , and financially debt wise , leverage wise, we are also in a comfortable position. So, we have now at the leverage as well as the elbow room to kind of maneuver the market where we want to maneuver. You will see us participating a little bit more aggressiveness in the next year to get growth going for the company in East as well.

Sumangal Nevatia: Do we work with exclusive dealers , and if yes, I mean, what sort of numbers do we have?

J. Krishnaswamy: Very difficult for me to rattle out exclusive dealers in this call, but may I request you to reach out to invest or relation , they will give you all the details o f dealer's state wise , dealer profile exclusive, multi -brand outlets , all those data are available. I won 't be able to explain to you in this call.

Moderator: We will take our next question from the line of Naveen Sa hadev from ICICI Securities. Please go ahead.

Naveen Sahadev : On the pricing front, our realizations got hit by over 8% sequentially. Wanted to understand if the current prices are in April month gone by, did we see any improvement because I would like to believe exit for March would have been lower versus the quarter average. So, if you could just give us some color as to directionally how are we into the fiscal FY'25 so far in terms of pricing versus the March quarter that is reported?

J. Krishnaswamy: Hardly 30 days since we started the quarter, but all the same price rise did happen in the month of quarter. North has been more or less same as Q4, but E ast is we are seeing a close to about

Rs.8 -10 per bag improvement in price in gross of GST in East. So, things are improving in the East. We expect things will further improve going forward.

Naveen Sahadev: You clearly mentioned about the fuel cost sustaining at these levels for the company, but on the freight cost per ton, is that also a sustainable number or with the railway ra kes coming in, we could see further improvement?

J. Krishnaswamy: A little while ago in the call, we spoke about our Bridge 2.0. Bridge 2.0 covers three, four key agendas for the company, which is into cost efficiency program , second one is power and fuel cost optimization , third one is distribution cost reduction and last one is overall productivity improvement through extra volume growth in the organization. All these we are targeting close to about Rs.50 per ton next year over this year. So, one of the key focus areas is to reduce or sustain the curren t distribution costs. There are two or three projects which we are currently working. If you would recall our CAPEX last year had railway sidings in Sona dih and Jajpur and you would also know that we were moving clinker out of Ri sda into a third -party unit , and then from there load into SKS or Tilda si dings . From April 1st, we have stopped the outside clinker loading because Sonad ih siding is almost ready and by the end of Q2, we will have 100% commissioning of the second railway siding in Sona dih. All our clinker movement will be rake -fed and all the road movement will go away. In addition to the Jajpur s iding should also come up in H1 end this year. So, once the Jajpur s iding as well as the Sona dih setting happens, all our movement of clinker will happen only by rake. So, that indeed should reduce the overall distribution cost by a substantial amount in H2 onwards. Added to that , in in the speech, Mita covered that our focus is going to be on maximizing sales in home markets, try and sell cement at 150-kilometer radius in the East and 250-kilometer radius in the North . With this would basically be a key thrust area, and t

he third thrust area is to increase the direct dispatches from the company, improve it by 5 % to 8% over this year 's actual . All this , as an end objective of either reducing the distribution cost o ver last year 's actual, or at best neutralize, if at all any potential increase in fuel rates happen going forward , but as of now we are targeting decent enough savings and distribution cost in FY '25 vs FY24 .

Naveen Sahadev: Just rather a clarification to the previous participant 's question about CAPEX, so did you mention that the company will be watchful of the de bt situation for couple of more months before committing to any other CAPEX or couple of more quarters ?

J. Krishnaswamy: I neither mentioned a couple of quarters or couple of months. All I said was in the coming future , we would like to be confident that the debt numbers and the overall operating numbers which we delivered we would want to sustain it. So, it could be a quarter or two quarter s. But once we are confident that the system is oiled and demand in the market is also sustaining the overall appetite for the company , we should come up and make an announcement . Overall, if you see all these plans will b e set up in 18 , 24 months . So, a quarter here and there is not going to change the overall performance of the company, but certainly if the capacity coming up is going to

hamper the growth of the company , your point is valid, but we still have head room in North as well as East to kind of out of 25 million tons, we did 18 .8 million tons. So, even at a double -

digit growth for the next two years, we should be able to have capacity well into FY ’27. Certainly , by that time our plant will come . And in the previous calls I ’ve been speaking about the location of the plant. We are gravitating towards North , Brownfield capacity coming up in North India with adequate limestone available with us. So, the focus will be to grow in the North and West and that ’s how the company ’s future expansion plan is slotted.

Naveen Sahadev: Great. Thank you and all the best and also co ngratulations for excellent working capital management .

Moderator: We will take our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : My first question is when we are saying that we have enough head room for the growth and North ma’am has mentioned that the 89% utilization in fourth quarter including the Bhiwani and also we mentioned that we want to grow at 7% in FY ’25. So, to clarify if I ’m making a mistak e. So, how much volume growth are we looking at and from where it can come? North is already at 89%. So, incremental whatever the 5%, 7%, 8% volume growth that we are looking at, is it more from the East and which states would be more to contribute to the growth ?

J. Krishnaswamy: Very nice question. Mathematically, you asked this at 89 % to 100 %, how will the growth happen . So, let me give you a little bit more detail to the statement which Mi ta made. So, capacity is grinding capacity and clinker capacity . And when 89% is coming out of the overall cement capacity utilization in the company in FY24. On the clinker side, you would know in FY ’24, Nimbo l factory got commissioned in Q2 end and then we had a truncated year of Nimbo l capacity. While Bhiwani has got into full mode, Nimb ol has got a 6 ,000 TPD line , expansion plan was 6 ,000 TPD and Chittoor is 6 ,000 TPD. Both put together is about 4 million tons at CK ratio of 1.5 , we have 6 million tons of cement capacity . So, there will be sufficient headroom for us to grow in line with the market assuming general industry view is GDP of 7%, industry is likely to go 7 % to 8% , so we also will be participating in this industry GDP ratio growth in North , certainly at East. So, we don ’t see a major challenge in getting the growth . Last but not least there

was a question about what is the OPC mix and the blended cement mix. We always have a lever to shift from OPC to blended cement to maximize the volume number. So, that’s been the DNA of the company. So, going forward as well to get adequate revenue growth so if realization station is very good with non -blended cement, we ’ll go get more money. If blended cement is selling and we are able to get volume growth, EBITDA will come through volume growth as well. So, that’s how we will participate in the market. While the strategy will be to get highest capacity utilization , tactics will always be quarter -to-quarter based on the market and the portfolio will be decided by the management team on how to participate in the market based on

the actual happenings in the marketplace. So , we are pretty confident to hit equal or more than industry level growth in FY ’25.

Shravan Shah: Just to clarify , this Rs.50 cost saving in FY’25, this is from the Q4 FY ’24 number or from FY ’24 number?

J. Krishnaswamy: How is it possible? You should have been running a company because you said target , up the best quarter by Rs.50 but we are very realistic here. It is average F Y’24 versus average F Y’25. This is the cost improvement exercise on a YoY basis for the full year.

Shravan Shah: On the expansion and then the CAPEX, I put the question other way , till next how many quarters can we wait to announce the expansion at the North , max, two, three quarters c an we wait? So, ultimately I ’ve been looking at the C oD to be happening in FY ’27 and not in FY ’26, and if so, broadly previously we talked about closer to 1400 crore s kind of a CAPEX for this , so that number remains the same.

J. Krishnaswamy: Yes, the number remains the same . The size of the line will undergo a little bit of a change based on our final strategy and market growth and where the split grinding unit will come. So, we are really looking at either a 6,000 TPD line or the 7 ,000 TPD line. That ’s where it is gravitating. So, the overall CAPEX outlay may undergo a change based on the size of the line we are putting it. But overall, we are looking at anywhere between $70 to $85 per ton CAPEX cost. In terms of how many quarters I need to wait, I will come and tell when it will happen. You guys have to give me time. As I said very clearly, we want to be very comfortable with the numbers at a full year level we have got, whether in terms of realization or in terms of EBITDA or in terms of debt levels or in terms of premium ization - number of agendas which we have. Having said that, I’m not going to set a time limit for myself and say a quarter from now or two quarters from now, I will come and say, but suffice to say during the course of this year, we would certainly come up with an expansion plan.

Shravan Shah: So, without this CAPEX , absolute CAPEX for FY’25 and ‘26 will be how much?

J. Krishnaswamy: Great. I think we are going to be very clear because right now the big projects which we started last year, if you remember in the last call you were asking about what were the FY ’24 CAPEX numbers , last year we ended CAPEX at Rs.579 crores, but out of those the big projects were basically Nimbol expansion , Risda expansion , Sona dih siding, Jajpur si ding and Bhiwani expansion . Nimbol is completed , Risda is completed , Bhiwa ni is completed , the si ding at Sona dih and J ajpur are underway . So, by latest by Q2, all this ongoing project will be completed. So, technically speaking we don 't have a big expansion CAPEX in the first 6 -8 months of the company . And whenever we announce the plan, that 's when the CAPEX outflow will happen. So, we are really targeting anywhere CAPEX between 300 to 400 c rores inclusive of things which come from unspent capacity from the previous year as the overall CAPEX outlay for FY'25 at this point of time.

Shravan Shah: A data point , sir. Lead distance for fourth quarter, CC ratio for fourth quarter and AFR share quarter for FY'24?

J. Krishnaswamy: Lead distance is a magical 340 kilometers, both primary and secondary put together , and in term s of AFR percentage in Q4, we did 12% , and in the coming year, we are targeting a little bit more . A couple of kil ns were under refurbishment shut down in Q4 -end, AFR percentage came down to 12 , otherwise in Q3 we were at 13%. We expect to increase this number by 2%- 3% full year average this year . CK ratio at Q4 came at 1.74 and FY '25, we are really looking at anywhere between 1.76 to 1.8.

Moderator: We will take our next question from the line of Satya deep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : The value over volume strategy has paid off t his year. Wanted to delve deeper into that strategy . Had a few questions on that. So, it seems like if I understand correctly, the pricing environment was better in certain micro markets like Odisha, Chhattisgarh, not so much in other markets like Jharkhan d and West Bengal. And the intent of the company is to maximize the contribution margin . Overall , it does appear to me from the outside that you 're indicating if you had sold in some of these micro markets, your contribution margin would have been negative if the intent is to maximize overall contribution margin . Is that clear?

J. Krishnaswamy: No, certainly not negative contribution, because if you really run the business, you 're really looking at EBITDA comes at Rs.883 for the year and add to that the various numbers you 're looking at the contribution of Rs.1,500 1,450, 1, 600 kind of a number at different markets of a different product portfolio . We can 't get contribution margin zero at any point of time. Contribution margin can be Rs.700, Rs.800 . But I think by selling at Rs.700 and result ant EBITDA coming to Rs.100 or Rs.120, in our point of view we did not think it was something which is accretive to the overall strategy for the company, but certainly I think it's not a one quarter game for us, certainly it's a long-term objective. We also don 't want to kind of push bottom end products. We want to continue to keep have our premiumization , we don 't want to take on the discount levels to kind of get additional sales. So , those have been the various levers we work and also certain states the overall pricing came very low. We really didn 't want to kind of compete with other players to get by dropping price and getting volume. So, we had to maintain our brand equity. So, our product , Concret o, still continue to hold premium over the next best player in the industry. Our base product is still top end product in eastern category. So , we don 't want to dilute our pricing position in the market.

Satyadeep Jain: Just had a couple of questions on that. So, fundamentally , first wanted to understand . My understanding was that basically these are all fungible markets. If let 's say your margin is higher in one market o ver other , everybody would move volume so that higher margin market , so your overall it would come to a balance. Is that something that has not been playing out in this year?

Did that shift of volume happened only for you, but otherwise for everybody else, they were not moving that incremental volume to this higher margin market ? Secondly, it would be that it seems like the intent was to operate at a bare minimum level in these markets, which are lower margin, whereas it seems like others were operating who're trying to take that market share even operate at lower margin . When the volume comes back , let's say if you see the margin coming back this year, those players are already serving those customers. When you go back into the market and try to get back some of these volumes t

hat you decided to walk away in in this year , how do you in that kind of scenario go back and take that share? That 's just fundamentally , strategically , wanted to understand how these things play out?

J. Krishnaswamy: I don 't want to comment on what other companies are doing and what is their plan and how are they working on this , because it 's a national market and whatever growth numbers people declare or a blended growth numbers for all the regions in the country . In our case also , since we have only two regions we participate , so we are very clear about what we did in our North and center and what we did in our East. So, we kind of have a majority in the East . So, overall exposure in the East is high. So, the numbers came out the way it has come out in terms of volume s. Rest of the companies have probably had an all India presence with similar capacities or substantial capacities in rest of the regions for them to get an all India number. That 's the first answer for not kind of comparing us with other companies and what they are planning to do . As regards the question where you said that if we decide not to sell what will happen to trade and we walk away from the trade . In this industry, there is always the influx of new dealers who get appointed , there are dealers who move away from the fold and there is a constant churn wh ich happens in the industry , people who work with me today , work with some other company, people who work with some other company come to us at some stage. So , losing a channel in my opinion, is not something which is a long -term stuff , we'll always go get the channel whenever we want to do . So, in FY '25 the goal for all our sales guys is to go get conquer channels at the appropriate markets to get presence of N uvoco in almost all the mark ets. As regards promoting our product and our brand, I guess our bran d pull is equally strong , consumers want our products and then things they bought off the shelf by the name of our brand in most of the states in East. So , it's a strategy which we deployed in FY '24. In FY'25, we still want to be a little bit more aggressive in the market to get volumes and you will see it play out in the market going forward.

Moderator: We have our next question from the line of Shravan Shah from Dola t Capital. Please go ahead.

Shravan Shah : What was the fuel mix of pet coke , imported coal and domestic share for this Q4 FY '24?

J. Krishnaswamy: Q4 overall linkage c oal came at 23%, non -linkage domestic open market at 11% , imported coal 1% pet coke at 52 % and then AFR at 12 %.

Shravan Shah: I just wanted to clarify , when you said Rs.8 to Rs.10 price improvement in East in April, so is this the across five states of East or it is more only Bihar has seen a sizable hike in April?

J. Krishnaswamy: It's a broad -based price increase in the East .

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms . Madhumita Basu for closing comments. Over to you, ma 'am.

Madhumita Basu: As we move forward, we remain optimistic on the demand outlook as a significant portion of infrastructure programs are under execution by the government. We will continue to focus on premiumiz ation, geo optimization, fuel mix optimization, strengthening and cost efficien cy. By executing on these strategic focus areas, N uvoco is poised to deliver sustained growth and value creation for its shareholders and stakeholders in the year to come. We will remain available for any clarification required . Do please reach out to our investor management cell. Thank you for joining us today.

Moderator: Thank you , members of the management team . On behalf of N uvoco Vistas Corporation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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August 5, 2024

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO

Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the Unaudited Standalone and Consolidated Financial R esults of the Company for the quarter ended June 30 , 2024

Further to our letter no. Sec/ 60/2024 -25 dated July 23, 2024 , letter no. Sec/65/2024 -25 dated July 31, 2024 and letter no. Sec/67/202 4-25 dated August 1 , 2024 , please find enclosed the transcript of the Investor and Analyst Conference Call held on Thursday , August 1, 2024 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30, 2024 .

The same is also being made available on the Company’s website at www.nuvoco.com .

This is for your information and records, please.
Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

“Nuvoco Vistas Corporation Limited Q 1 FY’25 Earnings Conference Call ”

August 01, 2024

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING DIRECTOR ,
NUVOCO VISTAS CORPORATION LIMITED
MR. MANEE SH AGRAWAL – CHIEF FINANCIAL OFFICER ,
NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF INVESTOR RELATIONS ,
NUVOCO VISTAS CORPORATION LIMITED

Moderator: Ladies and Gentlemen, Good Day and Welcome to Q1 FY '25 Earnings Conference Call of Nuvoco Vistas Corporation Limited.
We must remind you that the discussion on today 's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that the Company faces. The Company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Madhumita Basu, Chief, Investor Relations. Thank you and over to you, Ms. Basu.
Madh umita Basu: Thank you, Michelle. Good afternoon, everyone, and thank you for joining our 1st Quarter of Fiscal '2025 Earnings Conference Call .
To begin with, let me briefly address the broader macroeconomic environment, after which I will provide an overview of our performance for the quarter.
The Indian economy signals a stable outlook, as indicated by several economic indicators. Manufacturing is gaining pace with the PMI having exceeded its long run average in June on the back of new orders. The timely arrival of monsoon is promising for agri culture and the rural economy. The IMD forecasts above normal Southwest monsoon rainfall. The improvement in the outlook for agriculture augurs well for the further revival in rural spending that is already outpacing urban segments.
Now, let 's turn our attention to our "Performance for the Quarter. "
Firstly, let me spend some time on prices, a much -discussed topic. Over the past year, the industry has experienced a downward trajectory in prices, which is not a positive sign. Q1 FY '25 too was particularly challenging in terms of pricing. However, the Company weathered the headwinds by effectively managing revenue per ton, driven primarily by our continuous focus on value optimization, trade share, premiumization, and geo optimization.
In our ongoing commitment to premiumization, premium products have maintained a critical role within our portfolio. During the quarter under consideration, premiumization recorded a high of 40% of trade volumes, registering an increase from 37% in the prev ious period. Given the headwinds, the Company remain focused on cost optimization.

At this juncture, let me also brief you on "Quarter Performance related to Key Cement Cost Elements. " Power and fuel cost reduced 1% quarter -on-quarter. The Company has reached the lowest blended fuel cost in the last 11 -quarters at Rs.1.57 per Mcal. It gives me immense pleasure to state that Nuvoco 's power and fuel cost continues to be amongst the lowest in the industry.
On the raw material side, Nuvoco continues to be better placed due to its long -term slag supply agreement. Distribution cost per ton declined by 4% quarter -on-quarter due to improvement in lead distance and no road movement of clinker in the East.
On cost efficiency, we are happy to report that "Project Bridge 2.0 " is on track. Railway siding projects in Sonadih and Odisha are at an advanced stage of completion which will further add to

efficiency. Project at Sonadih is expected to be completed by Q2 FY ’25 and Odisha by Q3 FY’25.

I would like to reiterate that despite the volatile demand environment over the past 1.5 -years, we kept strict control on our cost lines.

Coming to “V olume ”:

The Company navigated a quarter, characterized by soft demand, mainly due to elections and weat

her -related factors. We delivered a volume of 4.8 mt. Some part of volume moderation was on account of our internal program with respect to upgradation of SAP across the or ganization. This was in line with our digital transformation journey. I shall touch upon this in more detail later in my speech.

In Q1 FY ’25, the Company recorded revenue and EBITDA of Rs.2,636 crores and Rs.348 crores respectively.

As stated earlier, our blended revenue per ton dropped marginally quarter -on-quarter even amidst weakness in all -India cement prices.

Our results should be viewed in light of the fact that effective 1st April 2024 as a conservative accounting practice, we have decided to book the incentives income on realization basis. Accordingly, revenue and EBITDA for the quarter does not include any incentive income.

On the marketing front, to enhance brand equity, we launched an innovative campaign for Duraguard Microfiber Cement, the only patented product with unique microfiber technology.

Additionally, the Company introduced “Concreto UNO ” a premium cement variant in West Bengal catering to the growing demand for high quality construction materials in the region.

During the quarter, we successfully completed the SAP upgradation across organization to facilitate the Company ’s digital transformation journey. The upgradation project was undertaken with the objective of bringing entities under unified infrastructure and streamlining the processes across the organization.

Moving on to “Cement Demand ”:

In Q1 FY ’25, industry faced challenges due to factors associated with the general election such as the scarcity of labor and additional restrictions related to the model code of conduct. Furthermore, demand was impacted by extreme heat wave conditions across some r egions and the early onset of monsoon in the east. Looking ahead, the near -term demand outlook remains uncertain. We believe recovery in demand hinges upon spending on infrastructure and housing.

Key drivers to watch out for include s:

Acceleration of infrastructure spending :

As we all know, the government has budgeted 1,100 crores for infrastructure CAPEX under the Union Budget in FY ’25. And the pace of these infrastructure -led spendings on the ground will be crucial.

Pick up in housing spends :

The Government has increased the budget allocation for PMAY by 57% in FY ’25 and traction in housing as a result will be a significant driver.

Regarding industry prices, we believe that cement prices will remain under pressure and the near-term outlook appears challenging. However, we are optimistic that players like us who have demonstrated the ability to optimize value in a challenging environm ent will benefit the most when the demand and pricing cycle picks up.

With regard to Ready -Mix Concrete and MBM businesses, both are continuing to perform well.

In Ready -Mix Concrete business, we are currently operating 56 plants across India.

During the quarter, we launched two innovative products: first, Concreto UNO Concrete, which is India ’s first -ever hydrophobic concrete that repels water, setting a new benchmark in construction technology.

Secondly, Ecodure Thermal Insulated Concrete, which is an eco -friendly product designed to keep spaces cooler, offering a sustainable solution for temperature management. These advancements highlight our commitment to innovation and our ability to adapt to market demand.

On sustainability :

The Company ’s commitment to sustainability, a crucial element in today ’s business landscape, is highlighted by the fact that we are among the lowest carbon emission companies in the industry.

To confirm, our audited figure for FY ’24 stands at 457 Kg CO_2 per ton of cementitious materials.

We believe that our sustainable practices will continue

to add value for our stakeholders,
including the communities we serve.
With this I conclude my opening remarks. I am joined here by Mr. Jayakumar Krishnaswamy – Managing Director, Nuvoco Vistas and Mr. Manee sh Agrawal – Chief Financial Officer of the Company . We are here together to answer your questions. Thank you. Over to you, Michelle.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Jashandeep Singh Chadha from Nomura. Please go ahead.
J S Chadha: Before I ask my question, can I have two bookkeeping numbers. Firstly, what is the RMX revenue? And also what was the net debt for this 1st Quarter ?
J Krishnaswamy : You're asking about the RMX revenue?
J S Chadha: Yes, sir.
J Krishnaswamy: We don 't report quarterly numbers for RMX. We can say our Q1 FY '25 volumes is to the tune of 580,000 cubic meters. As regards your second question, in terms of our net debt, as we entered June 30th, was 4,358 crores.
J S Chadha: Sir, I was asking the revenue number for RMX.
J Krishnaswamy: So, we are not doing segmental reporting for RMX revenue.
J S Chadha: Coming to my first question, I just wanted to understand what 's the, plan for CAPEX? I understand last time also we had a discussion when you said around 3, 500-4,000 crores is the mark you like to touch before going on expansion. So, any update on that and which region will be up in the pecking order, just wanted to get your view on that?
J Krishnaswamy: Mentioning that the plan for Nuvoco is to kick start new investment movement we hit a range of 3,500, 4,000 crores, and this quarter we are at 4,358 crores, but it 's in line with our plans. If we look at our June -ending net debt for the last four years, June '21 it was 6,885, June '22 5,347, June '23 4506 and June '24 4,358. Always, June end numbers are slightly higher than the March end numbers. So, we are on course by the end of the year to be better than our March end

numbers which we reported, around 4,030 crores end of March, and by the time we hit FY '25 March 31st, we should be well and truly in line to better these numbers. So, we are on course to a debt reduction program. As regards what is our plan for expansion, happy to report to you guys that by the end we would just want some stability in the in dustry as well as the stability in the overall performance as I mentioned in my previous call. By the end of this fiscal year, we should be ready to kick start our expan sion plan.
J S Chadha: By end of this FY '25, right?
J Krishnaswamy: Yes, end of the fiscal.
J S Chadha: And my second question is regarding East industry. So, for the last couple of quarters we have been saying that Nuvoco has been underperforming its East peers and also industry as a whole. So, is Nuvoco losing market share in the east and what are your thoughts about demand recovery in that region?
J Krishnaswamy: I will just give you a qualitative response to it, because industry doesn 't report data region wise, but we are a majority east player, so we know what 's happening in the region when compared to our peers, so, we are more or less equal to all our peers in the eastern region. Certainly, East is extremely competitive as we speak. But, more than the competitive nature, it is all about pricing, which is happe ning in East, which is not improving, as Mita explained in her opening speech. And since the price is not improving quarter -on-quarter, year -on-year, one of the important things which we have been deploying in our Company is the value over volume strategy so that our realization has to be in line with our objectives, since our main objective is to pair the debt and keep the Company ready for expansion going forward. So, the single biggest agenda for the Company is to get the operational numbers on bottom line right to ensure that we are f

it to grow going forward. So, that's the strategy Compan y has been practicing three quarters now and then even in this quarter we practice the same strategy. How I would like to answer your question is looking at the comparison all India numbers of every Company in terms of revenue per ton vis -a-vis our revenue per ton changes from Q1 last year to Q1 this year and Q4 last year to Q1 this year. I am very pleased to report that in terms of the realization per ton, mind you, as Mita mentioned in our call, we don 't have incentives either in the top line or in the EBITDA line anymore from 1st of April. So, if you knock -off that number, our realization per ton drop has been the lowest when compared to all peer group companies on YoY basis and on a QoQ basis. Suffice to say that all the majors have dropped realization to the tune of Rs.250 to Rs.390 on a YoY basis, under QoQ b asis, all of the peer group companies have dropped to the tune of Rs.100 to Rs.160. Nuvoco is a Company where on a YoY basis our realization per ton has dropped by Rs.90.00, on QoQ basis on Rs.40. This clearly gives us confidence that the value or volume s trategy is indeed working for us. But your question is that with this kind of approach are we losing market share or not? In this quarter, one of the principal events that happened in the Company was the SAP migration and because of which we had a disruption of close to six

days in the month of April. If I were to account for the disruption to SAP, I am not saying that whatever we lost could have converted to sales, certainly I think a large proportion of the gap would have been accommodated in sales because sales once lost doesn ’t come back in this industry. So, if I were to account for it, we would have certainly got flattish growth at an all - India level. So, it ’s not kind of something which is worrisome for us. You will see us getting the volume numbers as we go forward.

J S Chadha: Nuvoco has reached a such low blended fuel cost. So, is there room for further reduction in the coming quarters, just your thoughts on that last?

J Krishnaswamy: Yes, actually, if we look at our fuel cost starting from Q3 FY ’22 when Mayhem hit the Indian fuel industry, we were trending at Rs.2.05 and then went all the way peaked at Q3 FY ’23 at Rs.2.74 and then now it ’s been tapering down to Rs.1.57. What makes us do well on this power and fuel is, as we have mentioned before, all our factories have WHR, we have maximum percentage of blended cement, all our factories have got AFR consumption, and we had linkage tie-ups in all our main markets. At Rs.1.57, there is certainly some headroom to improve for that. How do we improve it further? It will happen through two levers. One is because of this little bit of a low volume scenario; all our kilns are not running to full capacity. The moment our kilns run at full capacity, our WHR generation will increase, and then the fuel cost and power cost will come down further. And secondly, all the new linkages for us have materialized now once from the Eastern collieries in Bengal, from southeastern collieries in Chhattisgarh and Western collieries from Maharashtra. All the linkage coal contracts have been signed and currently, the linkage coa l rates are trending anywhere between Rs.1.4 to Rs.1.45 per MCal, slightly higher than our best period of 1.3, but certainly better than the number which was a year and a half ago at 1.6, 1.65 per MCal. And our AFR journey is also improving. In this quarte r, AFR percentage was close to about 9%, but we were 12% in Q4, and once the kilns run, certainly AFR percentage will go to 16%, 17%. With improvement in AFR, increase WHR generation, maximizing linkage coal, there is good headroom to reduce this Rs.1.57 p er MCal to around Rs.1.50 MCal. That ’s the opportunity we see for ourselves, and I am pretty confident that wi

th the efficiency factor
which I am talking, this number should be possible soon.

Moderator: We will take the next question from the line of Aman Agrawal from Equirus Securities. Please go ahead.

Aman Agrawal: So, first was again on the situation in the core markets of Bihar, West Bengal and Jharkhand. Last time, we mentioned we have started seeing improving since March, but the end market has actually kind of degrown. So, wanted to understand how is the situation right now? And on the volumes front, do we see a degrowth again in the second quarter?

J Krishnaswamy: So, if we look at our markets, certainly, Bengal has not shown any great green shoots in Q1. So, I think as Mita mentioned, the two things which will improve demand uptick in Bengal is about

the infrastructure spending and the individual home builders. If the Rs.3 crores program of the government fructifies in the near future, more houses will be built, and we are a individual trade - centric player, and that ’s where the improvement will happen. In Bihar, we have done quite okay in Q1. We have not seen a territory in Bihar. In fact, all our premium growth, Concreto growth is close to about 18% in Bihar and overall premium percentages happened in Bihar. So, we are not worried about Bihar. Just is that indeed we recorded in the quarter of 4% volume growth which is also positive. Jharkhand, we grew quite well at 3% in the quarter. The corner concern for us was Odisha. I think it bore the brunt of attack due to the SAP down and Odisha should be back i n the coming quarter or two. Overall, instead of looking at the outlook for Q2, I will look at the outlook for the 3Qs going forward, we should be able to do a catch up in the balance three quarters.

Aman Agrawal: Just secondly on the capacity front, if we dissect more into the state -wise, is it a case that we are facing shortages capacity constraints in any of the region on the eastern side?

J Krishnaswamy: Not currently. I guess we have got close to 9.5 mt of clinker and 19 mt of cement capacity in east and there is sufficient headroom for Nuvoco to grow in the East at least till two years from now.

Aman Agrawal: On the rake availability, we have highlighted that is an issue in the past. So, just wanted to understand how is the scenario currently?

J Krishnaswamy: I think April was a tough month, but I think this time around the challenges was cement rake rather than the clinker rake. But, as we entered May and June, rake availability indeed improved. In fact, one of the reasons for our overall better performance i n the distribution cost is largely coming out of elimination of road movement of clinker. In fact, entire quarter, we have not moved clinker by road and everything has happened by rake and this is reflected in our rupees per ton distribution cost which is favorable . So, rake availability has improved. And the fact that our Sonadih siding is more or less going to be commissioned, it augurs well for us in terms of overall rake movement of clinker. So, Q1, not too much of issues due to rake availability, but indeed we were impacted due to the two rail accidents which happened. So, rail accidents are all temporary phenomena where I think immediate availability of rakes were not available or restrictions were imposed on many lines when the accident happened. But I don 't think that can be a reason for the industry. In general, availability was okay in Q1.

Moderator: We will take the next question from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: Sir, a couple of questions. Firstly, on the demand side, so just wanted to understand that post 1Q in the month of July, how the demand has been compared to expectation? And given the recent announcements in the budget regarding all the projects in Bihar, when do you expect that demand to sta

rt kicking in?

J Krishnaswamy: Hey, right question to the wrong guy. About the number two question, I cannot do a crystal ball when the government will sign a cheque to the Bihar government. I think I can only hope that they sign the cheque very quickly and things kick off very fast. A s regards the overall demand pickup in the month of July, it 's still sluggish. I think unseasonal or early monsoon has happened almost everywhere in the core markets. July has started a little bit. But I think, thing should happen, it 's the monsoon quarter, and considering the monsoon quarter still I have got two more months to go and things should only improve.

Mangesh Bhadang: Second is on pricing. So, we have been hearing on the details on the channel check that the prices in Calcutta and Patna are at multi -year lows and a similar situation is happening around the rest of the region. So, basically after 1Q, how that pricing has changed in the month of July? And again the same question is that where do you see this stop now, where will the bottom be for these prices given the competitive intensity?

J Krishnaswamy: I have not been in the industry for a few decades as many of other industry captains were there, but certainly I have been long enough to observe the industry. One of the things I am noticing in the industry is I think the current pricing not only in East , in North and West of the regions, we don't participate, but in general, we operate in some parts of Central, East, North and parts of West. Pricing is not encouraging at all. Some of the price lines are pretty low when compared to historic al numbers. But this is not a sustainable model at all actually. At this kind of prices, overall profitability numbers of the entire sector is a little bit low. Should improve. I think demand should improve going forward and prices will automatically follo w the demand. Even though monsoon is a little bit of a weak period for cement industry, I think post -monsoon into October Puja and then into year end and Q4, I am expecting an improvement in prices.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, a couple of questions. First, in the last quarter, we were looking at the volume growth for ourselves in line with the industry growth of 7% to 8%. But given the kind of a degrowth, now, how do we look at in terms of the volume growth for FY '25?

J Krishnaswamy: I think if you really look at the results published by all the companies, industry itself has grown close to about 1% to 2% number. So, in light of that, our numbers, as I said before, got impacted due to SAP , but certainly in the near term, at least in the monsoon period, the demand is not going to accelerate, but I think post -monsoon and come October when the government proposals reach the ground and things start happening in infrastructure and housing, dema nd should pick up. GDP continues to be at 7%, 7.2%. So, technically demand should increase going forward. And if not in the coming two quarters, certainly, I am confident in Q3 and Q4 and beyond, things should improve in terms of uptick, and we should be there to ensure that we participate in the growth. Suffice to say that in Chhattisgarh, Bihar, Maharashtra, MP, we indeed are getting numbers which are much more than the previous quarters in the previous year, we are indeed

growing as a Company . The challenge has been Bengal, and Odisha I also mentioned, but Odisha should get sorted out in the next one, two quarters. Bengal, we will have to see an overall uptick in the industry. Bihar seem s to be okay as of now, but that should also improve in the coming

three to four months.
Madhumita Basu: We have seen a good play in Jharkhand also.
J Krishnaswamy: But

Jharkhand is never a one of those double -digit growth market, it 's kind of a low to mid single digit growth market and we continue to maintain our market share. In Chhattisgarh, we have indeed grown with the kind of volume numbers which we are doing. In MP, we have done a much better job in the last two quarters. There are areas we are doing pretty well. Bengal is a large market for us as for other people, but that 's where I think the challenge is there for the entire industry, because o verall demand is not picking up in Bengal.
Shravan Shah: Just to harp on in terms of the pricing, just if I get the number, so in July month, on an average in East and North where we operate, how much prices would have declined?
J Krishnaswamy: It will be very difficult to comment on July because we are in the quarter. So, in this call it will be difficult for me to tell what 's the kind of numbers which are prevailing in the market as we speak. But I can only tell in this call that not much of movement in prices.
Shravan Shah: I need a couple of data points. What was the CC ratio, lead distance, OPC share and the fuel mix for this quarter?
J Krishnaswamy: Let me just come with the fuel mix first. The blended fuel mix rupees per million KL 1.57 I mentioned, out of which coal was 42% and in 42% linkage coal was 23% and non -linkage coal was 18%, a small bit of 1% of imported coal, pet coke came at 49% which w as 3% lower than Q4 and AFR slightly reduced, it should improve, AFR Q4 was 12%, we were 9% in. Q1. So, that's the kind of coal breakup we had in the quarter. Lead distance reduced from 340 to 330 in Q1 vis -à-vis Q4 and road share 60% and ra il share became 40%. CK ratio for the quarter was 1.75.
Shravan Shah: And our OPC was how much in Q1?
J Krishnaswamy: If you can reach out to investor relations team, we will give you the OPC data exactly.
Madhumita Basu: We have given you the cement ratio. That 's the data on the table at the moment.
Shravan Shah: And lastly on the CAPEX front, so how much we have done in Q1 and last time we said 300 to 400 crores CAPEX for this year FY '25. So, if you can help me with the revised number? And probably once we start doing the CAPEX by end of FY25, how much one can look at for FY '26 in terms of the CAPEX?

J Krishnaswamy: Certainly, I think this year, as I said in the previous call, 300 to 400 crores, that 's the kind of ballpark number which we have. Most of it is all completing the Brownfield expansion, started last year and the rest would be sustenance CAPEX and land CAPEX. So, in Q1, we have spent close to about 100 crores which was a little bit of the Brownfield projects which we spent in Q1. Other than balance three quarters, we will do about 200 to 300 crores. When we reach Q4 is when we look at expansi on. And in FY '26, the sustaining CAPEX of close to about 200 crores will always happen to run the Company . But we are looking at close to about 700 -odd crores of development CAPEX or new factory CAPEX coming in FY '25. So, CAPEX could be the tune of ~900 to ~1000 crores next year.
Shravan Shah: If possible in terms of the Bridge 2, how much cost saving out of Rs.50 we have done and Rs.50 are we on track in terms of reaching by end of FY'25?
J Krishnaswamy: I think during the course of this year, we will be able to deliver Rs.50 per ton at a annualized level clearly. So, we are well on our course, but I 'll just give a little bit of outlook on the key projects. On the distribution side, the first one will happen from the railway siding in Sonadih and the Jajpur railway siding to be in. The second big project would be home markets as well as increasing SO d ispatches. Those are the two big projects on the distribution side. On the manufacturing co st side, it will be increasing alternate bla st furnace slag. We also have a new sourcing model for bags. T

he other raw materials would be to get condition fly action, get FGD gypsum in small project, and in the ready -mix side we will have alternate raw materials. The big component in this is going to be optimization of power and fuel cost. The first one will be the grid integration in Chhattisgarh. I guess we are just a week or 10 days to complete it. So, we will surrender the last bit of MD during this month and then from September onwards the full be nefit will come out of the grid integration, then the second one will be to increase the alternate fuel in all the kilns, and last but not the least, this year it may not fully fructify, but we will get the full benefit of the solar project in Bhiwani, Chi ttoor and Jajpur. The other projects will kick start during the course of the year, but the benefits of that will not happen during the course of the year.
Moderator: The next question is from the line of Parth Bhavsar from Investec. Please go ahead.
Parth Bhavsar: I have two questions. The first one is when we say that we might take up a CAPEX in '26, so what is the line of priority, which project will come in first and after that what is our ambition

like?
J Krishnaswamy: Yes, I guess we have been speaking about our priority for expansion in all our cost. Our initial first priority will be to expand in North/West, which will be an additional line Brownfield expansion coming in our Chittoor plant. That ’s going to be the number one priority. But we have limestone reserves in Rajasthan, in Nagore, in Gulbarga, in Guntur. So, other reserves are there, but priority will be to get the second line going in Chittoor.

Parth Bhavsar: And what would be the capacity like or have we not finalized that yet?
J Krishnaswamy: We are working on various scenarios working, but it should be in the tune between 2 to 2.5 mt clinker with a split grinding unit elsewhere.
Parth Bhavsar: Sir, when I look at your cash flows like I think throughout the year we can approximately make anywhere between 700 to 1,000 crores of cash flows and we do take out the maintenance CAPEX, the CAPEX of 300 to 400 crores, we will be still left with 500 to 600 crores and that would be used to bring down debt. Are we like fixated on that you have to bring it dow n debt below 3,500 crores or even like 3,700, 3,800 crores would be fine, and we will go ahead with the CAPEX?
J Krishnaswamy : I think we have always been saying that for us in this industry, we are comfortable with the debt level anywhere between 3,500 to 4,000 crores. So, beyond that, we will have to fund our growth. Hence I think operating with the debt of 3,500 to 4,000 is fine, which should be kind of 2x our EBITDA, which is quite okay and that ’s our intention and ambition and it should be possible to fund this CAPEX with this kind of debt levels.
Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.
Jyoti Gupta: Just one question is that we have not had a great Q1, possibly Q2 will not be great either and the entire industry is expecting Q3 is going to be good, the prices will mirror the demand. What if that doesn ’t happen? And the other thing is the huge government investment, which is likely to happen in Bihar and some extent in Northeast, when do you think that is going to materialize during which timeframe are we looking or expecting that to happen, maybe some v isibility on that?
J Krishnaswamy: I guess the performance is all in the eyes of the beholder . So, I guess the big things which we have delivered, first of all, we have stayed our course in what we have been committing to all the investors and shareholders. The things which have worked for us in this difficult situation ; firstly our realization drop is lowest. So, that ’s again relative stuff. Some people have high realizations drop; our realization has reduced

less. So, for us, I think that ’s a positive win. We are a strong Company , we are a trade -centric player, we are a Company with premiumization, those are two levers which work ed for us - at 40% premiumization in 73% trade mix . Our power and fuel cost is one of the best in the industry at 1.57. As I said a little while earlier there is some headroom to improve which should be around 1.5. If I were to get into Rs.1.5 per Mcal and all my WHRS swung , I still can squeeze out about Rs.50 per ton in power and fuel cost in the overall performance of the Company . That ’s an agenda which we are pursuing. Logistics cost, with all these projects of Sonadih siding and Jajpur siding and also focusing on home markets and SOs, our distribution cost has come down Q4 to Q1 full year to Q1 and that ’s the number which I think has worked very well for us in Q1. We have been working on deleveraging the Company . For 13 quarters , our debt levels are in line with what we inform all of you during our calls, and

I think we are very mindful of pa ring the debt to prepare the Company for future growth. The digitization journey of the Company is already happening and in the coming one, two quarters, we will have a customer facing app working, we will have a vendor facing app working, the SAP systems of the organization is unified. So, those are all positive stuff. In the sustainability front, our Company has delivered 457 KGs of CO_2 per ton, certainly this is the best ever number in the history of Nuvoco and probably in the entire cement industry. So, these things are indeed working for us. So, we will pursue this and we will see improvement in overall volume uptick once outside market improve s and certainly the bottom line numbers will improve with all the cost initiatives which we have taken and certainly the pricing returns to the industry. Yes, in that regard, what happens to the industry when the government investments are going to happen? I think that ’s a billion -dollar question and I am not going to hazard any guess when the on -grown changes will happen. But having seen this industry and also been in India for many years now, I think any announcement in budget will take one to two quarters for firm things to change. By the time Q3, Q4 happens, I think the mood will improve and things on the ground will happen. But certainly, all the big improvements the government has made will happen in fiscal ‘26.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Ms. Madhumita Basu for closing comments. Over to you, ma 'am.

Madhumita Basu: Thank you, Michelle. In my closing remarks, I would like to summarize that as we look ahead, we remain cautious about the demand outlook and pricing dynamics in the cement industry. Despite the challenges, our strategic priorities will continue to focus o n premiumization, optimizing geographic presence, enhancing fuel mix efficiency, brand strengthening, along with a strong emphasis on cost optimization. I trust we have been able to answer your queries satisfactorily in this afternoon 's call . Our Investor Relations Team will remain available for any clarifications you may require. Thank you once again for joining us today.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Nuvoco Vistas Corporation Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

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October 29, 202 4

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Scrip ID: NUVOCO The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
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Trading Symbol: NUVOCO

Dear Sir /Madam ,

Sub: Transcript of Investor and Analyst Conference Call on the Unaudited Standalone and Consolidated Financial R esults of the Company for the quarter and half year ended September 30, 202 4

Further to our letter no. Sec/98/2024-25 dated October 01, 202 4, letter no. Sec/109/2024-25 dated October 23 , 2024 and letter no. Sec/110/2024-25 dated October 24 , 2024, please find enclosed the transcript of the Investor and Analyst Conference Call held on Thursday , October 24 , 202 4 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30 , 202 4.

The same is also being made available on the Company's website at www.nuvoco.com .

This is for your information and records, please.

Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

Encl: a/a

"Nuvoco Vistas Corporation Limited Q2 & H1 FY 2025 Earnings Conference Call "
October 2 4, 2024

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING
DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL
OFFICER , NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF INVESTOR
RELATIONS , NUVOCO VISTAS CORPORATION LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q2 & H1 FY ‘25 Earnings Conference Call of Nuvoco Vistas Corporation Limited.
We must remind you that the discussion on today ’s call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the Company faces. The Company assumes no responsibility to publicly amend, modify, or revise any forward -looking statement on the basis of any subsequent development, information, or events, or otherwise. As a reminder, all participant s’ lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Madhumita Basu – Chief Investor Relations. Thank you, and over to you.
Madhumita Basu: Good afternoon, everyone, and thank you for joining our second quarter of fiscal 2025 earnings conference call.
Let me start by briefly discussing the broader macroeconomic landscape linked to cement demand, followed by a review of our performance for the quarter :
The macroeconomic environment remained challenging, with key indicators signaling a slowdown in capital expenditure. YTD August, Union Government capex dropped 19% Y-o-Y. Central public sector enterprises and other agencies ’ capital expenditure fell 11% Y-o-Y in H1 FY ‘25, led by a slower pace of investments by Railways and NHAI. State governments ’ capex declined by 6% Y-o-Y in the first five months of FY ‘25, following a 40% surge in the previous year. States such as Bihar, Gujarat, Haryana, West Bengal and Chhattisgarh witnessed 6% to upto 37% drops in State capex .
Housing sales across the top 30 Tier -2 cities fell by 30% in Q2 FY ‘25, while new launches declined by 34%.
The industrial landscape is also under pressure, with India ’s manufacturing PMI dropping to an 8-month low in September; and core sector output contracting by 1.8% in August, the first decline in 42 months.
As you are aware, the Union Budget for FY ‘25 was presented only in July, following the General Election, with presidential assent received in August. This delay has led to a slower rollout of capital expenditures, particularly for government -funded infrastructure projects, including PMAY and the Purvodaya Schemes. Furthermore, the prolonged and intense monsoon this year, while a boo n for agriculture, has hampered construction activity, delaying projects and

dampening demand for materials such as cement. Thus, the combination of delay in public spending and weather disruptions has created a tough environment during the current fiscal.
Now, let ’s turn our attention to our performance for the quarter where we will explore our progress and output going forward.
In Q2 FY ‘25, the Company recorded revenue and EBITDA of Rs. 2,269 crores and Rs. 229 crores , respectively.
Let me take a moment to break down some of the key elements behind these headline figures :
Firstly, let me touch upon the volume which declined by 5% Y-o-Y in Q2 FY ‘25, attributable to the subdued macro environment outlined earlier. East and North regions faced a challenging landscape, marked by demand contraction. The subdued demand has not only affected sales volumes across the industry but has also put significant pressure on prices. All India cement prices experienced a dip of 4% quarter -over-quarter. Notably, the North region saw a decrease of 3%, while the East region faced a more pronounced drop of 5%. In this scenario, Nuvoco has

been working on a balancing act between volume and managing prices, resorting in a blended realizat

ion per ton drop of 2.7% quarter -on-quarter, which is lower than the industry average.
We managed revenue per ton better than the industry, primarily driven by our continuous focus on premiumization and geo -optimization.
Premiumization remains a key focus area for the Company , with premium product share in the trade segment reaching a record high of 43% in Q2 FY '25. Amongst the offerings, Concreto Uno, a premium cement variant, is catering to the growing demand for high -quality construction materials in the East and is gaining traction. Secondly, given significant headwinds of weak demand and pric ing pressure, the Company remain ed focused on operational excellence. At this point, I 'd like to provide an overview of the quar ter's performance with respect to key cement cost elements.
Power and fuel costs per ton reduced by 3% quarter -on-quarter. The Company has reached the lowest blended fuel cost in the last 12 quarters at Rs. 1.54 per Mcal. I would like to reiterate that Nuvoco 's power and fuel cost continues to be amongst the lowest in industry . On the raw material side, Nuvoco continues to be better placed due to its long -term sla g supply agreement.
Distribution cost per ton also declined by 1% quarter -on-quarter due to efficiency in operations.
On cost efficiency, we are happy to report that Project Bridge 2.0 is on track and has yielded a reduction of Rs. 50 per ton in operating cost in Q2 FY '25.
We successfully commissioned a new clinker wagon loading system at Sonadih, which enables enhancement of clinker dispatch via rail, and is expected to aid in cost savings. The Odisha railway siding project is expected to be commissioned by Q4 FY '25. During this quarter, we

also completed grid integration project across integrated units in Chhattisgarh, enabling savings in power cost.
Our net debt as of September 30, 2024, stands at Rs. 4,501 crores, which is a reduction of Rs. 233 crores on a year -on-year basis. Historically, we have maintained a declining trend in net debt as debt reduction remains a top priority for us. It is important to note that net debt at the end of September is higher compared to the March period due to cyclical impact of working capital requirements.
Regarding cement demand, as I mentioned earlier in my comments on the macroeconomic situation, the industry has encountered significant challenges due to a slowdown in the overall capex environment, which has impacted the infrastructure sector as a whole. Additionally, this situation was exacerbated with a prolonged and intense monsoon. Going forward, the execution of projects announced under the Union Budget will be a key monitorable for any demand revival.
Notably, in the Union Budget 2024 -'25, the government has outlined several programs for the infrastructure development , including developments in eastern regions of the country . For example, Rs. 26,000 crores have been allocated for various infrastructure developments in Bihar.
The Purvodaya scheme also focuses on the overall development of the eastern region. This is promising for Nuvoco, given our substantial presence in the east. However, the t iming and pace of demand recovery will depend on the on -groun d execution of infrastructure and housing projects.
Additionally, sustainability of price improvement is contingent upon sustained demand growth.
Meanwhile, Nuvoco is navigating these volatilities with resilience by prioritizing on premiumization, key optimization, bran d strength building, and operational excellence. We are confident that with the main focus remaining on operational cost efficiency, we will also see the benefit when demand and pricing cycles turn.
With respect to Ready -Mix and MBM business, focus on innovation continues. In Ready -Mix business, Ecodure Thermal Insulated concrete, which helps reduce indoor temperature, and Conc

reto Uno concrete, India 's first hydrophobic concrete designed to protect against water damage, was launched in Q1 FY '25 and has seen good momentum in Q2 FY '25. The MBM business introduced Zero M Roof Shield, a single -component waterproofing coating that reduces surface temperatures by up to 10 degrees Celsius, ensuring cooler living spaces.
Our commitment to sustainability is a vital aspect of our operations, as evidenced by our position as one of the industry leaders in low carbon emission. Our audited figure for FY '24 shows an impressive emission rate of 457 kg CO_2 per ton of cementitious material. We believe that our sustainable practice will continue to add value to various stakeholders, including the communities we serve.

With this, I conclude my opening remarks. I am joined here by Mr. Jayakumar Krishnaswamy, Managing Director, Nuvoco Vistas; and Mr. Maneesh Agrawal – our Chief Financial Officer. We are here together to answer your questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: First question, wanted to check on the entire debt situation. So, maybe can you help us understand what is the debt repayment schedule ? And are there any particular restricted covenants that stand out? Just on the leverage, I wanted to get some idea.
Jayakumar Krishnaswamy: Yes, Satyadeep , good afternoon. Thank you for your question. So, first of all, in terms of our debt repayment schedule, I guess everything is on course. This is the first quarter after many quarters where I guess the overall industry has not performed well, and then consequently all the players have had a little bit of a downside. But suffice to say that in terms of our payment schedule, in terms of our covenants, I think everywhere we are on course . And as informed to investors in t he past calls, we are well on the way to kind of pa ring the debt to just about less than 4,000 , between Rs. 3,500 crores to Rs. 4,000 crores in the next two quarters.
Satyadeep Jain: But is there any major bullet payment or something coming due in the next maybe 12 months or so?
Jayakumar Krishnaswamy: I think that 's there. I think we have payments coming in the next, every year I think we have got payments, in the next 10 months also we have got payments coming. Certainly, I think we are well on the way to kind of ensure payments will happen when it happens . And even if somewhat muted demand is there , I think we always have the leverage of refinancing it, and it should not be a problem at all.
And i n terms of covenants, I guess, I think all of us know various covenants which are net debt to EBITDA, net debt to equity, security coverage, debt servicing, all of them are in the published result. We have to declare in our quarterly results to the Board as well as the shareholders, and to the other s tatutory bodies, I think, all of them we are comfortable meeting all their requests and requirements.
Satyadeep Jain: Secondly, I think last quarter you mentioned that certain particular micro -markets, I am not sure if I missed it, certain micro -markets like West Bengal, Bihar, Chhattisgarh, particularly margins were low and the Company decided to walk away from certain low -profit micro -markets. Is that something that continued in this quarter? And you are still seeing that maybe in the third quarter so far, these certain micro -markets where you are deciding not to be aggressive?
Jayakumar Krishnaswamy: In general, as Mita mentioned in her speech, one of the key strategies for the Company which I mentioned in the previous calls as well as certainly one of the priorities is to ensure value over volume. That 's something which we have been doing. If you remember, you ha

d asked this

question two quarters ago also, and we had a conversation, discussion on the objective of the Company , prioritizing value over volume. I think as of now we are still continuing.
As regards to the market scenario, I guess this is a little bit of – in any case, monsoon months are weak demand months for industry , but this year specifically the monsoon quarter has been a little bit worse than the previous monsoon quarters, at least in the last six, seven years as seen in the industry. But certainly, as regards to our strategy of walking away from any market, so let me just clarify to you. Certainly, I think we will never walk away from a market, but it is not kind of participating aggressively in the market to ensure that we push volumes in this key market where the pricing is pretty low.
But then, if you really look at the market of Bihar, historical high Concreto sales happened in the H1 of this period. We are continuously increasing our premium product share in the East and as well as in the North , our Concreto, regular Concreto, Concreto Uno, the Duraguard Microfiber, these numbers are all kind of trending at historical high levels in terms of percentage. This quarter we had 43% premium product sale for the Company , which is the highest, at least in the last six, seven years I have seen the business. So, prioritizing value over volume is important . But in certain markets where the pricing is really bad, may be c ertain, West Bengal, one, two, three , there are certain markets where the freight cost is high, reach is expensive, and markets are inherently not that great, certainly we will not push volumes for the sake of pushing volumes.
Moderator: Thank you. Next question is from the line of Kunal Shah from DAM Capital. Please go ahead.
Kunal Shah: Sir, just one question on this value over volume strategy. Now, one thing that I am not able to understand is , given the dealer incentives are inherently volume -driven in this business, so for implementation of this strategy and pushing the premium products, we woul d be paying more commission to the dealers to offset for the volume loss, right, I mean?
Jayakumar Krishnaswamy: Yes, I guess, let us not get into all the nitty -gritties of the discount schemes for the Company ,

because I think that 's something which we own very closely, how do we run schemes and plan schemes. But if you really look at the various schemes in the market, you have got monthly target, quarterly target, annual targets. The targets are all kind of based on overall volume link. But within the overall volume link ed scheme, we also have some schemes based on direct dispatch, some scheme s based on the level of premium sold. So, those things are all added benefits to the dealers. So, I guess , when we incentivize dealers to kind of on these lines, there is normally a tendency for the dealers to sell some of these more. Even the fact that the market itself is a little bit tepid so there is a little bit of added incentive for dealers to push premium or direct sale or SO dispatches. So, it is kind of helping them. So, that 's how we kind of structure the scheme.

Kunal Shah: But just one or maybe just putting it the other way, so let 's say selling these premium products, incurring more expenses on the costing, packaging, advertisement, dealer discounts, and taking some bit of hit on your potential operating leverage , what you are trying to say is we woul d still be making more absolute EBITDA versus volume -led strateg y?

Jayakumar Krishnaswamy: Let's look at it in two parts. One is, when you push absolute volumes more, then I guess the overall absolute EBITDA which the Company will make will be dependent on the total amount of volumes which you sell. But the fact that the ma

rket is a little bit tepid, one of the things for us is, instead of participating in those markets where the contribution margin or the overall EBITDA is lo w, we prioritize pushing more premium in the more attractive market. And certainly, when we sell a Concreto or a Duraguard Microfiber or Concreto Uno, the contribution margin for these products vis -a-vis a normal product in the market is much, much more. And hence the realization and hence the EBITDA levels for the Company is better. That 's one of the broad themes which we are working at this point of time.

But in any case, our brands are so strong, in a place like Bihar , we are selling more Concreto than ever before. In Rajasthan and Chhattisgarh, we are selling more Duraguard Microfibers than ever before actually , where Duraguard Microfiber and all are trending at close to about 17%, 18% numbers and Concreto is much higher. In fact, in Bihar, Concreto volumes are close to 75%, 80%. That 's the kind of volumes we are able to push. And net-net, in states where we have a strong position o n premium category, we end up getting more realization and better EBITDA margins.

Kunal Shah: And one last bit here , you mentioned twice on this market being tepid and that gives some bit of cushioning. But in your experience, I do not know how to put it, but does the market share loss sort of aggravate during inflationary times of cement pricing?

Jayakumar Krishnaswamy: I am not going to quantify what 's the kind of share loss which is happening.

Kunal Shah: No, no, not from quantification , from a trend perspective is something that I wanted to understand.

Jayakumar Krishnaswamy: Yes, absolutely. I would certainly admit that in these times there is an option available for us to kind of go hammer and tongs in pushing volumes in market, thereby not giving up our space in the shell. But given the fact that overall market growth itself is negative to neutral at this point of time, and pricing power for industry is almost the lowest in the last five years in this quarter. So, it's a bit sensible to kind of play the premium game rather than to push volumes.

Kunal Shah: And just one last bit , in terms of this October pricing, because we are getting some sense that prices have actually declined in October in your eastern micro -market. So, could you please help us with how the trend is in October versus the September exit?

Jayakumar Krishnaswamy: A little bit of a next quarter , so for me to kind of tell anything about this quarter is not appropriate in this call. But suffice to say there has been an upward movement as well as a downward movement. So, it's kind of yoyo in it actually, l iterally there is no firm trend which is there which is kind of giving any great confidence to the industry that it will go one way up.

Moderator: Thank you. We will take our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: A couple of questions, ma 'am. First, a couple of data points, lead distance for this quarter, trade share, and road /rail mix this quarter.

Jayakumar Krishnaswamy: Okay. Road /rail mix for Quarter 2 is, 60% road share and 40% rail share, second decimal first decimal some changes, but I am rounding out to 60:40. Lead distance, we are at 330 kilometers. We used to be 332 in Q1, two kilometers reduction in the overall lead distance. In terms of trade mix, it is somewhat lower in Q2 when compared to Q1. We are 71% trade mix as against the 73% in Q1.

Shravan Shah: Okay. And is it fair to say, let 's say, when we say that our prices have declined just about 2.7% , so the non -trade prices would have declined much higher in Q2 versus the trade prices?
Jayakumar Krishnaswamy: The 2.7% is a blend of trade and non -trade. Then if you see , my trade share is 71%, non -trade share is 29%.

So, we have got to find a way to do mathematical algorithm to get, obviously, 71% of trade less and 29% non -trade.
Shravan Shah: And then given that for 1H we have seen a 4.8 % volume decline , so just wanted to understand the sense for second half, is it possible that we can still see the full year will be a negative on the volume front?
Jayakumar Krishnaswamy: Tough to say, but l ast year H2 was not very great for the industry as such actually. T o that extent,
I think the base number for, at least, Q3 and January and February was not that great for the industry last year. So, I am really looking at a 4% volume growth for the full year. So, we would get growth from November, post-Pooja, post -Chhath p ooja and Dussehra. So, come November , till November 15 till March I guess there should be a home stretch for the industry and certainly for us a s well.
Shravan Shah: So, that means more than a kind of 10% growth that we are looking at in the second half?
Jayakumar Krishnaswamy: Certainly, I am targeting a high single digit growth, only in the coming October end and till 15th of November we will get a good sense of whether there is a little bit of a shift in momentum in the overall offtake. As Mita mentioned in her speech, post the budget a lot of schemes were announced by the government, but they have not kicked -off on the ground as of now. But I am optimistic that once the Pooja is done , money has to flow into the market and construction will pick up and then overall the cement demand will also go up. Plus, the monsoon this year was a

little bit severe, so that 's something which has kind of adversely impacted. Some broad macro stuff, if you look at the states of Bengal, Bihar, Chhattisgarh, overall capital spend is not great , it has not gathered momentum, change of government has happened , but from now on things should improve. So, the overall demand uptake will also improve maybe November 15 th onwards.
Shravan Shah: And on the capex front, so in the 1H we have done Rs. 220 odd crores, and we previously said Rs. 300 crores to Rs. 400 odd crores kind of a capex in the FY '25, and for Rs. 900 crores to Rs. 1,000 crores in FY '26. So, does that number hold?
Jayakumar Krishnaswamy: Absolutely holds good. We may even be shy of maybe Rs. 400 crores by 20 odd crores in H2. So, there are no new projects which are kicking off. The big projects are basically the GU in Haryana, or the railway siding in Sonadih, railway siding in Jajpur, and then the grid integration project as well as AFR. So, all of them are completed or more or less at the end of it. I am not picking up any new project now till March , and just waiting for this year to tide over so that we start our expansion Capex end of this fiscal, early next year.
Shravan Shah: And the net debt increase of Rs. 470 odd crores, obviously, it is a seasonality which has increased in the 1H , so by the end of this year do we expect that it will come back to normal kind of a 4,000 odd level?
Jayakumar Krishnaswamy: If you see September '21 we were 5718, September '22, 5283, September '23, 4734, September '24, 4501. This is year -on-year every quarter we are better off than the previous same quarter previous year. So, end of March certain ly we will test this year March 's number, so we are in a good position to reduce the debt.
Moderator: Thank you. We will take our next question from the line of Aditya Desarda from Motilal Oswal. Please go ahead.
Aditya Desarda : So, basically I just wanted to know what 's the current net debt position ?
Jayakumar Krishnaswamy: You are asking current net debt ? Net debt as of September 30, 2024 is ~Rs 4500.
Aditya Desarda : Yes. So, as I mentioned , what is the Company 's current Net Debt position ? And how much progress has been made towards achieving the targeted debt reduction?
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ayakumar Krishnaswamy: Can you repeat the second part of your question , you said something after the Company 's net debt. What was the second part?
Aditya Desarda : Like how much progress has been made toward achieving the targeted net debt position ?
Jayakumar Krishnaswamy: Still not clear. How much what? Just repeat one more time little bit slowly. I did not pick up the second part of your question, please.

Aditya Desarda : Yes, I am asking, how much progress has been made towards achieving the targeted debt

reduction ?
Jayakumar Krishnaswamy: The current net debt for the Company end of September is Rs. 4,500 crores. And our stated objective is, we should pare the debt to Rs. 3,500 to Rs. 4,000 crores . And the view currently I have for our Company is, by the end of this fiscal we should be lower than last year 's Rs. 4,030 crores. So, we should be thereabout say by end of this fiscal. And in the long term we are comfortable operating the Company at Rs. 3,500 to Rs. 4,000 crores .
Aditya Desarda : Okay. One more thing , how has the realization per ton changed over the re in the last quarter?
Jayakumar Krishnaswamy: Our Q2 blended realization is Rs. 5,362 as against Rs. 5,513
Aditya Desarda : Okay. So, can you let me know what are the factors basically that contributed to these changes?
Jayakumar Krishnaswamy: I told you it 's price.
Aditya Desarda : Okay, it was predominantly price
Jayakumar Krishnaswamy: In terms of cost line, we are equal to or better than many competitors on line by line of the cost side. Our fuel cost currently is trending at Rs. 1,046, which is one of the lowest in the industry. We reduced fuel cost by Rs. 30 from Q1. Our distribution cost came down by close to about 1% over Q1. In terms of other expenditure, the cost of materials consumed, we have come down by 2%. So, the cost line is well under control . As Mita mentioned in her speech , the Bridge agenda is certainly benefiting us. So, I am really looking fo r a price movement in the market in the positive direction. We will get the leverage going forward.
Moderator: Thank you. We will take our next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi : Sir, just wanted to check the North clinker expansion , what is the progress on that?
Jayakumar Krishnaswamy: Yes. Thanks , Rajesh. We did clinker expansion in two sites , one was in Risda , that's done and dusted, and we have the capability to take the clinker to 12,000 tons. And in Nimbol, which is in the North , we have taken the clinker expansion to 6,000 TPD. I think the report is that we have already touched 5,700 tons per day throughput. So, the clinker is under shutdown right now. Once the shutdown is done by, I think January, February, Q4 this year our target is to get to 6,000. Overall clinker capacity for the Company would be 28,000 tons clinker in East per day, and North 12,000 , 9.5 million tons in East, and 4 million tons in North.
Rajesh Ravi: Was talking about the slag clinker Brownfield expansion in North , which you are planning to take up by 2026.

Jayakumar Krishnaswamy: Oh, okay , you are talking about the Brownfield expansion , okay. As informed in the previous call, I was looking at an expansion for the Company happening end of this fiscal or early part of next fiscal. So, the technical work is all happening currently, and then sometime end of this year, early next year, we should start our next expansion.
Rajesh Ravi: How much time will it take for the commissio ning once you start the project ?
Jayakumar Krishnaswamy: Okay. I am looking at close to about 18 months for the land to be c ommission ed.
Moderator: Thank you. We will take a follow -up question from the line of Shravan Shah from Dolat Capital.
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lease go ahead.
Shravan Shah: Ma'am, you have mentioned that we have seen a Rs. 50 cost reduction through the project Bridge in 2Q. So, this is Q -o-Quarter we are talking about and how much more further reduction we are looking at in the second half?
Madhumita Basu: So, Shravan , Bridge 2 Agenda, just to recall the major heads, we were looking at the grid integration project covered in my speech, sla g cost reduction, distribution cost reduction. So, these projects are well on track against a budget of Rs. 50 per ton which we had shared earlier. H1, we are already trending at Rs. 50. We hope to see some upside on this figure. In H2, we should be looking at about Rs. 75 per ton , given the pace at which these various projects are moving.
Shravan Shah: And just to check this Chittorgarh expansion, so previously we have mentioned 2 to 2.5 MTPA clinker. And in terms of the grinding level, broadly it would be a 3.5 million ton, 4 million ton that one can look at. And broadly, in terms of the capex , it would be Rs. 1,500 crores to Rs. 2,000 crores kind of a capex ?
Madhumita Basu: Yes, Shravan. No specific update over what we shared in the last call.
Moderator: Thank you. I would now like to hand the conference over to Ms. Madhumita Basu for closing comments , over to you.
Madhumita Basu: In conclusion, I would like to share that we are cautious about the demand outlook and pricing dynamics in the cement industry. While the Union Budget has announced an infrastructure investment of Rs. (+11) lakh crores, actual disbursement of funds and project execution on the ground remains a key monitorable. Despite these challenges, our strategic priorities will continue to focus on premiumization, geo -mix optimization, enhancing fuel mix efficiency, strengthening our brand, and maintaining focus on cost excellence. Our investor relations team will remain available for any further clarification required.

I take this opportunity to wish you all a happy Diwali and a prosperous New Year. Thank you for being with us today.

Moderator: Thank you, ma ’am. On behalf of Nuvoco Vista Corporation Limited that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Jan 2025

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Ref. No.: Sec/ 160/2024 -25

January 28, 2025

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO

Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the Unaudited Standalone and Consolidated Financial R esults of the Company for the quarter and nine months ended December 31, 2024

Further to our letter no. Sec/151/2024 -25 dated January 16, 2025, letter no. Sec/156/2024 - 25 dated January 22, 2025 and letter no. Sec/ 158/2024- 25 dated January 22, 2025 , please find enclosed the transcript of the Investor and Analyst Conference Call held on Wednesday , January 22 , 2025 on the Una udited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31 , 2024 .

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Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

Encl: a/a

“Nuvoco Vistas Corporation Limited Q 3 FY ’25 Earnings Conference Call ”

January 22, 202 5

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING DIRECTOR ,
NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL OFFICER ,
NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF INVESTOR RELATIONS ,
NUVOCO VISTAS CORPORATION LIMITED

Moderator: Ladies and Gentlemen, Good Day and Welcome to Q 3 FY ' 25 Earnings Conference Call of Nuvoco Vistas Corporation Limited

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I now hand the conference over to Ms. Madhumita Basu – Chief Investor Relations. Thank you and over to you.

Madh umita Basu: Thank you, Yashashree . Good afternoon, everyone . And thank you for joining our 3rd Quarter of Fiscal 2025 Conference Call.

Let me start by briefly discussing the broader macroeconomic landscape linked to cement demand , followed by a review of our performance and the key events for the quarter.

As you were aware that during first half of the fiscal year, macroeconomic environment remains challenging, and India 's growth rate turned out to be much lower than anticipated due to deceleration in industrial growth and CAPEX . However, high frequency indicators available so far suggest that ,the slowdown in domestic economic activity bottomed out in Q2 F Y '25 and has since recovered gradually, aided by festive demand and pickup in rural activities. A record Kharif harvest and increase Rabi sowing have contributed to a reasonable performance in agriculture and allied activities, leading to an improvement in the rural economies fortunes.

Meanwhile, India continues to be the fastest growing major economy. Although GDP growth has moderated to 6.4% for FY '25, primarily due to lower CAPEX by Center and States in the first half of the fiscal , the real GDP growth for Q1 F Y '26 is projected at 6.9% and Q2 F Y '26 is projected at 7.3%.

The Union Budget for FY ' 26 scheduled to be presented in February is expected to prioritize infrastructure development. Economic experts project a 30% increase in the infrastructure allocation, reinforcing the sectors critical role in driving economic growt h. All this augurs well for cement demand going forward.

Moving on, let me first spend some time on the key milestone that the Company achieved in the recent period :

Friends, we became a successful resolution applicant for Vadraj Cement Limited , which is undergoing a corporat e insolvency resolution process. A nd accordingly , Letter of Intent has been issued. Filing with NCLT has been done and approval to the Company 's resolution plan is expected within eight to nine months. Asset wise, Vadraj Cement has a 3.5 million tonnes per annum clinker unit in Kutch and a 6 million tonnes per annum grinding unit in Surat . Both are equipped with equipment s from top quality manufactu rers. Production from the facility is targeted to start from Q3 FY '27.

The acquisition offers a valuable buy at sizable growth opportunity being available at a highly competitive cost of approximately $60 per tonne , compared to the recent high acquisition cost in the industry. By acquiring Vadraj Cement , the Company is poised to reach 31 million tonn es per annum cement capacity by Q3 F Y '27, with 19 million tonnes per annum in East, and 6 million tonnes per annum each in North and West. Net -net, this investment follows the Company 's drive for growth and diversification.

With the strategic ac

quisition, Nuvoco Vistas is set to expand and consolidate its footprint in the
Western region of the country, becoming the third largest player by capacity across the combined geographies of Gujarat and Maharashtra. Additionally, by serving the Western markets from Vadraj Cement , the Company would also release much needed capacity to meet the growing demand of the North ern markets from its Rajasthan plant , thereby strengthening its competitive position across both regions. The acquisition will unlock significant synergies with the Rajasthan plant , enabling seamless operations in existing markets, optimizing logistics , and enh ancing overall competitiveness.

To reiterate in line with our future expansion strategy outlined in earlier calls , the Vadraj acquisition meets the timeline of Q3 FY '27, and will be achieved at a significantly lower cost, reinforcing our commitment to strategic growth.

Let's now focus on our quarterly performance, reviewing our progress and discussing our outlook for the future.

In Q3 FY ' 25, the Company recorded revenue and EBITDA of Rs. 2,409 crores and Rs. 258 crores , respectively. Allow me to take a moment to highlight the key factors that contribute to these headline figures. Firstly, let me touch upon the volume growth of 16% Y-O-Y to 4.7 million tonnes in Q3 F Y '25. Following the challenging conditions in H1 FY '25, demand conditions showed improvement in Q3 FY '25. In response, the Company undertook several initiatives to drive strong vo lume growth during the quarter.

However, cement prices in our key markets plummeted in the month of October and November and remained subdued for the major part of the quarter. Price improvement was observed only towards mid -December. Consequently, our realization was impacted during this period. The positive news is that price improvement has been observed in the market. We remain optimistic that sustained demand recovery will continue to support prices moving forward.

I would now like to give an overview of the quarter 's performance, specifically focusing on key cement cost elements :

Power and fuel cost per tonne were reduced by 6% quarter -on-quarter . The Company has reached the lowest blended fuel cost in the last 13 quarters at Rs. 1.45 per million cal. I would like to emphasize that Nuvoco's power and fuel cost continues to be amongst the lowest in the industry. On the raw material side, Nuvoco continues to be better placed due to its long -term sla g supply agreement. Distribution cost per tonne decline d by 3% quarter -on-quarter due to efficiency in operations. On cost efficiency program Project Bridge 2.0 is on track, delivering a reduction upwards of Rs. 50 per tonne YTD.

Turning to our balance sheet :

Net debt as of December 31st, 2024 stood at Rs. 4,350 crores, reflecting a year -on-year reduction of Rs. 1 83 crores. This demonstrates our consistent effort towards effective debt management. On a quarter -on-quarter basis net debt further declined by Rs. 151 crores , mainly driven by release of working capital. The Company stays on course, with its objective to bring net debt below Rs. 4,000 crores to support our future investment.

Cement demand :

The cement industry has witnessed a recovery following a challenging first half of fiscal '25. After grappling with subdue d demand, the industry 's showing signs of improvement driven by improved market dynamics. Going forward, we believe a key driver to watch out for would be pick up in unspent capital expenditure at both center and state level. A s of November 2024, the Center has Rs. 5.97 lakh crore in pending CAPEX , while States have Rs. 5.34 lakh crore CAPEX spending to be executed.

Region wise, in Eastern states, including states of West Bengal, Bihar, Jharkhand, Chhattisgarh and Orissa , pending states ' CAPEX on an average is u

pwards of 65%. This implies significant
potential for increased infrastructure activity in the coming months and thereby acting as a catalyst for cement demand. Additionally, rural housing demand is poised for growth, supported by a healthy monsoon . Improved agricultural income and favorable rural economic conditions are expected to drive construction activities , further boosting the industries outlook.

With respect to our Ready -Mix and M BM business , focus on innovation continues. I n Ready - Mix business , Concreto UNO Concrete launched in F Y '25 is gaining traction across different markets. The MB M business introduced three new products , Tile Adhesive T5 , Tile Glitter and Tile Bonder under the brand ZERO M to strengthen the product portfolio. Additionally, tile adhesive, construction chemicals and cover blocks continue to witness improvement in sales.

On the sustainability front :

Our commitment to sustainability is a fundamental part of our operations , reflected in our leadership in low carbon emission . The audited emission rate for FY '24 stands at 457 kg CO_2 per tonne of cementitious material , which is amongst the lowest in the industry. We believe our ongoing sustainability efforts will consistently deliver value to all our stakeholders, including the communities we impact.

With this , I conclude my opening remarks. I am joined here by Mr. Jayakumar Krishnaswamy – Managing Director, Nuvoco Vistas ; and Mr. Maneesh Agrawal – Chief Financial Officer of the Company . We are here together to answer your questions. Thank you.

Moderator: Ladies and gentlemen, we will now begin the question and answer session. We will now begin the question -and-answer session. We will take our first question from the line of Naveen Rameshwar Sahadev from ICICI Securities . Please go ahead.

Naveen Sahadev: Sir, my first question was with respect to Vadraj Cement. So, if you can just help us understand that you said it's going to take about, I mean , in the initial comments madam did mention that it will take about eight to nine months for the deal to get consummated. So, if you can just help us understand , once the approval is received, what is the bullet payment that will be due to the process or to the bank s, consortium of banks in general ? And thereafter , how do we plan to spend the balance payment ? As I understand , you are mentioning the acquisition at about $60, so roughly give or take it's more close to Rs. 3,000 crores or so. So, if you can just help us understand that part, please. Thank you.

Jayakumar Krishnaswamy: Thank you very much for this question. As you would all know , Vadraj Cement is based in Gujarat. They have a clinker unit in Kutch for 3.5 million tonnes of clinker , and they have a grinding unit in Surat for 6 million tonnes . Both these plants were operational when they were shut five, six years ago , and then on they have been in idle condition. And finally it came through the IBC(Insolvency and Bankruptcy Code) route. A nd we successfully bid for it , and as mentioned earl ier by Madhumita, we have got LoI in the month of January. So, the bid amount was for Rs. 1,800 crores , and the papers have been sent to NCLT now. Subject to the approval of the honorable court, which should take eight to nine months, the payment will happen subsequent to that.

And then on , based on the due diligence and the various assessments we have carried out in the two sites, w e have a range of spend from Rs. 900 crores to Rs. 1,200 crores. So, which should be the money needed over a period of 18 to 24 months to make the assets fully operational. However, we target to operationalize one mill initially and then the clinker line, and then the CAPEX would be for a period of 18 to 24 months . So, we are looking at Rs. 1,800 crores of payment post the court approval , and then on another Rs. 900 crores to Rs. 1,200 crores over a period of the next 18 to 24 months. So, that's how it is. By around quarter three this year that's when , subject to approval of the court , that's when the payment will happen.

Naveen Sahadev: Thank you. And sir, my second question then was about, how confident are we of the balance payment , as you said initial payment is Rs. 1,800 crores , which is the bid a mount , but Rs. 900 crores to Rs. 1,200 crores . So, just wanted to get a sense that have we got , what do you say , some sort of assurance or guarantee from the initial equipment manufacturers ? Because we would appreciate that this plant was not operational for quite some time , of course you would have looked into it, but my only simple question is , if there is a guarantee some sort of with the original equipment supplier that it will not exceed this range of Rs. 900 crores to Rs. 1,200 crores . Thank you so much.

Jayakumar Krishnaswamy: Obviously, when we bid for it, so we have done our homework and that's how we kind of participated in this entire bidding process. So, we have fairly elaborate and detailed assessment of both the sites. So, we have personally visited the site along with the OEMs . As you would know the lines are all best European machines . You have an FLS line and Loesche mill, and rest of all the stuff is as per the best OEM, almost all cement companies have this kind of technology. Just that th ese assets have been idle for many years so they kind of have the wear and tear and not have been operating. So, that's the X Factor net. But other than that , in terms of assurances from the OEM s and the technical assessment guys, we were pretty confident of our ability to restart the plant in the timeline which we had in mind, a nd hence we participated in the bid . And that's how we offered and bid at this level of Rs. 1,800 crores to acquire the asset .

Naveen Sahadev: Appreciate. And just one last question, if I may slip in , please. Does this amount , this Rs. 900 crores to Rs. 1,200 crores also include the captive power plant cost as well ? Because I believe 50 megawatt of power plant is there, but currently it is not u nder the JSW Group. So , does this cost factor in that cost as well? And are we planning to put in a waste heat recovery? Thank you , that's i t from my side. Thanks.

Jayakumar Krishnaswamy: Yes, the CPP cost at Kutch is not part of the deal, so we are currently working on to work out what are the modalities of it . So, it's not part of this Rs. 1,800 crores, plus Rs. 900 crores to Rs.

1,200 crores. It will be above this, the CPP will cost us more than this.
Naveen Sahadev: And waste heat recovery is something that we will contemplate at the later stage ?
Jayakumar Krishnaswamy: I am sorry.

Naveen Sahadev: I am saying, sir, are we planning to incorporate a waste heat recovery plant as well given the kiln size? Or not required since the grinding unit is too far ?
Jayakumar Krishnaswamy: We will do, but it will be on Phase -2 and not the day we start the line. How ever, the Rs. 1,200 crores does include the cost of WHR S.
Naveen Sahadev: Great. That's what I wanted to confirm. Thank y ou so much , sir.
Moderator: Thank you. Next question is from the line of Jashandeep from Nomura. Please go ahead.
Jashandeep Chadha : Sir, my first question is on volume . I mean, you have a reported strong volume growth . Just wanted to understand from the East market side, so how has the market performed this quarter? And how are you looking at the fourth quarter and FY '25 in terms of volume? And adding to that also, sir, how is the volume mix between East and North ? And have you seen more of non - trade this quarter? Just want some clarity on that , sir.
Jayakumar K

rishnaswamy: Yes. As Madhumita mentioned , after Q2 and with the ending of monsoon as well as festive season , demand did pick up in both the markets of East and North , and we did fairly well double - digit growth in both the markets in both the North and East . And we certainly grew ahead of market in both the places. Our trade volume certainly picked up . And one of the reasons is also the base effect. But in general, we were able to get our volumes in Orissa, Chhattis garh, Rajasthan , Western MP, these were the markets where we did quite well. We had a broad based growth both in trade and non -trade, and certainly we maintained our value strategy, our premium product percentage continue d to be at 39% . And that's the focus . Always I have mentioned in the call that we will never run behind volume compromising on value. We did get our premium product number of 39% as well as the volume in both the market.
And as Mita mentioned, the only wet blanket in this quarter was prices kind of went to probably three years low in East as well as North , and that had a significant impact in the realization bit . But the positive note I always look at is around middle of December , I think we took price rises in both the markets as well as East and North , and certainly things looked up for us end of quarter. Since the question on this will come later, I just want to inform you as well that the December end realization was 6% of the quarter realization . So, we ended the quarter very strong . And as we enter January with this backdrop of volume growth, with the backdrop of focus on premiumization and also overall improvement in realization, I think we are on a very strong wicket as we en ter quarter four.
Madh umita Basu: An additional data point , Jashandeep, to answer your question, our trade percentage share remained at 71% for Q2 and Q3.
Jashandeep Chadha : Thank you for that , ma'am . And j ust touching upon realization before I ask my second question , sir, our blended r ealization seems to have dropped around 5% quarter -on-quarter, which is

slightly more than what we saw during our channel checks . Just wanted to understand is there a drop in RMC realization s also? Or if you can just give me how much your cement realizations have declined quarter -on-quarter that would be great.
Jayakumar Krishnaswamy: Cement realizations drop ped Q -on-Q by 3.6% . But as I mentioned, we ended the quarter with December exit r ealization of 6% over the quarter average. So, I guess the reported number in quarter and end December is 6% , so we have kind of overcome the realization drop of 3.6% , on top of it we have grown . So, I think we entered January on a strong wicket with good momentum behind us in terms of volume, focus on trade premium. So, that's where we look . Q4, we are very well placed .
Jashandeep Chadha : And just last question on this, I mean , in about six months we might be seeing Rs. 1,800 crores cash outflow, then another Rs. 1,200 crores cash outflow. So , how do we see net debt, h ow should the market look at your net debt? How w ill their trajectory grow ? Are you looking to take more borrowings , are they expected to increase ? I mean, if you can just give clarity on how your net debt will be, let's say, by the end of FY '26, just trajectory wise , that that would be great , sir.
Jayakumar Krishnaswamy: Yes, I will answer it in little bit of detail ed one s o that I think almost all aspects get covered . In all of our calls in the last few years we have maintained that we would be comfortable having a debt level of Rs. 3,500 crores to Rs. 4,000 crores. And around that time is when we will kick start the next growth plans for the Company . And even in the last investor 's call I had answered a question from one of the analysts where I had mentioned that we will start of the nex

t expansion
with the Company either in Q1 or Q2 of FY ‘26 . So, that's the position we had three months ago, six months ago .

And one of the principal endeavors of the Company was to pare down the debt from the IPO times till now . And very happy to report that from December ‘21, as is mentioned in the investors deck , you would have seen in the presentation, our December ‘21 debt level of the Company was Rs. 5,495 crores , and comparable December ’22, December ’23, December ’24, this number has moved from Rs. 5,495 crores to Rs. 5,165 crores to Rs. 4,533 crores to Rs. 4,350 crores .

Every comparable quarter ending we have been paring the debt all the time. And the trajectory certainly gives us confidence that by the time we finish this year, we would be Rs. 4,000 crores and thereabouts will be the debt level , and that's our committed number to make the next investment.

That is the backdrop of either through Vadr aj or through own growth in brownfield expansion . We never envisage d Vadra j three months ago , six months ago . But certainly we were very clear that Nuvoco will start this expansion plan the m oment we hit our internal target of Rs. 3,500 to Rs. 4,000 crores of debt level. And in between Vadraj happened, a nd then we did a cost benefit analysis of the value by Vadraj as well as our own investment. We found the Vadra j being very economically attractive for us , and henc e we went for it and then successfully bid for it.

And the benefits of Vadraj, Madhumita are very well explained , that it gives us a growth opportunity in North where we can release capacity and go participate in North more aggressively going forward. Plus , it gives an opportunity for us to go in the West . 6 million tonnes in North, 6 million tonnes in West , 19 million tonnes in East, overall, 31 million tonnes , consolidate d we will continue to be the fifth largest player.

The question you asked about , how do we kind of fund this deal. So, here we are currently in the process of working out the modalities. Suffice to say, we are mindful of the debt levels in our balance sheet and I just want to assure the investors that as we do the financing for this deal, which will takes minimum six to eight months, since NCLT is itself going to take that much amount of time, we are mindful of the debt and will ensure that all the covenant conditions of NVCL are a lways met.

Moderator: Thank you. Next question is from the line of Satya deep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : I had a few questions on Vadraj, and then one on the quarter. So, o n Vadraj I just wanted to understand some capital allocation perspective . The Company has Rs. 4,000-odd crores of net debt. S itting outside , we would imagine that between brownfield expansion in North and this , given the situation , given the debt on the balance sheet, the less risky option would be brownfield expansion in the area you already know , the asset y ou already know . This one is an asset which is unknown in a way to you, the entire sea logistics , operating jetty, a very different model , going into an unknown territory to some extent. So, just want ed to understand from capital allocation when you are looking at this investment and you are evaluating at this stage, why now? And just not the acquisition itself , at the stage where you are , why did this make more sense versus brown field expansion? That is the first question.

Jayakumar Krishnaswamy: Let me just take th at question, Satyadeep. F irst of all, I guess , we have been in the industry for many years and certainly we have the requisite knowledge to start a plan t, put up a plan t, expand a plan t anywhere in the country. So , I guess , we have got a good set of people, good teams, so that the confidence arises from the fact that we have a wonderful bunch of peopl

e who will be
able to do it. But having said this, certainly as you mentioned that there is always this jetty element which we do not have experience , plus also it is going into a new territory.

Let me address the first question of new territory . Already we sell close to 1 million tonne s in Gujarat . So, expanding from 1 million to 2 million and above in a span of a year and half will certainly happen. But this capacity of 6 million is not going to be consumed in one or two years, it will take probably t hree to four years for us to consume this capacity . And as we ramp up the capacity from this asset, the Chittor and the Nimbol facility which we currently use to feed Gujarat will get reused in Rajas than, Haryana and beyond , and also with the Bhiwani grinding unit we are very nicely placed to go up North to grow in that side of the country.

Coming to the jetty bit, yes, I acknowledge the fact that we currently do not have experience in jetty operations , but we are mindful of the fact . We will bring onboard the experts who know how to operate a jetty and manage a jetty. A nd they will come on board pretty early in the journey, so that by the time we start this expansion work, we would have a wonderful team of

expert jetty operators who will be onboard , and t hat's how we plan to address this issue.
Satyadeep Jain : Wanted to ask a follow -up on this jetty situation . If I look at , the only two players I can think of, and maybe you can correct me if I am wrong, is Ultra Tech when they acquired th e Sewagram, they were already operating in that area ; and then largely Ambuja . But barring that, I am not too sure of too many players being successful . Many players have tried this entire coastal movement and nobody I can think of has been successful. Maybe I just want to understand , when you evaluated different case studies and how they played out , what do you think went wrong for some of the players and where do you think you can replicate what UltraTech and Ambuja ha ve been able to do and maybe others have not been able to do? Why d o you think what gives you confidence that you can do what these two players have done ?
Jayakumar Krishnaswamy: Okay. Quick one , Satyadeep . Obviously , we have done our internal homework. Obviously , we have not ticked all the boxes when we have gone. Suffice it to say that with the knowledge which we have and the expertise we acquire in the organization, we would be able to address the issue. That is t he first point I want to make . And in terms of the people who have been successful in that region , obviously , the place where we operate there a re a couple of other neighbors. In fact, the topography of the place is in such a way that the ocean depth and the estuary mouth and all are going to be shared between us and the other two players. But then we have come to this Porbandar , then you c ome to Gir area, Namreli area , and you go to Saurashtra area , then you got three, four more cement compan ies who have got c linker as well as cement movement . People have tried , some of them have been successful , some of them have not b een successful. We are running a Company and we are pretty optimistic that we will be able to learn and operate. We have got time. It is not like tomorrow morning I need to operate the jetty. S tarting now , NCLT takes few months from now, six to eight months , and then another 12 -odd months for the plant to come. We have got time from now till the end of next year , so that's where we plan t o build capability in the organization to try it out, bring in reputed people to make this work. In terms of lessons learnt, too early for me in this call to tell you what are all the potential lessons. But I promise you that in a quarter from now , two quarters from now, once we gain knowledge, I would be able to sh

are with you our plans. And then at that time I would be much more competent to answer your queries.
Satyadeep Jain : Thank you. Just one clarification on this , is it a fair-weather port or a n all-weather port?

Jayakumar Krishnaswamy: No, it is a fair-weather port, certainly in the pre -monsoon months of May, June , and July . So, normal recommendation is it cannot move . So, it's factored in our plan. So, we would either , there is adequate space in the Surat facility to store . We have done s ome calculations, t echnically we need to store about 2 lakh tonnes of clinker , and we plan to have capacity to store that kind of cli nker to manage the pre -monsoon area. Otherwise, I guess , we will take an external space, some handling cost will increase for those three months, but certainly that is factored in the overall plans for the Company .
Satyadeep Jain : Just one quick question , last question if I can squeeze on this quarter. Historically, we understood the Company was avoiding certain markets where pricing was lower, m aybe Chhattisgarh, and if I am not mistaken, maybe Orissa or West Bengal, I do not recall. A nd the idea was quality over quantity. And this quarter it seems to be, do we assume that maybe some market s where Nuvoco had historically vacated , is entering? There's also been a change in sales team recently. So, just wanted to understand is there a change in strategy there of chasing quantity volume over pricing ? Looking at the numbers, it looks like it. Just wanted t o check if that is a wrong assumption .
Jayakumar Krishnaswamy: No, I guess , it's a fair question for you because you are observing a 16% volume growth and I guess you will have this in mind , did we change our strategy . I just want to assure you that we were always committed to premium products. We pride on our ability to sell premium products in the country. I think that's the DNA of the Company and I do not think we will move away from the basic DNA of the organization , even in this quarter w e have not moved . That is why with this 16% volume gr owth as well, our premium product continue s to be 39%. So, obviously we grew more in premium products also in absolute volume terms. So, there, there is no compromise .
But certainly , in the previous calls you would have heard that in Bengal and Jharkhand markets I think the demand was pretty tepid in the past quarters. I think that opened up a bit and we sold more in Bengal , we d id sell more in Jharkhand. Chhattisgarh , I guess it's a home market for us. So, I would not say there's a strategy shift for us in Chhattisgarh, but I think one of the priority areas I have kept for my Company is, we have three factories with IU facilities, and we are equal to any of our competitors in that market. Certainly, we would like to play aggressive, not as in dropping price, but using the proper resources because the contribution margins are highest in that market.

We ran a program called Vijay Chhattisgarh in Chhattisgarh. There's an internal program which we deployed , looked into markets which hitherto we did not participate , and hence we participated. Even in Chhattisgarh, our microfiber is a premium product. Even microfiber target for actual achievement for the quarter was well into double digits. So, I think there again we made good inroads. So , in Chhattisgarh, we participated with micro fiber. In Bihar, we participated with launching Concerto UNO in Bihar, Bengal and Jharkhand. So, you will see us

coming up with top end products which will be higher than the highest priced product in the market to maintain our premium position.

Moderator: Thank you. Next question is from the line of Shravan Shah from D olat Capital. Please go ahead.

Shravan Shah : Most of bigger questions have been answered, a couple of data points. Lead distance for 3rd Quarter , road r ail mix , and if possible , fuel mix if you can share .

Jayakumar Krishnaswamy: We w ill be able to give you . Quarter three FY ’25, our lead distance is 327 kilometers vis-à-vis Q2 number of 33 0, a 3 kilometers reduction in lead distance . Our road s hare increased from 60 % to 64 %, I mentioned that we focus more on Chhattisgarh, so road percentage did increase , rail share reduce d from 40 % to 36 %. That's how. So, it is 64% road share , 36% rail share, 327 kilometers lead distance .

In terms of fuel mix, as mentioned in earlier part of the call, our rupees per million cal for Q3 stood at 1.45 , lowest in the last 13 quarters . And out of which linkage coal 1.32 , non-linkage coal 1.3, imported coal a little bit we used to o, petcoke at 1.66 , AFR was at 1.04. Percentage wise, if you want to know , our coal was 42 %, pet coke 48%, and AFR 10%.

Shravan Shah : Sorry, AFR was sir how much?

Jayakumar Krishnaswamy: 10%. Q2 was 8% , Q3 10%, but still lower than Q3 of last year. But we were improving , in Q4 you will see much more AFR in Q4.

Shravan Shah : And in terms of , sir, from here on the project bridge, last time we were saying that we are looking at 75 -odd kind of a cost reduction in second half of this year FY ‘ 25. So, now how much one can look at in this Q4 , how much more is left ? And going forward , in FY ’26-‘27, how one can look at in terms of the cost reduction ?

Jayakumar Krishnaswamy: In terms of actual rupees which we will clock in Q4, I can give. A t nine months we are at Rs. 54, I guess with the increase in volumes expected in Q4 and all the programs coming to fruition , this number can certainly go up another Rs. 15, Rs. 20. So, that's the number we will have in Q4. Our Q4 number could be about Rs. 75, full year number will be a little bit lower than that because nine months is at Rs. 54. But the projects which we will certainly continue to do next year, the grid integration , power sale, as well as increase in AFR are key program.

Sona dih railway siding is completed, so we used to do about 3 rakes per day movement of clicker. Recently we have moved from three to four rakes, and our target is to move five rakes, which would mean that no more of road movement of clinker from Sonadih, everything will be by rake movement. Jajpur s iding is an advanced stage of completion, so I think the last 100 meters of track needs to be laid, so it should be ready in the next six to eight weeks. Com e Q1 FY ’26, Jajpur should be on . And the last mov ement of clinker by moving from the siding which

is close to Ja jpur into the plant sidings will happen . And also , cement mo vement from Jajpur into S outh Bengal will also happen through ra ke. So, those savings will happen from Q1 next year.

Shravan Shah : And then in terms of the CAPEX , in nine months how much we have done and what is left in the fourth quarter?

Jayakumar Krishnaswamy: YTD CAPEX this year has been Rs. 299 crores , and I guess in Q4 we are looking at this Jajpur and a little bit of sustaining CAPEX which should be close to the tune of another Rs. 50 crores to Rs. 60 crores.

Shravan Shah : So, broadly, if I look at Vadra j, Rs. 3,000-odd crores to be spent in ‘26 and ’27, and plus I think Rs. 300-odd crores kind of a maintenance every year , so Rs. 600-odd crores. So, Rs. 3,600 crores kind of a CAPEX one can look at in FY ‘26 and ‘27. Is it a fair assumption to look at? And also, if possible, can you share w hat kind of a volume in the Q3 FY ‘27 or Q4 FY ‘27 from Vadraj ?

Jayakumar Krishnaswamy: That will be very difficult , Shravan , to answer in this call. But I am looking at a ramp up. I will just give you a number which we are working on . Q3 F Y ‘27 is when we are going to be ready with the plan

t . So, I will get one quarter of FY ‘27 and then ‘28 and ‘29. I am looking at a very optimistic 1 million coming out of Vadraj in FY ’27, and then it goes to 2 million in ’ 28, and 3

to 4 million in ‘ 29. But how ever, the sale of the Company will increase because the capacity which gets released from Chittor will be sold in North of India .
Moderator: Thank you. Next question is from the line of Naveen Sahadev from ICICI Securities. Please g o ahead.
Naveen Sah adev: In the previous question , sir, you did mention about plans for our volume ramp up, which is 1 million tonne , 2 million tonne and 3 million tonne in FY ’28, ’29 and ‘ 30. Is that what you just mentioned correct ?
Jayakumar Krishnaswamy: 1 million ’27, ’28 2 million , and then ‘29 3 to 4 million will come out of it. But then that's far ahead looking currently right now . But if you look at our Company , I am really looking with the kind of volumes we did last year at 18.7 million and then with the kind of Q3 numbers and overall forec asting for this year , if I hit a indicative number and give plus/minus 0.1, 0.2 you should always keep , I am looking at a 10% growth year -on-year. From next year we should have all the way to 21 million tonnes , 23 million tonnes , 25 million tonnes , 27 million tonnes . That's the kind of 2 million increase in sales which is the target I am keeping for ourselves going forward for the next three to four years.
Naveen Sahadev : Correct. But just from our capacity utilization point of view, I am talking about specifically Vadra j here. So, if the clinker is 3.5 million tonnes , it is only a fair-weather port, which means one quarter the operations could be impacted. The reason is both Gujarat and Maharashtra are

non-trade dominated. So, if I, let's say, broadly assume a 50 :50 mix between OPC and PPC in that market for a 75% clinker utilization , max what we can extract from this 6 million tonne s capacity is about 3.5 million tonne s at its peak.
Jayakumar Krishnaswamy: That's the way you are looking at the calculation. I will tell you the way I am looking at the calculation , we are looking at the calculation. First of all, if it's a fair -weather port, certainly I think we will sto ck clinker. That's how all industries work, even in the East , call f or a shut down and rest of the moment. I always keep clinkers stock in Q2 and Q3 , so that when Q4 comes, cement industry is also somewhat seasonal , and then certainly I think every player in the cement industry has the ability to sto ck and use clinker, we will a lso sto ck and use clinker.
So, certainly before the onset of this fair-weather period , we will plan in such a way that the non - movement of clinker during those months will not impact our cement production. That’s t he first thing . There will be some impact , I cannot say everything is going to be hunky dory in real life. There will always be some gap . So, that's the first thing , clinker will not kind of be a spoil sport for me.
The second thing that comes is , you mentioned about 50 :50 OPC and PPC market. I am looking at Gujarat market at 40% PPC and 60% OPC. In fact, consider then you have taken 50:50, my personal model looks at 60 :40. And trade to non-trade ratio is also about 65:35, 40:60 is what I have taken . With all these numbers, the kind of volume that will come out of 3.5 million tonnes , CK ratio of close to about 1.4 , 1.5 will take the overall capacity to close to 5 to 5.2 million tonnes .
But one thing we are very clear is, at this point of time it's 3.5 million tonnes . But our clinker line in Risda factory, when we acquired Emami factory came with 10,000 TPD. Today, the line has been debottlenecked to take to 12,000 TP D. So, I think we are not looking at 12,000 TPD in Vadraj on day one . But I think as we grow the market and

we understand the market and ramp up volumes, a t some stage in FY ‘27 and ‘28, and the debottlenecking which you have done at Risda is not like making huge CAPEX , it was about Rs. 100 -odd crores k ind of a CAPEX where we kind of change d the coolers and the blowers and the RPM of the kiln. And then in what you call the air circuits and the back filters , that’s how we kind of debottlenecked. We will debottleneck this line , it is a copy of Risda kiln. So, we have got good experience with Risda kiln, s ame improvement we will do, take the capacity from 10,000 TPD to 12,000 TPD at some stage in the future.
Madh umita Basu: Naveen , we will be happy to engage with you on more details on the mix. Just would like to add , our model also factors in the trade market a product like PCC , because there is access to sla g cement in that market. And one of the lead players has already introduced this product. We also see in a period of four to five years there will be substantial demand from sustainability point of view on the entire industry . Because as you know, in the Eastern region there is not any

predominant cost for staying with OPC in infrastructure. So, changes are there, s ome of these are fact ored in. A nd as I mentioned, you may reach out to the investor cell at any time for greater clarification on these numbers.

Naveen Sahadev : Thank you so. I really appreciate the clarity of the operations that you have in mind so early in the scheme of things, so c ongratulations on that. My last question is it safe to assume CAPEX of roughly Rs. 2,000-odd crores each in FY '26 and '27? Thank you.
Jayakumar Krishnaswamy: FY '26 and '27 CAPEX , it cannot be Rs. 2,000 crores per annum , not possible.
Madh umita Basu: CAPEX is Rs. 3,600 crores for both years, about 1,800 would be …
Jayakumar Krishnaswamy: Yes, I would spend Rs. 1,200 crores to get the Vadraj right s, Rs. 1, 800 crores to buy out is not CAPEX , it is financing of the debt, so that cannot be considered CAPEX . The CAPEX will be about Rs. 1,200 crores here. A nd as I mentioned in the previous call , there was a question about how we will expand our Brownfield expansion w as a question to me last time , and I had mentioned that there would not be any major growth CAPEX s in any of our plan ts in East. I t will be the sustaining maintenance CAPEX which should be to the tune of about , in fact one of the analysts had asked what should be the typical routine CAPEX for the Company ? I had mentioned, Rs. 300-odd crores will be the kind of routine CAPEX for the Company .
And hence , with this kind of CAPEX to run the operation and also do Rs. 1,500-odd crores or Rs. 1,700-odd crores to set up the brown field we would be able to fund the CAPEX with the internal cash flows and the profitability improvement i n the next two years . That's how I had answered a question. The same thing holds good, just that the location is changed , the level of spend is slightly more , brownfield expansion was much e xpensive than this expansion . Funding of this deal w e are working, as I mentioned before . So, I think that's the view we have , over a period of two, two and a half years, internal accruals , proper cash flow s, improvement in profitability should be able to help us fund th ese CAPEX programs.
Moderator: Thank you. Next question is from the line of Pratee k Kumar from Jefferies. Please go ahead.
Prateek Kumar : My first question is on your cost , so despite like 4% decline in pricing , unit EBITDA has actually slightly expanded quarter -on-quarter , largely implying a very sharp reduction in cost trends for this quarter versus Q2. Maybe some of it is operating leverage, but there is a nearly like 200 , 250 plus reduction in the variable cost of the Company . I am including RM , power and fuel and freight there. So, is th

is largely due to the cost saving initiative which you said like a much lower number? But is there any one-off there ? And do you expect this number to like sort of continue , because in past quarter we have not seen such kind of declines on a quarter -to-quarter basis for the Company .

Jayakumar Krishnaswamy: The principal components of cost reduction are of three fold, o ne is reduction in power cost. The number of power cost is lowest in 13 quarters of 1.45 , that contributed to the reduction in the energy cost for the Company . The second one was a reduction in logistics cost by close to about Rs. 50, which comprised of lead distance reduction by 3 kilometers, handling cost reduction by about Rs. 20-odd, and also maximum utilization of the Sonadih siding . That was the second variable. The third variable cost reduction was coming from raw material cost reduction, which contributed about Rs. 50-odd. So, all this certain ly contributed to overall variable cost reduction for the Company .
But as you asked a pertinent point, the price drop which happened, or the realization reduction simply chewed away all the cost savings which we did . But the positive thing for me is , as we ended December, the realization got reinstated by 6% over quarter average . So, what I lost in the first two and a half months of quarter , I reinstated by end of December
Madh umita Basu: Prateek, trust we have responded to your query.
Prateek Kumar : Right. Yes, so you were saying that like this quarterly savings and cost are like sort of sustainable , and next quarter particularly the re will be further benefit of operating leverage . I mean, obviously you have talked about a 6% price increase which is like through January, so like not looking at forecast, but like a Rs. 300, Rs. 4 00 swing in EBITDA per tonne in fourth q uarter are you looking at ?
Jayakumar Krishnaswamy: I guess I cannot comment on your numbers, but certainly I am looking at certainly restatement of realisation at the end of December and in January.
Prateek Kumar : My other question is on Vadraj acquisition. So, do you want to see, because we have seen, like, some recent events related to that, but do you also see any chances of this deal while we have sort of won this acquisition, any reversal on the whole process and deal not going through?
Jayakumar Krishnaswamy: Possible , because recent issues which happened in others , I guess there are various reasons. Technically, I guess , if somebody wants to put a spanner on reverse, it i s possible . But I do not think in terms of the reasons which hampered others ' issue may not be the reason which will come for us , because our due diligence was pretty exhaustive and the kind of considerations we made were clear. But certainly , I think I cannot rule out any hiccup which may come on the way .
Prateek Kumar : Sir I am asking cause for modeling purpose , so we should like sort of look to get more confirmation closer to even prior maybe Q2 FY '26, and then probably want to model it ? Or like how do we think about the same as, kind of confirm call?

Jayakumar Krishnaswamy: I will not be able to , because the NCLT process we have filed only two days ago, I guess typically it should take optimistically six months , in the worst -case scenario maybe eight, nine months.
That's the kind of window we are working on . But I think , certainly I think in terms of the

modeling and in terms of overall the Company 's outlook for the next four to five years, I would certainly suggest you to consider the projections which we have factored . But there is always a factor which I do not think we cannot control, but that can happen. I do not think I can comment on that . But certainly , the other way I would look at is, in any

unlikely event of anything
happening, our story of expanding through brownfield still holds good, and there we are committed to doing the business in North /West .
Prateek Kumar : Yes, that's true. But in other case also that was the case, but there was like a lot of , I would say , rather , time based which happened in this whole process of acquisition. So, that was the only point I was talking about.
Jayakumar Krishnaswamy: No, f air. I think you are fairly pretty , I think, right in asking this question. But I think having made all the assumptions that went behind this acquisition and having fr uctified the deal right now, I think I would not be in a position to say that whether we will lose out or not, but there is always a business risk that is associated with stuff. So, what you are mentioning can be a risk, which as a Company which we have gone for it, I will not be able to say that it will happen , it will not happen . But we are confident of overcoming the point, but you can consider this if you want to.
Moderator: Thank you. Next question is from the line of Kunal Shah from DAM Capital. Please go ahead.
Kunal Shah : Sir, just a couple of questions . One , I think you briefly mentioned upon this, but is there any discussion with Arcel lor in Surat for slag procurement ? And could you sort of launch either composite cement or GGBS in Gujarat to sort of create some bit of differentiation?
Jayakumar Krishnaswamy: There's no any conversation with anybody at this point of time, just that the history of this asset when it was set up, whenever it was set up, factored that they would have some tie up with the Company , which you mentioned , for slag. And the fact that they are close by and then they generate slag, there’s a lways a possibility . And Nuvoco being a strong player in East with making blended cement ha s the ability to use slag, this opportunity will always be there . But at this point of time , there's no conversation going on with anybody . But as Mita mentioned, another player has already launched a composite cement in this market. So, as we kind of navigate the next few months, we will observe this particular trend very, very closely . And we will plan our strategy based on this and formulate our plans based on how the market is picking up this blended cement and if there's an opportunity to procure slag from people who generate this slag.
Kunal Shah : And the other bit is , you mentioned in your opening remarks there is a very big shortfall on the government CAPEX , especially until November. But just wanted to understand , how is December and January sort of spanning out on the ground , are we seeing sort of a robust pickup or it still remains sort of moderate? Thanks.

Jayakumar Krishnaswamy: I think sitting at the beginning of the quarter for me to tell how the market demand, I think it will not be appropriate . But certainly, I can vouch for price sticking to the market because that's published, that's a number which all of us pick up during trade check s. But I am pretty optimistic that Q4 overall demand should improve for industry , and certainly for our Company .
Moderator: Thank you . Ladies and gentlemen, we will take that as last question for today. I now like to hand the conference over to Ms. Madhumita Basu for closing comments. Over to you, ma'am.
Madh umita Basu: Thanks again, Yashashree . To wrap up, I would like to mention a few points. We believe that the cement sector is witnessing a promising demand recovery. A huge unspent capital expenditure from center and state , and an expected revival in rural housing demand , aided by favorable monsoon, provides a catalyst for the cement demand. The price increase observed in the recent period continues to sustain, reflecting a positive trend , while sustained demand improvement should support prices

further going ahead.
We are confident in our strategy and ability to execute our growth plans with respect to Vadraj Cement , which will enable us to consolidate our footprint in the Western region. We are excited about our prospects for the future.
Meanwhile, our strategic priorities will continue to focus on premiumization, geo mix optimization , enhancing fuel mix efficiency , strengthening our brand , and maintaining focus on cost excellence.

Prateek, I would just like to add that while we are cognizant of business risk, we repeat we are confident in our approach, strategy and actions we have taken on the Vadraj front. Our Investor Relations team will remain available for any clarification required. Thank you for being with us today.

Moderator: Thank you members of the management team . On behalf of Nuvoco Vistas Corporation Limited , that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: May 2025

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May 07, 202 5

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO
Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the A udited Standalone and Consolidated Financial R esults of the Company for the financial year ended March 31, 2025

Further to our letter no. Sec/07/2025-26 dated April 11, 202 5, letter no. Sec/16/202 5-26 dated May 01, 2025 and letter no. Sec/18/202 5-26 dated May 02, 2025, please find enclosed the transcript of the Investor and Analyst Conference Call held on Friday , May 02, 202 5 on the Audited Standalone and Consolidated Financial Results of the Company for the financial year ended March 31, 2025 .

The same is also made available on the Company's website at www.nuvoco.com .

This is for your information and records, please.

Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

"Nuvoco Vistas Corporation Limited 's Q4 FY '25
Earnings Conference Call "

May 02, 2025

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY - MANAGING
DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL - CHIEF FINANCIAL
OFFICER , NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU - CHIEF INVESTOR
RELATIONS , NUVOCO VISTAS CORPORATION LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Q4 FY '25 Earnings Conference Call of N uvoco Vista s Corporation Limited.
We must remind you that the discussion on today 's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the Company faces. The Company assumes no responsibility to publicly amend, modify or revise any forward - looking statement on the basis of any subsequent development, information or events otherwise. As reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Madhumita Basu, Chief Investor Relations. Thank you and over to you.
Madhumita Basu : Thank you , Yashashri . Good afternoon, everyone. And thank you for joining our fourth quarter and Fiscal 2025 Conference Call .
Let me start by briefly discussing the broader macroeconomic landscape linked to cement demand, followed by a review of our performance and key events for the quarter.
As we all know, the global economic landscape is shifting rapidly, with recent trade tariffs amplifying uncertainties. Nevertheless, India has demonstrated notable resilience underbid by robust economic growth, a solid macroeconomic framework, moderating inflation, and strong domestic demand drivers. After a muted first half, economic activity picked up in the second half, driven by rise in government capital expenditure. Real GDP growth accelerated to 6.2% via Y oY by Q3 FY'25, up from 5.6 % in the previous quarter, reflecting a robust economic recovery supported by stronger rural demand from good crop yields .
The forecast of above normal monsoons further strengthens prospects for the upcoming Kharif season. These developments collectively point to a favorable outlook for cement se ctor.
Now , I would like to provide you with key updates for Nuvoco 's business :
This year we have taken a fresh look at our mission statement as we embark on a growth phase. Our new mission of trusted building materials Company creating value for our stakeholders embodies our commitment to operational excellence and enhancing value for our stakeholders.
Coming to a status update on our acquisition of Vadraj Cement Limited :

We have received approval from the NCLT for our resolution plan, marking a key milestone in our growth strategy. This acquisition will enable us to reach a total cement capacity of 31 million tons per annum by the third quarter of FY '27, further strengthening our position in the industry. Additionally, we are planning to set up a GU at Kutch as we remain very optimistic on Kutch operations considering the Gujarat Government is actively focusing on developing this region. Furthermore, the state government has favorable incentive programs in place to encourage the establishment of cement operations in Kutch, making it an attractive destination for investors .
To reiterate overall, the Vadraj cement transaction is a strategic value buy and will be funded without a significant increase in our consolidated debt levels. By adding Vadraj Cement assets, we are well positioned to expand and consolidate our presence in the Western region. This acquisition will also allow us to further consolidate our presence in the Northern region as the release of additional capacity from Chittorgarh Plan t enables us to better serve that market . With that acquisition, we will become t he third largest cement producer by capacity in the combined Gujarat and Maharashtra markets, while also diversifying our o

perations and further
strengthening our competitive position in these key areas.
Let's now review our quarterly performance, evaluate the progress we have made, and discuss the outlook for the coming periods :
In Q4 FY '25, the Company recorded its highest ever quarterly consolidated cement sales volume, increasing by 8 % year-on-year to 5.7 million metric tons, with full year sales reaching 19.4 million metric tons.
While demand was subdued in the first half of FY '25, the second half witnessed a strong recovery. The Company acted swiftly to capitalize on emerging opportunities, strengthening its market presence and driving robust volume growth.
Consolidated revenue from operations through 4 % YOY to Rs. 3,042 crore in Q4 FY '25, bringing full year revenue to Rs. 10,357 crore. Supported by back -to-back quarters of improving demand in H2 FY'25, the price environment remained supportive. The price hikes introduced towards the end of 2024 were maintained through Q4 FY'25. The Company continued to work on premiumization agenda, with premiumization reaching 40 % during the year. Additionally, the Company maintained a sharp focus on operational excellence. This is reflected in achieving the lowest blended fuel cost in the last 14 quarters at Rs. 1.43 per million cal , reinforcing Nuvoco 's position amongst the industry 's lowest in power and fuel costs. On cost efficiency program, Project Bridge 2 delivered a saving of Rs. 56 per metric ton in FY '25.
Turning to our balance sheet :

We have continued to make progress on our deleveraging agenda during the year , reducing net debt by Rs. 390 crore year -on-year to Rs. 3,640 crore despite the challenging operating environment. Over the past few years, we have consistently focused on lowering debt, bringing net debt down from Rs. 6,730 crore in FY '21 to Rs. 3,640 crore in FY '25. We had committed that once Nuvoco 's debt level reaches the range of Rs. 3,500 crores to Rs. 4,000 crores, we would initiate growth CAPEX . With our debt now within the targeted range, the strength in financial position places us well to initiate the next phase of growth and commence operations at Vadraj Cement Plant by Q3F Y'27. To quote Mark Twain here , "The secret of getting ahead is getting started. " We are now ready to embark on a significant journey to diversify our geographical footprint.
Turning now to the cement demand scenario :
As you are aware, FY '25 was a mixed period for the industry. The first half of the year experienced a subdued macroeconomic environment, primarily due to prolonged elections, slowing down government capital expenditure and later challenging weather conditions. However, demand rebounded strongly in the second half of FY'25. During H2, cement demand showed sustained growth over two consecutive quarters driven by increased CAPEX from both the central and state governments with supported infrastructure and hous ing projects. Correspondingly, pan India cement prices began to improve from Q3 FY'25 onwards. Most of the price increases implemented towards the end of Q3 FY'25 largely sustained through Q4 FY'25.
Capital expenditure by both state and central governments has started gaining momentum. For FY'26, the central government has increased its CAPEX by 10 % YoY to Rs. 11.21 lakh crore, while state governments have planned an average 17 % rise to roughly Rs. 10 lakh crore, providing a significant boost to infrastructure and housing initiatives. Specifically, the central government 's allocation for the Pradhan Mantri Awas Yojana is set to increase by 64%. And major states such as West Bengal, Bihar, Chhattisgarh , Gujarat, Rajasthan and Jharkhand have collectively earmarked approximately Rs. 35,000 crore for various housing projects. Given this plant 's CAPEX from both central and state governments, cement demand is expected to remain

robust in FY '26.
Looking ahead, sustained demand growth is also likely to support healthy price levels. On marketing initiatives, our premium products continue to be the preferred choice for customers. Concreto UNO and Durag uard Microfiber, our flagship premium products, have shown encouraging growth.
We are pleased to share that our Haryana Cement plant has commenced production of Duraguard Microfiber which is helping us expand its availability and reach across the Northern markets.
With improving market conditions, our trade share has gone up to 75 % in our mix in Q4 FY'25,

71% in the previous quarter. Alongside this, we remain active with on -ground engagement programs that resonate strongly with our channel partners and end consumers.

The “Sabse Khaas Pehelwan ” initiative in Haryana strengthened the product ’s positioning around durability and strength, while the Kumbh Mela gave us an important platform to create an enhanced experience for our channel partners and influencers.

Going now to the Ready -Mix and M BM businesses :

With respect to Ready -Mix, we added two plants in Ra nchi and Nagpur in Q4 and remain committed to driving growth and enhancing market presence across India. The M BM segment provides an opportunity to strengthen our cement channels and garner wallet share of our end users. The Company is committed to delivering high quality, differentiated products that drive growth and create long -term value.

Strategic outlook for FY ’26:

As we look ahead, our strategic focus remains on driving growth and operational excellence across all three business verticals :

Firstly, in the cement business, our priorities will be

• Refreshing our go -to-market strategy to align with our expanding footprint with a clear ambition to drive market share ,
• Achieve market leadership in our home market while expanding our presence in the Western region.
• Continue to drive premiumization agenda for value growth.
• Deploy efficiency programs to optimize manufacturing, procurement, and logistics costs

In the Ready -Mix business, we plan to expand our manufacturing footprint to support volume growth. Alongside this, we will continue to deploy operational efficiency programs to enhance cost competitiveness.

For M BM business, our focus is on accelerating business growth by leveraging the strength of our existing cement distribution network. This will allow us to tap into additional market opportunities. Here too, efficiency improvement programs will be deployed to deliver cost savings.

Together, these strategic priorities are designed to enhance our market positioning. We will continue to build competitive advantage through customer -centric culture to delight stakeholders. Our sustainability, we remain committed to our sustainability focus.

With this, I conclude my opening remark s. I am joined here by Mr. Jay akumar Krishnaswamy – Managing Director of Nuvoco Vistas and Mr. Maneesh Agrawal – our Chief Financial Officer. We will be happy to answer any questions that you may have. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Navin Sahadeo from IC ICI Securities. Please go ahead.

Navin Sahadeo: Yes, good evening and thank you for the opportunity. Congratulations on a good set of numbers. A couple of queries, but let me start by congratulating the sales team first for the wonderful realization increase and also increasing the trade share from 71 % to 75%. So, indeed, a great job. My first question was in your opening comments, madam, you mentioned that the acquisition of Vadraj will be pursued without any further increase in net debt. So, if you could just help us understand or just t ake us through how do we r

eally plan to do that , of course, net debt has come down to 3 ,640. But I think there is an upfront payment to be made of Rs. 1,800 crore to the NCLT or to the bankers itself. And then I think it was guided that Rs. 1,100 crore to Rs. 1,200 crore is what we will require over 2 years. So, I am assuming that 1200 crore, partly at least 500 crore will come this year and the balance next year. So, the upfront payment is almost Rs. 2,300 crore and plus maintenance CAPEX . So, just want to understand how do you see this without increasing the net debt?

Jayakumar Krishnaswamy : Yes, thank you for this question. In the l ast 3 years ever since our listing and then our investor call started way back in 2021 , one of the things which we have clearly mentioned is , for the size of the Company and the size of the business we have, we are comfortable operating with a net debt around Rs. 3,500 crores to Rs. 4000 crores. And our pursuit in the last few years have been to pa re down the debt from where we were three years ago till now. And this quarter we reached 3,640. And you would have seen every quarter -to-quarter comparison and year-to-year comparison, every quarter we have debt levels of the Company lower than the previous quarter s. So, we reached the stage and even in the last call, I had mentioned that we had successfully bid for a Vadraj and then we were waiting for the NCLT process to happen. And this quarter obviously the NCLT process happened and now the ruling is in our favor and then we should proceed on getting the investment going. We certainly earn the right to invest meeting the commitments which you have made consistently by reducing the debt of the organization.

Now comes to how do we kind of find a way to fund this acquisition as well as the rebuild of the facility. In the last call we had mentioned that the cost of acquisition is around Rs. 1, 800 crores and our estimate at that time was to rebuild the Surat and the Kutch facility will be to the tune of about Rs. 1,200 crores. That was the messaging which I had done in the last quarter. So, when as we come to the consummation of the transaction, here is what we plan to do. We would find a way to fund this transaction to keep the debt levels of Nuvoco at a reasonable level. What do you mean by reasonable level? Out of this Rs. 1, 800 crores of financing which we need to do upfront, we will take a long-term debt of Rs. 600 crores in Nuvoco 's books and then the balance

Rs. 1,200 crores will be through instruments like CCDs and CCP s which will be on a long -term maturity . Interest cost of this will be at the fag -end at the end of the period , so that the balance sheet of Nuvoco doesn 't get loaded. So, Nuvoco will pick up a debt of close to Rs. 600 crores in short term and till the financing happens, we will also take a Bridge loan of about Rs. 1,200 crores for a max -max period of 6 months, but it will be much before six months before we complete the payment for the transaction. So, in short, Rs. 600 crores will be on the books of Nuvoco in the form of long -term debt and balance Rs. 1,200 crores will be through CCPS and CCD s which will be long -term and not figure in the debt level of Nuvoco . That 's the first bet in terms of paying t hat Rs. 1,800 crore .

The second thing is about the investment of about Rs. 1,200 crores. I just want to inform all of you in this meeting that subsequent to the last investor call and now some important positive welcome development happened which Madhumita mentioned in her speech. We have also identified there are fiscal opportunities available in the state of Gujarat for expanding in Kutch and we have decided to set up a grinding unit in Kutch facility for 2 million tons. Hence the overall CAPEX needed to rebuild Kutch facility, Surat facility and also put up a GU in Kutch will now be turned u

p from the original number of Rs. 1,200 crores to about Rs. 1,500 crores but the timeline to do all these things will be in three calendar years of 2025, 2026 and 2027 and the phasing of the investments would be in the tune of about 600, 600 and 300 in the next 3 years, 24 to 30 months. And along with that, to fund this CAPEX from internal accruals, we will pare down our capital expenditure to run the current operations to a max of 100 crores to 150 crores so that we have adequate cash flow in the organization to fund the CAPEX of Vadraj. So, that's the sum and substance of how the Rs. 1,800 crore funding will happen and also the Rs. 1,500 crores which was Rs. 1,200 plus the current change into 300 of setting up the grinding unit in Kutch plus also expand refurbishing Kutch and Surat facility. Hope that 's clear to you. If you have any further queries, you can ask.

Navin Sahadeo: Yes, sure. Just on this bit, when you say CCPS, and I am assuming you are talking about compulsory convertible preference shares , is it the promoters who will be looking to subscribe this? Are they putting in more money, or are we looking at an external investor or a combination of both? How should one look at it?

Jayakumar Krishnaswamy : We will have investors who will invest into Vadraj in the form of CCP s and CCD s and at an opportune time with a long-term maturity and when maturity happens then we kind of repay the CCP s and CCDs at the maturity time.

Navin Sahadeo: Understood. And just one last question from me. Are we building in the acquisition or the, I think that there 's a power plant which is in control of JSW. It's not part of the deal, but it 's in the vicinity and we need it for operations. Are we accounting for that acquisition cost as well?

Jayakumar Krishnaswamy : Currently , we are in discussions for the CPP. The deal is not concluded. But as and when it is done, we will find a way to incorporate in the refurbishment cost.

Navin Sahadeo: That's helpful. Thank you so much. I will come back in queue for more queries.

Moderator: Thank you. We will take our next question from the line of Prateek Kumar from Jeff eries . Please go ahead.

Prateek Kumar: Yes. Hi good evening sir. A nd congrat s for great results. My first question is on your cost savings. So, you have been like sort of rolled out cost saving programs. If you can quantify how much of on a per ton basis was achieved in FY '25 as a Company and how are you looking at in terms of FY '26-27 in terms of any more incrementally initiatives there ?

Jayakumar Krishnaswamy : Okay, Madhumita mentioned in speech that program Bridge delivered close to about Rs. 56 per ton.

Overall raw material cost reduced by close to about Rs. 5 to Rs. 8. The power and fuel cost from FY'24 to FY'25 reduced by Rs. 13 to Rs. 33. And then the distribution cost, which is including of SFG, okay, I am sorry. It reduced by Rs. 130. I am sorry, I just missed a number there. For the full year, raw material cost reduced by about Rs. 5 . Power and fuel cost close to about Rs. 130. Distribution cost reduced, including the semi -finished clinker movement reduced by close

to about Rs. 120 odd.
So, all this came through cost savings, which were planned through the railway siding in Sonadih , railway siding in Jajpur which is more or less complete but will be completed in the quarter. Setting up of alternate fuel systems in Nimbol and Chittor which brought us the fuel cost down and also ramp up of the AFR facility at Risda . Namely, three buckets, raw material cost reduction, second one is power cost savings and the third one is paring down of distribution cost. Overall, when compared to FY ’24 to ‘25, we had these savings and project Bridge is one part of overall cost savings and the Project Bridge delivered close to about Rs. 56 per ton. And the second part of your

question was what is the future targets for us? I think we are targeting at this with the implementation of full ramp up of Sonadih r ailway siding, full ramp up of Jaj pur siding and also other productivity improvement programs in terms of getting the full benefit of AFR in the se sites. We are targeting close to about Rs. 100 to Rs. 150 per ton in the next 2 to 3 years.

Prateek Kumar: Just for clarification for 25 over 24, you said Rs. 8 from RM, 130 from P &F and 100 from... So, total like Rs. 240 kind of savings, did I get it right? 240 per ton savings from...

Jayakumar Krishnaswamy : Yes, it will be more than Rs. 200. But overall, if you remember rightly, a year ago, we defined what all items came in the form of Bridge Agenda . So, in the speech, Madhumita clearly mentioned the Bridge Agenda which we announced delivered close to 56. But on top of that,

programs which are not part of the Bridge, which is namely ramping up of AFR and also getting the allied slag and other projects in raw materials, delivers the balance savings. The Bridge Agenda typically had new batch sourcing models. It had grid integration program out of Chhattisgarh. It had an efficiency improvement in variable cost and also it had a component of SO percentage increase in sales. All this was part of the Bridge Agenda . We delivered Rs. 56 out of the Bridge Agenda in this year. Over and above the Bridge Agenda , there was a fuel cost saving which came through rate variance as well as through AFR improvement and also enhanced semi -finished goods movement through the railway setting.

Prateek Kumar: Thank you, sir. Very clear. Another question is on pricing , like the exit of March quarter saw some price hikes and in April some more price hikes. How is Q1 trending over the average of last quarter ’s pricing?

Jayakumar Krishnaswamy : Just to jog the memory, when we did the earnings call in January, I had mentioned that we ended the quarter with a 6 % increase in reali zation. Happy to report that the kind of realization we ended Q3 almost continued throughout the quarter with some changes. I mentioned at that time itself that we will see the benefit of price corrections which we made in Q4 which did happen and that ’s one of the main reasons for our improvement in results. Also , quite confident that the price increa ses and the changes which we did in Q4 a large part of it is sustaining as we entered April, completed April entered in May. But as we stand on the 1st of May, a large component of what happened in Q4 continues to be present in April and as of now in May.

Prateek Kumar: Thank you, sir. I will get back in the queue .

Moderator: Thank you. We will take our next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi. Thank you. Just a couple of questions around Vadraj only. Just a clarification question. When you say you are looking at CCPS from external investors, Mr. Jayakumar, d o you already have an agreement in place with these investors would largely be , I am getting private equity investors who put in the CCPS . When you say 600 , you already have an agreement in place ?

Jayakumar Krishnaswamy : We are in term sheet exchange levels right now . As you know that we signed , the court order came on 3rd of April and sometime earliest could be 3rd week of May. We are still working on the various procedural issues w ith CoC and RP. Over the next 2 to 3 weeks, we should be able to firm up the term sheets. So, we are pretty confident that these two instruments, CCDs and CCP s will be concluded before we kind of conclude the deal. In any case, what we have done, as I mentioned in this earlier remark, while the shake hand has happen ed, it may take a week or two here and there. We will do a Bridge financing to ensure that if the D-date of

paying the money happens, so we will do a bridge financing in the interim . And that ’s why I mentioned in my speech that we are doing a bridge financing of Rs. 1,200 crores for a max period of 6 months.

But we are fairly confident in completing the CCPS and the CC D route before the timeline which I mentioned.

Satyadeep Jain: Okay, fair enough. Just secondly , on the Vadraj, now that you have completed the formality for acquisition, you have a better idea. When you look at the refurbishment, the entire commissioning of plant, can you maybe walk us through the timelines, the milestones that we can also track from here, let 's say for the next 24 months?
Jayakumar Krishnaswamy : Sure. As I mentioned, the original plan when we did the due diligence as well as the closer to the date when we did technical discussion with our technical partners, the original scope was to refurbish Kutch and also get the Surat grinding unit going. Along the way, we also realized that the incentives are available in the state of Gujarat and so we have changed the scope, we increased the scope in Kutch to refurbishment plus also the setting up a grinding unit in Kutch. So, the broad timelines of this , obviously we cannot do the expenditure till the deal is consummated. So, I am assuming in the next few weeks we will consummate the deal. But to get a head start of the place, we have done a couple of recce trips to the place , we have already appointed a technical consultant who is going to design the plant for us. Internally , we have a very clear -cut understanding of what are all the changes which we need to make in Kutch as well as Surat. Namely , I will just give a little bit of a broad highlights of what we are planning to do in Kutch and then I will talk about Surat. The broad highlights of Kutch being basically many things are in very good shape there in Kutch in terms of the kiln per se , in terms of the CCR, in terms of overall crushing equipment, mines equipment, all those things just needs overhauling . The VRM there, the coal mill as well as the raw mill, all of them I think we have had all the OEMs having visited and made a technical estimate as to the cost estimates are ready in terms of how long it will take, how much it will cost to kind of refurbish these assets. The housing is also kind of half complete residential complex for the employees. The mining area is almost, equipment is in fairly decent shape. So, lot of things are in good shape in terms of our original assessment as well as what we saw later. I guess we are very happy that our due diligence was fairly accurate and we have not gone quite away from the original estimate in terms of what we needed to do. The broad timelines we as soon as we complete the deal, our target is in the next 6 to 8 weeks, all the purchase orders will be rolled out. The longest lead time item for Kutch could be the desalination plant and some of the other infrastructure should take typically 12 to 13, 14 months, an outside limit of delivery to the site. And then pre -commissioning should start sometime end of Q2 next year and then by Q3 we should have comm issioning completed in Kutch in terms of the clinker manufacturing. The GU per se again will start in parallel , but that again should take close to 15 to 18 months so we should be having matching timeline give or take one month here and there for the GU to be operational in Kutch.
Coming to Surat, while we knew what was available there in Surat so we now have a clear cut idea what all needs to be done in terms of the mill, in terms of the packing line, the truck loaders, the CCR, rest of all the stuff. Again, here again, our current estimate is, it should take after the

purchase order which released in close to 6 to 8 weeks,

anywhere between 12 to 15 months for the mills to be operational. So, technically, as we speak, we are timing in such a way that 6 to 8 weeks purchase orders goes before the technical design is completed, contractor mobilization, as well as rest of all the stuff can happen in parallel and by the time we hit Q3 next year we should be ready for pre -commissioning trials in both the sides and GU should be operational in Kutch by the end of Q3. That 's broad ly the timeline. When we meet up for the next earnings call, I will be able to give a little bit more color to the plant which we are building right now.
Satyadeep Jain: Thank you for all the details , Mr. Jayakumar. Just on the decision to have the GU in Kutch , if you look at coastal transport, would it not have been more prudent to transport clinker rather than transporting clinker? What 's the thought? I know you also have a rail line you are looking at from Mundra side. Just want to understand the thought behind putting up a GU in Kutch rather than Surat?
Jayakumar Krishnaswamy: No, Surat GU is very much active . Sura t has got 3 VRMs. So, we are going to operationalize 2 of the VRMs from day 1. That 's the plan. And certainly one will be commissioned at the timeline. So, we are targeting all the 5 regions of Gujarat, mid Gujarat, South Gujarat, at the Saurashtra and Kutch, then you have the Banas ghata , as well as the Ahmedabad area. All the markets we are targeting. Currently we sell in Baroda, Sura t and Banas ghata. But then with the Kutch facility coming, we are targeting the markets of Saurashtra, Rajkot, Porbandar and that part of Gujarat through the grinding unit in Kutch. And the clinker movement via jetty will continue to happen in the original plan which we spoke about i n the last call, all the way from Kutch into the jetty in Surat. And we would be grinding cement in Surat as well for the markets in South Gujarat as well as West Maharashtra and North Maharashtra .
Satyadeep Jain: Okay, thank you. I have a couple of more questions I will join the queue. Thank you so much.
Moderator: Ladies and gentlemen, in order to ensure that management is able to answer queries from all participants, kindly restrict your questions to 3 at a time. You may join back the queue for follow -

up questions. We will take our next question from the line of Tejas Pradhan from Citi. Please go ahead.
Tejas Pradhan: Hi sir. Like breakup of the refurbishment cost that you have mentioned Rs. 600 crores , Rs 600 crores and Rs. 300 crores in 3 years FY '26, '27, '28. So, just wanted to understand is this just related to the plan t startup or considering that there is some CAPEX to be don e in FY '28 as well. Whereas the commissioning is expected for 3rd quarter of '27, is this Rs. 1500 crore split into some part of CAPEX which is not required to start the plant or is that different just timing delays of like, I mean the delay in making payments to your contractors?
Jayakumar Krishnaswamy: Okay, so it 's very clear actually when we are going to start the plant, when I mentioned Q3 kickstarting the facility, we will certainly start the clinker facility in Kutch , end of Q3 will be

the GU, Q3 means December '26 FY'27 and also then comes the Surat. O ut of the 3 mills , at the first stage we are going to commission one mill because at the day one we are not going to sell the 6 million capacity so we need to ramp up the market. So, we are not in a hurry to kind of set up all this on the first 1.5 years. So, that is why we kind of phasing the expenditure in such a way, investment in such a way that get the clinker line going, get the Surat grinding unit going, one unit, one VRM, and also get the GU going, which means this year, FY '26, there will be a set of expenditure. FY '27, there will be set of expenditure. But part of the investment will get into maybe Q1

of F Y'28 and hence the saving is what I mentioned. All that is needed to get into the market and be in the market will happen by the end of Q3 next year, which is F Y'27. However, the overall project should be completed, will be completed not by the end of Decemb er next year. It will get into another 3, 4 months, which will technically get into FY'28.
Tejas Pradhan: And just in addition to that, I mean, what would be the pace of ramp up that you would be expecting over here once you start the commissioning? How long would it take for you to fully utilize the capacities over there?
Jayakumar Krishnaswamy: I guess I will go back 3 months ago during our earnings call in January. We did speak about it. I will just kind of refresh the stuff. Currently in Gujarat , we already sell close to a million tons of cement in trade and not trade. And as we speak, we have the facilities in Chittor and Nimbol which service the entire North market as well as Gujarat. And one of the rational for Vadraj is to kind of, it 's a value buy and gives us the opening in the West market of Gujarat and Maharashtra plus also frees up capacity for North when the plant is more or less sold out next year same time. The thought process being once the Vadra j starts up Q3 next year, the 1 million ton which we have been selling in Gujarat during the course of this year, certainly as for market growth as well as our trade channel expansion, this number itself is going to increase. So, I am really giving a, it is not a kind of a number which I am kind of targeting, but I am just giving a regular course of things , this number certainly would have gone from a million tons to million and a quarter. So, the thought process is the million and a quarter tons will move from Gujarat, the cement which is spared out of Gujarat will be used in Rajasthan, Haryana, Western India and up North. So, FY'27 Q3 onwards, the capacity which is freed up from Gujarat will get into North and when Vadra j starts, we will already have a milli on and a half market which is already developed from our product in North open for Vadraj production. Along with that, during the course of this year, Q3 and Q4 and Q1 next year, we plan to start appointing dealerships in Gujarat, expanding the market, spend behind our brand, spread the network, employ people, establish the channel, create key accounts. It is we call it the Project White. So, this is the project which is set up to kind of expand Gujarat. And when the plant is ready, we already have a market which is 1.5 million tons and then a channel which will be ready by Q3 next year. So, in FY '27, half month, probably 0.3 mt - 0.4 million tons from Vadraj will be sold in Gujarat. And in FY '28, we are targeting a full year, 2 million tons sale in Gujarat and in FY '29 this will go to higher number and then on the build up average. That 's the kind of target which we have in mind.

Tejas Pradhan: Sure, sure, than ks, thanks. That 's all from me.
Moderator: We will take our next question from the line of Parag Thakur from Fort Capital. Please go ahead.
Parag Thakur: Yes, hi. Thanks a lot and congratulations for excellent set of numbers. So, I just wanted to understand that in this quarter itself, after paying interest, I think your cash profit was close to Rs. 400 crores. So, what I am trying to say is that how much of the entire Rs. 3000 crore you feel that actually on a cash flow basis, net debt addition due to the Rs. 3000 crores in Novoco 's book, as you said, you are just taking Rs. 600 crores right now. But since Vadraj is your Company , ultimately the investors are going to look at consolidated net debt , right . So, I would like to say that you can generate around 1200 to 1300 cash profit every year based on if the

demand and pricing remains favorable, which is looking to be favorable right now. So,

at the
end of the CAPEX cycle, again what your net debt to EBITDA can be. Is there any number in
your mind?
Jayakumar Krishnaswamy: At this point of time, end of CAPEX cycle 3 years from now, I won 't be able to tell you what is the kind of number which we will have. But suffice to say, the target which we have is 3 years cycle from now, we certainly will be back at anywhere between Rs. 3,500 to Rs. 4,000 crores. Because that is the number which we have always maintained that we are comfortable carrying a debt of close to Rs. 3,500 to Rs. 4,000 crores in our books because eventually we have to g row as much. And wh en we have to grow, we need to fund the CAPEX . And as we have mentioned in the past, we would be targeting a number anywhere between Rs. 3,500 and Rs. 4,000 crores around the end of CAPEX cycle for us to be ready for the next wave of expansion once the Vadraj is done.
Parag Thakur: Correct. So, basically you are saying that at the end of this CAPEX also, your net debt on a consolidated level will remain at around Rs. 4000 crores only because of the internal accruals which you are generating and funding your CAPEX through internal accruals?
Jayakumar Krishnaswamy: If we have to kind of, okay, I have to do a math modeling for you. If I were to look at the current market condition and the volume growth and the EBITDA per ton and the overall cash that the business will generate, if I simply one swallow doesn't make a summer , doesn 't quantified Q4 into full year in the next 3 years, I won 't do that. But still I would be kind of very balanced in terms of projecting the numbers for the organization because the market conditions may not be the same all the time. But suffice to say that at any given time during the tail end of this CAPEX period and also at the end of this CAPEX period, our target will be to kind of keep a debt level anywhere between Rs. 3500 to Rs. 4000 crores.
Parag Thakur: Thanks. That is very helpful. And just to ask one last question, when you said that large part of the price increases done in Q4 are sustaining and it will flow into up till now in April and May. How is the demand behaving after March in terms of volumes?

Jayakumar Krishnaswamy: I would not be able to give a forward looking statement in terms of volumes as well as how the price will pan out going forward because I mentioned as we stand complete April as well as the threshold of May, we are looking at this kind of numbers but as the market estimates as well as our read of market as well as what is being projected for the cement industry , the industry is looking at close to about 7 %-8% volume growth in the coming year. And then that 's the kind of number which I am foreseeing going forward.
Parag Thakur: Thanks a lot. All the best.
Moderator: We will take our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Yes, thank you. Ma'am just to get some data point, first is the lead distance for 4th quarter, railroad mix, Pet Coke share in the 4th quarter and AFR share in the 4th quarter ?
Madhumita Bas u: Yes, Shravan, I think I have got some of the data points here. So, let me take it Q4 FY'25 lead distance. We did get some incremental improvement , stood at 324. The road share was 63%. What was your third question?
Shravan Shah: AFR and Pet Coke share?
Madhumita Bas u: So, the fuel mix, I will just call. 38 % of which 26 % was linkage. Pet Coke 52%, as North plants depend s on Pet Coke and volumes were high, operational volumes were high. And AFR was 11%.
Shravan Shah: Got it and ma 'am, sir when mentioned 7 % to 8% industry demand growth , we said that so similar volume growth in FY '26?
Madhumita Bas u: Yes, some of the context was how we are looking at FY'26 growth . As you know that the year gone by, the growth has been more in the

region of 4%, but this has since improved and our
outlook I shared earlier too that we see a demand growth of 7% to 8% over 2 or 3 quarters should also create a favorable environment for prices to sustain. That is the outlook as of now.
Shravan Shah: Okay, got it. And then just to clarify in terms of the whatever the way we will be funding the Vadraj , just to put you a simple number in terms of the CAPEX at a consol level in FY '26-27. So, obviously this Rs. 1800 crore, whatever way we will be funding, that we will be spending immediately by maybe by June this and then another maybe Rs. 150 odd crores. So, is it fair to say for this year, FY '26, it would be close to Rs. 2200 crore plus kind of CAPEX will be there and next year would be a ki nd of Rs. 1500 to Rs. 1700 crore CAPEX will be there in FY '27 at consol level ?

Madhumita Bas u: Shravan, if I might make a request. Mr. Krishnaswamy has been taking this question in many forms, almost 3 times in this call. May I request you to reach out to the Investor Relations Department, we will give you a specific perspective.
Shravan Shah: Got it and also when sir was mentioning that even by end of 3rd year, we are also looking at Rs. 3,500 to Rs. 4,000 crore kind of a net debt. I was just wondering how that will be even if I let's say look at the way that we were saying 1.5 million ton volume for Vadraj in FY '27, then 2 million, 3 million. So, 5, 6.5 million even if I take a Rs. 1000 EBITDA would be close to a Rs. 650 odd crore kind of EBITDA that we will be generating. So, is it still are we confident that at the end of FY, ev en FY '28 we will be having a Rs. 3500 to Rs. 4000 crore kind of a net debt?
Madhumita Bas u: Right , that is our operating framework, Shravan and with that said, because we cannot be doing a full financial modeling on the call, so do please reach out to us and we will walk you through the part.
Jayakumar Krishnaswamy: We can add one more thing to Shravan. You are looking at Vadraj. Vadraj is going to be a wholly -owned subsidiary of Nuvoco. So, it is Nuvoco which is going to invest on CAPEX in the group companies of Nuvoco Vistas , NU Vista Limited and Vadraj Cement Limited. So, we have to look at the overall results of the P&L of the Company to find out where the cash will come out, how capital deployment will happen. Suffice to say, I mentioned one statement , at a Nuvoco Group level in the coming year, we are looking at a CAPEX not more than Rs. 100 crores to Rs. 150 crores. Hence all the money which will be generated in Nuvoco Group will be used to fund the Vadraj CAPEX . Hope that meets your question.
Shravan Shah : Yes, got it. And the clinker , we have 3.5 million…
Moderator: Sir, I request you to join back in the queue, please, as we have other participants waiting for their turn.
Shravan Shah : Okay. T hank you.
Moderator: Thank you. We will take our next question from the line of Jyoti Gupta from Nirmal Ban g. Please go ahead.
Jyoti Gupta: Good evening, ma 'am. Good evening, sir. I hope the performance that we have done in quarter 4 is spilled over in quarter 1 FY'26 as well. And to that, to this, I want to add, we are adding almost 150 million ton capacity in the next 2 years , 26 and 27.
Moderator: Jyoti, sorry to interrupt. Can you speak a bit louder, please? Your volume is very low. Can you use your handset mode?

Jyoti Gupta: So, we are adding literally 95 million ton. And at 7 % growth, we will have an incremental demand of only 67.9, that will be on 68 million ton . How do you think , is this not going to depress prices going forward and how do you think we are going to manage or be able to maintain our market share going forward?
Madhumita Basu: Hi, Jyoti. Actually, when we look at the numbers, firstly, the kind

of operating mix we have. For us, the dominant space in which we need to take a look at these numbers is still in the Eastern Asian market, particularly in the perspective of FY '26. So, here again this is a discussion we have heard it earlier calls too. There are two things we should look at. What is the additional cement capacity that is coming in and what is the clinker based cement capacity that we are expecting ? So, if we take a look at the clinker based effective clinker capacity during this period I am looking at F Y'25 to FY '27, clinker in East will go up from 56 million tons to 62 to 67. So, clinker backed cement capacity will go up from an estimated 96 million ton to 105 million ton to 114 million ton. A nd this , if you take a look at the percentage growth in the cement demand, even at a 8 -ish percent 2 years in a r ow, because that is the outlook we are taking now, the capacity utilization backed by clinker in East continues to be 90% levels. So, there is not a radical change in the supply situation to dampen the prices. And again as we said, we have gone through a period in the East of severe dips in demand cycle. This is now improving and the outlook of anywhere between 6% to 8% sust ained quarter -on-quarter on a Yo Y basis, we see that the good environment for prices to stabilize.
Jyoti Gupta: What about North ma'am? Because if I understand your regional mix is 60 % East and 40 % North, we have lot of capacities coming in the North as well ?
Madhumita Basu : Jyoti, that is right. But in the North, we have a scope to grow. We are a 6-million -ton player there. It is not that our leadership position in the top three is being challenged. So, we do believe that there is growth given our strategic intent and our product portfolio to grow at the North.
Jyoti Gupta: Thank you, ma 'am.
Madhumita Basu: Thank you.
Moderator: Thank you. Thank you. We will take our next question from the line of Sanjay Nandi from VT Capital. Please go ahead.

Sanjay Nandi: Thank you , ma'am. Thank you , sir, for the opportunity. Congrats on a good set of numbers. Sir, can you please throw some light on the pricing front? Like what has been the price movement from the exit of Q4 to as we talk to ?
Jayakumar Krishnaswamy: Yes, I think from Q4 average to March exit, overall the realization has increased close to about Rs. 8 to Rs. 10 per bag.

Sanjay Nandi : So, from exit of Q4, it 's up by Rs. 8 to Rs. 10 per bag , right?
Jayakumar Krishnaswamy: Yes. End of December to Q4, the price, the realizations increased between anywhere between Rs. 8 to Rs. 10 per bag.
Sanjay Nandi : And sir, I was asking like from the exit of Q4, like for the March quarter and as we stock in the like…
Jayakumar Krishnaswamy: We can again look at close to about anywhere between Rs. 8 to Rs. 10 per bag increase in the prices from Q4 all the way to Q1 next year.
Sanjay Nandi : Okay, from Q4 exit to Q1 , Rs. 8 to Rs. 10, right?
Jayakumar Krishnaswamy: That's right.
Sanjay Nandi : Great. Sir, that's from my side. I will come back in the queue sir. Wish you all the best.
Madhumita Basu: Thanks, Sanjay.
Moderator: We will take our next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi, just a couple of follow up questions. One was that you mentioned you would be running lean on maintenance CAPEX for the next 3 years, somewhere about Rs. 100 odd crores. Just want to understand this long duration going lean on maintenance CAPEX , how does it impact the maintenance and operations of the assets? It 's just relatively low number sustaining for such a long period of time , just wanted to understand the implications ?
Jayakumar Krishnaswamy: Okay. When I mentioned, Satyadeep, the maintenance CAPEX is not maintaining the plant. So, these are all routine C

APEX , which are there to kind of do debottlenecking, increasing small like small capacity increases or basically all of them is technically mandatory safety CAPEX or improving product quality or increasing productivity, that 's the kind of CAPEX . Historically, our Company spends in the tune of Rs. 100 crores to Rs. 150 crores. We used to be less than Rs. 100 crores before the Emami acquisition. Now with the Emami plants coming in, that number is anywhere ranging between Rs. 100 crores to Rs. 150 crores. When I mentioned that the maintenance CAPEX is not bearing down the maintenance of equipment. Maintenance of equipment comes up, repairs and maintenance that gets into the operational expenditure of the Company . There is no kind of compromise on keeping the equipment on shipshape . All I mentioned was at 19 million tons in East and 6 million tons in North, right now in this year and the coming year, we do not intend t o expand the capacity big time in any place in terms of clinker increase or grinding increase or the AFR which we did or the siding in Sona dih or the siding in Jajpur, such kind of cap ex we don 't intend to invest in the coming year and the year -next.

However, maintaining equipment is part of the routine expenditure that anyway will incur to ensure that the lines are in good shape. So, suffice to say, the philosophy of the Company is to maintain the reliability of greater than 98 % and we run total productive maintenance in all our plants. And maintaining equipment health and equipment well -being and ensuring equipment productivity continues to be of the highest level and it is our competitive advantage.
Satyadeep Jain: Just one more follow up on the marketing strategy , there is now a new marketing team looking at this quarter also. Has there been any change in branding strategy? Is it more status quo so far? Just want to understand, you mentioned price correction. I didn 't understand. Is it generally industry pricing fees or has it been any brand positioning or something, especially with the new team in place ?
Jayakumar Krishnaswamy: People are there occupying positions, so guess I am not going to talk about who occupies the chair or not. Eventually, Nuvoco leadership team runs the Company where all of us are part of the leadership team of the Company . There might be odd changes always at the top, so I don 't think people changing is going to change the strategy of the organization. So, we have been consistent with the top leadership of the Company . So, I want to assure all of you that Nuvoco 's strategy in terms of being a premium player, being a blended cement player, priority in slag cement and having a higher trade share and getting a C /K ratio, one of the top in the industry. All those have been consistent for many years. We don 't intend changing any of those core principles of the organization. Our brands being Concreto , Dura guard, are the two flagship brands. That 's how we run our organization. On the Concreto side, very happy to report that in

fiscal 25, we launched Concreto Uno at a price point of close to Rs. 35 more than the regular Concreto . And we are very, pleased. In the month of March, we sold 80,000 tons of Concreto in the states of Bihar, Bengal, Jharkhand, and expanding the same to Orissa going forward. Our target is to get a million tons of Concreto Uno in the coming year. Along with that, Dura guard Microfiber, as Madhumita mentioned, we now make in Haryana Cement Plant, to make it available in Haryana, Rajasthan, Western MP, and rest of North India. And this product currently, it used to sell about close to about 16 ,000 to 20,000 tons per month. We have ramped it to about 35,000 tons per month. And going forward, our target is to take it to half a million tons in the coming fiscal and beyond. So, no-cost strategy of premiumization and

super
premiumization continues to hold good. So, if you were to ask me a question, did we do anything different in FY ’25? Yes, we did something very, very different in FY ’25. Launched Concreto Uno at a price point which is right at the top in the market , and we have demonstrated that it sells in excess of …, and only Durag uard microfiber through the Durag uard franchisee of India. So, these are the two salient points. Other than that, Q4 trade share increase versus Q3, the C/K ratio is at 1.72 and above. So, all those things continue to hold good. Marketing strategy is strong. Brand strategy continues to be stable and consistent with the past. And we have things in order and in place.

Satyadeep Jain: Thank you for the detailed answer. Thank you so much and wish you all the best.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Ms. Madhumita Basu for closing comments. Over to you.

Madhumita Basu: Thank you, Yashashri . Ladies and gentlemen, thank you for your questions, which we trust have been well addressed. Our Investor Relations team will remain available f or any clarifications required.

To conclude, we remain optimistic about the cement demand. As we look ahead, our focus will be on scaling growth and expanding our market footprint. The Company will continue to drive key initiatives pertaining to premiumization, geo-optimization, and cost optimization. This aligns with our renewed mission of being a trusted building materials Company , creating value for our stakeholders. Thank you once again for being with us today. Good day to all of you.

Moderator: Thank you. On behalf of Nuvoco Vistas Corporation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

Nuvoco Vistas Corp. Ltd.
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Ref. No.: Sec/ 89/2025 -26

July 24 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO

Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the Unaudited Standalone and Consolidated Financial R esults of the Company for the quarter ended June 30 , 2025

Further to our letter no. Sec/ 78/2025 -26 dated July 11, 2025 , letter no. Sec/84/2025 -26 dated July 17, 2025 and letter no. Sec/85/2025 -26 dated July 18 , 2025 , please find enclosed the transcript of the Investor and Analyst Conference Call held on Friday, July 18, 2025 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30, 2025 .

The same is also being made available on the Company's website at www.nuvoco.com .

We request you to t ake the above on record.
Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

Encl: a/a

"Nuvoco Vistas Corporation Limited Q1 FY '26
Earnings Conference Call "

July 1 8, 202 5

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY - MANAGING
DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL - CHIEF FINANCIAL
OFFICER , NUVOCO VISTAS CORPORATION LIMITED
MS. MADHUMITA BASU – CHIEF INVESTOR
RELATIONS , NUVOCO VISTAS CORPORATION LIMITED

Moderator: Ladies and gentle men, good day and welcome to Nuv oco Vista s Corporation Limited Q1 FY '26 Earnings Conference Call .

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Madhumita Basu – Chief Investor Relations. Thank you and over to you, Ms. Basu.

Madhumita Basu: Thank you, Ranju. Good afternoon and thank you for joining our 1st Quarter Fiscal 2026 Conference Call. I am excited to discuss our performance for the quarter and even more talk about the growth plans lying ahead.

Firstly, Q1 was a major milestone, arguably the strongest 1st Quarter performance in the history of the company. The company achieved a volume of 5.1 million tons, registering a growth of 6% compared to the same period last year. Consolidated reven ue from operations grew by 9% Y-o-Y to reach Rs. 2,873 crores in Q1 FY '26. Demonstrating superior operational efficiency and profitability, the company delivered its highest ever 1st Quarter consolidated EBITDA of Rs. 533 crores in Q1 FY '26. This translates to a b lended EBITDA per ton of Rs. 1,052 per ton, marking a 16-quarter high and reflecting the impact of our sustained efforts towards cost optimization and value creation. Moreover, the price environment continues to be supported with the price hikes implemented towards the end of 2024, sustaining till date. Amidst pricing stability, our continuous organizational focus on premiumization and trade sales has complemented the better pricing scenario in the markets.

The share of premium products and trade volume has further improved to 41%, while the trade mix reached 76% in Q1 FY '26. This notable improvement is a function of clear segment focus, a robust brand portfolio and a strong distribution network. On the cost front, the company's commitment to operational excellence remains firm. Despite the brief surge in petco ke prices, the blended fuel cost at Rs. 1.43 per Mcal remained broadly in line with Q4 FY '25. As you probably have seen in the chart we shared in our in vestor presentation, the blended fuel cost has been a continuous reducing story with significant stability in performance over the last few quarters.

To touch upon operational excellence :

You may recall that we previously shared key initiatives such as Project Sprint and Project BRIDGE , which have driven great objectivity and purpose in our cost -saving efforts. The BRIDGE program delivered Rs. 86 per ton cost savings over FY '24 to FY '25, broadly in areas

of power and fuel cost optimization, elimination of material losses through stricter quality controls and process discipline, alongside aggressively controlling damages and demurrages and increasing direct dispatches. This holistic approach to operational excellence has been instrumental in delivering the high EBITDA per ton we are reporting today. We remain

committed to sustaining these efficiencies and creating sustaina ble value for our stakeholders.
Moving on to the balance sheet :
Strong performance over the years has enabled us to drive the deleveraging agenda. During the quarter, the company reduced like -for-like net debt by Rs. 884 crore Y -o-Y to reach Rs. 3,474 crores. Net-to-net, we delivered a hallmark performance in Q1 FY'26.
Moving on now to our growth plans :
I would like to highlight that 2025 marks our 11th year in the cement business. Since entering the industry in 2014, we have achieved a remarkable feat of expanding our capacity nearly 15-fold to reach 31 million tons.

This quarter, we successfully completed the acquisition of Vadraj Cement Limited, bringing under our fold high -quality assets including a 3.5 million ton clinker unit, a 6 million ton grinding unit, captive limestones and a captive jetty. This acquisition is fully aligned with our strategy to expand our footprint in the western region and add complementary capabilities to our existing operations in the north. Historically, we have demo nstrated strong execution capabilities in successfully integrating and sc aling acquired businesses. For the Vadraj project, with strong project governance in place, we are well -positioned to achieve the operational roadmap outline d in our investor presentation.
To provide a brief update :
Manpower mobilization is progressing well with key personnel including those for port operations already onboarded. We have initiated the release of key goods and services purchase orders to fast -track plant refurbishment and visits from major OEMs are currently un derway.
Our current plan is to make the plants at Kutch and Surat and associated equipment including the jet ty ready for trial runs by H1 FY' 27 with ful l functioning targeted for Q3 FY' 27.
A few words here on the cement demand outlook :
Cement demand during the quarter grew at a moderate pace impacted by intense heat, geopolitical situation and then early onset of the monsoon. However, looking ahead , we remain optimistic on demand post -monsoon driven by significant capital expenditure planned by both the central and state governments particularly in housing and infrastructure sectors.

For FY '26, the central government has announced a CAPEX plan of Rs. 11 lakh crores while state governments have proposed approximately Rs. 9 to Rs. 10 lakh crores. Additionally, the central government has introduced measures to expedite the completion of 1 lakh dwelling units through the creation of SWAMIH fund and is providing support to states for infrastructure development via Rs. 1.5 lakh crores in interest -free 50 -year loans. In the Eastern states , Rs. 38,000 crores allocation have been made towards housing programs. These initiatives are expected to provide meaningful momentum to cement demand in the coming quarters.
Finally, before wrapping up an update on sustainability :
The company's commitment to sustainability is evident as it continues to lead the industry with the lowest carbon emission. The carbon emission footprint has improved further reaching 454 kg CO_2 per ton of cementitious material in FY '25 compared to a figure of 457 in the previous financial year.
With that, I conclude my opening remarks. I am here with Mr. Jay akumar Krishnaswamy – Managing Director of Nuvoco Vistas and Mr. M aneesh Agr awal – Chief Financial Officer. We are happy to address any questions you may have for us. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes on the line of Shravan Shah with Dolat Capital. Please go ahead.
Shravan Shah: Yes, thank you and congratulations on a very good set of numbers. So, my first question is on the demand front. So, last time we have talked that for India, we are looking at 7 % to 8% and for us also similar kind of volume growth. So, just wanted to understand in Q1, how much do you think that the industry would have grown and for FY '26, is the same 7 %-8% number remains constant and for us also similar 7 %-8% kind of volume growth that we are looking at?
Jayakumar Krishnaswamy : I can't say for other companies. Certainly, for Nuvoco , we have been able to get 6% volume growth. Our May end, if you see, monsoon had set early in most parts of India. In fact, starting from Kerala all the way to Assam, it happened in just one week's time. So, we did see a little bit of a challenge in demand in East, North as well as West regi

ons, but that could be a little bit of
a dampener in the overall stuff in the short run. But as Madhumita said, I think post the monsoon, we are very well poised to get the 7 %-8%-9% growth for the industry because GDP is at 6.5%. That's the prognosis forecast given by RBI as well and also CAPEX outlays will get implemented on the ground from Q2 onwards post monsoon. Overall, if you see, post monsoon, we are confident that the industry should grow anywhere between 8 %-10%. That's the optimistic number. G ive or take, it could be 8 %-10%, it could be 7 %-9%. So, it's all in the ballpark of 7 %-

10% kind of a number is what I see the industry moving in this year.

Shravan Shah: Got it. Second sir in terms of the pricing that for us, obviously, it was very good for this quarter. So, currently, the prices, if I have to compare with the Q1, is it at the same level, or is there any further improvement?

Jayakumar Krishnaswamy : On the pricing front, I can talk on three parts. Actually, I just have to go back to my previous call in quarter 4 call and the quarter 3 earnings call. Overall, I think the market pricing as well as our prices started improving sometime in December onwards. And it further went up in certain regions in o ur target markets in Q4. Happy to report when we came to Q1 FY '26, the price continued to hold good in Q1 when compared to Q4 with small corrections as well happening in Q4 to Q1. But what is the positive, e ncouraging thing is as we enter Q2 in July, we still are able to hold prices as our company, and we still command the similar kind of prices and realization in the market 3 weeks into Q2.

Moderator: Thank you. Mr. Shah, please rejoin the queue for more questions. Next question comes from the line of Satyadeep Jain with Ambit Capital. Please go ahead.

Satyadeep Jain: Hi. Thank you. First question on the transaction . Just wanted to see where we are in the process. There is a bridge debt, which is bigger than the long -term debt. Of course, last time you were mentioning you're very close to signing a deal. So, just what is the tenure of this bridge debt? Where are you in terms of signing that? In what form is it going to be like a convertible preferred share ? Just more details around this transaction that you're working on ?

Jayakumar Krishnaswamy: Since you mentioned about mountains, I think mountains are different heights across the various continents in the world. So, Everest seems to be the highest. You have got Kilimanjaro, then you have got Kanchenjunga, then you have got Atacama. You have so many other mountains in the world. So, for us, I think running a business, which is over Rs. 10,000 crores, we have the right size of debt to grow the business. So, I just want to assure all of you, we are mindful of how we run our own company. And we are v ery clear what kind of debt levels are helping the organization. And if you really look at the last 3 to 4 years, one of the things which we have always said is, for our company to grow and become larger and larger in the coming years, a debt level of Rs. 3,500 to Rs. 4,000 crores is a number which we would like to concentrate on. And you would have seen, certainly, I think we met our commitment, what we have been talking in the last 4 years since our listing. Our debt levels in Q4 came to 3, 640. So, when it hit 3, 640, we got the license and the commitment which we made to all of you to grow. And hence, we have kind of invested in Vadraj . And if you remember the last call, we did mention that when we are going to raise money from whichever instrument, we will be mindful that the money which we raise doesn't impact the balance sheet in an adverse manner. So, I would want to assure all of you that out of the Rs. 1,800 crores, Rs. 600 crores will be the long -term debt. The balance Rs. 1,200 crores, as mentioned, available in

the public domain, would be through an instrument which will be through the CCP s or CCD s route , which will not be a debt instrument and not form into part of the debt instrument in the balance sheet. So, that's how you're working. We are

at a stage where we are discussing with potential partners with whom you're working to raise this capital. This bridge financing is for a short -term period of maximum 2 to 3 months. And I guess, hopefully, in the coming 2 to 3 months, we should convert this debt into an equity like-type of instrument.

Satyadeep Jain: Okay. Second question, on slag, you mentioned in the release that there was some tightness in, I mean, there's seasonal tightness in slag in this period, but it seems like maybe there was more than typical what you see. So, are you seeing some tightness in general across the board for slag? And how are you looking to secure slag for the Vadraj asset that you have? Also tying it, so this is also the plan to have 2.5-million -ton Kutch GU . What does it mean that would you have more GU capacity versus clinker or because clinker is 3.5 and you're setting up 2.5 million ton of GU. So, eventually, if you refurbish the entire Sura t GU, you will have excess grinding capacity. So, just what's the plan to secure slag for the upcoming capacity? What is the plan? And are you overall seeing some tightness in slag in the market?

Jayakumar Krishnaswamy: Okay. Thanks, Satyadeep . We will split the market in East and West. That's how we define ourselves. In East, certainly, I think, overall, if you really look at the last 2 to 3 years and going forward, there is indeed some tightness of slag in the market simply because many, many players are getting into the composite segment or the slag cement. So, overall, industry is also trying to get more blended cement in the form of slag cement. And you all of us know very well, East is a marke t where slag cement or composite cement acceptability is much more than any other region in India. So, that way, overall slag availability is going to be a little bit of a scramble. And hence, the overall, the current auction price for slag in East when compared to 3 years ago, certainly has gone up from where we were in the past. Certainly, Nuvoco is in a very good position. All of us know that Nuvoco has got close to about 2.1 million ton of 20 -year slag tie - up with Tata Steel, another 0.4 million of preferential allotment from Tata Steel at market price. So, we are kind of covered for about 2.5 million ton, which constitutes to roughly about 55 %- 60% of the overall slag needed for the company. So, Jojob era cement, which we make, is all funded through much lower than m arket price slag. However, the ones in Panaga rh and Jajpur is where we have to kind of go for auction slag and that's where there is a little bit of a tightness in, not availability per se, price wise it is a little bit higher. Blended slag price for Nuvoco will be under checked and one of the programs which we run in the organization is use of allied slag, which is different from the regular blast furnace slag. We have had the capability to use allied slag in our factories, and our target is to use close to about 75,000 tons of allied slag in our plants, which is a welcome sign, and it is a green initiative as well as different type of slag which we have proven and used in the market. So, that's how the slag thing is being addressed in East. Coming to West about Vadraj, as we start the Vadraj operations, we don't have any plans to get into slag cement manufacture there. Gujarat is majority OPC and PPC kind of a market and at this point of time, we don't have any plans to vent ure into slag cement. In future, if slag cement comes, we have the experience to launch slag cement, that's when we get into. Entry strategy, at this point of time, we don't envisage any

slag cement. Hence, slag requirement is not going to

hamper our entry strategy in Gujarat. Coming to setting up the grinding unit in Kutch of 2.5 million tons, we had a choice to set a million or million and a half or 2 million or 2.5 million. Once you go buy these equipments, namely the VRM, the price differential between a million and a half and a 2 million and 2.5 million or hardly a few crores here and there. So, to really secure the long -term capacity of the company, we decided to put a 6.3 meter VRM, which will make us flexible for many years to come. H ence, the Kutch capacity , the grinding unit is put up at 2.5. The Surat, as it came from Vadraj to us, has three mills of 2-million -ton capacity. As I mentioned in the previous call, we will start with one mill. Initially, we wanted to start 2 mills. Now, with Kutch 2.5 million tons coming in, we will start a Kutch mill at 2.5 million tons. Under Surat, one mill will activate a 2 million ton to optimi ze the CAPEX cost. As we grow the market, we will restart the second mill and the third mill next. To start with, when we get into the market , commissioning the Vadraj itself, we will have a 2.5-million -ton mill in Kutch and a 2 million ton in Surat. Going a little bit deeper into it, up to Ahmedabad, lots and lots of OPC sales and hence, getting clinker all the way from Kutch to Surat and then reverse freight back OPC into Ahmedabad was turning out to be a little bit expensive. Hence, we decided to make the OPC in Kutch and directly bring OPC through bulkers into Ahmedabad, Saurashtra and those markets. Last but not the least, railway siding has come all the way to a place called Vayor, which is close to Naliya , which is there in Kutch and two other competitors have plants which are very close to each other. So, the current view is also to go for a railway siding there and once the railway siding comes, then we got a lot of other options opening up by carting cement through bulker movement as well. Hence, our whole idea of putting the GU in Kutch also is to get rake movement of cement, plus in Surat, we can get the OPC and PPC in the mill which we have in Surat. So, hopefully that answers your query.

Moderator: Thank you. Mr. Jain, please rejoin the queue for more questions. Next question comes from the line of Navin Sahadeo with ICICI Securities. Please go ahead.

Navin Sahadeo: Thank you for the opportunity. So, two questions. First, just a continuation of the previous question. What is the total CAPEX now? Because you mentioned now, we are talking about the railway siding. So, 1 ,800 we paid for the asset and there is a cost to refurbish or get this asset up and running. And you also mentioned plans of railway siding coming through. So, if you could just break it down, the total CAPEX or total amount that the company plans to spend for Vadra j Cement, all three mills and the railway siding put together and related to the same ques tion, what is the update on the thermal power unit we were to acquire or which is in the premises which belongs to JSW? Thanks.

Jayakumar Krishnaswamy: Okay. Even if you had not asked the part B of the question, I would have answered the part B as well. That was very clear. So, the overall outlay till now which we had mentioned was close to about Rs. 1,600 crores. And the Rs. 1,600 crores involve mills in Surat, GU in Kutch, mill in Kutch, refurbishment of the Kutch assets as well as jetty refurbishment and also setting up the railway line in Kutch. One thing which is not included in 1 ,600 was the acquisition of the captive power plant. We will add another Rs. 200 crores to getting the captive power plants. We are currently under discussion. So, it could be few crores here and there. So, overall, we are looking at an outlay of Rs. 1,

600 plus Rs. 200 crores at this point of time to set up the refurbished asset and commission the GU and get into the market in the next 1.5 years.
Navin Sahadeo: Right. So, 1 ,600 and 200 is what you said. So, 1 ,800 and 1 ,800 basically total 3 ,600 is the way total CAPEX for the asset?
Jayakumar Krishnaswamy: You can look at it that way.
Navin Sahadeo: And railway siding cost?
Jayakumar Krishnaswamy: That will be little bit of, I can give you a ballpark number. We are currently working on that. So, typically we still not done what you call survey of where the railways is putting up the platform in Vayor and from there on. Next call we will be able to tell because there are lot of places, somebody is working on some parts of siding. So, I guess by the time we meet next time I will be able to give a clear picture. However, suffice to say, since you have put up railway siding in Jajpur as well as Sonadi h, we have a fair idea it should cost anywhere between Rs. 110 - Rs. 130 crores.
Navin Sahadeo: Understood. Thank you so much. My second quick question was about the freight cost. So, of course, congratulations and very hearten ing to see the sequential realiz ation improvement. But there is some bit of an increase on the freight cost per ton as well. So, is there any one -off or any increase in lead distance? Any thought on this cost of freight will help? Thanks.
Jayakumar Krishnaswamy: Three specific reasons. The first reason is quarter one had little bit of rake availability issues in the month of May and June in two of our sites in Arasmet a as well as Jojob era. While our rail coefficient remained the same, we had to move material to Bihar from our Panagarh site. Hence, the freight cost increased due to rerouting from Jojob era and Arasmet a and move it to Panagarh . So, that is reason number one. Reason number two is our Haryana cement plant is now under maximum capacity utili zation and almost fully ramped up and reaching peak levels. So, once the Haryana cement plant comes from Nimbol plant into Haryana, semi -finished goods or a clinker movement rate increased because of full utili zation of Haryana plant. That is the reason number two. And point number three, Q4 to Q 1, Q4 we ran thin on clinker stocks in North and we also had to take Chittor plant for shutdown in this quarter. So, we were running thin on clinker, so we had to move cement from Arasmet a, Sonadih , Risda all the way to westwards to MP, Indore, Gwalior, Ratlam markets. So, that is the reason why freight costs on this side increased. So, reason number one, rake availability. Reason number two is shut down and increased in distribution costs from East to West. And the reason number three is increased semi - finished goods movement from Nimbol into Haryana.

Moderator: Thank you. Mr. Sahadeo , please rejoin the queue for more questions. Next question comes from the line of Rajesh Ravi with HDFC Securities. Please go ahead.
Rajesh Ravi: Good evening and congrats on good set of numbers. Continuing on this freight expenses which you mentioned, which have gone up by almost Rs. 145 Q-o-Q. So, all these additional costs which have come up, would you believe that this should normalize back to Rs. 1 ,400 level per ton in subsequent quarters?
Jayakumar Krishnaswamy: Yes, thanks Rajesh for your comment. Certainly, I think we are targeting to bring it down number. One of the key agendas for bring ing down this freight cost in the ensuing quarters, one of the key agenda we are driving this quarter 1 and then going forward is to reduce the lead distance by close to about 10 to 13 kilometers . And I guess the entire sales team has been instructed to sell more products, more markets and thereby reducing the lead distance as well as go away from STM movement and final sale into SO, increasing direct disptaches to the market. Thi

s is the agenda which we are driving very hard in this year, and we expect this number to come down by about Rs. 70 - Rs. 80 in the coming quarters.
Rajesh Ravi: Okay, great. Meanwhile, can you also share the housekeeping numbers like what is the lead distance for this quarter and fuel mix, petcoke , linkage, non -linkage and TSR?
Jayakumar Krishnaswamy: Okay, lead distance for this quarter came at Rs. 334 and in terms of fuel mix, we ended as a blended Mcal at 1.43 which is over a period of last 16 quarters. It's been kind of continuing at a low, reducing trend. But suffice to say that we have more or less bottomed out in terms of price of petco ke or domestic open market coal or linkage coal. From now on, any reduction can happen only by optimi zing the fuel mix as well as to get our efficiencies going. So, that's the target which we will take forward. And in terms of AFR, we are at 10% this year, little bit less because we had certain issues where there were some issues in Chhattisgarh from the external world about use of AFR in the cement factories. We are more or less dealing with that point. Once we

deal with it, we will go up on the AFR usage. The shredder which we commissioned in Q4 in Chittor is fully operational now. So, Nimbol, Chittor and Risda , our target is to get the AFR up to about 15%. It should happen post -monsoon. In monsoon, a littl e bit less AFR will be used because of the moisture content in AFR. Post -monsoon in H2 of this year, we are targeting 15% AFR. Petco ke should come less than 40% in H2, whereas currently it is about 42%.
Moderator: Thank you. Mr. Ravi, please rejoin the queue for more questions. Next question comes from the line of Tejas Pradhan with Citi Group. Please go ahead.
Tejas Pradhan: I have a question. You said the cement, raw material, power and fuel rates in the PPT. Can you share those numbers?

Jayakumar Krishnaswamy: Is it possible for us if you can reach out to our teams? Can we give you all the details on a separate call please , otherwise, I will have to read out the number.
Tejas Pradhan: No problem. And secondly, on the Vadraj financing, you had mentioned Rs. 1,200 crore will be an equity -type instrument which will not come on the balance sheet from a debt perspective. So, once the asset is completely ramped up, would you hold 100% in the company or would there be other equity investors?
Jayakumar Krishnaswamy: Too early for us to comment on how we will wrap up this in the future. But certainly, we are looking at prevailing market conditions and continue d improve d market conditions as well as improved operational profitability and coming through better operational control and saving. We are looking at much better operational results in the next 2 to 3 years and beyond. So, these instruments we are looking at anywhere between 4 to 6 years. So, our view is as we reach around 4 years from now, which is FY '29, we should be having the ability to do a call option on these things and clean up the debt. In case market conditions are difficult, it's in the open public platform that then the investors will have a put option on the parent promot er group compan y.
Moderator: Thank you. Mr. Pradhan, please rejoin the queue for more questions. Next question comes from the line of Pratee k Kumar with Jefferies. Please go ahead.
Prateek Kumar: Yes, good evening sir and congrats for the results . My first question is on CAPEX and depreciation interest. So, how do you split CAPEX in the next '26, '27, '28? Like you said, Rs. 3,600 crores plus some maintenance CAPEX. How would you split this in the next 3 years? And the related question is, how do you expect the rate of depreciation interest to move from quarter to one year?
Jayakumar Krishnaswamy: Okay, second one first, in terms of depreciation and interest cost, we are looking at anywhere

between, you take Rs. 5 crores here and there, about Rs. 200 crores of depreciation and close to about Rs. 100, Rs. 110 crores of interest. That's the kind of number you can keep quarter -on-quarter going forward. And in terms of overall CAPEX plans, as mentioned last year, last call, certainly this year and the year next and the third year from now, we are very clear that not much of any, not big expansions or no big expansions happening in any of the plan ts. Hence, to sustain our operations, we are looking at a CAPEX of close to about Rs. 100 - Rs. 150 crores. That's the kind of money we will spend to run our assets in the next 3 years. And there will be adequate cash from the operational results to the tune of about Rs. 600 odd crores in this year, another Rs. 600 next year, and the balance money will be spent in year three to commission Vadraj assets.
Prateek Kumar: Okay, so around Rs. 2,500 crores this year and Rs. 700 crores each in the next 2 years. Is that how we should look at it?

Jayakumar Krishnaswamy: How would you, I am looking at CAPEX as such, 1 ,800 is the investment which we have made. We are looking at a CAPEX of close to Rs. 600 crores to refurbish the asset. And then next year, another 600 and year three, the balance money, which will be close to about another Rs. 300 crores. That's the kind of phasing we are looking at to commission Vadraj assets. On top of it, to sustain the Nuvoco operations, we are looking at close to about Rs. 100 - Rs. 150 crores of CAPEX in the coming year and the next 2 years.
Moderator: Thank you. Mr. Kumar, please rejoin the queue for more questions. Next question comes from the line of Jyoti Gupta with Nirmal Bang . Please go ahead.
Jyoti Gupta: Thank you so much for the opportunity. A great set of numbers. I have only one question on the realization side. We have seen an improvement of almost like Rs. 295 a ton in cement realization on a Q-on-Q basis. Was there any realization of quarter 4 which is not absorbed in quarter 1, which is not absorbed and therefore spill over to quarter one? Because there was some erosion of prices in the center. I mean, is there a possibility to get a breakup in terms of cement realization ? Is it because the sale of premium cement was higher or how was it? Because as per my understanding, we had Rs. 200 increase in realization. This is almost like Rs. 295, very decent increase in realization on a Q-on-Q basis.

Jayakumar Krishnaswamy: I won't be able to give region -wise realization. I guess you should be able to find out from various results of all companies, but certainly I will talk about our results. Realization improvement has happened due to very clearly 2 or 3 agendas. The first one is to get our premium products growing across the country. Like we mentioned in the last time, we launched Concret o Uno late last year and happy to report Concret o Uno is continuously growing quarter -on-quarter and it's kind of being rolled out in all the Eastern markets. Dura guard Microfiber, again, was focused on few markets and purely at one point of time we were selling only on the Double Bull channel, but we took a decision in Q4 and Q1 this year that we should roll out the Dura guard Microfiber also in the erstwhile Double Bull channel. The channel by the name of Double Bull doesn't exist, but we had a set of dealers. We enrolled them at one point of time, and we launched Double Bull in certain key markets and there we made a decision to kind of get into Dura guard Microfiber to get the premium penetration going in the key markets of Haryana, Rajasthan, Western UP, Gujarat and Chhattisgarh . Happy to report that Durag uard Microfiber sales have more or less increased by 50% from Q4 to Q1 and there's a huge thrust in the premiumization of Dura guard Microfiber. Concreto Uno, it certainly continues to leapfrog in the

key markets of Bihar, Bengal
and Jharkhand. We will launch Concreto Uno, in Orissa as well in the coming days. All these things resulted in a historical high premium product sale of the company to 41% in Q1. So, that's one of the key reasons for our realization improvement. The second one also is because of the overall focus on the company to focus on trade share. Our trade share also hit a very high number of 76% in the 13th quarter high, which again kind of improved realization . And for us, I think, focusing on premium, focusing on trade channel, and last but not the least, bi g time focus on home markets in Chhattisgarh, Jharkhand, Rajasthan, Haryana, we've got large GUs, will reduce

our freight costs going forward and these three levers are going to improve realization in the coming quarters.

Jyoti Gupta: Just a follow -up question on this, when you mentioned Orissa, as I understand FY '25, Orissa declined by 12% on a Y-o-Y basis . Q4 also, we've almost seen like an 18% decline because of this political shift in power , in governance . Do you think FY '26, Orissa will see some sort of stabilization because already the market is, all the products have been installed and everything went to litigation. And then you're saying premiumization into looking at Orissa as launching this Double Bull that you said. Do you think it will be possible or is it like it's too early to actually get into the market, which is in a declining phase right now?

Jayakumar Krishnaswamy: I can't talk about specific state level up -tick or down -tick because we operate in all the states in East and also in almost all the states in West and North put together. So, I will refrain from saying what is going to be a state level strategy, but certainly I think all these blips up and down, seasonal and every state will grow. Eventually India as a country is slated to grow 6.5% at the GDP level and the cement industry in I ndia will grow at 7 %-10% is what initially I meant . So, we are very optimistic at this kind of growth level in the medium -to-long term. Short term blips will happen in every place. So, personally as our company and leading our company, I am not greatly worried about one quarter or two quarter issues in any state. Orissa eventually will also grow like Chhattisgarh, Jharkhand, Bengal and Bihar and we will be able to reap the benefits of growth in every state.

Moderator: Thank you. Ms. Gupta, please rejoin the queue for more questions. Next question comes from the line of Girija Ray with Yes Securities. Please go ahead.

Girija Ray: Thanks for taking my questions. So, the numbers are really great with respect to this capacity utilization. It is 82%. That's quite good for the 1st Quarter FY'26. So, just wanted to check this 82% capacity utilization. Is there any clinker sale or it's a pure cement sal e we have done?

Jayakumar Krishnaswamy: We don't do any clinker sale at all. We do clinker barter with a few companies which it helps them as well as helps us. But we don't do any clinker sale and it's all clinker for internal use.

Girija Ray: So, we can say it's a very good sale for this quarter despite having a lot of challenges like the summer wave and all these things. Just I have a few concerns about the debt part. The debt is quite high what I see. And on top of that, we are taking some Rs. 1,800 crore of debt also. So, how we are going to manage our net debt to EBITDA level for next 2 years and how is the repayment schedule what we are looking for the next 2 years? And one more question. If I compare last quarter, fourth quarte r FY '25, the tax expenses, current tax and this quarter, this quarter it is significantly higher side. So, what's your comment on those 2 things?

Jayakumar Krishnaswamy: I will answer the first one. I will ha ve to go back in history to explain your question. Really jump back to June 2021, our debt level was 6 ,885 and then it came to 5 ,347. It came down to 4 ,506. It came to 4 ,358 and then 3 ,474. I think we got a proven track record of running the operations in a smart manner to pa re down the debt. And as I have been telling you in the past calls, we are comfortable operating Nuvoco at a debt level of anywhere between Rs. 3,500 to Rs. 4,000 crores at a consistent level. There will be blips which will go back since we have borrowed now, it goes up. But I think over the period of the next 2 to 3 years, you will see our debt numbers coming down. So, we are comfortable operating debt at about 3 ,500 to 4 ,000 and we are not kind of greatly worried. And it will certainly be less than 2.5x. Our target is to bring debt levels to twice of EBITDA and that's the kind of 2 to 2.5x is the worst case. But ideally, we should target even less than two as w ell.

Moderator: Thank you. Mr. Ray, please rejoin the queue for more questions. Next question comes from the line of Pat hanjali Srinivasan with Sundaram Mutual Funds. Please go ahead.

Pathanjali Srinivasan: Thank you for the opportunity. Congrats on a very good set of numbers. I just wanted to understand in terms of ground scenario, what has changed for the current quarter from the last 2 quarters in terms of demand and any color on region -wise activities, activity level improving, anything of that sort, if you can give us some details ?

Jayakumar Krishnaswamy: I won't be able to give you region -wise color. I guess that should be picked up from various results of various players who are region -focused or nation -focused. We have brought these results all the way from West to North to East. Center, we've got a very small percent, but we still operate in these markets. However, in terms of overall demand in these markets, I think the demand has been steady in these markets in the last 6 to 9 months. As far as Nuvoco's performance has been conc erned, at one point of time in Q2 and Q1 last year, our focus areas was to – because the cost pressures were pretty high in those times, and we really focused on value over volume. Over a period of time, we also kind of made a tweak in our strategy to not only go for value because we had kind of set up such kind of cost -saving programs in the organization. We were getting to – reaping the benefits of the cost -saving programs into Q2 and Q3. We also made a little bit of an aggressive play to get volumes goin g in a sensible manner. And hence, in Q3 last year, we did grow double -digit. And then Q4 last year, we grew high single -digit. And again, in Q1, we've been able to get a 6% volume growth. So, overall, we've been able to get the growth in line with the market growth and not kind of lose market share because of the value over volume. And we are pretty comfortable blending the value strategy as well as doing a very sensible move to get volume for the organization.

Pathanjali Srinivasan: No, no. Has demand improved, sir? Just a related question. That is my actual question. So, has demand improved at the ground level? Is activity levels improving? Do you see any either housing or infrastructure, any of these segments where you see much more of a pull factor?

Jayakumar Krishnaswamy: Yes. I guess – thanks. So, that's the question, I guess. H1 last year, one did feel the pinch in demand with pre -election and post -election and funds not happening and budgetary allocations on PMAY scheme and other state programs did not take off. And in our speeches, we were mentioning that those were a little bit not on the ground, we could see. But as we navigated the year and come into this year, we can see things improving on the ground. Currently, because of monsoon, there will always be a little bit of downside, but we sho ul

d not worry about drop in demand due to monsoon. But on a yearly average, as we go forward, industry is slated to grow anywhere between 7 % to 10 %, 10 at a very optimistic level, at 7 at a very realistic level.

Moderator: Thank you. Mr. Srinivasan, please rejoin the queue for more questions. Next question comes from the line of Ashutosh Murarka with Choice Institutional Equities. Please go ahead.

Ashutosh Murarka: Hello. Thank you for the opportunity. I have a question on Vadraj acquisition funding plan via CCP s. Can you please highlight the merits of this versus conventional debt equity financing?

Jayakumar Krishnaswamy: I won't be able to tell you all the nitty gritties of the financing because currently under discussion, it will not be appropriate to discuss all the details. But suffice to say, we are very mindful of the balance sheet strength of Nuvoco . And hence, as part of fundraising, we did borrow Rs. 600 crores as a long-term financing, which will remain as a debt on the books of Nuvoco . But the balance Rs. 1,200 crores is going to be through the instrument of CCPS and CCD, which will not figure as a debt on the balance sheet and terms and conditions of it, we are currently under discussion. So, I guess once it is done, we will be able to share with you the stuff .

Moderator: Thank you. Next question comes from the line of Satyadeep Jain with Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you for the follow up. Ja y, just two questions. One on the railway line that you are talking about. Since you are one of the reasons for putting up the GU, out of many reasons, one is obviously the opportunity to sell cement through rail internally . What is the plan? Because the railway line is coming to Mundra or you mentioned there are other possibilities of where the railway, because it is still somewhat far from your plant. What is the plan and when is the line

coming as per you? That is the first question.
Jayakumar Krishnaswamy: I didn't mention Mundra , Satyadeep. The railway line has come to a place called Naliya. Naliya is a place which is close to 40 kilometers from our location in Kutch . And po st Naliya is a place called Vayor. Vayo r is just about 15 -20 kilometers from our site and the other two places are also in the site. And hence, broad gauge is already coming. So, from reliable sources and also talking with railways, we got to know that the railway line is also go ing to go further down from Vayo r to other places. Then it becomes not more than 7 -8 kilometers from our site. And hence, it becomes extremely prudent for us to exploit the railway opportunity. That's how we made this call.

Satyadeep Jain: And what is the status of that? Sorry, I missed that. Any idea by when this will get commissioned?
Jayakumar Krishnaswamy: Railway line is a lready commissioned up till Naliya actually. In fact, one of our competitors is also using the open platform to dispatch clinkers from there.
Satyadeep Jain: Okay. Second, just wanted to understand the product mix. You mentioned 41%. I don't know if Concreto would also, not the Concreto Uno, but also Concreto would qualify as premium cement in just over time, over the last 2 -3 years. How has the product mix evolved in terms of Concreto, Dura guard, Double Bull? Just maybe some insight you can share there.
Jayakumar Krishnaswamy: Breakup of each category, I will avoid giving. But suffice, what I will try to explain to you is our base product is our Dura guard. And that's on the A category in the marketplace. So, we are right in the benchmark products in all the markets we operate. We operate in the A category in all the key markets with Nuvoco Dura guard. On top of it comes in the Dura guard category , in the PPC category, we have Microfiber, which is close to about Rs. 25 more than the base product. And then we have C

oncreto in the pure slag category, which is again Rs. 25-Rs. 30 rupees more than the base product. And Uno is another Rs. 20 odd more than the Concreto franchise in the key markets of East. And in terms of individual volumes, I would not like to say what happens there. But overall, if you see every state in Bengal, Jharkhand, Bihar, if you can look at the volumes which we sell, close to about, as a company, we are at 41 %. At the East level, our premium percentage is much higher than the national level.
Moderator: Thank you. Mr. Jain, please rejoin the queue for more questions. Next question comes from the line of Rajesh Ravi with HDFC Securities. Please go ahead.
Rajesh Ravi: Just a follow -up question. This cement to clinker ratio is holding on steady at around 1.72. I believe there are expectations of taking it up to 1.83. So, what is the roadmap over there? And second, when you said this Rs. 1,800 crore is already paid and this Rs. 1,800 crore s additional CAPEX , does this include Rs. 200 crore s towards the CP P acquisition also?
Jayakumar Krishnaswamy: Yes. On the C /K ratio, Rajesh, East C/K ratio is 2 and above. Nort C/K ratio is lower than East, much lower because of the PPC and OPC stuff. But at a blended level, our C /K ratio is at 1.74. We are striving to get the East C /K ratio all the way up to 2.1, maximizing more and more blended cement and getting more and more slag cement, which should overall improve. But as you would be aware that as we enter Vadraj and market in Gujarat and Maharashtra, we will end up selling more OPC on this market. So, to sustain a 1.75 C /K ratio in the long term, will not be possible. East, we will certainly sustain 2.1, that kind of number. North will be less. Our blended target still will be to hit 1.74 at a long term, that's going to be the goal for the company. In terms of the CPP cost, that's why when I mentioned about, there was a question regarding the power plants, I said upfront, I wanted to tell 1 ,800 was the cost of the asset which we paid to the bankers

and then committee of creditors. And then we going to refurbish the asset at another Rs. 1,600 crores, looking at Rs. 200 crores to fund the CPP. So, you have to look at 1 ,800 plus 1 ,600 plus 200.
Rajesh Ravi: Right. Okay. And lastly, what is the total cost saving you're looking at for FY '26? And could you break it up between headings, FY '25 over FY '26?
Jayakumar Krishnaswamy: Yes, we are targeting a cost saving of close to about Rs. 50-odd over and above FY '25 and FY '26
on a full year average. The key program being getting our allied slag from the current 45,000 to 75,000 tons per month. Then we are also de -bottlenecking the WHR , waste heat recovery system in Nimb ol from the current 4.7 megawatt to 6.6 megawatt with a very small CAPEX of close to about Rs. 10 odd crores. And that should kind of reduce the power cost in North. Increase the AFR percentage f rom the current 12% to an excess of 15 %, 16%. And over a period of next 1-1.5 years, we are also setting up hybrid wind and solar in the North region and reduction of lead

distance by close to about 12 to 15 kilometers. The Orissa siding is currently under commissioning , another two months from now with all the permits and approvals on railways. Come Q3, we will have 100% clinker movement to Jajpur via our siding. All this put together should deliver close to Rs. 50 this year over last year.

Moderator: Thank you. Mr. Ravi, please rejoin the queue for more questions. Next question comes from the line of Girija Ray with Yes Securit ies. Please go ahead.

Girija Ray: My questions are answered. Thank you very much.

Moderator: Thank you. Next question comes from the line of Shravan Shah with Dolat Capital. Please go ahead.

Shravan Shah: Sir, is it fair to say the way we are saying that the prices currently are stable and let'

s assume if it remains stable for Q2 and then given the cost, particularly the freight cost, which is higher for this quarter and we are seeing Rs. 70 - Rs. 80 per ton kind of a reduction and overall for full year reduction is there. Is it fair that this Rs. 1 ,000 rupees EBITDA per ton, Rs. 1 ,000 plus is maintainable?

Jayakumar Krishnaswamy: Our target and endeavor will be to sustain this kind of profitability and some conditions are certainly favoring Nuvoco and some of the strategies which we have put in place is working for us, namely the cost savings program, the p remiumisation program, the trade share program and home markets program. All these cannot be taken away. These are all internal levers. The internal levers will continue to focus and will bear fruit to us and as answered Rajesh's previous question, other cost saving agenda for the coming year goes by and we will get quarter -on-quarter some amount of savings. Full year , we are looking at close to Rs. 50. If the prices don't

go south, we should certainly be able to sustain this kind of profitability in the coming quarter and beyond.

Shravan Shah: Great. Great to hear that. Another thing is last time, sir, we said that for Vadraj in FY '27, once we start in Q3, we are looking at I think 0.3 or 0.4 million -ton kind of volume and then 2 odd million ton. If you can clarify that ?

Jayakumar Krishnaswamy: Currently in the state of Gujarat, we sell 1 million tons. Both trade and non -trade put together , this 1 million ton comes from our Chittor and Nimbol facility and then it is either coming through bulker or ba g momentum distributed largely in Surat, Banaskantha , Baroda and some in Ahmedabad and Godhra , these are the areas we sell. We don't sell in much other larger part of Ahmedabad and we don't sell in Saurashtra and Kutch. So, our plan is as we speak, we are establishing networks, we have a full -fledged regional sales organization that is being deployed and over a period of next 6 to 7 months, our plan is to establish channels, identify third -party agents for non -trade, key acco unt development, all those agendas being put in place as we speak and our target is when we close this year and come into Q1 next year, we should be able to improve this number from the current 1 million tons to maybe 1.2 to 1.3 million tons and by the time the Vadraj facility is ready, our channels will be established, key accounts will be established, the branches will be established in the key markets and when the plant is ready, our target is in year 1, get incremental 0.3, 0.4 million tons over and above the current 1 million ton. FY'27 end, we are targeting close to about anywhere between 1.5, 1.8 million tons of sale in Gujarat.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question and answer session. I would now like to hand the conference over to Ms. Madhumita Basu for closing comments.

Madhumita Basu: Thank you, Ra nju. Ladies and gentlemen, thank you for your questions, which we trust have been well addressed. Our Investor Relations team will remain available for any further clarifications that you might require. To conclude, we remain firmly committed to driving sustained growth and expanding our market presence. With the successful acquisition of Vadraj Cement, the company is well prepared to operationalize the plants at Kutch and Surat by Q3 FY'27, thereby identifying and strengthening its footprint in the western region. In parallel, we will continue to focus on strategic priorities such as premiumization, geo -optimization, cost efficiency to enhance our competitive advantage and create long -term value. Thank you to all of you for being here with us today. Wish you a good day.

Moderator: Thank you. On behalf of Nuvoco Vistas Corporation Limited, that concludes this conference. Th

ank you for joining us. You may now disconnect your lines .

Call: Oct 2025

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Ref. No.: Sec/ 168/2025 -26

October 22 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO

Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the Una udited Standalone and Consolidated Financial R esults of the Company for the quarter and half year ended September 30, 2025

Further to our letter no. Sec/154/2025 -26 dated October 07, 2025 , letter no. Sec/163/2025 -26 dated October 15, 2025 and letter no. Sec/165/202 5-26 dated October 16, 2025 , please find enclosed the transcript of the Investor and Analyst Conference Call held on Thursday, October 16, 2025 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025 .

The same is also being made available on the Company's website at www.nuvoco.com .

We request you to take the above on record.
Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

Encl: a/a

Nuvoco Vistas Corporation Limited Q2 FY'26 Earnings Conference Call

October 16, 2025

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING
DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL - CHIEF FINANCIAL
OFFICER , NUVOCO VISTAS CORPORATION LIMITED
MR. BISHNU SHARMA – HEAD OF INVESTOR
RELATIONS , NUVOCO VISTAS CORPORATION LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Nuvoco Vistas Corporation Limited Q2 FY'26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note th at this call is being recorded.
I now hand the conference over to Mr. Bishnu Sharma – Head of Investor Relations from Nuvoco. Thank you and over to you.
Bishnu Sharma: Thank you, Yash . Good afternoon and thank you for joining us today for second quarter of fiscal 2026 conference call.
The quarter has been marked by numerous key events.
To begin with, we witnessed an unusually intense and prolonged monsoon across our key markets. The monsoon arrived earlier than usual and extended well into the lat ter part of the quarter.
Secondly, we also navigated the implementation of revised GST rates which required facilitating with channel partners for smooth transition and compliance. While the transition was managed effectively, it did add a layer of operational nuances as stakeholders adjusted to the new regime. However, having said that, the reduction of GST rate on cement from 28% to 18% is a structurally positive move for the sector. This step should enhance affordability for infra and housing and benefiting both the industry and end users in the long term. Demonstrating our commitment to customer value, we passed on the benefit of the G ST rate reduction to customers.
Thirdly, this quarter was also unique because the festive season as well as the sacred period s were all concentrated within the quarter itself, unlike last year when they were spread across Q2 and Q3. Despite facing this headwind, we sustained our Y OY improved performance by achieving a higher second quarter EBITDA of Rs. 371 crores, reflecting a year -on-year increase of 62%. Thus, the company successfully delivered a 1% rise in revenue per ton quarter -on-quarter. The team remained dedicated to drivin g growth, enhancing premium product offerings, and main taining operational excellence.
Briefly to touch upon, premiumization reached a high of 44% in Q2 FY '26, while trade mix remained at a favorable level of 74%. The strong offtake reflect s strengthening brand momentum for Concreto and Dura guard which is steadily gaining recognition as reliable choices for high -quality construction applications. On the cost front, following a recent uptick in petcoke prices, the blended fuel cost inched up quarter -on-quarter to 1.46 per Mcal . Nevertheless, Nu voco continues to drive efficiency through optimization of fuel mix and strategic sourcing.

Friends, the company is on a robust capacity growth path supported by continuous de -leveraging initiatives. Let me begin firstly by updating you on the recently acquired Vadraj Cement Ltd. :
As you are aware, Vadra j was funded through a mix of long -term debt and short -term bridge financing of Rs. 600 crores and Rs. 1,200 crores respectively. As communicated earlier, Vadra j Cement Ltd. proposes to issue up to Rs. 1,200 crores of unsecured CCDs to external investors

to replace short -term bridge financing, divided into two series of Rs. 600 crores each with maturity of 3 years to 6 years. This equity -like instrument will have features of call and put options, whereby Nu voco will have the right but not the obligation to exercise the call option subject to market conditions at that point of time. Also, the external investors of CCDs will hold a put option, which gives them the right to put the CCDs to promoter group entities.
Continuing with Vadra j, I would like to brief you on the

progress of the refurbishment activities
at the plants. We have completed inspection of all major equipments in Kutch and Surat. Critical goods and service orders for the Kutch clinker unit, Kutch grinding unit and Surat grinding unit have also been released. The site execution overhauling activities for the plants are now underway. We have also received initial project clearance for railway siding at Kutch from Indian Railways. The plants at Kutch and Surat along with associated equipment, including the jetty, are on track to be ready for trial runs by H1F Y'27 with full commissioning targeted by Q3FY'27.
Secondly, I am happy to state that all internal projects in the East, that is the railway sidings and wagon ti pplers and cement loading system at Odisha Cement Plant as well as the clinker wagon loading system and coal loading system at Sona dih Cement Plant have been completed. The construction of railway sidings enable more economical and efficient servicing of key markets across eastern UP, eastern MP, West Bengal, Odisha. Coupled with this, the growing success of premium and blended cement pr oducts drive n by brands such as Concreto, Concreto Uno and Duraguard Microfiber highlights the need for expansion to meet increasing demand, especially for blended cement varieties like composite cement and slag cement. Hence, we are embarked on expanding the capacity in the East by 4 million tons per annum at an investment of less than Rs. 200 crores through installat ion of one cement mill at Arasme ta along with equipment upgrades and internal debottlenecking and process improvements across three plants. Out of this planned expansion in East, we are targeting capacity addition of 1 million tons each in December 2025, March 2026, June 2026 and FY '27. Moreover, the state incentive schemes make this investment highly appealing. Overall, the expansion is set to further strengthen our presence in the East, facilitating the catering to the markets of East UP, East MP, Andhra Pradesh, Telangana, Maharashtra and Northeast.
Thirdly, in the medium term, once operations at Vadraj commence in FY '27, our growth momentum will continue as we have the option to expand in north through brownfield project or pursue greenfield development in the Gulbarga region, with a focus on western and central

markets. For the time being, the expansion in north is expected to take precedence over Gulbarga expansion.
Turning to the balance sheet :
Improved results have enabled us to make further progress in reducing leverage. During the quarter, the Company lowered like -to-like net debt by Rs. 1,009 crore year -on-year to Rs. 3,492 crore. Moreover, thanks to significant efforts in managing working capital, the Company has contained working capital requirements, resulting in net debt increasing by only Rs. 18 crore quarter -on-quarter.
To briefly highlight on digitization efforts :
We are driving efficiency, transparency across operations. Our customer portal now handles over 95% of total orders, providing real -time control and accuracy in order management. The vendor portal has streamlined onboarding compliance and transactions. In manufacturing, we are leveraging artificial intelligence for predictive maintenance, heat loss prediction, and developing dashboards to optimize waste heat recovery, kiln operations, and fuel blending strategies. For analytics and decision support, SAP Joule integration is underway to deliver faster, smarter predictions and KPI insights. Going forward, we are working on building a business data cloud to enable real -time AI -driven analytics across functions, integrating all data points via a unified data wareho use.
On cement demand, the quarter witnessed moderate growth in cement offtake as construction activities slowed due to the intense monsoon and onset of festive season. However, looking ahead

, we remain positive on demand. As of August 2025, only about 38% of t he central government planned CAPEX and 21% of the state government planned CAPEX for FY '26 have been spent so far, indicating substantial CAPEX potential for the rest of the fiscal period. Cement demand is expected to pick up in the second half of the yea r, supported by increased execution in housing and infra projects, along with the positive impact of the GST rate redu ction and lower interest rates.
Lastly, to touch upon the sustainability front, as highlighted we have demonstrated the

continuous leadership in minimizing the carbon emissions within the industry. Carbon emissions at 454 kg per ton of cement as of FY '25 demonstrates the Company's ongoing efforts to promote environmental responsibility while maintaining industry excellence.
That concludes my opening remarks. I am here with Mr. Jayakumar Krishnaswamy, Managing Director of Nu voco Vistas and Mr. Maneesh A grawal, Chief Financial Officer. We are happy to answer any questions you may have. Thank you. Yash , over to you.

Moderator: Thank you very much. We will now begin the question and answer session. We will take our first question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Good evening and congratulations on this set of numbers. Two questions. So, first question is on the net realization front. So, of course, post -GST rate cut, all the benefits were passed on to the consumers. My question was how should one look at the net realizations in Q3 in the sense that both the rate cut and as all mention ed the entire benefits passed on, but is there any benefit of premiumization that we can get because there has been a price drop or is there any like, I mean to say how should one look at the normalization of demand supply coming back and when can price increases resume? That's my first question.
Jayakumar Krishnaswamy: Okay. First of all, as mentioned by Bishnu, as our commitment to nation building and as per the expectations of the union government for the basic decision to reduce GST, we passed on the entire benefits to the customers as a part of our corporate governance philosophy. So, that one is done. Second, as in our speech, this entire GST cut happened at a time when the demand is interrupted by festive season and the sacred period. So, there was a little bit of a dealers that stopped buyin g 15 days before the GST announcement happened because announcement happened technically on the independence day and then the final announcement happened in first week of September and then the implementation date was 22nd. So, some disruption happened in those times, but post 22nd September till end of the month, demand did pick up, but one can say that is because of the pent -up demand because people didn't buy cement, dealers didn't lift cement in the prior period. So, I think that entire up and down bit is behind us and also Dussehra happened in our core states of East. So, with now Diwali finishing of next week, my estimate is from now on till the balance two months of this year as well as the three months of quarter four, it is going to be only a steady increase in demand plus this is the winter month and construction activity peaks up and then overall everything is going to be in the right side for the industry. I see a demand uptick of close to about 7%-8% in the coming months and that should really augur well.
As regards to your question regarding what do we look at realization going forward, basically my read is in the short run, it will be a little bit difficult for any price increase because we are morally obligated not to tinker with prices in the short term, unless until a big event and raw material prices happen, then I thi nk we will continue to be in the same window for certain period of time. But as you me

ntioned in your question itself, then what are the levers as a Company we have to improve realization ? Number one lever is certainly I think we have the geo -mix lever, now with the festive season over, so we still have the ability to sell in higher NODT , higher realization markets and higher contribution margin market that will be a big focus for us namely Rajasthan, Chhattisgarh, Haryana where we have incentive and these are the markets we will focus to increase our numbers. And the number two is premiu mization has been a constant agenda, continuous agenda for the Company for many quarters now. As mentioned, we have hit an all -time high of 44% premiumization at this point of time, but I have to say that still we have

not kind of reached the peak level at all actually. One thing which we have noticed is more and more we focus on premium, there are consumers who are ready to buy premium. Our Concreto Uno in Bihar is runaway hit , our Durag uard microfiber with renewed trust in Rajasthan, Western MP still is showing a wonderful uptick in terms of dealer placement as well as off take. We are looking at a big time goal of increasing these two products Concreto Uno and Durag uard microfiber by at least 25% increase in Quarter 3 versus Quarter 2 and then on at a stable level to about another 10% in Quarter 4 versus Quarter 3. So, we have got very ambitious plans to increase premiumization. Overall volume will also increase , so the 45% may not kind of go up by the number which I mentioned, b ut certainly I am looking at, at least 150 to 200 basis points increase in premium product sale in the coming quarters as we navigate. These two levers will certainly improve our realization going forward.
Navin Sahadeo: Thank you. My second question then was about the expansion that you are pursuing or announced in the East region which is 4 million ton, but I also understand there is no clinker

addition or debottlenecking which is planned which basically means that the entire premise rests on the increase in the blend ratio or the CC ratio as we call it. So, if you could just help us understand what is the current CC ratio in particular in East and how much then is the scope to increase it in the sense are there already companies which are offering that high a blend ratio in the region or we will be pioneers there also to sell the highest blended cement in the region to be able to u se this 4 million ton expansion? Thank you.
Jayakumar Krishnaswamy: Excellent. So, this question I will have to explain you in three ways, three rational reasons for us to expand this 4 million tons in East. First was we had Jojobera at peak capacity, then we have Sonadi h, Risda , all these, so Ri sda doesn't have a railway siding and so we have railway siding in Sonadi h, Arasmeta, Jojobera and then in Panaga rh and Mejia. During peak months we have noticed that our capacity utili zation reaches close to about 85%-90% and many a times we have staffed for capacity from these plants because factories are running at full capacity. So, one of the reasons for us to expand in East is to get more capacity going . In Jojobera because we got a railway siding, then we have in Panaga rh we have a railway siding and also in Arasmeta we have two mills but we have a full -fledged railway siding, we wanted to put a third mill because the mill was existing about 20 years ago . It was kind of removed at one point of time . We are kind of rebuilding a mill on the third line. So, this was the first criteria to ensure we have surplus capacity in our grinding units to serve the market during the season. Number two, as we have increased our premium products in microfib er as well as Concreto Uno , more and more in the coming quarters and months we would go into more and more blended cement category which means some clinker will get released and I will have

more clinker to supply more products in
the market, that is the second criteria. We operate at close to about 2.1 CK ratio, I won't name the company but there's another company which operates higher CK ratio than us in East, so there is an opportunity for us to increase the CK ratio from 2.1 to 2.3 . And if we kind of move on totally into, we are big time into blended cement but when we move from PPC to composite cement then clinker release happens and CK ratio goes even further high and then we get our

additional capacity. So, that's the reason number two is , exploit the blended cement opportunity by increasing the CK ratio and for which we need grinding capacity. Number one is peak capacity headroom, number two is blended cement ratio and the third one is we've also realized that we have been focused only on the 4 states of Bihar, Bengal, Jharkhand, Chhattisgarh and Odisha but then there's a market beyond these five states which is Eastern UP, Eastern MP, North East, Telangana borders, Chhattisgarh as well as Andhra Pradesh borders, Odhisha . So, these are the markets where we get an opportunity . Once we expand Jojobera, rail feed we can do, once we expand Arasmeta which has also got railway side, so we can move material through these markets. So, we get opportunity to participate in more markets, that's why grinding unit is improved . CK ratio is the second reason, third one is headroom during peak season and last but not the least, Chhattisgarh offers incentive for new capacities in grinding. So, putting a 1 million ton grinding unit in Arasmeta helps us exploit, get the favorable benefit of incentive offered by the state of Chhattisgarh. These were the four rational in getting it done and last but not the least, the cost of CAPEX is also very very attractive, we are going to spend less than Rs. 200 crores to do it . In Arasmeta where we just put the mill, that most of the civil structure is already ready, so we kind of get the ball mill going in Arasmeta at a much lower CAPEX cost, plus in Jojobera, Panagarh and Jajpur , we are going to simply copy what we did in Risda two years ago by modifying the classifier, the collection systems as well as the motor HP and various other matching equipment. At a very minimal CAPEX , we can get a million -ton additional in Panaga rh, Jaipur and Jojobera and a million -ton ball mill capacity in Arasmeta. All this put together gives us 4 million tons in less than Rs. 200 crores CAPEX .
Navin Sahadeo: Thank you, sir. I will come back in queue for more questions.
Moderator: Thank you. We will take our next question from the line of Pinakin Parekh from HSBC. Please go ahead.
Pinakin Parekh: Yes, thank you very much, sir. My first question is that what would be your sense of the demand growth for the industry would have been in this quarter? Your volume growth was around 2%, so just trying to understand the industry growth across India and in your key markets ?
Jayakumar Krishnaswamy: That would be very difficult for me to estimate what the industry growth would be. But I guess in the market East, I think the demand has been a little bit tepid , East as in East. But then I think if you really look at various regions of north, center, west and south, I think demand has been kind of mixed. So, I won't be able to put a number at how industry would have grown in this quarter. We will wait for the results of other companies. But I think from our perspective, we had handsome growth in north. East was a little bit subdued. But overall, I am looking at growth between 2% to 4% kind of a number.

Pinakin Parekh: Thank you, sir. So, my second question is trying to understand the second half. You said you expect demand of 7% to 8% in the coming months. For the company, should we expect a similar

kind of volume growth for yourself as well? Or would you go faster or slower than the industry?
Jayakumar Krishnaswamy: Okay, I'll have to go back to my conference call in Q2 -Q3 last year, Q3 -Q4-Q1. So, very clear, I think we will match the industry growth at a minimal level, if the industry is at 7%, certainly we will kind of catch the growth at 7%. But in key markets of Chhattisgarh, Haryana, Rajasthan and Gujarat, our aim will be to grow faster than the market of minimum 1.2 to 1.5 times the market. That's our ambition. That's our goal. We will have to execute very well going forward to catch this wave. But certainly, I am looking at not leaving any product on the table if the market goes at 7% to 8%.
Pinakin Parekh: Sure. And so my last question is, you highlighted that while you don't see cement prices moving higher given the GST cuts and everything, but you expect your realizations to move higher in the second half. You mentioned premiumization and you mentioned Geo -mix. So, broadly, sir, if industry prices remain stable, in your view, how much of these two drivers can uplift your realizations? Can we look at a 3% to 5% ASP increase in the second half or a more muted ASP increase? I am just trying to understand how will this aid your realization?
Jayakumar Krishnaswamy: First of all, I think, overall, I think every company currently is looking at premiumization. So, I guess in general, I think if the market doesn't support price increase through these kinds of internal levers is when companies will get improved realization, we would follow a similar road. I am really targeting Rs. 25 to Rs. 50 per ton increase in net of discounted tax price for the Company going forward. That's the kind of number through realization we will be able to deliver.
Pinakin Parekh: Got it. This was very helpful. Thank you very much, sir.
Moderator: Thank you. We will take our next question from the line of Tejas Pradhan from Citigroup. Please go ahead.
Tejas Pradhan: Yes, hi. Just my first question. On the spot pricing trends versus the last quarter average, if you exclude the GST impact, how much would the prices be in the regions of East and North?
Jayakumar Krishnaswamy: I just missed that first few words of yours. If you can repeat, I will be able to answer you properly.
Tejas Pradhan: Sorry. Just the spot prices, where they are versus the last quarter average, excluding the impact of the GST change .
Jayakumar Krishnaswamy: Okay, I would say between Q1 to Q2, it's more or less flattish.
Tejas Pradhan: Okay. And the October prices versus second quarter average?

Jayakumar Krishnaswamy: It has not dropped since GST other than what we have passed. As of now, there has not been price drop in the market ever since GST has happened other than the, what do you call, GST pass-on. While there are one or two markets like East UP and all, there is some dilution in price, but I think it is all seasonal. But that's not a very big market for us, so I am not greatly worried. Our co -markets of Bengal, Jharkhand, Bihar, Chhattisgarh, Odisha , Rajasthan, Haryana, Western MP, I think, price is holding.
Tejas Pradhan: Okay. Then on the Petco ke costs, so given some increase that we have seen in Petco ke prices over the last few months, do you think there will be an increase in the cost that you have in 3Q and 4Q, or would they be more stable?
Jayakumar Krishnaswamy: Yes, I guess as Bishnu mentioned, our 1Q and 2Q number changed from 1.43 per million cal to 1.46 per million cal, but I think we are kind of really doggedly attacking this number because Petco ke may not help us in the short run. But this 1.46 in this quarter is also due to a couple of shutdowns in the kilns and overall the fuel cost is slightly higher than Q1, but I think with Q3 post-November all shutdowns is all done and I think that's

one first agenda is going to be we will run flat out and then certainly I think our entire system will be fully lubricated to get the full efficiency of lines running. Number two, our AFR thrust continues to be there in the company. Q3 and Q4, our AFR consumption will go from 10% to targeting 12% on that and our key factor ies of Nimbol, Chittor and Risda , that should give us a tailwind for us. By doing all these things, we are targeting a number again 1.43 in Q3, give or take 0.1 here and there, but certainly I am really looking at 1.46 pullback to 1.43, but big time reduction I don't see happening in the near future, but if the current prices hold good for next few months, I think we should be able to maintain at 1.43 for the next quarter.
Tejas Pradhan: Okay, and lastly, I think earlier you used to give a breakup of RM , power and freight cost in the presentation, stripping out the RMC impact. Could you share what those numbers were for this quarter?

Jayakumar Krishnaswamy: No worries, what I'll do is, I've not put it on the chart, if you can reach out to Bishnu and his team, I think we will give you all the details, but suffice to say, I guess RM has been flat from Q2 to Q1 . In terms of fuel cost, there's an increase a little bit, but other than that, I think that the raw materials and dis tribution cost , things are equal to slightly less as well. If you reach out to Bishnu, he will give you details.
Tejas Pradhan: Sure, no problem, thanks.
Moderator: Thank you. Next question is from the line of Ashutosh Murarka from Choice Institutional Equities. Please go ahead.

Ashutosh Murarka : Firstly, thank you for the opportunity. I want to ask on the volume side, how we are looking the volume for H2F Y'26?
Jayakumar Krishnaswamy: I am looking at a close to about, industry, our view is close to 7% growth and Y oY H2 versus this year, I am really looking at 7 %-8% growth.
Ashutosh Murarka : And on CAPEX side, like we are looking to enter in this western reg ion, so any further plan there?
Jayakumar Krishnaswamy: Yes, I'll just give you all the details. Overall, CAPEX this year, as I mentioned, our routine CAPEX was close to about Rs. 100 crores to Rs. 150 crores. So, we continue to stick to that number of Rs. 100 crores to Rs. 150 crores. H1, we have spent about Rs. 78 crores and our target in H2 is about Rs. 70 crores. So, we will be kind of managing the routine operation, routine CAPEX requirements at this kind of number of Rs. 100 crores to Rs. 150 crores. Then comes the rebuild CAPEX , where in the last call, I've given a phasing of that 1 ,600 plus 200 crore overall 1 ,800 number at 600 -600-600 over a period of three financial years of '26, '27 and '28. So, which means we have to spend close to about Rs. 600 crores in this year. As we stand today, we have spent close to Rs. 45 crores at the end of Q2 for this. So, we won't be spending all 600 in the balance period of FY26 . While we're releasing purchase orders for all of Rs. 600 crores, the cash flow will not happen at 600. I am estimating and targeting cash of about Rs. 300 crores going away in the H2 of this year. And last but not the least, the East expansion CAPEX , which just now announced overall outlay of less than Rs. 200 crores. In H1, we didn't spend anything. H2, I am looking at about Rs. 50 crores ordering the mill and rest of all this stuff will happen, the civil work will start. So, overall, I am looking at in H2, CAPEX outflow of close to about 370 plus 50, Rs. 420 crores as the cash outflow. And H1 has been close to 78 plus 45 is 123.
Ashutosh Murarka : Okay, thank you.
Moderator: Thank you. Next question is from the line of Milind Raginwar from BO B Capital Markets Ltd. Please go ahead.
Milind Raginwar: Thank you for this opportunity. First on line item, the other expenditure on a year -on-year has gro

wn up sharply. So, any specific reason for this? It's about 12% higher on a year -on-year basis. So, last year also, we should have had the maintenance. So, anything other than maintenance that we have to read here?
Jayakumar Krishnaswamy: No, it's only maintenance, pure and pure maintenance. This time in Q2 FY '25, we had Rs. 14 crores was there in this quarter for shutdown. This year, we have done Rs. 33 crores. So, all the impact on other expenditures is coming out of the shutdown which happened in this quarter. So, one more shutdown is left, which will happen in the coming month. By November 15th, all

shutdown for the year will be over. So, it's purely because of shutdown expenditure, phasing of shutdown which happened and that's why this quarter is reflecting this number.
Milind Raginwar: Okay. And the next question I have is, what would be the amount of incentive that we would be building in on a per ton basis or absolute number for the quarter?
Jayakumar Krishnaswamy: You will have to repeat. I missed the first few words of yours again. Per ton basis of what?
Milind Raginwar: So, the incentive amount, whether on an absolute basis?
Jayakumar Krishnaswamy: I think in this call, I will not be able to quantify and give you. Certainly, as far as East expansion, I think C hattisgarh government gives incentive for, I think, medium projects, large projects at a percentage of SGST. But if you can reach out to Bishnu, we will have a detailed conversati on on the overall cost per ton, the incentive per ton we will get out of the expansion in Arasmeta. So, bear with us. We will give you if you reach out to our team.
Milind Raginwar: Sure, sir. Thank you. That is it from my side. Thanks.
Moderator: Thank you. We will take our next question from the line of Prat eek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Thanks for the opportunity. I have a couple of questions. Firstly, just on CAPEX , you said like, FY'26, we are looking at around, I think, Rs. 650 crore CAPEX , or sorry, Rs. 550 crore CAPEX ,

including some pending flow through to next year. What is the absolute number for FY '27 and FY'28 without any specific details, like total number?
Jayakumar Krishnaswamy : Okay, I am looking at 600 each of three years is what I said last time for the Vadraj build -up. And then we are looking at close to about less than 200 for the East buildup , let me target 200, give or take 10 here. Out of 200 east capex , FY'26 and FY'27 would be, say, 50 to 80 and 120 to 150 . So, looking at close to about 680, 720 and 600, and routine CAPEX of 150, 150, 150. So, let me just give you a breakup for next year. Including 150 routine CAPEX and close to 600 of Vadraj CAPEX will be 750 next year plus capex for East expansion . This year capex will be ~550 as targeting cash outflow of only about Rs. 300 crores going away in the H2 of this year.
Prateek Kumar: Sure. And regarding the refinancing, you said that refinancing is done, right? The short -term refinancing is done . So, now FY26 second half, will it reflect into, just for accounting purposes, will it reflect into your interest expense changing from like Rs. 102 crores in FY Q2 to like a higher number or how will it reflect on your P&L?
Jayakumar Krishnaswamy: Maneesh will answer this bit.
Maneesh Agrawal: So, the interest component will by and large remain the same. In fact, it may go down in Q3.

Prateek Kumar: Okay. So, I was asking that how will that reflect in your P&L, like the refinancing costs ?
Maneesh Agrawal: So, basically this Rs. 1,200 crores of CCDs, it is broken up into two tranches of Rs. 600 crores each. And the de al is about to end very soon. So, since it is an equity like instrument, this is going to be forming part of the eq

uity and to the extent of interest that gets reduced. So, in the P&L, you will see some impact of it in Q3. So, you will see the impact of this positive impact in Q3.
Jayakumar Krishnaswamy: Right now, all of it is considered as a debt of 600 plus 1 ,200. So, there will be interest charge which is happening as you see. The moment we move away this 1 ,200 from debt into CCD, then the interest will go away from that bit. So, whatever is the interes t bit on Q2 and Q3, you will see some changes happening. Technically, it will be less than that. So, you will see the impact of it in the P&L in Q3.
Prateek Kumar: And eventually, your number of shares from Rs. 35.7 crores will increase to a higher number?
Maneesh Agrawal: So, it is not the N uvoco shares that are going to be issued. So, the number of shares of Nuvoco will continue to be the same. So, basically, the CCD is getting issued in Vadraj. So, for the CCD at the time of conversion, which is at the end of the maturity , the shares of Vadraj will be issued to the CCD holder.
Prateek Kumar: Sure. I will take it offline. Thank you.
Moderator: Thank you. We will take our next question from the line of Shravan Shah from D olat Capital. Please go ahead.
Shravan Shah: Hi, sir. Thank you. First, just two data points, lead distance for this quarter and road -rail mix was how much?
Jayakumar Krishnaswamy : Quarter lead distance at 331, road at 60 %, rail at 40 %.
Shravan Shah: And now, first, if you can specify this 4 million ton East expansions. So, in Q3, will it be a Jojob era and in Q4, Panag arh will come 1 million ton ?
Jayakumar Krishnaswamy : Yes, that's the target. We are looking at Jojob era going from ~6.3 currently to ~7.3 by end of December. And the next sequence will be to do Panag arh at the end of March so that I have capacity of additional million for fiscal '27. And then June of next year will be Jajpur . And then during the course of the year, targeting by Q4 FY '27 Arasmeta to come on stream. So, 28 onward full 4 million. This year, Q4, 1 million addition. Next year, we will have truncated 3 million and next '28 all of 4 million.

Shravan Shah: Yes. So, considering this 3 million ton will be there for entire year of FY '27. So, how one can look at in terms of the volume for FY '27? So, roughly, even if you take, let's say, kind of the current utili zation 70 %-73%. So, 2 million ton kind of a number should be there from only just this expansion and plus even to some extent the Vadraj also will be there for at least in the 4th Quarter, even 3rd Quarter also will be there. So, is it fair in terms of broader level, if I look at 2.5 to 3 million ton, is it possible that translates to 10 % to 12% kind of a growth in FY '27?
Jayakumar Krishnaswamy: I can't put numbers to it so easily simply because Vadraj is going to have one quarter or two quarters coming in. And then this one will be phased increase. But suffice to say that we can look at anywhere between 1.75 to 2 million incremental sales volume happen ing next year versus this year.
Shravan Shah: Okay. Great. And then the third is, in the opening remark, we have mentioned that the Chittor garh Brownfield expansion will be the first preference versus the Gulbarga. But the

whatever left of 4 million ton at the Vadraj is there. So, out of this currently, we will be having a 4.5 million ton and then the 4 million ton is left. So, will we prefer Chittor garh first over this 4 million ton left of Vadraj or?

Jayakumar Krishnaswamy: Okay. I think we will have to go back to my previous call. So, we have an installed capacity of 6 million ton in North and the rationale for getting Vadr aj was simple because out of the 6 million ton installed in North, I bring 1 million into Gujarat and already sell a million ton in Gujarat. And by the end of this year, we will be sold out

in North if we don't expand in North. So, the idea of getting Vadr aj was to get Vadr aj going in Gujarat and Maharashtra and in year 1 get about a dditional 1 million tons from Vadr aj. Already, 1 million tons is coming from North into Gujarat. So, I get a 2 million tons head start in Gujarat in year 1. But as the Gujarat market grows, Vadraj expands, I will pull back 1 million tons which comes from Chittor into Gujarat and put that 1 million tons into the Northern markets of Rajasthan, Haryana. So, I get a breathing time in Northern markets for at least 2 years after this fiscal. So, I navigate for 2 years and then Vadraj ramps up for Gujarat and Maharashtra and then come back , once the CAPEX is done, obviously, we are mindful of the debt which I keep telling in every call that we are comfortable with the debt of 3 ,500 to 4 ,000. So, deleveraging will be a big agenda for the company going forward as well. So, with this deleveraging and expansion in Vadraj , so the next available opportunity for us will be a somewhat lower cost CAPEX which will be a brownfield CAPEX . Hence , Chittor comes in the scheme of things. We need capacity, we need to spend low cost and hence in the end, priority will be Chittor unless and until the market conditions in North of Karnataka and Maharashtra dramatically changes by higher price, we may look at even Gulbarga at the time.

Shravan Shah: Okay. So, once this 4.5 million ton of Vadraj will be there, that is by Q3 FY '27, then the next plan is to go for the Chittorgarh and then maybe we can think of again coming back to the remaining 4 million ton of Vadr aj and or maybe Gulbarga depending on the market condition.

Jayakumar Krishnaswamy: We got mines in Nagaur , we got mines in Gulbarga, we have mines in Guntur, multiple locations we have mines. I think really doing a crystal ball gazing at 2030 will be not appropriate at this point of time but suffice to say we want to kind of exploit already the market and the brand equity which we have which is the northern market. So, we will expand in North first. Gulbarga will be somewhat a new territory for us but certainly as per the growth ambitions of the Company, we have am bition to become a West -North , Central and East player. So, certainly I think at appropriate stage even that becomes a focus area for the Company.

Moderator: Thank you. We will take our next question from the line of Raghav Maheshwari from Equirus Securities . Please go ahead.

Raghav Maheshwari: Hi, sir. Just one question from my side. What are plans regarding the ABGs spare 4 million ton capacity at Surat because we are already putting up a 2.5 million ton in Kutch and 2 million ton, we will be revamping Surat. Then remaining 4 million ton, what is our plan regarding to that?

Jayakumar Krishnaswamy: The mill which we are putting up in Kutch will be a 2.5 million ton mill and as we know that even in the Jajpur and Panagarh and Risda , we have taken the capacity from 2 to 3 million ton. So, our target is the mill which we commission in Surat as phase -1, we will commission as a 2 million ton but I guess within a span of a year or so, we should take it up to 3 million ton. So, with the 3 million ton in Surat and 2.5 million ton in Kutch, we should have adequate capacity in Gujarat market. That is the reason why we are not commissioning these 2 new mills. The old mills, we are not reconditioning in Surat. So, our thought would be that at some stage, relocate this mill from Surat to elsewhere where we set up either a brownfield or a GU unit or something. So, it is for that actually. If we get into Chittor, we might have to put a GU. So, this mill goes at a much lower cost or we expand in Gulbarga, we will have a spl it grinding unit. That is where this mill can come at a much lower cost. So, it is kind of using it at a later stage and not kind

of

spend all the money to commission it right away.

Raghav Maheshwari: So, basically, we can assume Surat will operate 2 million ton in the first phase and then 2 million ton will go for a 3 million ton in the next upcoming years.

Jayakumar Krishnaswamy: Absolutely. So, our target is to get F Y'27-'28-'29 and '30. I have a simple number 2 -3-4-5, 2 million in '27, 3 million in '28, 4 million in '29 and 5 million in '30. I guess in span of 2 to 3 years, we will exhaust all the capacity which we have bought from Vadraj.

Raghav Maheshwari: But sir, our clinker is only sufficient for best case in a 5 million ton according to the Gujarat condition because Gujarat is almost operating more than 50% in OPC product. That is why I am asking that then we need more clinker.

Jayakumar Krishnaswamy: No, we will debottleneck the kiln. The Risda kiln was a 10,000 TPD kiln when we acquired erstwhile E mami. Currently, we have kind of done engineering modifications to take the kiln to about ~12,000. The Vadraj kiln is even shade bigger than the Risda kiln. So, I guess we are pretty confident that as we expand the market, we would be able to take the capacity to current 10,000 to 12,000 odd. So, right now, we are also very clear that CAPEX , we are very mindful of CAPEX . So, we are not spending the money to modify everything. Our focus is to have the kiln running, have the WHR so that we have the power cost in control, start the CPP so that we have the power requirements, energy requirements in place, railway siding because it gives us, totally opens up the entire Gujarat market as well as the Surat market through rake movement from the side. So, those are being the CAPEX and also putting the GU because of the incentive benefit in Gujarat. So, we have focused our entire expansion strategy based on a cost -effective and prudent use of capital. But going forward, when we need capacity, it takes only 6 months to 8 months for us to de -bottleneck from 10,000 tons to 12,000 tons.

Raghav Maheshwari: So, the best is, we can assume this existing kiln can go up to the 4 million ton as a clinker level and the cement we can assume in the Gujarat from this mill around 6 million tons. It is the best… ?

Jayakumar Krishnaswamy: That's our target, I think. I think even market at that time may change from current OPC mix to PPC. Currently, Gujarat is at 50 :50. But I think I am assuming over a period of time, everybody wants to make more cement from this plant and then certainly go from OPC to PPC market. And last but not the least, if and most likely the Commonwealth Games is going to happen in Ahmedabad and you will see cement demand perking up in 2030, I think. I am really looking at a very positive signs for us because with our plant ramping up and the demand for cement is going to big -time increase in Gujarat with the opening up of Ahmedabad , so, I think we are in a very good wicket to utilize all our capacity which we are invested on.

Moderator: Thank you. Next question is from the line of Harshal from AMSEC . Please go ahead.

Harshal: Thank you for the opportunity. So, few quick questions from my side. First is in terms of costing targets we had of Rs. 50 per ton for full year. So, are we track on that? Secondly, in terms of our strategy for each market like East, we used to focus on value or volume and how to do that with our recent remarks where we say, Chhattisgarh, we want to grow at 1.2 x to 1.5 x the market. And lastly, in terms of Gulbarga and Chittor expansion, if you can give some details as to the timeline in terms of ca pacity, so that will be quite helpful.

Jayakumar Krishnaswamy: In terms of the cost savings which I mentioned in the last call, we should target Rs. 50 in FY '26 over '25. We are well on the way on the course. You will see the reflecting of that happening in H2 of this year. Broadly, i

t will come from using alternate raw materials . Second one will be increasing the efficiency of our WHR and C PP and third one will be , lead distance reduction and the benefit coming out of the Odisha siding which is already commissioned. Now, as we speak, it is commissioned. So, this quarter onwards, Ja jpur siding will happen. Then the lead distance reduction is a big agenda the company is running. And all this, I am looking at 50 rupee reduction

happening in H2 certainly versus last year. So, it is on course. The second one which you asked was about the timing of Gulbarga and Chittor and all. So, as we stand today, our CAPEX timeline, our Vadraj CAPEX is H2 of next year I commission the Suraj grinding unit as well as the Clinker unit will happen during the course of H2 next year. And then we have the WHR and the Kutch grinding unit happening in Q4 FY '27. Around April is the time when I have the grinding unit happening there. So, I guess we are booked for expansion in '26, '27 and Q1 of '28. So, we will take up any and in parallel, the East expansion is happening. So, two big activities happening. One is the Vadraj expansion and East expansion in the next 24 to 36 months. And I think around 24 months, we will start evaluating whether Chittor becomes the apt site for us to kick start or the Gulbarga site. So, I will wait and wait for some time. As it stands today, our priority is Chittor is what we say. But sometime Q4 of next year, the exact thing will crystallize.

Harshal: Thanks. And one more question o n the strategy like East region, can you focus on?

Jayakumar Krishnaswamy: I missed that. I think if you have attended our quarterly calls, I think sometime in Q3 last year, because the industry was in a somewhat very muted growth and prices at that time in Q2, Q3 were kind of 10 -year low which was happening at that time. So, one of the things which we adopted at that time was to at such low prices, N uvoco has got premium products and we need to kind of exploit our standing as a premium product and that is when we had the value strategy. But I think if you had seen Q3 last year, we had delivered a high single -digit growth and then on, we have been on a growth phase continuously . Four quarters, we have been growing at single -digit and in one quarter , we even grew 16%. So, that is the kind of stuff. But we will not take our eyeball away from the premiumization. But certainly, I think we will not leave volume

growth against value growth. Both will run concurrently.
Harshal: This will go for both the markets, right? East and North?
Jayakumar Krishnaswamy: East is where our premium products of Concret o Uno M icrofiber are there. North, as we say, at this point of time, we are at a capacity utilization pretty high, but even in North, I think moving away, moving towards premiumization in the microfiber which gives us close to about Rs.20 per bag more than the ba se product. I think if our capacity is going to be constrained in the quarters going after next year, I think our focus will be to move more and more into premium. We used to be 7 %-8% premium product sale in North. Today, we are at 16 %-18% premium product sale in North. Already, we have doubled our premium sale in North markets.
Moderator : Thank you. We will take our next question from the line of Navin Sahadeo from ICICI Securities . Please go ahead.
Navin Sahadeo: Thank you for the follow -up. Before I ask my question, I would request a clarification because in the previous one of the answers on premiumization, you mentioned the endeavor is to increase

prices by Rs. 25 to Rs. 50. I just wanted to confirm, is it per bag that we are expecting or it's a per ton number?
Jayakumar Krishnaswamy: Per ton of cement. Rs.25 per bag means then we will go with... How would I do that? I don't think it's possible. So, looking at Rs. 25 to Rs. 50 per ton of cement. I wish we could do that.
Navin Sahadeo: No, even I wish so. Even I wish so and I would have been super impressed.
Jayakumar Krishnaswamy: Jokes apart, I guess we're looking at this kind of number of Rs.25 to Rs.50 per ton.
Navin Sahadeo: Thank you. My question was again on the premiumization plan. So, is there a seasonality aspect to it? Because last year also in Q2, the premium percentage as a n overall sale did see an increase, but thereafter it has tapered again in Q3 -Q4. So, the reason I am asking is because GST rate cut has reduced prices and there is every incentive or every tendency by a customer to uptrade the value proposition, s o are you seeing that kind of trend already into October, further premium sales or it can be similar to last time when there can be a slight drop?
Jayakumar Krishnaswamy: Too early to comment with it. Ideally, I think if one were to look at from a varying marketing perspective and looking at consumer habits and what a consumer would do. So, if you're able to get a high value product at a lower price, technically all of us wi ll go and buy a high value product which is available at a lower price now because of GST cut. But I won't kind of put all my eggs on the basket and say it is going to happen overnight. But things will happen over a period of time when I think premiumization focus will improve. But one point which you said, whether our percentage will increase or not, I think I would not be, I won't be able to simply come and say that because my volume in H2 is going to be much more than H1 and ther e if I put the same percentage premium formula, I think the number will be pretty high. I am really looking at increase in premium product sale which is X lakh tons in Q1 and Q2, it's continuously increasing. That's where I am going to increase the amount of premium product sale in Q3 and Q4. I am looking at a 25% increase in premium product sale of Q3 versus Q2, another 10% from Q4 versus Q3. How much should we pan into the overall volume? Right now , I will not be able to tell. But certainly I think we will not drop our numbers from 44 to much lower. It could be give or take a percent here and there.
Navin Sahadeo: Understood. And then my second question was on the dealer discounting. So, our channel checks, and I am not referring here to your Company or brand, Nuvoco. I am talking about in general, our channel checks were basically revealing that this time round, there were no Diwali - related schemes or some incentive structure offered for dealers. And there is also some bit of maybe expectation or maybe I say some fear by t he dealers that the overall discounts of schemes which earlier the company used to offer may go down because since the prices itself of cement has come down, there is that much more, what do you say, companies or the industry need not push extra sales by offering more incentives to dealers. Is there any such thought specific to you?

Jayakumar Krishnaswamy: I think our dealers and distributors are extension of our Company. The mission of our company is to become a trusted building material s company , creating value for our stakeholders. Our one of the principal stakeholders for the Company is our dealers. Since some of our dealers might also have connected to this call, I just want to pass on a message that never ever we will reduce our discounts to our dealers. That is our commitment because they are an important part of our growth and we are obligated, we are very proud for our dealers and we will never ever reduce the discount scheme just to make some short -term gains.
Navin Sahadeo: Understood. Very, very clear. Just one question, if I could slip in, have we purchased the captive power capacity in the premises of Vadr

aj which was to be, I think, in control of J SW?
Jayakumar Krishnaswamy: Last stages of discussion happening, I guess it should be done in the next few weeks.
Navin Sahadeo: Thank you, sir. Very helpful. Thank you so much and a very Happy Diwali.
Jayakumar Krishnaswamy: Thank you. Same to you.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Bishnu Sharma for closing comments. Over to you, sir.
Bishnu Sharma: Thank you, everyone, for your insightful questions. I hope all your questions have been addressed. Otherwise, you can reach out to me or Adit from my team for any further clarification. Before we close the call, I just wanted to state to you the statement I just wanted to make. We remain firmly focused on sustaining growth and enhancing our market position. The Vadraj cement project is progressing as per schedule with plants targeted to be commissioned by Q3 FY'27, strengthening our footprint in the western region. Our plant expansion in the eastern region driven by rising demand for blended cement under the Concreto and Duraguard brands will further reinforce our leadership position in th at market. Following these projects, along with balance sheet discipline, brownfield expansion at Chittor in North and greenfield development in Gulbarga will underp in long -term structural growth. Moving forward, we will continue to prioritize strategic initiatives such as premiumization , geo -optimization and cost efficiency to enhance our competitive edge and deliver long -term value to our stakeholders. Thank you, everyone. Thank you for being here today.
Moderator: Thank you, members of the management team. On behalf of Nu voco Vistas Corporation Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

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Ref. No.: Sec/ 218/2025 -26

January 22, 2026

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO

Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the Una udited Standalone and Consolidated Financial R esults of the Company for the quarter and nine months ended December 31, 2025

Further to our letter no. Sec/208/2025 -26 dated January 07, 2026 , letter no. Sec/214/2025 -26 dated January 15, 2026 and letter no. Sec/217/202 5-26 dated January 16, 2026 , please find enclosed the transcript of the Investor and Analyst Conference Call held on Friday, January 16, 2026 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2025 .

The same is also being made available on the Company’s website at www.nuvoco.com .

We request you to take the above on record.
Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

Encl: a/a

“Nuvoco Vistas Corporation Limited Q3 FY’26
Earnings Conference Call ”

January 16, 2026

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY - MANAGING DIRECTOR , NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL - CHIEF FINANCIAL OFFICER , NUVOCO VISTAS CORPORATION LIMITED
MR. BISHNU SHARMA – HEAD (INVESTOR RELATIONS), NUVOCO VISTAS CORPORATION LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Nuvoco Vistas Corporation Limited Q3 FY’26 Earnings Conference Call.
As a reminder, all participant s’ lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone.
I now hand the conference over to Mr. Bishnu Sharma – Head of Investor Relations from Nuvoco. Thank you and over to you.
Bishnu Sharma: Good evening, everyone, and warm welcome to Nuvoco Q3 FY’26 Earnings Call . The results along with the earnings presentation has been uploaded to the stock exchange website yesterday and I hope you had a chance to review the key numbers
Let me first share the key highlights for Q3 FY’26 after which we will open the floor for questions.
The quarter began on a challenging note, b ut as we progressed, we started to see encouraging signs of recovery in overall demand. This improvement was particularly visible in the latter part of the quarter as the impact of earlier macro headwinds beg in to subside. Encouragingly, capital expenditure by both central and state governments seems to have gained momentum, supporting infra -activity and cement demand. With this gradual pickup, the broader demand environment appears to be strengthening, setting a co nstructive tone for the quarters ahead. That said, a significant portion of the planned spending is yet to be executed , around 45% of central CAPEX and nearly about 61% of state CAPEX remains pending as of November 2025. The healthy pipeline of pending projects gives us comfort that this traction could continue in coming months. Additionally, as an above -normal monsoon, a softer interest rate environment and growing consumer confidence, particularly in rural areas, further reinforces our outlook for sustained demand growth going forward.
Now turning to our performance for the quarter :
We delivered robust results despite the early challenges from macro headwinds as mentioned earlier. Volumes grew 7% year -on-year to 5 million tons, the highest Q3 volumes ever recorded in our Company's history. December was particularly strong, with volume growth of 20% demonstrating our strong execution capabilities and the resilience of underlying demand.
EBITDA for the quarter rose approximately 50% year -on-year to INR 386 crores, even as price moderated more than the benefits passed through, following the revised GST rates coupled with macro headwinds. Our emphasis remained squarely on premiumization and cost efficiency, which significantly lowered the impact of price moderation. We are pleased to report that the

premium products sustained their share of trade volumes at a historic high of 44%, marking the consecutive quarter at this elevated level. We have consistently expanded our premium base over time. For the 9 months of FY ’26, premiumization stood at 43%, reflecting a steady uplift of nearly 300 basis points over the FY ’25 baseline of 40%. This establishes new, stronger base for us going forward and will continue to support our performance.

On the cost front, we continue to efficiently manage our operational costs as we achieved the lowest blended cost in the last 17 quarters at 1.41 per Mcal , despite the recent uptick in pet coke prices. Raw material cost per ton and distribution cost per ton also declined quarter -on-quarter, supported by operational efficiency gains.
Coming to cement prices :
Given the improvement in demand conditions and positive outlook, the Company undertook a price increase in January, which is expected to further improve our performance going forward.
Let me now turn to the balance sheet :
During the quarte

r, we raised INR 600 crores through CCD issuances, which were utilized to replace an equivalent amount of short -term bridge financing, thereby reducing overall debt levels. We expect to complete an additional INR 600 crores CCD issuances in the near term to substitute the remaining INR 600 crores of short -term bridge financing. Our continued focus on a disciplined approach to debt management reflects prudent capital allocation and will support the Company's growth agenda going forward.
Let me briefly touch upon the Vadraj Cement Plant:
The refurbishment and project execution remains on schedule, with operationalization of clinker units and grinding units planned in phases from Q3 FY ’27 to Q1 FY ’28.
To give you a quick update on our project execution :
We have made steady progress at both Kutch and Surat. At this site, key equipment is undergoing extensive overhaul. The engineering, tendering, and ordering of all goods and service packages at Surat are now complete, while activities at Kutch are progressing as per schedule. Deliveries on the electrical and instrumentation front remain on track for both locations and mechanical supplies have already started arriving at site. We have also applied for all the required permits to operationalize this plan in l ine with our planned timelines.
On the logistics front, the Engineering Scale Plan and Detailed Project Report for the Kutch railway line have been submitted to Indian Railways, and the execution order is now at an advanced stage of processing. By the first half of FY ’27, we expect to complete the overhauling

work and equipment installation, followed by trial runs in accordance with OEM protocols. We will subsequently establish operations from the control room. Accordingly, during FY ’27, Surat grinding unit and Kutch clinker unit will become operational, while in H1 FY ’28, Kutch grinding unit will get commissioned. The East expansion project of 4 million tons per annum in phases also remains on target. With the East expansion and commissioning of Vadraj plant, the Company's total cement capacity will scale up to 35 million ton s per annum.
Post the ongoing expansion at Vadraj and the East expansion, the Company's growth agenda will continue with a firm focus on balance sheet discipline. We have several strategic options ahead, including expanding our presence in the North through a brownfield project or pursuing a greenfield development in the Gulbarga region, aimed at strengthening our position in the western and central markets. Furthermore, our recent preferred bid status for the JMK-R2 limestone block in Jodhpur and Pali enhances our mining reserve base, providing a strong platform for future expansion.
Lastly, to briefly highlight our ongoing digitization efforts :
We have further strengthened efficiency and transparency throughout the operation. Our customer portal now handles approximately 99% of the total orders, offering real -time control and precision in order management. Following its success in cement, we launched customer portal for our MBM business too. During the quarter, we introduced Nuvoco Zero M Unnati app under MBM to digitize influencer loyalty, driving higher engagement, greater transparency, efficiency and data -power ed channel growth. On logistics, t he transporter portal now covers inbound and outbound logistics across all plants, delivering end -to-end visibility while minimizing manual interventions.
That concludes my opening remarks. I am here with Mr. Jayakumar Krishnaswamy, Managing Director of Nu voco Vistas ; Mr. Man eesh Agrawal – Chief Financial Officer. We are happy to answer any questions. Over to you, Yashashri .
Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. We'll take our first question from the line of Jashandeep Singh Chadha from Nomura.

Please go ahead.
Jashandeep Singh Chadha: Thank you for the opportunity and congratulations on a good set of numbers despite weaker pricing. Just wanted to understand a couple of things. Firstly, you mentioned that Nu voco took a price hike in this month. So, wanted to understand when did you take that price hike and how much was the price hike? And is the price hike sustained in the market? First question was that. If you can clarify that, then I will proceed with my next question.

Jayakumar Krishnaswamy: Yes, I guess after a quarter three in terms of pricing , December onwards demand improved and then sustained demand continues in January as well. So, around 10th to 12th around that time, we

have taken a price rise in non -trade across the geographies in the market where we operate . And also in trade channel, we've attempted a price increase in East as well as North. We'll have to wait for a week or so to see whether the price rise which we have taken sustains. But as of now, things look positive.
Jashandeep Singh Chadha: Okay. And has the demand, tapered off after the price hike or the momentum continues, which we saw in the first 10 days?
Jayakumar Krishnaswamy: Other than the 14th-15th, these are all festive times. So, I guess, I will have to discount , it's two days before and today, I guess, demand was pretty good in the first 10 -12 days of the month. So, give or take, I think, typically, after Sankranti, demand improves in all the regions. So, that's been the past trend. So, it should continue to improve going forward as well.
Jashandeep Singh Chadha: Okay. Good to know that, sir. My second question is on cost. Nuvoco has been giving impressive cost numbers. Now, recently, we have seen pet coke prices going up. So, I wanted to understand in the fourth quarter, what will be the impact of that and going forward as well. And also, if you can shed some light on your CAPEX plan, the amount for next year, FY '27 and '28, and how should we look at this?
Jayakumar Krishnaswamy: As Bishnu mentioned in his initial comment, our fuel cost rupees per million cal trended at 1.41 in Q3, which if you could have seen on the last many quarters, we have come to around thereabout kind of a number for a few quarters now. We will continue this tre nd. Already, pet coke prices have gone up in the month of December. And including, I am talking about the current trend of pricing, I guess, in Q4, I am still looking at a similar kind of number, give or take a little bit of 0.0 1 or something like that. But that's all insignificant changes that may happen. These are basically backed up by 2-3 aspects of the Company . One is to work on our AFR agenda in North, the two plants, as well as in Risda . The second one is using domestic open market coal. For the first time in the last many years, in the preceding quarter, we have started using a good amount of domestic open market coal in our North plants. And that's kind of helped us sober the cost lines of fuel in the North, as well as increase the domes tic open market coal in our East plant. And last but not the least, our focus has been to kind of reduce the pet coke consumption from high of 48% all the way come down to 41% now, which is an impressive number. With this kind of pet coke reduction , we will be able to offset the rise in pet coke prices, if any. And also, our teams have been very innovative and trying to use what you call power plant reject coal and as well as coal washery reject coal for our CPP plants, bringing down the power cost of CPP from close to about INR 0.95 per million cal to as low as INR 0.78-INR 0.8 per million cal. So, basically, substitute, reduce pet coke consumption. Second is get increased focus on AFR and last one is to kind of work on CPP coal.
With all these initiatives , I think we should be able to deflate

the potential increase in pet coke
prices at prevalent levels. In the unlikely event of a big-time increase, I guess that's going to be

a challenge for the entire industry. But as we see today, we have fuel stocks for a month or two right now. And with the fuel stocks which we have, we should be able to sail through Quarter 4. And now the second point about CAPEX p lans. In the previous call, we had spoken about the overall CAPEX outplay for the Company , obviously we have the CAPEX for the existing operations as well as CAPEX for the Vadraj. So, overall, this year, as of nine months, we have spent close to about INR 320 crores of CAPEX as of December. And the balance three months, we should be spending about INR 200 odd crores. So, for the full year, the CAPEX outlook is coming anywhere between INR 620 crores to 670 crores.
Jashandeep Singh Chadha: Okay. And then if I can squeeze in one last question, a lot of advantages that you mentioned, Nuvoco , especially on the cost front are in the eastern assets. But when we will start, Nuvoco will start Vadraj , a lot of these advantages will not be there. So, in the initial years, can you give a sense of how much the cost might increase as capacity ramps up at Vadraj?
Jayakumar Krishnaswamy: You are talking about what happens , okay. Look, anyway, Vadraj is going to be run on pet coke fuel for kiln similar to our Nimb ol and Chittor. So, the ballpark number will be same as what Chittor in terms of fuel cost per kiln. The other advantage is Vadraj is, that area we have Lignite. So, the captive power plant is going to be based on Lignite as a fuel. So, when we have done the initial calculation, our energy cost for Vadraj plant, other than the startup challenge of starting a new plant, other than that, I guess in terms of somewhat steady state, our fuel cost, energy cost, it will also have a CPP similar to what we have in Chittor and Nimb ol. So, it's kind of a copy of

our operations . So, the cost lines of Vadraj in terms of power and fuel will be more or less same as what we get in Nimbol and Chittor as we start the plant.
Jashandeep Singh Chadha: Understood. Thank you so much. I will join back the queue .
Moderator: Thank you. We'll take our next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Hi. Good evening. Thanks for the opportunity. So, just a question on leverage. So, in the presentation, I think you have shown debt at INR 4,217 crore and plus INR 600 crores as short - term bridge loan and CCD. So, I just wanted to understand a bit more about the CCDs as to what are the conversion terms and by when does it come up for conversion?
Jayakumar Krishnaswamy: During the last call and the one before, we have already said that with Nuvoco reach 3,500 crores to 4,000 crores, that's when we kind of start our next expansion, which that's how we started the entire Vadraj process. And the entire fundraising bit for Vadraj was we had to pay INR 1,800 crores as an acquisition cost for Vadraj. So, to get that INR 1,800 crores funding, so we had started with INR 600 crores of long -term debt and another INR 1,200 crores of bridge financing till the C CD route was decided by the organization. So, first I will explain the INR 600 crores.

The 600 crores sits in this 4 ,217 as mentioned in our investor presentation. The INR 4,217 crores debt level at December ‘25 has built in number of INR 600 crores. So, if you have to do a like - to-like comparison of our past periods, this number is 3 ,617 and with compared to December last year, it was 4 ,350 and that's the kind of debt reduction, deleveraging Company has been able to do in the last few years. So, 3,617 add 600, 4 ,217 and that 600 will sit in our books as a long - term debt for Vadraj acquisitio

n. We mentioned that the INR 1,200 crores will be in the form of a CCD. I will ask Maneesh to explain how we have gone about doing the INR 1,200 crores into two INR 600 crore tranches.
Maneesh Agrawal: So, in terms of the specific terms of the CCD, which is the tranche s that has been done in the month of November as the query. So, basically, there is a call option and a put option as a part of the CCD. So, Nuvoco will have the call option and will have the right, though it's not an obligation to buy out the investor, depending upon our balance sheet position at that point in time and the market conditions. So, basically, this call option is exercisable at the end of the fifth year, at the end of the 5.5 year and at the end of the sixth year. As I said, the call option is after 5.5 years -6 years . So, these 600 crores CCDs, series A, this is into three tranches of 200 crores each that I've talked about and it is mandatorily, it gets converted into equity at the end of seventh year and it carries a coupon rate of 0.1% in the books.
Jayakumar Krishnaswamy: Yes, 600 crores just to pick it up from Maneesh , so it gets consummated at five years plus. At the time, Nuvoco balance sheet will be much stronger than where we are currently. So, we have the call option at the time and as Maneesh says, 200-200-200. The second 600 crores, we have still not completed the short -term debt into CCD. I guess due to year -end holidays in the market, so we are still under discussion, should be concluded in the coming days.
Amit Murarka: Okay. So, what I understood is that it is compulsorily convertible into equity at the end of the seventh year ?
Maneesh Agrawal: That's right.
Amit Murarka: And what would be the price at which it gets converted?
Maneesh Agrawal: So, I think you can take these things offline or separately from the investor relations department. So, as I said, it is a call option at the end of fifth year, 5.5 y ears-6 years from Nuvoco’s perspective.
Jayakumar Krishnaswamy: So, we have strong balance sheet to use the call option and repay the CCD. That is the idea which
we have. In the most unlikely event that is when I guess the put option will be exercised on the promoter group Company .

Amit Murarka: Understood. So, you are basically, the idea is to essentially repay off this in the fifth year itself and through the cash flow that you will generate in this period and not really wait for the conversion into equity.
Jayakumar Krishnaswamy: Absolutely. That's the intention. I guess, as we speak, we will be three years from now at a CAGR of 7%. Obviously, the business will grow to a much higher volume and also with the volumes coming from Vadraj, a nd with overall, what do you call market opportunity, we should be able to generate much more cash and a balance sheet should be much stronger. And as I mentioned, the kind of business projections which we have in place, we should also be able to fund the Vadraj CAPEX through i nternal accruals. And then we should be able to retire the CCD.

But I just want to mention one other point to you is, many times I mentioned in our calls, almost all times I mentioned this particular point in the call, stating that as a Company, we are comfortable operating the Company with the debt levels of INR 3,500 to INR 4,000 crores. That would continue to be, we are not going to be going into the path of retiring all the debt. I am sure if really business scales up to that level, this debt level also should come down. But we should also be able to, we have the ambition of growing the Company beyond Vadraj as well. So, I guess we are comfortable with the debt level of about INR 3,500. And at that time, EBITDA is coming, we should mee t our covenants . So, we are targeting EBITDA to debt level around INR 2-ish at the time as well. So, comfortable position to retire

the CCD on a call option and still grow the Company .

Amit Murarka: Sure. Just on the last question on the CCD bi t, so at the fifth year when you have the call option to buy the debt out, will it be bought out at INR 600 crores or will there be something additional that is required to be paid?

Jayakumar Krishnaswamy: It has to be additional because that's how the whole structuring is done because all the so called interest adjustment will happen into the principle of 600 which is in the form of CCD. And then the payout will be happening on top of all the yearly compounded number when it comes to fifth year.

Amit Murarka: So, what is the implied interest? I just want to understand while I understand that this is a structured transaction debt.

Jayakumar Krishnaswamy: So, what we will do is to share this , this should get into a long discussion. So, may I request you to reach out to us, come over to our office or let's set up a call. We'll explain all of it in complete detail because obviously all of it is in the public domain. So, we should be able to give you all the details. So, anything that is needed, reach out to us. We should give you every bit of detail.

Amit Murarka: Okay. Sure. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi. Thank you. Just a follow up to the CCD question. The remaining 600 crores you actually didn't tie up. Is that, have you locked in, basically the investors are more or less identified? Is it the same set of investors? Is it just some procedural delay? I just wanted to understand where are you in the process? It's been a while since that Va draj deal happened. Obviously, you have closed 600 crores. The remaining 600 crores will find out similar investors, different. The structuring is also going to be similar as we look at that 600 crores ?

Jayakumar Krishnaswamy: Yes. Satyadeep, the structuring is more or less going to be the same. Maybe the numbers could be slightly different because it's not going to be exactly the same set of people who will do. We are more or less at the final stage of discussion. So, it is nothing to do with any challenge or anything which you have faced. Just that year end happened and then the thing market, the people with whom we are working have just come back. So, it should happen. I can't give you a timeline whether it will happen in a week or 10 days or two weeks. But suffice to say that we are on top of it and this should happen pretty much in the near future.

Satyadeep Jain: Okay. And on this Va draj asset, just maybe an update on the rail line. I know it had already reached Nal iya. What is the status for last mile connectivity from Nal iya to your plant? And then from there also, have you seen other players start up basically transporting from that particular stretch or is it still in the future?

Jayakumar Krishnaswamy: That's kind of more or less stitched up. The railway survey is already completed between Nal iya and to a place called Vago t. Vago t is a station which is about 4.5 kilometers from our plant. So, the railway has started working on that and I think the land acquisition that is going to be done by railways. I think their initial project report says that they should be ready completing this up to this Vago t station by end this year, December, January they should be able to complete. In parallel, the whole distance for us is there are obviously other than that there are two other plants. I think they're also kind of pursuing from the same Vago t stop and then that's when the line branches out to us as we ll as to the other two players. For us, from that station to our plant, outside our plant boundaries 4.5 kilometers of our land . So, we already completed the land survey, the railway route f

inalization, the DPR and ESP are all done. Only on last week, Wednesday, I kind of approved the purchase order for the party to work on the railway siding as well. So, it all happened parallelly. So, our plan is to start work from inside the plant already we have control over the land. So, the work will start from inside our plant compound all the way to the place where the siding comes inside our plant. And in parallel, I guess, land acquisition lot of patches of land is government land. So, we are already working with Government of Gujarat. So, by the time work starts, we should have completed the acquisition of the land and when railways is ready by end of this year, we won't be able to complete the project by end of this year. It should take longer than that. Our target is June FY ’28 is when the siding is going to

be completed. So, we are on top of it on course to complete the stuff. The other two guys, I guess they should also be working on the same lines.

Satyadeep Jain: So, as of now, the other two guys, their plants are operational. Just want to understand it because the line is there till Naliya . So, have other players started shipping and when you look at the last mile connectivity and assuming some delays, we've been mentioning June ‘28. But for at least the monsoon period, it's a fair weather port. Should we assume lower utilization for the first year till this last mile connectivity is there? Just maybe an update on other people using that line …

Jayakumar Krishnaswamy: The Naliya siding has already been used by other companies. So, I guess the Naliya siding is anyway operational. Though it doesn't have any handling, obviously it's a manual handling, loading into inbox and moving the material. So, that one is operational. So, push comes to shove we will start with Naliya. Not a problem at all. And by the time June of next year, monsoon or July or something, I guess we should be ready by then. In the unlikely event, Naliya is always there. It's a little bit additional cost to move material. Other than that, the jetty route is already there. The jetty route will also be there. Then the Naliya route will always be there. But I think beyond June FY ’28, we should have the railway siding operating out of the plant and dispatches should happen within the plant. So, as I see today, we are on top of things. Obviously, in a big project like this, there could always be small delays here and there. But I don't foresee any major stumbling block in this because I guess backup in Naliya is there. Jetty is, we have already done the bathymetric survey and then we know how to kind of ferry material out of the jetty, cut jetty as well. So, the jetty route is also going to be operational around the time the clinker starts production. Naliya will be ready when the clinker production starts. Surat would be operational before that. So, by the time siding comes by Q1 end, we should be fully in business moving material. As regards to your second question of whether it meets the scale -up of the Company. So, as I mention ed before, our overall scale -up is 1 -2-3-4. That's the kind of number which we had in mind. 1 million in FY ’26, which is we will exit the year at a million kind of annualized million sale in Gujarat. Next year, by end of the year, we should get into 2 million sale and FY’28 will be 3 million and FY ’29 will be 4 million. So, that's the broad plan which we have. We are close to achieving and delivering those 1 -2-3-4 agenda.

Satyadeep Jain: Lastly on Gujarat specifically because you are entering, expanding there in a big way. I know you are catering to that market right now, the 1 million ton that you mentioned through North. But would you have to, as you look at bringing more volumes, when should we look at maybe upscaling your branding team before that capacity comes online? Is t

here something you need to do to strengthen your position of branding or team there in that region and when would you start to do that?

Jayakumar Krishnaswamy: I guess it's all about timing because I start spending money right now, I will be wasting money. If I don't spend late, I will be losing opportunity. So, we have a clear blueprint in place when to kind of get into investment mode in terms of market investment and media investment. But what

are the things which you have already done? We have a full -fledged sales force in place. We have the sales officers in place. We have the market study done and then dealer appointments started happening. So, by the time, even in the month of December, we already sold in the state of Gujarat 1.2 lakhs and our target in Q4 is going to be similar kind of numbers every month. So, we've kind of scaled up to this kind of 1.2 would already mean more than a million ton of sale will happen in the first year itself. So, that sale cannot happen unless and until you appoint dealer network which is already there. But as regards advertisement, marketing and other spend, so I guess we have a blueprint in place. But in this call, I won't be able to tell when I am going to break. But certainly, on top of things and by the time our Surat unit is operational, we should be having all this in place in the market.

Satyadeep Jain: Okay, thank you so much and wish you all the best.

Jayakumar Krishnaswamy: Thanks.

Moderator: Thank you. Next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. Good evening. My question pertains to the fuel and power cost. This 1.41 when you say per million ca l, this is inclusive of your thermal CP P power cost? Or this is only kiln fuel cost?

Jayakumar Krishnaswamy: This is kiln fuel cost.

Rajesh Ravi: Okay. And what would be your in the kiln fuel? What would be the linkage and pet coke and

other coal mix?
Jayakumar Krishnaswamy: Petcoke on the kiln as you mentioned is Q3 F Y’26. We have delivered 41% pet coke usage in our kiln. This has got a higher load in North and a lower load in East. This is a blended load for the Company as a whole at 41%. We were at a similar time last year Q3 F Y’25, we were at 48% pet coke . We are at 41% pet coke now. Linkage coal is 34%. Non linkage domestic coal is 15%.
Rajesh Ravi: Okay. And AFR would be the remaining?
Jayakumar Krishnaswamy: AFR 10% is Q3 F Y’26. Here we should improve because last one and a half months we had two main plants Ri sda and Nimbol under shutdown. So, both these plants have the AFR facility so the number is slightly low. Before shutdown of these plants Nimbol was already at 15% and Chittor was already at 15%. So, I guess some ramp up time will take in the next three months by Q1 F Y’27 we should be able to get this number to anywhere between 13 %-15% at a Company level.
Rajesh Ravi: Understood. And sir logistics cost this quarter has come down. Is there any reduction in lead distance or what specifically has led to correction in your logistics cost?

Jayakumar Krishnaswamy: Our lead distance in Q2 was 331. We are at 326 kilometers this quarter. A good reduction of 5 kilometers most of the reduction has come in the secondary side and impact is due to the secondary side reduction where the PTPK is more than the primary PTPK and that's one reason why our logistics cost has become efficient in Q3 F Y’26.
Rajesh Ravi: Because if I look at from Q1 -Q2 level it is down almost by INR 70-INR 80 per ton. If I look at the average of H1 it was 15.25. Now it is 100 rupees lower in Q3. So, what explains this?
Jayakumar Krishnaswamy: Three things. One is lead distance which I mentioned. The second one is all our primary freight has got GPS fitte

d now. So, we are running a very tight system to ensure that any potential leakages in primary is reduced to a big extent. And third most important thing you would have also, we have mentioned in the year ago two years ago we started the Sonadi h and Jajpur railway siding and for the Jajpur by road that's totally eliminated now. All clinker movement in East is happening only by rake. So, that's a big savings in terms of clinker distribution cost has come down which is we have all the one time we had mentioned in the previous call that the distribution clinker distribution cost should clinker movement cost , should come down anywhere between INR 25-INR 35 kind of a number. That added to lead distance reduction, GPS implementation and last but not the least increased focus in Chhattisgarh sales and Rajasthan sales has also reduced the overall lead distance which is composite multiple reasons to explain the reduction in distribution cost.
Rajesh Ravi: So, how much is the rail share now which was 40% in Q2?
Jayakumar Krishnaswamy: I can give rail share for the total as whole just give me a second.
Rajesh Ravi: On a total basis.
Jayakumar Krishnaswamy: Our rail share is 37% and road share is 63% , 9 months FY ’26 and that Q3 also 63 -37.
Rajesh Ravi: Okay understood okay and so lastly on the power cost , your green power mix is holding up around close to 20%, okay ? What are the opportunity there to increase this because most of your peers they're all inching up to 40 %-50%, so can you give me a break up of your power usage grid, CPP and you know renewable power and what is the thought there?
Jayakumar Krishnaswamy: Currently our CPP is 150 megawatt and WHR is close to about 45 megawatt put together we are at 195 megawatt -196 megawatts . Our plan is to de -bottleneck all these WH R to get another 3.5 megawatts in the next 6 -8 months that's the number one way to increase the green power. We also have very small solar power in Chittor factory and it's a very small one , along with that we have a one megawatt solar power in Bhiwani and a one megawatt solar power in Ja jpur factory. So, these two are the current initiative but in the last one month we have signed an LOI with the Company to set up a hybrid power plant in Rajasthan and that should be operational in the next 12 months -18 months which should be a big boost to power cost in Nimb ol plant and that's a 50

megawatt hybrid model which we are working which should be one of the large investments which we are making going forward. It will not be a CAPEX model , it's going to be a group captive model which we have concluded very recently and that work should start very soon.
Rajesh Ravi: So, 50 megawatts will be the installed capacity and it is solar right?
Jayakumar Krishnaswamy: It is a hybrid , solar plus wind.
Rajesh Ravi: Okay , why my question is , most people are doing this RE power through JV mode to reduce their landed power cost . So, what sort of power cost reduction and given that many companies if you see your few competitors have recently invested INR 45 crore with a payback period of you know what we understand these JV projects have a payback period of less than two years

so is it not an opportunity for you to invest into invest say 100 odd crore through JV models and increase your green mix from 20 % to 40 % plus and in turn also reduce your blended power cost by say INR 1 odd?

Jayakumar Krishnaswamy: Very much . I think Rajesh is very clear . If you look at , where all we operate , we operate in Rajasthan , that's a big cluster for us, Chhattisgarh is the second biggest power consuming place and the third one is West Bengal where we have two G Us. So, our highest power cost for the Company comes from Rajasthan both because of pet coke cost as well as the overall power cost in that place is high and the rules of Raja

sthan got changed only recently . As soon as the group captive and the banking model came into economically right strain we have gone ahead with this group captive model of putting up a plant exclusively for Nimbol. W hat we do in the second plant is based on our experience of Nimbol, that's the first thing . When it comes to Chhattisgarh the first thing which is important for us is we run on a what do you call linkage code is a big component in Chhattisgarh and the second one also is all the three plant grid integration in Risda, Arasmeta and Sonadih , so what we run is all these three plants run on a grid and we many times we shut the CPP to use the grid or we shut the grid and use power from one factory to other factory , it's a common grid and we have got a solid benefit out of it the payback was close to only 7-8months and more or less the job is done . We will go for a captive plant in Chhattisgarh once the economics of captive plant outweighs the savings which you are making out of a current model so it's very much in our agenda . It is economics which will drive at this point of time . Lastly it is Bengal, Bengal still the group captive model is not working because the rules of space does not facilitate what we have in Rajasthan . We don't have proper banking arrangement there so once that happens that's the place where we will go for .

Rajesh Ravi: Understood . What is your blended power cost currently , 9 months and Q3?

Jayakumar Krishnaswamy: Blended power cost for the Company is just a second please the blended power cost for the Company is close to about INR 335 per ton.

Rajesh Ravi: Okay, understood sir . That's helpful . Thank you , sir. All the best .

Moderator: Thank you so much . We'll take our next question from the line of Prateek Kumar from Jefferies . Please go ahead

Prateek Kumar: Good evening . Congrats for great results . I have a couple of questions . Firstly, on your premiumization mix and increasing the rate over last few years . How do you think your gap has closed or increased versus other brands in the market and how does increasing premium mix contribute to your EBITDA per ton?

Jayakumar Krishnaswamy: We have got bragging rights on this . So, certainly from FY ’22 till FY ’26 nine months our premiumization percentage is a percentage of trade volumes have moved from 34 to 36 to 37 to 40 to 43 and Q3 we had 44 % of premiumization . We have Concreto which is a flagship premium brand . We also successfully launched Concreto Uno in Bihar, Bengal and Jharkhand and the Durag uard Microfiber is sold in Chhattisgarh, Orissa, Rajasthan, Western MP, Haryana other North markets and also in Gujarat . So, that's something which and if you look at rest of the other companies , I am not to rattle out other companies , I think they are at a different level , we are at a different level . Certainly , going forward this will be a source of strength for us . We will further strengthen in FY ’27 and beyond certainly to increase this number . We are really looking at increasing this number certainly at 200 basis points every year in the next 2 to 3 years .

Prateek Kumar: Sorry, my question was regarding how are your net realizations or market pricing would be have increased or gap on a better side versus your competition during this period and contribution of better premiumization on EBITDA per ton?

Jayakumar Krishnaswamy: At the premiumization level , we can't look at an all-India level because premiumization has to be calculated of the base product in that state and the premium in that state , contribution changes from state to state . Suffice to say that at a premiumization level , we can get anywhere between INR 150 to INR 200 increased contribution per ton of cement sold . So, that's a big boost and as we go forward this will provide us leverage to overall improve the realizati

on for the Company .

Prateek Kumar: Okay and my other question is on your 4Q so we have seen acceleration in demand growth for your company based on current trends because we had like a very high performance base in Q4 last year we look volume growth accelerating from 7% this quarter and also a related question on pricing how is your pricing undertaken on 10 January, 12 January compares to the exit price of December quarter.

Jayakumar Krishnaswamy: Yes. I guess first one is in terms of Q4, obviously our base was high last year. We sold 5.7 million tons in Q4. So, I am really looking at good growth. If you remember my previous call in Q3 I mentioned that the demand for industry should be anywhere between 7% to 8% kind of a number. So, we hope to kind of hit that number or cross that number certainly going forward.

That is on the demand side, basis side but I guess Q4 overall the cement industry also peaks and then we will certainly write the demand working up. Second in terms of the price increase in the impact of price increase as I said as an answer to the first q uestion pricing corrections we took around 10th of January, 11th of January. So, non -trade prices have moved most markets. Trade prices also have moved in certain markets. I will have to wait for the next week or 10 days to see whether these prices will co ntinue to remain where it is. I see no reason why prices coming down from where we have taken up because these prices have to sustain going forward and also in a quarter where demand is going to be pretty robust.
Prateek Kumar: Thank you, sir, and all the best.
Moderator: Thank you. We take our next question from the line of Tejas Pradhan from Citi. Please go ahead.
Tejas Pradhan: Yes. Hi sir. So, you had mentioned that you will be expecting 7% to 8% demand growth in 4th Quarter . Now from 4th Quarter last year if I am not wrong, we operated at 90 plus capacity utilization and I assume there will be a regional skew over there. So, how are we placed in terms of having capacity available both from grinding and clinker capacity perspective to sort of meet this demand growth that coul d be there.
Jayakumar Krishnaswamy: Yes, we have to divide our market between East and North to West or certainly in the North markets sourced from Chittor, Nimbol we would be operating at near capacity utilization in Q4 that is very clear. The only way we can get more volumes is to go more and more into blended cement even in non -trade category and that is our goal in Q4 to kind of get our year six million tons of capacity, we will set our assets to come very close to that number. However, in East we still have a lot of headroom, our installed capacity is close to about 20 million tons at CK ratio of ~2. So, one of the goals here again is taper down the OPC levels in non -trade and go hammer and tongs on trade levels, we have sufficient headroom in East to kind of get the growth this year even next year at double digit growth and year after also a double -digit growth. So, certainly suffice to say for the next two and a half years we have adequate capacity in East to kind of sweat the assets and get the volume growth going. The other one which we will certainly work on is get into more and more blende d cement get into more and more slag cement. Also Concreto UNO is composite cement it is a premium composite so we will more and more switch over from playing PPC or playing PSC into composite to do clinker release. So, clinker release will be an agenda going from OPC to blended cement whatever little we do will be the second agenda, sufficient headroom to grow. Certainly, in Q4 and bey ond FY’27 and FY’28 also we have adequate capacity in the East. North will be a tight scenario. After this quarter we will continue to operate at near capacity utilization in North and that is one of the reasons Vadraj

will come
into play. Once Vadraj capa city comes into play we release close to about 1, the current 1-million -ton sale in Gujarat into North markets and certainly get Vadraj to serve Gujarat as well as West Maharashtra or also some bordering portion of West MP also will happen from Surat

factory. So, all in all the entire Vadraj expansion strategy is to release capacity in North and East we are self -contained for the next two to three years.
Tejas Pradhan: Okay. Sir just to add on to that, so if I look at the presentation the cement to clinker ratio for nine months is mentioned at 1.72x at the company level, could you break this down into East and North, what could be the CK ratio in those regions?
Jayakumar Krishnaswamy: East will be close to about 1.95 to 2, North will be about 1.3 to 1.35. So, we will have to further improve North from more away from OPC to PPC. I guess that is going to be the focus in the coming two quarters to release cement because there is growth in the market we will have to move away from non -trade into trade and move away from OPC to PPC. We hardly sell any OPC in trade. So, whatever little non -trade OPC will move from based on contribution of course into PPC is certainly at , we still have headroom to go to 2.1 in certain, we have done 2.1 in the past as well should go to 2.1 very soon. So, that there again I think we will curtail the OPC sales and non -trade and go out and out into PPC or move from PSC into composites.
Tejas Pradhan: Okay and in the interim do we have any scope for any debottlenecking or we have already sort of exhausted the likelihood limit?
Jayakumar Krishnaswamy: As we speak right now, we do not have any debottlenecking plan in East, however , the cement capacity increase of 4 million tons grinding will help us more grinding capacity closer to the market to get this capacity going in the market and also the Chhattisgarh GST benefit will help us garner a little bit more money by the debottlenecking in Arasmeta . The entire composite cement agenda, blended cement agenda for the company is the reason for doing the expansion of grinding units in East not the clinker perspective

Tejas Pradhan: I was saying from clinker capacity
Jayakumar Krishnaswamy: I am talking about that. Hold on for a second I am coming to that. East, we have debottlenecked our installed clinker capacity close to 9.5 million tons so we can always get the squeezing done. At this point of time, I am not focused too much on increasing clinker capacity from 9.5 beyond simply because I have headroom even with 9.5 at 2.1 CK ratio I can go more than 20 million tons in East and I have adequate cement at 2 million 10% growth for next three years I have adequate cement capacity unlocked fo r East. Maybe at the same time next year we can think about debottlenecking. We do not have plans to put a full -fledged clinker line in East at this point of time but maybe I think as the year progresses, and we come into next year we can look at that. In North debottlenecking certainly we will do, we already debottlenecked Nimbol from 4500 to 6100 that is a big debottlenecking exercise we did. Chittor factory used to be 5000 we went to 6100 but right now I do not have any plans to increase the clinker capa city in North from 6250, 6250 is 12500 , Vadraj will be the one which will come and help my clinker capacity in North .

Tejas Pradhan: Sure. Thanks, and just one last question from my side what would be the cost of borrowing for the company as of now?
Maneesh Agrawal : Just a second. So, it is currently in the range of sub-8%
Tejas Pradhan: 8%, okay. Thanks a lot . That is it.
Moderator: Thank you. Next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Hi. Thank yo

u sir. Sir, just to summarize so at a blended level given the 3-million -ton capacity that will come up particularly this East one so one, 1 million tons I hope will be coming by March Jojobera and Jajpur. Jojobera and Panagarh will be coming by this March and maybe 1-million -ton Jajpur by 1Q FY'27 and plus 2-million -ton Surat also will be coming up and will be available for the second half of FY'27. So, at a broader level this 4th Quarter at least we should be doing 7%, 8% growth and for next tw o to three years as you are highlighting at a blended level closer to a double -digit growth is doable.
Jayakumar Krishnaswamy: Absolutely. I guess you summarized everything what I wanted to tell. Certainly in Q4 our target should be what you mentioned and next year and beyond we are targeting a CAGR of 10% volume growth at least for next two years if not more. Vadraj will give us benefit in North , and East with the Jojobera debottlenecking more or less it is going to be ready, I guess in the next two months we should have Jojobera expansion completed. Jajpur expansion, Panagarh expansion work has sta rted, we have the, there is something called NIU approval, so we are working with the governments for getting the no load increase approval which is happening currently and side by side the modifications are happening in this plant. Arasmeta debottlenecking a little bit longer because it involves putting up a totally new mill that should be available in FY'28. FY'27 certainly Jojobera expansion will be completed early part of FY'27 and even Panagarh and Jajpur I guess we should be ready by max -to-max Q2 but certainly end of Q1.
Shravan Shah: Okay. Got it. Second sir to summarize in terms of the cost of including the even the startup cost for the Vadraj so from here on in terms of the at the company level in terms of the cost saving how one can look at?
Jayakumar Krishnaswamy: This is our annual operating plan time I guess when we meet in 4Q I will be able to share the next two to three years' cost saving agenda for the company. We are currently working so next time when we meet, I will be able to share with you the next two to three years cost -saving agenda for the company
Shravan Shah: Okay and sir CAPEX you have mentioned for the 4th Quarter for FY'27 and FY'28 if you can because I think Vadraj CAPEX slightly getting postponed to FY'27. So, for FY'27, FY'28 if you can spell the CAPEX number?

Jayakumar Krishnaswamy: Yes by FY'27 I am looking at the overall CAPEX of close to about Rs. 1 ,000 crores and FY'28 close to Rs. 700 crores. FY'26 will be Rs. 650 crores what I mentioned Rs. 620 crores to Rs. 670 crores. Let us take Rs. 650 crores as FY'26. FY'27 should be anywhere between Rs. 1 ,000 crores to Rs. 1 ,050 crores and FY'27 will be anywhere between Rs. 650 crores to Rs. 700 crores. This will have Vadraj CAPEX which will come, we already spent close to about Rs. 200 crores in Vadraj , by December should have another Rs. 300 crores, Rs. 250 crores which will happen in the next two to three months then on next year about Rs. 800 crores and the year next another Rs. 500 crores for Vadraj and rest will be routine CAPEX. So, overall, summing up FY'26 our CAPEX will be Rs. 620 crores to Rs. 670 crores. Give or take Rs. 50 crores here and there.

FY'27 will be Rs. 1 ,000 crores to Rs. 1 ,100 crores. FY'28 will be Rs. 650 to Rs. 700 crores.
Moderator: Mr. Shravan I am sorry to interrupt I request you to join back the queue please.
Shravan Shah: I am just completing that.
Jayakumar Krishnaswamy: Go ahead.
Shravan Shah: Yes. Does that mean that we are not factoring any kind of a CAPEX for a Chittorgarh expansion? So, that should be happening in FY'28 at least.
Jayakumar Krishnaswamy: At this point of time it is too early for me to say when we will start either we will start in FY'28 or FY'

29 it could be go or take one year here and there but I think let us get into FY'27 H2 of FY'27 we will give you clarity on when do we start because we have got still like Bishnu mentioned in his opening remark we have options with Gulbarga, we have options with Chittorgarh, we have the Nimbahera mine we also have the JMK mine in Jodhpur and also have the Gulbarga mine. So, we will decide closer to the date where we will expand either a greenfield expansion or a brownfield expansion. FY'28 onwards it will start but it is too early for me to say when I am going to put money it could be H2 FY'28 or Q1 of FY'29.
Shravan Shah: Okay. Got it sir. Thank you.
Moderator: Thank you. We will take our next question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo : Yes, great. Thank you. So, two questions one was on the industry -wide pricing, sir as you said you have taken some price hikes in January and you also mentioned that December as a month not just I mean it witnessed a double digit kind of a growth and I thi nk our channel checks are also indicating both North and East witnessed a very decent or may I say very bumper sort of a rebound volumes in the month of December. Typically, January volumes are at par to what they are in December, so my ques tion was that if December as a month which witnessed such a sharp recovery could not give any prices rather prices continue to reel under pressure what gives the confidence that January would see some better pricing please?

Jayakumar Krishnaswamy: Volume certainly from the first 14 days of the month I guess we are cracking decent volumes I am sure industry also demand for cement in general is pretty good in the market as January has started. So, I am not going to qualify any, put any adjective to the past month but certainly I think December was a good month for us and maybe for industry once their results are published but certainly in January I see a demand sustaining from December 20 levels Dec ember 20th to 30th levels and that is the reason why we have gone ahead and made this changes in pricing. So, as I said earlier this is just only what one week into price increase time. So, I will wait and watch going forward whether we are able to sustain these prices. So, my gut sense is the prices had fallen below the GST levels because we had passed on all the benefits of GST and we continued with the quarter but with a little bit of a cost inflation we had to do some adjustment and that is how we took this correction. Non -trade prices had gone quite below trade prices and that is reason why we took the correction in non -trade first.
Navin Sahadeo : Understood. Helpful. There can be a slightly long -term or a mid -term question this is in with respect to the CAPEX plans that you have mentioned. So, historically you always mentioned that whenever the net debt of the company comes to you know in the range of 3,500 to 4 ,000 you will pursue the next CAPEX which you are doing in the form of Vadraj. So, now since the last two quarters you have been mentioning a medium -term growth plans of Chittorgarh plant and greenfield optionality for Gulbarga . So, is there any thought process as to what levels of debt will the company then again net debt or the net debt to EBITDA will the company look to pursue these CAPEX?
Jayakumar Krishnaswamy: I will still continue to say that we will pursue a growth at this kind of numbers in future as well but with this kind of CAPEX spend in the last year with Vadraj acquisition and going forward in the next two years certainly we need to have the next set of expansion the moment we complete Vadraj, so, but the current focus is going to be getting Vadraj right. So, we are a company which goes 1 at a time company so that is how we will progress on this. When we reach FY'28 I guess as I answered

the previous question sometime in FY'28 either H2 or Q1
FY'29 is when we will start the next phase of expansion but as I built the business plan for the company fro m current year to the next two to three years we should be in a pretty favorable position at similar kind of debt levels two years from now for us to kickstart the next expansion.
Navin Sahadeo : Noted. One question if I can squeeze in, sorry sir very quickly your freight cost tends to be very volatile I mean you know it is heartening to see a decline but then it also tends to bounce back for example in Q4 of 2025 it had fallen on a per ton which is as low as 1 ,401 but suddenly in Q1 we saw a jump to 1 ,550. So, I am just trying to understand it is good to see the current quarters outstanding like you know reduction in the freight but how sustainable is this is my only related

question . Thank you.
Jayakumar Krishnaswamy: To keep the freight cost under control I think there are two -three levers which we have done. Certainly, I think the railway siding in Sonadih and Jajpur has been instrumental in reducing the

clinker movement rate which is important. The second one is with the starting of our Bhiwani factory the lead distance of Haryana cement plant got positively impacted. As regards your question about erratic behavior of our freight cost, so I would say that certainly from FY'25 Q2 onwards till as we speak I think gradually we are chipping away the freight cost mainly due to three reasons. One is focusing on home markets and reducing the lead distance. Second one is the railway s iding in Sonadih as well as Jajpur. But one of the principal reasons i s we are a company which is on 37% rail share and 63% road share. As you would have seen post COVID for the next two years , the government did not levy the, what we call freight subsidy for lean season they delivered freight subsidy for lean season and suddenly they went back again a year and a half last year and the freight subsidy got cancelled hence the freight cost increased because we have a certain big amount of rail share and the overall freight cost increased due to subsidy going away. From now on from last year which is FY'25 to FY'26 I guess it is a stea dy state period you will see us progressing continuously on sustained reduction in freight cost mainly through home market sales increased home market sale s reducing leakages through GPS, getting the clinker distribution cost between Jajpur and Sonadih. Last but not the least , one of the things which also came as a fluctuation in for two, three, four, two quarters was also in certain markets we moved from Ex to FOR but then I think the entire industry works on a particular practice and then we had to change the model and that is the reason where you would have seen some spikes on the freight cost. All that is behind us now we now have a steady state market, s ustained railway with all the costs which are built going forward contains the lean season disc ount not happening during the period. Number two being Sonadih, Ja jpur siding is completed. Number three being increased focus on home markets in Rajasthan Chhattisgarh , Haryana, distribution cost should come down. So, suffice to say as we go forward, we should be able to have efficiency improvement and logistics cost to get the maximum savings in the coming quarters.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Bishnu Sharma for closing comments. Over to you sir.
Bishnu Sharma: Thank you for all your thoughtful and insightful questions. We hope your questions have been addressed. The investor relations team is ready to provide any additional clarifications you might need for the call before we wrap up today's call let me affirm o ur resolute commitment to driving sustained growth

and strengthening our market positions . Vadraj cement plant project execution remains on track with phased commissioning targeted from Q3 FY'27 to strengthen our western region prese nce. Our eastern expans ion fueled by strong demand for blended cement under Concreto and Duraguard will further enhance our leadership position in the region. Looking ahead we will continue to drive premiumization at area where we have consistently expanded our base and set new benchmarks while maintaining our focus on geographical optimization and cost discipline to enhance profitability and create sustained shareholder value. Thank you for being with us today. Thank you.

Moderator: Thank you. On behalf of Nuvoco Vistas Corporation Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2026

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Ref. No.: Sec/ 14/2026 -27

April 17, 2026

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001
Scrip Code: 543334
Scrip ID: NUVOCO The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Trading Symbol: NUVOCO

Dear Sir /Madam ,
Sub: Transcript of Investor and Analyst Conference Call on the Audited Standalone and Consolidated Financial R esults of the Company for the quarter and financial year ended March 31, 202 6

Further to our letter no. Sec/02/2026 -27 dated April 7, 2026 , letter no. Sec/07/2026 -27 dated April 14, 2026 and letter no. Sec/12/2026- 27 dated April 15, 2026 , please find enclosed the transcript of the Investor and Analyst Conference Call held on Wednesday , April 15, 2026 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2026 .

The same is also being made available on the Company's website at www.nuvoco.com .

We request you to take the above on record.
Thanking you,

Yours faithfully,
For Nuvoco Vistas Corporation Limited

Shruta Sanghavi
SVP and Company Secretary

Encl: a/a

"Nuvoco Vistas Corporation Limited
Q4 FY '2 6 Earnings Conference Call "
April 15, 202 6

MANAGEMENT : MR. JAYAKUMAR KRISHNASWAMY – MANAGING DIRECTOR – NUVOCO VISTAS CORPORATION LIMITED
MR. MANEESH AGRAWAL – CHIEF FINANCIAL OFFICER – NUVOCO VISTAS CORPORATION LIMITED
MR. BISHNU SHARMA – HEAD OF INVESTOR RELATIONS – NUVOCO VISTAS CORPORATION LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Nuvoco Vistas Corporation Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.

I now hand the conference over to Mr. Bishnu Sharma, Head of Investor Relations from Nuvoco. Thank you, and over to you.

Bishnu Sharma: Good evening, everyone, and a warm welcome to Nuvoco's FY '26 Earnings Call. We appreciate you taking the time to listen to us. Let me begin by sharing a few key highlights as we reflect on our performance in fiscal year 2026. We ended the year on a high note and delivered the strongest annual performance for Nuvoco, which is the highest volume of 20.4 million tons and EBITDA of INR1,881 crores in the history of the company. We expanded our industry -leading premiumization base by 300 basis po ints year -on-year to 43% in FY '26 and thus establishing a stronger base going forward.

The fourth quarter was also a landmark quarter as we, for the first time, reached 6 million ton volumes with a historic high quarterly EBITDA of INR 590 crores. We witnessed improvement in overall demand during fourth quarter as the capex by both state and central government gained momentum, which was up by approximately 12% in Q4 till February supporting infrastructure activities and cement demand. Over all, in our view, we performed well in FY '26 despite the challenging market conditions and headwinds w itnessed during Q2 and Q3.

On the growth agenda, we are pleased to share that the Vadraj Cement project is progressing well and remains on schedule. The clinker unit and grinding units are planned to be commissioned in phases between Q3 FY '27 and Q1 FY '28.

Let me give you a quick on -the-ground update on project execution at both of Kutch and Surat facilities. In Surat grinding unit, key equipment and spare deliveries are completed. The 66 kV grid connection has been established. Equipment upgradation and ele ctrical installations are nearing completion and trials commenced. In Kutch clinker unit, equipment upgradation and electrical panel testing are underway. Cyclone inspection for refractory assessment is in progress and deliveries are on track. In Kutch gr inding unit, civil works are on track with work on silo VRM foundation, packing plant and hopper building are progressing as scheduled.

Installation work of VRM has also started. For Kutch, railway siding, engineering scale plan and detailed project approvals from Indian Railways is at an advanced stage and site execution has also commenced. We are also establishing a bulk cement terminal at Viramgam, Sachana, Gujarat, with a dedicated railway siding and handling capacity of approximately 1.5 million tons per annum. The terminal will enable efficient unloading and storage as well as dispatch of loose and bag cement. It will serve as a strat egic distribution hub to expand our reach across the Gujarat market with commissioning targeted for FY '28.

As for the project, our East expansion program of adding 4 million tons per annum of grinding capacity in phases through FY '28 is also progressing well. Looking ahead, we remain confident

that the structural demand for cement is intact. On infra, central government capex for FY '27 is planned to grow by 20% and state government capex to grow by 15%, implying a meaningful step-up in construction activity.

On housing, the PMAY -Gramin allocation is now up 73% and in the East, specifically, state governments have planned housing schemes worth approximately INR 29,000 crores for FY '27, which

is directly positive for Nuvoco, given our leadership in the geography. Moreover, the Asian Development Bank recently revised India's FY '27 GDP growth estimate upward by 40 basis points to 6.9% with a further acceleration t o 7.3% projected for FY '28. This is a constructive signal for cement demand going forward.

While the structural demand outlook remains positive, we are mindful of near -term headwinds stemming from current geopolitical uncertainty, rising fuel prices, currency volatility, escalation in raw material costs, particularly for packing materials could exert pressure on margins in at least 1 to 2 quarters going forward. We are closely monitoring the situation on the ground. We have already initiated proactive measures of high size, prudent procurement practices, accelerated cost optimizing initiatives a nd strengthening supply chain efficiencies to mitigate the impact and protect our margin profile to the extent possible.

With that, I conclude my opening remarks. I'm here with Mr. Jayakumar Krishnaswamy, Managing Director of Nuvoco Vistas; and Mr. Maneesh Agrawal , CFO, Chief Financial Officer. We are happy to answer any questions you may have. Thank you very much. Over to you.

Moderator: Thank you very much. We'll take our first question from the line of Siddharth Mehrotra from Kotak Securities. Please go ahead.

Siddharth Mehrotra : Thank you for the opportunity. One quick question on our capex. Now it seems that Nuvoco first announced the expansion of...

Bishnu Sharma: You have to speak a little bit louder on the mic or if it's on the handset, so we can't hear.

Siddharth Mehrotra : Is it better now?

Moderator: Can you use the handset mode, please, Siddharth?

Siddharth Mehrotra : Yes, I'm using my handset mode. Is it better?

Jayakumar Krishnaswamy : Yes. Go ahead.

Siddharth Mehrotra : Yes. So I just wanted to check for at the time when we listed our East debottlenecking plans, I think it was mentioned that you plan to have them possibly by the end of FY 2027, with certain capacities coming online even by the end of FY 2026. Now it seems that we will be slightly delayed those plans. So I mean if you could help me sort of understand what sort of timelines you are looking at with respect to the expansions in the East, that would be really helpful?

Jayakumar Krishnaswamy: Okay. Thank you. So as mentioned in a couple of calls ago, we had clearly mentioned that we are doing a debottlenecking of close to about 4 million tons capacity expansion in East with 1 million tons coming from all the 4 plants of Jojobera, Odisha Cement plant, Panagarh Cement

plant and Arasmeta cement plant. The timelines we had mentioned was in end of FY '26 or Q1 FY '27, we will commission Jojobera, Panagarh and then subsequently, Jajpur and last would be Arasmeta.

So we have more or less done the debottlenecking in Jojobera, as well as Panagarh. We're just waiting for the CTO. So NIPL has been completed, which is no increase in pollution load with -- there's a clause which is that much amount of expansion we can do that is already done. And we're just waiting for the final approval.

So in terms of hardware modification, it's all done in these two plants. Jajpur should happen in the next 2 to 3 months, and Arasmeta will happen by the end of this year. So certainly, we should be able to -- once the CTO comes we should be able to make an announcement on completion of this expansion.

Siddharth Mehrotra : Understood. So everything should be online by the end of FY 2027, is that correct -- the correct way to look at it?

Jayakumar Krishnaswamy: Definitely, it should all more or less , we are waiting for the CTO to happen.

Siddharth Mehrotra : Understood. Second, sir, quickly on the fuel mix, given the sort of volatility in the energy markets due to the ongoing conflict c ould you just tell me what i

s our current kcal cost? And what sort of change do we sort of expect , once we sort of transition to the newer petcoke -- procurement or coal procurement as the case may be, and what sort of price increases you are looking at on the power and fuel cost side?

Jayakumar Krishnaswamy: Yes, I guess, a number of things which you asked, basically, the impact has happened on 3 levels.

One is obviously petcoke, second is impact of international coal prices and the domestic coal prices and the third one is the impact of rupee depreciation be cause all the petcoke is imported.

In Q4, our blended fuel cost for the company was INR1.44 per million kcal and that was more or less same as the previous quarter. We were already done at INR1.43 types. So we are more or less a litt le bit more than that at INR1.44, not too much of a difference.

But then as we enter Q1, petcoke, which was at INR1.84 per m illion kcal is becoming INR2.01 per million kcal and we also have adequate stocks for 6 to 8 weeks and some of the orders that we have booked on petcoke or on high seas at the rates which were prevailing during middle of March or end of March.

So we are foreseeing a number for fuel cost in Q1, anywhere between INR1.51 to INR1.55, so we will also keep on altering the mix to assume that we get churcha coal or Eastern collieries coal or increase or decrease of AFR. So that's how we should have a range of close to INR1.51 to INR1.55 would be the number I foresee for Q1.

But all the shipments which are currently booking, which should come around July, August, which will have the impact for Q2, there I guess, there will be a further increase in blended cost for the company, and there, I think it's too early for me to give a n outlook what will be the cost that we see because we are already booking now.

And -- but suffice to say that this INR1.51 to INR1.55 which we are forecasting for Q1 will further increase in Q2. So that's the outlook I can give. Obviously, all this will have an impact on the energy cost for the company , a few things which we have taken during the month of March and certainly in the month of April, from the exit prices of March into the prices in April, we have taken price increases in both the trade and nontrade channel in all our markets.

In eastern markets, we have taken a price increase of INR10 in the trade channel and across the states of Bihar, Jharkhand, Bengal, Chhattisgarh and Odisha. And on the non -trade side, we obtain close to about INR20 per bag price increase in all our states. So East has been INR10 per bag in trade and INR20 per bag in non -trade is a price increase we have taken.

And this has not happened on first of April. It has happened around 6 th, 7th and then non -trade price increase we taken on the 10th, once we finish the orders for the previous month. And hence, I think we would get a number which will be anywhere between INR7 to INR10 for the full month and also non -trade could be INR12 to INR18 for the full month. That's on the east side.

On the North side, similar price increases, we have taken in all of the key markets of Rajasthan, Haryana, Gujarat, Western MP and Punjab and Western UP. There, we have taken a INR10 price increase in trade and non -trade has been different in different places, clo se to INR15 price hike in Gujarat and about INR10 price hike in Rajasthan, Haryana and Western UP.

Here again, if you see the blended price increase in trade should be anywhere between INR8 to INR10 and non -trade will be INR10 to INR12. So technically, across the markets where we operate, we can say that we want to inform that price increase we have taken is anywhere between INR8 to INR12 in trade and INR10 to INR15 on non -trade.

Siddharth Mehrotra : Thank you sir, for the detailed answers, good luck. Thank you.

Moderator: We'll take our next question from the line o

f Pinakin from HSBC. Please go ahead. Your line is unmuted, please go ahead with the question. Since there is no response, we'll move to the next question. Next question is from the line of Navin Rameshwar Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Good evening and thank you for the opportunity. Two questions. One was, if you could talk more about the cost that the cost impact probably which we faced in March month in particular because ever since this Middle East crisis broke out, we were hearing a lot about issues related to the packaging cost, especially the bag not being available . And so, did we face any impact in the month of March or we had inventory so not the impact of that front would come in Q1?

And then related to this, my cost -- related to the same cost angle, my second question was what was the petcoke mix in this particular quarter? And how flexible is it to like , I'm assuming you would be looking to lower it. So how flex how much could it go down further and offset by domestic coal so as to mitigate the impact? That is my first question.

Jayakumar Krishnaswamy: Okay. In the previous question, which was asked, I responded only for the petcoke and energy cost movement from Q4 to Q1 in terms of million kcal. Of course, in the month of March, we had a relatively sizable impact, which came from the packaging bags and granules. The granule

prices in the market, which was at INR99 per kilo, which was in February, over multiple phases have shot up to INR155 per kilo which resulted an increase in cost of packing bags, and that did impact the March costing of bags. We had an overall impact o f close to about INR20 per ton at a consolidated level for the company.

But that is for -- since we also carried sufficient, what you call, bag 's inventory as well as we are on a granular conversion model. So we also had granules of different values with us. And hence, the impact which happened in the month of March was close to about INR20 per ton. But the number is going to further increase in the month of April, certainly. Already, we are looking at close to about INR100 per ton increase due to packing bags cost increase and granular cost

increase and convers ion cost increase, which has happened. So that's something which currently loaded on the cost line.
Certainly, I have no view on whether this INR100 will remain INR100 or will go up. That's all subject to the granule cost, which has kind of gone up from INR 99 to INR120 to INR140 to INR150 to INR155 in multiple steps. Currently, it's holding out at this kind of number. But if the conflict were to continue for longer and then we are going to have issues with incoming crude, I think this number will also have a ne gative side because the Government of India has already asked the granule manufacturers to divert crude for making LPG and other stuff and hence, there is a general shortage of granules in the market.
So April, we're looking at INR100 per ton increase in packing bag costs. And May and June could be -- I can't make a guess. It could be at this level or a little bit go higher also in the coming months. Other than this, the cost inflation did not happen in March, but will happen going forward is the cost of minerals gypsum. Mineral gypsum is also used in manufacture of cement along with FGD as well as chemical gypsum. And there, we can see close to about INR20 per ton increase because of mineral gypsum impo rt costs.
Most of the minerals gypsum from Oman. And there again, the sup ply lines are cut. So the second question is you asked what is the company doing to mitigate this cost inflation? As far as bag is concerned, it's going to be difficult because it's not possible to mitigate because that's the only source is the granule manufacturer in t he country like IOCL or Reliance. So that's where the granules come and the

re, I think there is a challenge. So it can't be mitigated. It can be only offset by price increase.
As far as petcoke increase, obviously, we have a formula. We have a fuel mix in east and north is different. Nuvoco is also close to about 70 plus percentage sales which happens through east market. And there, our key factories of Arasmeta , Sonadih and Risda. One of the things which we have done in our 3 plants is, we have reducing continuously the use of petcoke, we are changing the fuel mix in the cal cinar , and we are changing the fuel mix in the main kiln. As we speak, people are all working on this effort, to reduce the petcoke consumption in Arasmeta and Sona dih to less than 20% from the current 2 5% odd and also from Risda from the current 35% to less than 30%.
So that's going to have a good impact. And with this reduction, we are also looking at other coal sourcing from Eastern collieries and Churcha coal various other coal initiatives. So the blended

cost is being controlled by reducing the petcoke consumption as well as try and get local coal, which will offset the overall coal. Local c oal price has also gone up. But overall, I guess, the initiatives are being taken to reduce the consumption of petcoke by at least 300 to 500 basis points from Q4 actual consumption. That's on the Eastern side.
On the Northern side, again, we have entered into some unique coal contracts with Central India as well as from Varanasi depot to get also some domestic coal which we have not used in the past to be used in the kiln o ur Chittor factory. There again, our target of petcoke consumption, which was in the 55% and 60% has been brought to 50%, and we are further reducing to 45% by use of domestic coal. In Nimbol, we are still trying to work out some new alternatives to see whether lignite can be blended on the kiln and reduce further the petcoke consumption.
So technically speaking, in Northern plant, our petcoke consumption is 50%, we're trying to come to 45%, which with the efforts of our manufacturing team, we will be able to certainly reduce by 200 to 300 basis points. Number two, increase of AFR in these 2 plants, we have full - fledged investments done in Chittor and Nimbol for AFR processing, which will have the refused material or carbon black or on the st uff. So North is going to be unique domestic coal into these plants, number 1 agenda. Number 2 agenda is to try and see whether we can process lignite.
Number 3, agenda is to increase our AFR quantity, so that our cost and North is brought down to less than 50% of petcoke consumption. East is going to be overall reduction in petcoke by about 300 to 400 basis points, supplemented by increasing use of Churcha coal, coal waste or get it from Eastern collieries. So that's the broad work the teams are doing.
And on gypsum usage, a big initiative we are doing is to find out how can we supplement mineral gypsum from -- replace mineral gypsum with FGD gypsum. I think our procurement teams are working with nearby power plants and all the plants to try and increase use of FGD gypsum and all the plants which will reduce the cost of gypsum usage. So gypsum will be controlled, fuel costs, we are working on. Bags, I don't think at this point of time, there's a clear cut way forward, so we'll have to live with the price increase. And that's broadly the agenda for the company to mitigate the cost challenges.
Navin Sahadeo: Yes. So thank you for the detailed reply. My second question then was on the pricing and the competitive intensity. So you did mention in your, I think a previous question that the range of

price hike that has happened both in North and as well as the East region. I think similar sort of a commenta ry, we had, I think, witnessed -- heard in the previous con -call also at the time of January that there is some price hike. Despite peak sea

son demand, I think the price hikes that have happened in March quarter as a whole have been a little under just about 2% or so.
So I just wanted to get your view about the confidence of this price hike now sustaining because I think April, May onwards, you also start seeing the seasonally weak monsoons coming through and then the impact of overall volume and the regular weak season thing. So do you think these price hikes in April are more sustainable? Or do you think it can still be some -- it could still face challenges beyond set of monsoons? Thank you.

Jayakumar Krishnaswamy: Demand, supply and pricing typically will go through the classic demand supply model but right now, we are not on certainly demand supply framework at all. These are all unique times. And if you see almost every industry and every sector in India has take n price increase. Paint industry, adhesive industry, automobile industry, FMCG industry, almost every industry whose raw material is crude -linked have taken price increase.
So there is no escaping the fact that we will not absorb this. We will absorb this inflation and reduce the profitability of the company. So unless in a normal scenario where demand peaks and our demand drops and then supply that there'll always be pressure on pricing. But these are all abnormal times and I guess, every player in the industry in our sector or outside the sector is facing the impact of crude.
And I am fairly confident that the price hikes which we have taken will stay put in the near -term, and hopefully, further cost inflation doesn't happen, then I am confident we can stabilize with the current prices. But I certainly feel that if further cost inflation happens, I guess we will have to find a way to pass on the cost inflation down. So that's the view I have and that's how our thought proces s is.
Navin Sahadeo: Yes. So just to conclude, we will see more price hikes if there is a further cost inflation. Otherwise, so far, the cost -- the price hikes are good enough. Is that the way to look at it?
Jayakumar Krishnaswamy: If you really put the mathematics of it, I cannot get the details of the total cost increase and the total price increase, obviously, 100% one cannot defray on step one. But by and large, the efforts which we have taken to take the prices up in freight still doesn't meet all the cost inflation.
But there, again, I think efficiency programs are being run in the factory to offset the impact of the cost inflation but certainly supported by price increase, geo mix, product portfolio and trade, nontrade ratios, all the other agenda which we are workin g.
So it's not like a 1 -to-1 ratio. Cost increase by 100, price increase by 100 . That's not the way one works. So I guess there is certainly acknowledgment there's a cost increase. So we have done the price increase to kind of mitigate the issues coming out of the cost inflation.
But in parallel, as a company, as a manufacturing organization, we have embarked into a number of initiatives on energy side, raw material side, efficiency side, product mix side, rest of all the stuff to ensure that we are able to compensate for the cost to increase with some internal efficiencies as well.
Navin Sahadeo: Thank you, sir.
Moderator: Thank you. Next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi. Thank you. Sir, just -- Mr. Jayakumar , just a follow -up on the packaging part. You mentioned that there is some conversion where you source granules on your own and then give to packing companies for conversion. Just a couple of questions around packaging specifically.

So, a, what is the inventory that you have for packaging? Just trying to understand, are there too many moving forces right now in terms o

f seasonality for packaging that we're hearing. So what is the inventory level you're carrying ? Just trying to assess the risk of availability of packaging bags?
When you source granule on your own, is it something higher versus the industry? And are you facing any challenges like everybody else in sourcing the granules ? And third , on this packaging specifically, that historically, when we saw fuel cost inflation in '22, there was a pivot to blending because you reduced the share of clinker in the overall mix for the industry.
Now you have higher fuel cost inflation, but you also have higher packing costs which would naturally mean companies try more non -trade cement. So where are you pivoting to in terms of

trade, nontrade mix this year? So all these are tied to packaging. Then I have another question, I'll come back for balance sheet, cash flows and all.

Jayakumar Krishnaswamy: Okay. In terms of the bags, typically, we carry about 15 to 20 days of bag inventory, that's the stuff. And I guess it is so volatile that the bags currently, which I have or at a price which was already at INR155 per kg granules. And I guess, any further increase in price against the bag cost is going to increase.

When I mentioned the impact of granule price increase, which will come for a full month, April will be close to about INR100 per ton. So that's like kind of done deal for the month of April. Any further increase in granules will anyway go to month of May that can be next, cost impact will further go up in the month of May.

As regards the granules and conversion models, I don't know about other companies. So we had adopted this approach for more than a year now where we source granules from granule manufacturers and then put it on a conversion contract with our bag manufactur ers and run. But currently, since the overall granule availability itself is kind of reduce.

So we still get granules from our granule manufacturer s, but also use the granule s which the stacking suppliers already have. So right now, it's a blend of granule supply model as we ll as outright bag purchase model. So that's how we are navigating. We'll continue to navigate the same way until such time the entire situation gets back to normal. That's the scene on packaging.

But in terms of impact of packaging into trade segment and non -trade segment or moving from bag cement to loose cement. Typically, we are a company which operates at a pretty high trade to non -trade ratio. And also our C/K ratio in East is already over 2.1 is the C/K ratio which we operate in East and then North, the C/K ratio is a little bit lower because we have more OPC content in North.

So overall, the company's C/K ratio is 1.72 . It's pretty high per industry standard s. I don't see the C/K ratio going much higher than this kind of number in the short -term. So we don't have any programs to move from C/K ratio at current level to any other number to compensate for the various cost increases.

As regards to the movement of no n-trading from bag cement to loose cement , certain markets do operate at a loose cement model, which is typically the Gujarat market and also some parts of Chhattisgarh we still would send through loose cement. And if you ask the question, is there a huge thrust to move from bag in to loose, not really.

One thing which we are really focused on right now is to kind of move away from OPC to blended cement more in East in the short run so that our C/K ratio can further increase and our energy cost per ton of cement can come down. So that's the specific agenda in East. North, again OPC markets, we are trying to go a little bit slow. But in Gujarat, we won't be able to do because the market constructed itself in that way.

But as to the markets like Rajasthan or Haryana , our focus is to kind of move away from OPC to get blended cement. But th

at's independent of this energy agenda because in the past call s they had mentioned that our North capacity is more or less reaching capacity utilization.

So, if you have to kind of unlock cement in north in the short term till Vadraj comes into being, we will continuously move away from OPC to a blended cement to increase that much more cement available for sale in the market. So that is a separate agenda, not linked to the energy crisis.

Satyadeep Jain: Thank you so much for this elaborate answer. Just a follow -up on this. So , cost increase on the packing side is well understood. Just on the availability of bag also either granule or bag , are you foreseeing any challenges where there is shortage and that restricts the ability for cement manufacturers to manufacture ?

And in that context, we heard from some channel check s there were specific pockets where Nuvoco actually faced some challenges for a very short period in the quarter. And that was overcome through various means.

Maybe if you can talk about were there any challenges in the quarter in terms of availability and did that disrupt production at all? And how are you foreseeing the availability? And what actions can you take in this ? So, generally there is a fear that there may be some disruption if you have lower availability of bags?

Jayakumar Krishnaswamy : I think it 's an industry phenomen a. So, everybody in the industry got impacted due to bag non - availability in the month of March, and it continues in April as well. So , if you look at the East market or any market for that matter, a lot of bag manufacturing capacity came into force 3 years ago. And hence, there has been a general reduction in capacity utilization about around COVID time and beyond that, I think lots of capacities came into being.

But typically, April, May is the time when fertilizer movement also happens. And also, with this Bangladesh issue of jute bag not coming to India, there was a general scarcity of bags, which starting happening from February onwards. So one was of the view that this entire fertilizer movement as soon as Bangladesh, nothing can happen because right now, there is no jute availability there.

But however, starting February , itself, this issue of overall bag availability and heating up of bag conversion costs happen Jan and February, March. This war is a new phenomena which happened. Additional phenomena, which happened in the month of March.

So we were of the view that come May, once this fertilizer momentum will happen, the capacity utilization of bag manufacturing will come back to normal and it should not be a problem. But with this issue of granule itself not available, then I think that is had a new layer of serious challenge , not even new layer.

It is a serious challenge, availability issue, price is a problem I certainly can talk for Nuvoco, but I think because bag manufacturers are all common for all the cement manufacturers. I guess there is a widespread challenge for timely bag availability in cer tain markets all over India, more so in East where capacity utilization of bag manufacturers are running to the extent of 90 plus percentage.

So, w e did face in the month of March ba gs. And the number of 6 million, we would have done a little bit more in the month of March. We had two major disruptions, which happened in the March, one was rake availability was a serious problem in the month of March because the government decided to divert all ra kes for movement of coal to power plants. So typically, we would get 4.5 rakes per day and that came down to 4 rakes per day.

So, there was overall clinker movement challenge as well as bag availab ility challenge. In spite of that, we hit a historical high of 6 million tons in the quarter. We could have done more because we had – we could have served the market, demand wa

s pretty good for us. But I guess that is what we have to live with.

So, we have to sa ve through the coming few months with this bag shortage and also that if somebody had asked the next question, I was anyway, I had to share the issue of rake availability in the month of March.

And as we sit right now, we are having serious problems of rake availability as well and we have resorted to moving material by road to some of our grinding units because rake is not available sufficiently, all rakes are diverted to power plants. So, I think this should reduce once the monsoon sets, but that 's still the month and half 2 months away. So, we will face problems in that. We will continue to face problem.

So, I guess we will – it's a tightrope walking. It 's an everyday journey where we kind of find a way to source back incentivized for short -term incentives for the bag manufacturers to make. So all net -net, with all the incentive annual cost increase, it came to about INR100 in the month of March. It is continuing at the similar levels in April.

Satyadeep Jain : Mr. Jayakumar, I'll just ask 1 quick follow -up…

Moderator: Thank you, Satyadeep, I request you to join back the queue, please, as we have other participants. Thank you.

Satyadeep Jain: Sure.

Moderator: We will take our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Yes. Sir, you mentioned about in terms of reducing the petcoke are both in east, north, so roughly around 3 % to 5% odd. But currently, in Q4, what was the petcoke percentage and the AFR percentage in the fuel mix at the company level?

Jayakumar Krishnaswamy: Company level, our Q4 number for all blended fuel was INR1.44 million kcal -- yes, I'm answering your question.

Shravan Shah: Yes, sir, go ahead.

Jayakumar Krishnaswamy: Fuel cost for the company was INR1.44, coal came at INR1.27, petcoke came at INR1.84 and AFR was at INR0.9. That was a number which we had for last year.

Shravan Shah: And in terms of the fuel mix percentage, petcoke share and AFR share in Q4 was how much? And because we are looking at even AFR also to increase to 13% to 15%?

Jayakumar Krishnaswamy: Our whole percentage as a company was 53%, linkage 31 % and non -linkage 21% which is domestic open market coal and the petcoke in Q4 was close to 37% and AFR was about 10%.

That's the number we had in Q4.

Shravan Shah: And this AFR in Q1, can we see will further go up to 13%, 15%, that 's what we were looking at?

Jayakumar Krishnaswamy: FY27, our target is to get this AFR percentage from -- as a company from 10% to plus 13% is what we will look at. That 's the number we are targeting to offset the coal price increase.
Shravan Shah: And sir, in terms of cost, furthermore, let's assume by the end of this month and election is over state elections. And see if we further can see diesel price going up by INR10 -odd, which the central government has to excise it. So how one can look at this INR10, let's assume 10% kind of increase? Will it be an entire 10% will be the direct increase in the freight cost? Or will it be a 60%, 70% and 30%, 40% is kind of a fixed, that's way 1 can look at?
Jayakumar Krishnaswamy: I don 't think in this investors call, I wouldn't be able to give a pricing strategy of the company and what are the minute steps, how we're going to manage so I basically gave an overview because this is a strategy which we will work. Other companies will work. And I would refrain from giving what are all the details since the company will take in the coming 6 to 8 weeks to manage.
I give an overarching picture of reducing petcoke quantity, increasing geo mix, improving our premium share and moving away from mineral gypsum to FGD. These are the big initiatives we will work on but to kind of give a mathematical model, if this goes up, this w

ill be the price rate,
I don't think I would like to share such kind of information in this call.
Shravan Shah: Yes, I got it, sir. But just on a broader p rospect so whatever we have said until now, INR8 to INR12 kind of a trade hike in INR10, INR1 5, so roughly INR10, INR11 kind of at a blended level price hike and given the -- obviously, the petcoke cost will be, if it stays as it is today,

maybe July, August onwards, we will have a hit. And let's assume that. Then roughly, we are still -- and then the INR100 packing cost increases there. So roughly, still, we are behind in terms of INR10 -odd on the price hike. INR8 to INR10…
Jayakumar Krishnaswamy: I will not be answering this question because I cannot do a mathematical reconciliation and say that this much price increase, this much cost increase, suddenly, I will not be able to tell but that won't be -- that’s not going to be my approach of giving both the details. But all I can share with you is certainly, costs have gone up, which I shared with you in a transparent manner, what has been the impact of bag and what has been the impact of fuel in March and March is all done now.
So, I guess, April, what will be the impact of bags and fuel. I guess, certainly the blended cost of fuel, diesel price hike, bags, gypsum, rest of all the stuff, I am really looking at a cost inflation of close to INR200 per ton. And hence, at INR200 per ton with the kind of price increase, net of GST, there is still going to be some gap.
But so our effort will be to work on the internal levers plus I guess an appropriate time when the year has started, I guess, quarter ending schemes have ended in the market, and then demand will pick up, summer is coming, with elections finishing and all the labour getting back to major markets from the post -election scenario in key states, I think I foresee a demand opening up to 7% to 8% going forward. That 's when I plan to catch the pricing trajectory.
Moderator: Thank you, we will take a n ext question is from the line of Tejas Pradhan from Citigroup. Please go ahead.
Tejas Pradhan: Yeah, hi sir, just on the balance sheet, if I look at historical trends, 4Q has been typically a quarter when we have unwind in terms of the debt reduction, right? But this quarter, if I look at net debt has gone up from INR42 billion to INR44 billion. And in addition t o that, we also had the CCD issue at Vadraj level, right? So, if I adjust for that, then maybe that INR3 billion also in addition, the debt would have gone up. So, any reason why we had an increase in net debt in the quarter?
Jayakumar Krishnaswamy: Let me ask Maneesh, our CFO, to address this query . Maneesh?
Maneesh Agrawal : Yes. So basically, if you look at during the quarter, so first of all, we had this CCD, which has come in and we used the proceeds to pay off the commercial paper or in terms of bridge finance that we have taken earlier to -- for the purpose of this Vadraj acquisition. So that is there. Besides that, in terms of -- if you look at the overall net debt for the entire year, right, so I'll just give you the whole waterfall for that .
So if you look at that, we started the year with INR3,640 crores and overall net debt we have ended with INR4,445 crores. So there's a INR900 crores increase that has happened. And this is primarily because of the Vadraj acquisition that has happened. So overall investment value for the Vadraj, if you recall in the previous calls, what we've talked about is INR1,800 crores.
And on top of it, there is this INR200 crore s that we had funded or made the investment for the VEGL acquisition. So altogether, INR2,000 crores of investment has been done. And as against

that, we have INR900 crores of CCD that has come in. So this INR1,100 crores of internal

accruals or the borrowing that has gone into funding the entire acquisition.
And from the operating cash flow, if you look at around INR1,880 crores of EBITDA that has been generated, there is an interest of around INR450 crores that has gone in. Besides that, the working capital to fund the scale of operations from 19.4 million to ns to 20.4 million tons, so there's increase in the working capital.
Besides the capex that has gone in across the plant, the sustaining capex, the normal capex that has gone in for the land mining as well as the capex that has gone for the Vadraj stuff. So that is how the overall INR1,880 crores of operating cash flow has been utilized. And then there is income tax payment that has gone in this financial year. So all together, if you look at from the operating cash flow, there is actually a INR300 crores of ne t debt that has reduced, b ut because of this Vadraj acquisition t hat has happened, so there is an increase that is coming on the balance sheet side to the extent of INR900 crores.
Jayakumar Krishnaswamy: Let me just, Maneesh, finished it. Maneesh, thank you for explaining this. We started there with INR3,640 crores of net debt. We ended the year with INR4,445 crores of net debt. The INR3,640 crore s you have to add close to INR200 crores of investment that you have made, it should have gone to has INR5,640.
INR5,640 crores has INR900 crore s of CCD. So knock off INR900 crore s from INR5,640 crore s, so it will come to INR4,740 crore s. Technically speaking, we had that . We bought something. We did CCD, we should have ended the year with INR4,740 crore s, but we ended the year with INR4,445 crore s, good INR300 crore s reduction in debt on a like -to-like comparison coming out of operational efficiency, prudent capex and cash flow generation.
So I guess whatever things which I have been talking on every call to kind of find a way to restrict capex, reduce working capital, manage cash flows to do a debt reduction. And all the time, we have been talking about when our debt reaches INR3,500 crore s to INR4,000 crore s, we will make the next investment.
So that is how we made the next investment. The next investment took the debt up. Now the debt range is at INR4,445 crore s. Technically on mathematical terms on a like -for-like comparison, it should have been INR4,745 crore s, but wonderful work done by the teams, brought the number to INR4,445 crore s.
Tejas Pradhan: Sure. Okay. So just to sort of clarify the question also. Just on a quarter -on-quarter basis, if I look at, at least the last 4, 5 years, generally 3Q end versus March there has been like a INR4 billion to INR5 billion quarter -on-quarter reduction in net debt versus that this quarter there is a INR2 billion increase. So anything specific in this quarter? I understand the full year. So that explanation, I understood. Just on a quarter -on-quarter, anything particular to flag off because of whic h that debt increased?
Jayakumar Krishnaswamy: Our net debt December stood at INR4,817 crore s. And again, INR4,817 crore s, we are at INR4,445 crore s, so there again I say there is a.

Maneesh Agrawal : So the point that you're making is the net debt has gone down slightly higher this time has come to the previous quarter, previous year.
Tejas Pradhan: Okay. So my number was INR4,217 crores. I mean, correct me if I am wrong?
Maneesh Agrawal : That's not the right number. The number is INR4,817 crore s.
Tejas Pradhan: Okay. Underst ood, sir. I'll take it offline not an issue. Just on the other data question that I had, was the clin ker production in full year FY 26 and the lead d istance for the fourth quarter just these two?
Jayakumar Krishnaswamy: We don't report clinker production only company, we report cement production. As regards to the lead distance reduction Q4 to Q3, no substantial red

uction in lead distance. We are at 325
just about a kilometre less 325 km largely coming due to our -- as I just explained a little while ago to Satyadeep's question, we had challenges in clinker moments.
So we had to kind of do a little bit of trade -off of how can I move clinker to the right places because rake availability was not there everywhere. And second also is the fact that we had to what you call packing bag was also a challenge in certain places and North factories, which was different, it was different. So we couldn't do too much of impact on the distance reduction it remained at 325.
Tejas Pradhan: Sure. Thanks. That’s all from my side.
Moderator: Thank you. N ext question is from the line of Gaurav Goel from UTI AMC. Please go ahead.
Gaurav Goel: Hi, thank you for the opportunity. So ju st one quick question. So i f you could give the debt.
Jayakumar Krishnaswamy: Can you speak on the handset please? You are very, very feeble.
Gaurav Goel : Am I audible?

Jayakumar Krishnaswamy: Yes. At this level, you are audible.
Gaurav Goel : Thank you. So just one quick question. If you could give a guidanc e on the debt and capex for FY27?
Jayakumar Krishnaswamy: Okay. So on the capex, I would give a guidance erstwhile every quarter we've been talking about capex. So in FY26 the year gone by, I had given an outlook of INR700 crores for capex, we ended with INR712 crores, a small INR10 crore s increase. So more or less exactly the same way which we planned for the year. '27 and '28 will be INR900 crore s for '27 and INR960 crores for '28. That's all largely coming out of Vadraj refurbishment, INR627 crore s and INR728 crore s. Overall, nex t 2 years, INR900 crores in FY27, INR960 crores in FY 28. As regards to the debt level number, I guess there is going to be a period of few quarters where this debt is going to be around this number because we have borrowed and invested in Vadraj. However, our goal has been to maintain that debt level to 2 x to 2.5x EBITDA. And there, we will meet ou r numbers during the fiscal FY 27.

Gaurav Goel: All right. Thank you so much.
Moderator: Thank you. N ext question is from the line of Girija Ray from Nirmal Bang. Please go ahead.
Girija Ray: Hi, thanks for taking my question. S o one confusion like if I go bac k to 2022 September, post COVID again, there was a spike in Pet coke even though after COVID, the market opened and everything, the infra also started moving. So the industry was struggling to pass on this input cost rise to the consumers. So even this normal course of situation when infra are doing well , and the things are getting in a good phase. So seeing this cost increase like Pet coke prices and packaging costs. So how do you see this -- the kind of price hike will take, which can be passed into the consumer post the GST?
If I remember , post-these GST rate cut, had given a headroom of INR35 to INR37 per bag of increase. So, so far, we have increased around INR10 to INR12 on a blended basis. So even in September '22 most of the pockets, they have taken a pricing of INR50 to INR70. Still, it was not adequate e nough to pass on to the consumers, the profitability was impacting that trend. So how do you see this can be -- what kind of price hike we can take and how this will be feasible to pass into the consumers?
Jayakumar Krishnaswamy: If we look at 4 -year window , I guess, a little bit jot from my memory and talk about September '22. It's pretty far away, but all I can say is at that time, Pet coke was trending nearly close to about $250 per ton and then the rupees per million kcal was also pretty high at the time. It took a good 6 to 8 months for their prices to taper down.
But this time around if you see Pet coke is current trending at a INR2. 04 per million kcal. And at this kind of level, the price hike, which we hav

e taken just about meet the cost inflation. So whatever currently we have taken is just about meets the current kind of cost inflation which has happened. So it's kind of a neutral gro und as we speak.
But any further increase in cost, I guess we will go for additional price increase. I will not be able to comment right now whether it will be INR10 per bag or INR15 per bag. God forbid the cost doesn't go so much , so we'll be mindful as a responsible company. But certainly, I think eventually, when the overall cost lines go up, I think it will have an impact on the overall economy of the country. So we will go by as the situation unfolds.
What is in our control is to tweak the fuel mixture, tweak the model mix, tweak the geo mix, bring about efficiencies and that's where our immediate focus, entire team is working on to squeeze out some of the money so that the cost increase can be obviated by any efficiency improvement within the c ompany.
Beyond that, we will have to take a price increase. I hope this situation doesn't happen where we have to take big time increases, but I don't rule out any situation where we will not take price increase. I won't say we will take, but certainly, I will giv e a reference. Different way to answer your question. I'm not ruling out any price increase going forward.
Girija Ray: Okay. My last question will be, now there is some kind of a decline from past three quarters. I can see the employee cost per ton has declined , so that is one. And second one is related to our

capacity utilization. It is very good to see that we have used a very significant capacity utilization in fourth quarter. Is there anything like we are trying to capture the market or gain the market share, breaking the pricing power? These 2 questions. Th is will be my last question.
Jayakumar Krishnaswamy: Certainly, I think we will not drop price to increase market share. So I think our focus is profitability, Nuvoco will have to find as a company, we do a good balancing act between ensuring profitability and also get growth. So we will not kind of buy gro wth by throwing

money. So that's not in the DNA of the organization. We will work very hard to get the profitability right, but certainly, I think we'll run behind growth, but certainly not throw money to get growth. That's the DNA o f the organization. That is how we have been running our company for last many years, and that's the way we look at things going forward.
As regards to the overall employee benefits per ton, I guess, scale also comes to picture. If you see our overall absolute volume growth in FY'24 and FY'25 was 18.8 and 19.4 , two years we were stuck at 18.8 and other years, we went only to 19.4 . This was a year where I think the market also improved, we also kind of improved to, what you call, 20.4 . That's where I guess the volume scale benefit also comes to our cost per ton impact.
Girija Ray: Thank you, sir. All the best. Thank you, sir .
Moderator: We'll take the next question from the line of Pinakin from HSBC. Please go ahead .
Pinakin : Thank you very much. My first question is related to demand. So in your view, what was the industry growth in FY'26 and given in April, there has been so much disruption that we are hearing about, how is demand standing in April? Is it flat? Or has it started declining on a ye ar basis?
Jayakumar Krishnaswamy: Looking at what's the demand has been, I guess, if you really recall our quarter two, I think we did not have aggressive volume growth, whereas quarter three and quarter four, I guess, we did grow. Industry, we are looking at volume growth in FY '26 anywhere between 6% to 9%. That's the outlook for the last year. I think that's my read of how the overall market.
But again, India is No rth, South, East, West, Central, so various markets have got various growth rates. And an all

-India level, industry has grown by 6% to 9%, but certain markets like East or even Gujarat for many months during the year or Maharashtra for many months during the y ear, growth was tepid less than the national average.
But however, as in our opening speech, we mentioned about the infrastructure improvement and the investment government is going to make. I'm still looking positive for this industry to grow anywhere between 7% to 9% in the coming year as well.
Pinakin: Sure, sir. And related to that, how has demand shaped up in April so far given whatever disruptions we have seen?
Jayakumar Krishnaswamy: Okay. First week anyway, April typically first week is always a challenging week with the March annual targets for all the dealers across the stuff . But as we speak, overall, I can basically say

there are a few markets where we don't operate all over India, but suddenly in the markets where we operate North , East, and West and some parts of Central.
I think there are pockets in India currently where there are -- demand is slightly weak . So I'm not going to get a list on which states the demand is weak . But in our core states of Bihar, Bengal, Jharkhand, Chhattisgarh, there is good demand. And in terms of the first 13, 14 days of the month, our pro rata is as per our plan.
Pinakin: So for FY27, you mentioned demand growth at industry level of 7% to 9%, so at a Nuvoco level, I mean it's very early days, but what is the target that you're working with? Do you -- because FY26 was 5%, should we see a pickup in volume sales in FY27?
Jayakumar Krishnaswamy: So you want what I tell my employees or you want what is likely to happen ? So certainly, I think we will certainly want to grow in line with the industry of 7% to 9% for sure in the market. But practically, if you see markets in North, we are kind of operating at 95% capacity utilization .
So there, I think once our Vadraj comes in, there is going to be a few months in the coming year, where we will be short of cement in North . But that's nothing phenomena . That's part of the stuff. But I still have adequate capacity in East . I still have more cement availability in East . So we are targeting to grow anywhere between 7% to 9%, in line with the industry in the coming year as well.
Pinakin: Got it . Thank you very much, sir.
Moderator: Thank you. L adies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Bishnu Sharma for closing comments. Over to you, sir.
Bishnu Sharma: Thank you. Thank you everyone for the questions and engagement today. We hope t hat the discussion have been both informative and useful. The IR team remains available for any follow - up clarification you will need after the call.
As we close, let me leave you with a few thoughts on where Nuvoco stand s and where we are headed. Our growth agenda is firmly on track. The Vadraj Cement project is progressing as planned with phased commissioning beginning Q3 FY27 further strengthening our presence across the western and northern markets.
Beyond capacity, our strategic priorities remain clear and consistent, premiumization, geographic optimization and cost discipline. These are not just aspirations as they are disciplines we have demonstrated quarter -after-quarter and they will continue to drive long -term shareholder value creation. Thank you for your continued support and trust. We look forward to

speaking to you again next quarter. Thank you very much.
Moderator: Thank you. On behalf of Nuvoco Vistas Corporation Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.